# Union Bank of India (UNIONBANK)

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# Call: Jul 2022

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■■■■■ Ref.:■■.■■.■■.ISD/176/2022 -23 ■■■■■■ Date : 30.07.2022

■■■■■■ Madam/■■■■■ Sir,

Subject: Transcript of Post Earnings Call

This is to inform that transcript of Post Earnings call held on July 26,2022 for Reviewed Financial Results (Standalone and Consolidated) of the Bank for the Quar ter ended on June 30,2022 is submitted herewith as a PDF searchable attachment .

The same is also being made available in the Bank's website under the following web link :

https://www.unionbankofindia.co.in/english/financial -result.aspx

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A , 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

Encl.: As above
BSE Ltd.
Corporate Relationships Dept .
PhirozeJeejeebhoy Towers,
Dalal Street,
Mumbai -400 001.
BSE Listing Centre
Scrip Code -532477 National Stock Exchange of India Ltd.
Listing Dept.
Exchange Plaza, Plot No.C/1, G Block
Bandra -Kurla Complex, Bandra (E),
Mumbai -400 051.
NSE Digital Exchange
Scrip Symbol -UNIONBANK -EQ
Security – UBI-AT/BB



Transcript of :
"Union Bank of India Earnings Conference Call for the period ended June 30th, 2022 "

{July26, 2022 }

MANAGEMENT ATTENDEES :
MS. A. MANIMEKHALAI – MD & CHIEF EXECUTIVE OFFICER , UNION BANK OF INDIA .
SHRI. NITESH RANJAN – EXECUTIVE DIRECTOR , UNION BANK OF INDIA .
SHRI. RAJNEESH KARNATAK – EXECUTIVE DIRECTOR , UNION BANK OF INDIA .
SHRI. NIDHU SAXENA – EXECUTIVE DIRECTOR , UNION BANK OF INDIA .
MS. RANJITA SURESH – ASSISTANT GENERAL MANAGER (INVESTOR RELATIONS ), UNION BANK OF INDIA .


Moderator: Ladies and gentlemen, good day and welcome to Union Bank of India Earnings Conference Call for the period ended June 30th, 2022.
The Bank is represented by the Managing Director and CEO – Ms. A. Manimekhalai, Executive Directors, Shri . Nitesh Ranjan, Shri . Rajneesh Karnatak, Shri . Nidhu Saxena and other members of the top Management .
As a reminder all participants lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please not this c onference is being recorded.
Now I hand over the call to Ms. Ranjita Suresh – Assistant General Manager, Investor Relations. Thank you and over to you ma'am.
Ranjita Suresh : Good evening ladies and gentlemen, I welcome you all for the Union Bank of India Earnings Conference Call for the period ended June 30th, 2022.
The structure of the con -call shall include a brief opening statement by MD and CEO and then the floor will be open for interaction.
Before getting into the con -call, I will read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investor interaction maybe forward -looking statements based on the current expectations. These statements involve a number of risk, uncertainties and othe r factors that cause the actual results to differ from the statement. Investors are therefore requested to check the information independently before making any investment or other decisions.
With this I now request our MD and CEO for her opening remarks. Thank you. Over to you, ma'am.
A. Manimekhalai : Good afternoon, everyone. With great pleasure, I welcome all of you to the Earnings Conference Call of Union Bank of India ,Financial Results for the quarter -ended 30thJune 2022.
As we all know, the pandemic i s behind us , the Indian economy is well on the path of growth and recovery. We have seen credit growth has picked up in the economic activities in recovery mode in the past few months. Policy rates have been hiked , lending and deposit rates for the banks have risen accordingly.
Business and Financials for the quarter -ended June 30thFY2023
The Bank has continued to post strong financials as the total business grew by 10.8 YoY.

The Total Deposits has also grown by 9.27% YoY led by low -cost CASA deposit which grew by 8.69% and CASA ratio stands at 36.19% as of June 30th, 2022.
The Total Advance of the Bank has registered a growth of 12.95% and within the RAM sector, that is the Retail Agriculture and MSME sector. The Retail advances has grown 11.13%,Agriculture at 14. 04% and MSME advances at 11.26% . RAM sector stands at 54.88% of the Total Advance s.
The net income of the Bank has grown by 8.10 %.

NII stands at Rs. 7,582 crores for the QY2023 .
The Global NIM stands at 3% .
The net profit is that Rs. 1,558 crore s as against a net profit of Rs. 1,181 crore in Q1 FY '22.
Thereby, we have registered a growth of 32% in net profit .
As regards the Asset Quality , the Gross NPA stands at 10.22% as at 30thJune 2022 compared to 13.60% in June 2021 .Net NPA is at 3.31% which is 138 basis points below YoY.
CRAR has also improved from 13.32% to 14.42% as on 30.06.2022.
CET1 ratio improved to 10.68%. And PCR has also improved by 332 b ps to 84.75% as of June 30, 2022.
Thank you and I request all of you to raise any questions that you have for the Bank .
Moderator : Thank you very much.Ladies and gentlemen, we will now begin the question -and-answer session. We have our first question from the line of Ashok Ajmera with Ajcon Global . Please go ahead.
Ashok Ajmera : Welcome to you to Union Bank. Madam, I have to personally come to welcome yo

u. And I am
sure that under your leadership, the Bank will do further reach , further glorious height . Having said that, ma'am, yes, on profitability front, the Bank has done well in this quarter too, but Quarter 1, I am interested too mean yes. But if you look at the , one is there on the growth of the business , YoY is okay, but if you look at this quarter, I think we have gone down drastically , the business -like depos its have gone down substantially by 3.84% , and our domestic advantage have increased only 1.52%.
So, going forward, what are your views in my first question about your credit growth because the CD ratio went up only because the deposits have come down . So, how much room do you have for the credit growth and what are your plans , because I know you from Canara Bank also, which has recently declared a very good result , your dynamism on this fr ont. So, what are your

plans for the Bank credit growth in the coming two , three quarters ,ma'am , this is my first question.
A. Manimekhalai : Credit growth, yes, we have done , in the large corporate, we have done a growth of about 13.5% . We have shown good growth in our RAM sector also , at around 12.95%. And going forw ard we are looking at for the year end about 12 % to 13% would be our growth in the overall credit portion .And -- bring the ratio of RAM to 56%. And large corporate will be around 44%.
And there is lot of , we are getting lots of queries and lots of credit growth we are seeing under the HAM, we are seeing growth in the CRE. We are seeing under pharma .We are seeing other chemicals. We are seeing growth in many of these numbers. Of course with regard to RAM sector Retail, we have taken a lot of broader structural initiatives .We have opened about 215 Retail loan points to push Retail, all our 8700 branches, w ill be talking to these 250 Retail loan, so that we can increase our retail advances also .
Same, we are al so doing in the MSME loan points, we are likely to open some more centers .We are presently having 125 MSME loan points, about 150 MSME focused branches. So, these branches together will increase my RAM numbers.Of course, we are also looking at MC Bs, openin g more M CBs, giving more traction to our large corporate branches. And we will see the numbers that we are talking about .
Ashok Ajmera : My second question, ma'am is on the movement of the non -performing assets , the NPAs . What we see is that we were expecting a larger recovery, maybe some from NCLT accounts and also the Gross NPA was expected to go down because of NAR CL transfers. But I think that did not happen in this quarter.
My question is on the write off that we have done a tremendous amount of I think Rs. 6,648 crores of write off , which is , I mean little higher than usual figure. So, what kind of write off these are , can recovery people can ex tend on that , and going forward , what are the scope for the recovery in t he coming two, three quarters?
Ashok Chandra (CGM SAMV) ): First point is the recovery through the NCLT and NARCL yes, that is also a concern for us. But going forward, I think another three months' time , we will see some good number of accounts shifting to NARCL.
And second and third quarter we are expecting some NCLT resolutions also should come. I think , I had s hared one number last time also. See there are 44 NPA , NCLT accounts which are already approved by NCLT and where our expo sure is Rs. 4,842 cro re. and there are 55 accounts where the COC has already been filed in NCLT , we are waiting for the approval to come from NCL T, and that amount is Rs. 5,168 crore. So, almost around Rs. 10,000 crore which we should expect in this financial year , definitely it should come realiz ation should come . and the NARCL also, another three four months, we are expecting some good number of accounts likely to be shifted. So, this is

about NCLT and NARCL.

Your second question was the Gross NPA and the recovery . I think this is one -- this time we have not got any resolutions from the NCLT . From NCLT resolution what we have got is only Rs. 122 Crore. Remaining all the recovery which has happened through our traditional mode of recovery , through the sale of properties , OTS and there are certain , DRT resolutions which we have got now . Other than that, we are not seeing any major resolutions coming from the NCLT route now. So, this is the present thing , going forward –
Write off is, you asked about the composition in that , composition is around Rs. 4,000 to Rs. 4500 crores is the corporate book , and Rs. 1,400 crores is the MSME and Rs. 200 crores is the Retail , This is the total write off which we have done in this particular quarter.
Ashok Ajmera : My one question is on the Treasury which is a great concern for every Bank . Now, with the interest rates hardening up , our Treasury income has gone down from Rs. 1,186 crores in the March quarter to Rs. 220 crores. And now the re are chances it may go down in the , towards the losses. So, what about the Treasury , can we get a outlook of the Treasury performance and the income that how much how , you know we got a huge investment in the Treasury , how much has converted into the interest and this profit has gone down. So, what the future is saying about the overall , our AFS book is also competitively almost about Rs. 80,000 crore to Rs. 85,000 crores . So, where do we stand now, in the coming quarter ?
Balasubhramanian (CGM)
Treasury : As you rightly told the income by sale of securities has come down , and to avoid -- the MTM losses also we have maintained very well , our portfolio we have anticipated the withdrawal of the Easy Monetary Policy and we have rebalanced the AFS portfolio and during this particular quarter, our MTM losses are very meag er .That is how in anticipation of the entire scenario , changing s cenario we have already rebalanced our A FS portfolio.
Second one is that to make up whatever shortfall as far as the sale of securit y is concern ed, we are working on the exchange income , that is how last time during last quarter it was Rs. 108 crores. Now this quarter we have made around Rs. 199 crores . As also the interest income has increased from Rs. 5,100 crores odd to Rs. 5,954 crores.
And one more thing is that we have rebalanced our entire portfolio even with the 2 5 to 30 basis points , further hardening around 25 basis points also, we have maintained the portfolio without any further MTM loss . and the same way we are focusing mainly on the serving of the investment portfolio. And the duration was 1.44 % as on June '21 was concerned , and March '22 it was 1.20%, and we have reduced it to 0. 89%. That is how we are churning the things and then avoiding the MT M losses and increasing the interest income. T hat's how we are going to make up the whatever shortfall to greater extent.
Moderator : Thank you, sir. We have a next question from the line of Dixit Doshi with Whitestone Financial Advisors . Please go ahead.

Dixit Doshi : My first question is regarding the Future Retails , have you completely provided or still some provisions is left ?
A. Manimekhalai : We have completely provided for Future Retail s.
Dixit Doshi : And in these provisions , there are some provisions of non -performing investments also. So, are we, do we still have some investments which are non -performing from any other corporate?
A. Manimekhalai : All, 100% which is on all NPA.
Dixit Doshi : My next question is regarding the credit cost; we are still above 2%. So, how are we looking at it going forw ard? Any target for FY23?
A. Manimekhalai : We are , we will be maintaining at less than 2% that is the guid

ance that we have given to
ourselves.
Dixit Doshi : And my last question is, so, our capital adequacy has improved and now we are making a decent profit , and also we are targeting just 12 % to 13% of loan growth. So, are we looking for any equity , capital raise during the year ?
A. Manimekhalai : We have got Board approval for raising capital , to the extent of Rs. 8,100 crores , including AT-1 bonds and QIP. Rs. 3,800 is the equity portion and if market improve s, we will be looking to come to the market with the QIP, maybe in the third quarter or the fourth quarter.
Dixit Doshi : But do we really need the equity capital raise at such valuations?
A. Manime khalai : No, we do not want the equity capital, but we would like to bring down the government stake to at least 75 % and that is why we would like to do the QIP .
Moderator : Thank you. We have next question from the line of M ahrukh Adajania with Edelweiss. Please go ahead.

Mahrukh Adajania : My first question is on Employee Expenses ;Employee Expenses have risen quarter -on-quarter. Now, if rates rise, there should be some benefit on the Employee Benefit portion , right . So, why have our Employee Expenses r isen quarter -on-quarter?
Prafulla Samal (CFO) : See the employee cost increase d basically on account of two counts, the 1st Quarter , we have had some performance link incentives that has come , so that is unique for the 1st Quarter , which will not com e in the 2nd Quarter, or 3rd Quarter . Regarding the Employee Benefit, under AS15 that is Pension and Gratuity, the 1st Quarter, 2nd Quarter normally, we provide on an estimated basis, we don't take a valuation . If you see in the last quarter, Q4 of the last year, we a re taking the valuation and because of the rate hike, we didn't have any additional liability on account of Pension and Gratuity , therefore the cost was lesser, impact was negative. But this quarter we have conservatively provided on estimated basis, going forward we will take valuation. So, after

valuation, we will take the net adjustments. So, that's the reason why there is a n increase in the employee cost during this 1st Quarter, which will be leveled out when we move forward in the next quarter.
Mahrukh Adajania : And what explains the improvement in margins? It's largely that you would, some of the wholesale deposits would have been repaid or how does it, what are the reasons that contribute it?
Prafulla Samal (CFO) : If you see, Madam, our CD ratio has gone up from 69% to 73%, which means that we have deployed resources more efficiently , which earlier we used to have surplus resources put in the reverse repo or something. But now they are fully deployed in the advances and all So, that is the reason why the rate is better and the NIM is better.
Mahrukh Adajania : And your repo reset is not after three months, right , it is in the month of the rate balancing or rate hike, correct means f or an existing repo rate loan, how much time does it take to catch up to the new rate?
B.S.Venkatesha (CRO): Yes, it is immediately the coming month , because every 11th is our reset rate. So, if based on the policy res erves and the 11th of every month we reset it. So, accordingly it gets passed on immediately. We don't wait for two months, three months like that.
Moderator : Thank you . We have next question from the line of Ashlesh Sonje with Kotak Securities . Please go ahead.
Ashlesh Sonje: First question is on the SMA book that books seems to have gone down sharply in the June quarter . So, can you just shed some light on that?
S.K.Mohapatra
CGM(CMCC) : Yes, See the SMA actually particularly the larger corporate borrowers, we have reduced drastically . SMA accounts which were in stress, they have paid their installment one in advance and the accounts have come out of stress , that is a major reason why th

e stress book has come down.
Ashlesh Sonje: And any sense about the SMA book all loan, not just the 5 crores and above?
A. Manimekhalai : Above Rs. 5 crores it is around Rs. 3853 crores that is the outstanding, and which is about 0.53% to the g ross advances .
Ashlesh Sonje: Second question is on the restructured book, can you give the total restructured loans of the bank, including OTR1, OTR2 and MSME?
S.K.M ohapatra

CGM(CMCC) : Total restructured book is Rs. 31, 396 crores, out of which -- COVID restructure d one and two is Rs. 21,240 cores .
Moderator: Thank you . We have next question from the line of Ashak Ahamad with Square Financial Services . Please go ahead.
Ashak Ahamad : Just a small questions I have from the HR perspective, like as you said, Madam in the last to last question that we have increased the touch point for the MSME sector, but from the Human Resources point of view, how well prepared are these branches , becaus e by character, MSME customer have become of f lately very impatient , like tomorrow they are with one bank, say after five months, they are going to be with some other banks. So, how we are going to deal with segment , because the new credit formation is not happening in this segment what is happening exactly on the ground is like people are shifting from X to Y , Y to Z just for interest rate arbitrage or processing like that. So, just wanted to have your view on this .
Rajneesh Karnatak (ED) : On the MSME side, the shifting of accounts is happening and no new credit a ccretion is happening , fresh credit accretion is happening. But we are handling it very nicely over here . So, we have a vertical which takes care of the entire MSME piece in the bank. And there are

specialized focus ed branches on MSME we have Saral which are the central points for
processing of the proposals. So, we have a skillset over here at the people side, people who have
jobs, family , credit, they have been identified, they have been posted in the MSME vertical
down , right up to the branch level, who are taking care not only of the marketing of the MSME
proposals, but also of the credit underwriting and post sanction also the monitoring and the
collection fees in the MSME.
So, the entire gamut o f MSME is being taken care of. And we have identified people with job,
family , credit, and the staff who are posted in the MSME sector. And though there is not much
accretion is there but however our book is growing comfortably and our set is also in the MSME
sector is under control.
Moderator: Thank you. We have a next question from the line of Rishikesh from Robo Capital. Please go
ahead.
Rishikesh: Just one c larification on taxes. What amount of hit are we going to take in FY23?
Prafulla Samal (CFO) : It will be roughly around Rs. 2000 crores but we have taken Rs.522 crores DTA, whole year it
will be around Rs. 2000 crores.
Rishikesh: So, earlier we were, if I am not wrong, we were going to take almost around Rs. 4000 to Rs.
5000 crores of it, s o is it li ke we are going to divide it in two years?
Prafulla Samal (CFO) : No, it is not like that, a ctually DTA depends upon various other factors like how much NP A
provisioning, how much write ups we are going to do in a year . So, based on that only actually
how much timing differ and gets reversed. So, it doesn't work that proportionately . So, based on

kind of Rs. 18,000 crores or Rs. 13,000 crores of provision which we have estimated for the
current year based on that this is the estimate around Rs. 2000 cro res of DT A reversal may
happen .
Rishikesh: So, when can we expect the normalize d tax rate?
Prafulla Samal (CFO) : See current year, we are sealed , we have some brought forward losses from the earlier year that
is going to be set off in the current year. So, we are

not expecting any substantial tax liability
again , we continue to pay tax on the minimum alternative tax es, although we are processing that
the MAT is not applicable to the Public Sector Bank. So, that dispute is going on where we are
waiting for matter to be final decision to be taken in that -by the IT Appellate - Tribunal . So,
based on that we will take a decision, only this year we may not go for the low tax regime but
depending upon how our decision comes in our favor w e will take decision at a ppropriate time .
Moderator: Thank you. We have next question from the line of J ay from B&K Securities. P lease go ahead.
Jay: On your treasury, if you can highlight what is your PV01 . And where have you done the MTM?
Sudarshan Bhatt (GM) : Our PV01 is 4.5 an d MTM operation is 0.89 . We have strategically made our AFS portfolio at
a lower duration to mitigate the MTM losses in the coming days . We are expecting that interest
rate will harden that is why we have modified our portfolio in the 1st Quarter of the la st financial
year itself so that we will be able to face this MTM challenges. So, we have already provided
the MTM and coming days we are comfortable with the present duration portfolio . And our ASF
portfolio though it is Rs. 89,000 to Rs. 90,000 crores bu t it is consisting of lower duration
treasury bills and other bonds . We will be able to exit and replenish with the higher yield coup on
so that we will be able to generate additional interest income from this portfolio .
Jay: So, Rs. 4.5 crore right that is the right understanding.
Sudarshan Bhatt (GM) : Yes.
Jay: And in this quarter you had Rs. 270 crores t reasury gains . If you can bifurcate what was the
MTM hi t and how much was the gross treasury gain on sale of investment ?
Sudarshan Bhatt (GM) : See total shifting loss is around Rs. 9 7 crores is that other than that whatever i s there that is
trading income from the security sale.
Jay: So, there was no MTM apart from this Rs. 97 crores.
Sudarshan Bhatt (GM) : MTM was very minimal which has been offset by the credit from the MTM provision provided
in the last quarter. So, that is why no hit on the MTM on account of additional MTM in the
current quarter .

Jay: Some question to CFO sir. Was there any one-off interest i ncome either last quarter or this
quarter? Maybe a chunky interest recovery or a chunky interest reversal last quarter because if
you look at on quarter -on-quarter basis interest on advances has gone up very high from Rs.
11,000 crores to Rs. 12,000 crores .
Prafulla Samal (CFO) : No there is no such one off. Basically, is it, because of the better deployment of the resources
number one . Number two, we ha d changed the accounting policy last year as you know that the

appropriation of the recovery part moved to wards the i nterest then towards the principal . The 1st
Quarter also we have got around Rs. 600 crores of interest recovery from the NPA account that
also added to the interest income .
Jay: Secondly on your SM A-2 book, so, last quarter, it was just nine basis points, which would be, a
very small amount of maybe what Rs. 600 to Rs. 700 crores . This quarter you have Rs. 1000 to
Rs. 1200 crores slippage from corporate and around Rs. 900 plus slippages from MSME . So,
your SMA -2 number is not at all reflective of stress even for more than Rs. 5 crore s corporate ,
is that a right understanding ?
S.K.Mohapatra (CGM) : No. More than Rs. 5 crore s, if you see the total book, SMA -2 is Rs. 1,044 crore s as of this 30th
June. But slippage is something different. Slippage is not exactly what is SMA -2 that will slip.
Some other accounts also, if the 90 days credit is not coming that will also slip, okay. So, slippage
in the last quarter corporate book was R s. 1,100 crore s.
Jai Mundra : Sir, I'm saying last quarter SMA -2 was 9 basis point, which, in absolute terms

would be around
Rs. 700 crore s, Rs. 800 crore s. This quarter you have Rs. 2,000 crore s plus slippages from
MSME plus large corporate. Sir, your SMA -2 number is not at all indicative of potential
slippages. That is my question, sir.
Ashok Chandra (CGM) : I am Ashok Chandra, CGM, SAM vertical here. In fact, I can just to add here, the slippages
which you are seeing is that of Rs. 4,200 crores , in that th e Rs. 600 crore s has been added, which
was already NPA. So, NPA to NPA, there has been some devolvement of bank guarantee. So,
that Rs. 600 crore s from the corporate book it is coming here. So, that is the reason you are
seeing that SMA -2 was less that tim e and your slippages are a little bit higher here. So, that is
one of the reasons. Out of Rs. 1,100 crore s, Rs. 600 crore s is that component.
Jai Mundra : And then last 2 questions. Is Rs. 31,000 crore of total restructuring which is COVID plus COVID
2 plus MSME plus your earlier CDR , 525, etc. this number is right, right, Rs. 31,000 crore s, this
is standard thing?
A. Manimekhalai: Yes.
Jai Mundra : This is all standard, right, as of now.
S.K.Mohapatra (CGM): No. This is including NPA. So, total book is Rs. 3 1,396. Out of that Rs. 8,692 is NPA. And total
standard book is currently Rs. 22,703 crore s.

Jai Mundra : And last question, sir, if you have the loan book break up by bench markup, that how much is
MCLR and how much is repo rate link and base rate or any o ther bifurcation that you have.
A. Manimekhalai : Almost 30% is EBLR.
Management : Around 33% is EBLR.
A. Manimekhalai : And remaining is MCLR and TEBLR.
Management : 52% is MCLR, rest is in base rate and other channel.
Moderator : We have next question from the line of Ashok Ajmera with A jcon Global Services. Please go
ahead.
Ashok Ajmera : I got some small data points and some clarification so as to arrive at the right number. As for the
notes to the account, fraud account is Rs. 1, 223 is carried forward for the subsequent quarter.
Again, I know that how much have been provided on product count during this quarter and this
remaining amount will be within next 2 quarters or 3 quarters or remaining is for 4 quarters.
Prafulla Samal (CFO): Ajmera ji, let me answer this question. First thing, how much is fraud account provided during
this quarter, it will be like in March, we have unamortized fraud of around Rs. 120 crore, that
has been provided fully. And during the current quarter whate ver fraud we have declared since
we have already made adequate provisions there, we are not required to make additional
provision. It was the bank's policy; fraud provision can be carried forward for the next 4 quarters.
Okay. So, coming to the Rs. 1,223 c rore of fraud is basically major amount happened because
of the 2 large corporate accounts. One is Rs. 700 crore odd and another is Rs. 400 crore odd.
So, these 2 accounts, we have already made adequate level of provisioning and rest of the
provisions wil l be made during the current year. And majority of the provisions are already
factored in our ageing provisions when we are assuming the ageing provisions, if it comes, that
Rs. 700 crore account which I have told, that need not be carried forward till Mar ch because
ageing provision itself in December itself, it will be fully provided. So, we hope that this Rs.
1,223 crore provision which is naturally provided will be provided by December. So, it's already
factored in our ageing provisions.
Ashok Ajmera : My second question, sir, on I BC, we’ve provided 100% on Rs. 11,921 crore that is as per the
RBI circular note number 14. What are the chances of recovery out of this, Rs . 11,921 crore as
calculated internally by the bank, sir?
Ashok Chandra (CGM) : This financial year, we are looking for only 2 accounts visibility is there, and mostly in the form
of cash recovery it will be very less be

cause there is 1 resolution, bigger resolution but not in the
form of cash, it is all the deferred some payments are ther e and some land parcels are there in
that. So, around Rs. 1,000 crore recovery we are expecting from the RBI list one.
Ashok Ajmera : Sir, this last question on this SR of Rs. 2,178 crore s, is it fully provided for?



A. Manimekhalai : Sir, 70% is fully provid ed as per the guidelines of the RBI
Ashok Ajmera : But generally, most of the peer banks, if you look at it, in fact, they've provided all 100%
irrespective of the duration. But anyway, a data point I just wanted to have. One on the tax front,
we said that the amount brought forward losses under the income tax are high. So, we have not
yet opted for lower tax regime under the income tax provision which has been given. It is actually
I think note no. 18 or so, how much is the amount of those carry forward los ses? And as per the
new regime, even if you opt for the new regime, main carry forward losses can be allowed to be
set up. So, what kind of carry forward losses these are and how much amount of those losses are
still there to be set off against any future profits?
Prafulla Samal (CFO) : Ajmera ji, totally around Rs. 12,000 crore s of carry forward losses were there post amalgamation
which we have partially setup during the last 2 years and around Rs. 3,000 crore which is left
over to be set off during the current year. So, setting up that, we are not expecting any major tax
that we are going to pay. In fact, we will be paying tax on the MAT, minimum alternate tax
which is much lower than that minimum alternative tax of 13%. So, that's the reason . So, of
course next year onwards, we will be going to pay the tax in full rate, because there will not be
any brought forward losses. So, we'll take a decision at that point of time. So, this year it is not
required.
Moderator : We have next question from the line of Rakesh Kumar with Systematix Shares. Please go ahead.
Prafulla Samal (CFO) : So, just a couple of questions. Firstly, what is the amount of SLR that we have in HTM book
now?
Sudarshan Bhatt (GM) : Rs. 1.90 lakh crore.
Rakesh Kumar : Sorry, sir. Couldn’t hear you, sir.
A. Manimekhalai : Rs. 1.90 lakh crore.
Rakesh Kumar : No, in interest terms?
Sudarshan Bhatt (GM) : 25.7%.
Rakesh Kumar : And there was some discussion happening that the limit can be increased. So, is there such
discussion happening wi th at the IBA level or the RBI?
Sudarshan Bhatt (GM) : Yes, that is in respect of increasing the relaxation for holding in the HTM portfolio. Present limit
was 22%, it has been relaxed up to 23% till 31st March 2023. Further, there is some delegation
going on to increase the limit to 24%, that is yet to be announced.
Rakesh Kumar : And secondly, so, there was some discussion also happening around amalgamation of the smaller
PSU banks which were still like Indian Overseas Bank and other smaller banks, regional PSU



bank. So, what is the discussion that is happening at the industry level, if you can give some
understanding on that front?
A. Manimekhalai : Actually, no discussions on this is happening at our end at least. Maybe at the DFS level, it must
be happenin g, but we are not aware of any such discussions.
Moderator : We have next question from the line of Suraj Das with B&K Securities. Please go ahead.
Suraj Das : Most of the questions have been answered. I have just only one question. So, you reported SMA
book for the bank is Rs. 3,853 crore. If you can just let us know what is the total SMA book,
which is inclusive of less than INR 5 crore now?
S.K.Mohapatra (CGM) : Yes. Our total SMA book is Rs. 33,168 crore. Out of that, more than INR 5 c rore, we have
reported Rs. 3,852 crore.
Suraj Das : Can you repeat the number once again, sorry, I lost you.

S.K. Mohapatra (CGM) : Total SMA book is Rs. 33,168 crore.
Suraj Das : Okay. And what will be portion of f SMA -2 here, SMA -2, 1 and 0?
S.K. Mohapatra (CGM) : SMA -2 is INR 10,192 crore.
Suraj Das : Okay. And rest SMA -0 and 1.
S.K. Mohapatra (CGM): SMA 0 is Rs. 17,360 crore and SMA -1 is Rs. 5,616 crore.
Suraj Das : And one more question on the capital side. So, does your number of CET1 of 10.68%, does it
include the 1Q-FY23 PAT that as well?
A. Manimekhalai : CET1. Composition of CET1.
Suraj Das : Sir, I’m asking that the number that you have reported for CET1 which is Rs. 58,887 crore, does
this number include 1Q-FY23 PAT
Management : Again , voice is not so clear, especially at the right point your voice is breaking.
Management : So, we can hear 58,887.

Prafulla Samal (CFO) : Suraj, what is that component you are asking, I am not able to understand.
Management : I think offline we can talk.
Suraj Das : We will take it offline.



A. Manimekhalai : You can connect to us off -line, and we will discuss this because we are not able to hear you properly.
Prafulla Samal (CFO) : Yes, I'll answer this question. He's asking about w hether we're including quarterly profit. No, we are not including the quarterly profit in that.
Moderator : We have next question from the line of Mahrukh Adajania with Edelweiss. Please go ahead.
Mahrukh Adajania : Sir, what was the slippage from ECLGS?
A. Manimekhalai : ECLGS slippages.
Management : Here, right now we don't have.
A. Manimekhalai : We will send you the figures. We don't have the figures right now.
Moderator : We have next question from the line of Pranav Tendolkar with Rare Enterprises. Plea se go ahead.
Pranav Tendolkar : Sir, out of the total standard restructured book that you indicated around, I think, Rs. 31,396 crore, right, out of that, you said Rs. 22,703 standard, right?
S.K.M ohapatra (CGM) : Yes.
Pranav Tendolkar : And rest of it has alr eady slipped to NPA .
S.K.M ohapatra (CGM): Yes.
Pranav Tendolkar : So, in this quarter, how much of that has slipped in to NPA ? Out of the total 21,240 crores slippages, how much of total has come from restructure?
S.K.M ohapatra (CGM) : Restructure is INR 1,200 crore.
Pranav Tendolkar : Yes. So, sir, this 31,396 restructured book that you said, it includes all the covenant prior to COVID, SME, MSME restructur ing everything, right? There's nothing more than this?
Prafulla Samal (CFO) : It is total. Total restructured book, including 1 and 2.
Pranav Tendolkar : Sir, out of total of your loan book, various variable based linked book will be 87%? Or is it more or less? So, including EBLR, like what? Total of the advances, how much percent of advances are linked to the floating rate ?
Prafulla Samal (CFO) : 90% is floating rate.



Pranav Tendolkar : 90%, right. So, also, I missed, if you already mentioned, what is the outlook on NIM going forward?
A. Manimekhalai : We will be at 3.10.
Pranav Tendolkar : Right. And advances growth also similar to this quarter or will it pick up?
A. Manimekhalai : Advances book will be around 12% to 13%.
Pranav Tendolkar : Sir, last question from my side. Sir, slippage, and recovery guidance for the whole year, along with the credit cost guidance. I mean if you can give.
A. Manimekhalai : The recovery will be around Rs. 15,000 crores. And we are looking at slippages as to the extent of Rs. 13,000 c rore.
Pranav Tendolkar : And credit cost for the year?
A. Manimekhalai : Credit cost will be less than 1.7%.
Moderator : Ladies and gentlemen, that was the last question. I would now like to hand the conference back over to the management for closing comments . Over to you.
A. Manimekhalai : Thank you, all of you, for joining us in this telecall and thanks for the questions. We would

like to tell you is that the bank is well poised for growth and profitability with all round capabilities built during the last fe w years. The economy is also returning to the growth path. The bank will be taking the benefit of all the drivers for new opportunities.
We have also done a lot of activities and a lot of new steps in the technology field also. The bank has recently launch ed the Metaverse and has also launched the incubation center at our Hyderabad Center. We have taken a lot of steps with regard to STP journeys in MSME and agriculture.
And I'm sure with the guidance, I conclude that we are grateful to the analysts and the investor fraternity for their continued support and feedback and which will help us to take informed decisions in our journey. Thank you, and thanks a lot all of you.
Moderator : Thank you very much. Ladies and gentlemen, on behalf of Union Bank of India, t hat concludes this conference. Thank you for joining with us, and you may now disconnect your lines.

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# Call: Oct 2022

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Union Bank of India, Investor Services Division , Union Bank Bhavan ,239,VidhanBhavan Marg, Nariman Point, Mumbai - 400021.
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■■■■■ Ref.:■■.■■.■■.ISD/269/2022 -23 ■■■■■■ Date : 28.10.2022

■■■■■■ Madam/■■■■■ Sir,

Subject: Transcript of Post Earnings Call

This is to inform that transcript of Post Earnings call held on October 20 ,2022 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter and Half Year ended on September 30, 2022 is submitted herewith as a PDF searchable attachment .

The same is also being made available in the Bank's website under the following web link :

https://www.unionbankofindia.co .in/english/financial -result.aspx

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A , 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

Encl.: As above
BSE Ltd.
Corporate Relationships Dept .
PhirozeJeejeebhoy Towers,
Dalal Street,
Mumbai -400 001.
BSE Listing Centre
Scrip Code -532477 National Stock Exchange of India Ltd.
Listing Dept.
Exchange Plaza, Plot No.C/1, G Block
Bandra -Kurla Complex, Bandra (E),
Mumbai -400 051.
NSE Digital Exchange
Scrip Symbol -UNIONBANK -EQ
Security – UBI-AT/BB



"Union Bank Q2 FY-23 Earnings Conference Call"

October 20, 2022

MANAGEMENT : MS A. MANIMEKHALAI – MD& CEO , UNION BANK OF INDIA
SHRI PRAFUL LA KUMAR SAMAL – CFO, UNION BANK OF INDIA
SHRI ASHOK CHANDRA – UNION BANK OF INDIA
MR MEDA VENKATA BALASUBRAMANYAM – CHIEF GENERAL MANAGER (TREASURY &IB), UNION BANK OF INDIA
SHRI NITESH RANJAN – EXECUTIVE DIRECTOR , UNION BANK OF INDIA
SHRI RAJNEESH KARNATAK – EXECUTIVE DIRECTOR , UNION BANK OF INDIA
SHRI NIDHU SAXENA – EXECUTIVE DIRECTOR , UNION BANK OF INDIA
MRS RANJITA SURESH – ASSISTANT GENERAL MANAGER , INVESTOR RELATIONS , UNION BANK OF INDIA

CONFERENCE CALL SERVICE PROVIDER :



Moderator : Ladies and gentlemen good day and welcome to the Union Bank of India Earnings Conference Call for the period ended September 30th, 2022. hosted by Limited. The Bank is represented by the Managing Director and CEO – Ms A.Manim ekhalai,Executive Directors – Shri. Nitesh Ranjan, Shri Rajn eesh Ka rnatak, Shri Nid hu Sa xena and other members of the top management.
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing „*■then „0■ on your touchtone phone.
Please note that this conference is being recorded. Now hand the conference over to M rs Ranjita Suresh – Assistant General Manager , Investor Relations. Thank you and over to you madam .
Ranjita Suresh : Good afternoon, ladies and gentlemen. I am Ra njita Suresh, H ead of Investor Relations welcome you all for the Union Bank of India earning con-call for the period ended Se ptember 30th, 2022. The structure of the con-call shall include a brief opening statement by MD and CEO and then the flo or will be open for interaction.
Before getting into the con-call, I'll read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investor interaction may be forward looking statements based on the current expectations. These statements involve a number of risks , uncertainties and other factors that cause the actual results to differ from the statements. Investors are therefore requested to check the information independently before making any investments or other decisions. With this I now request our MD and CEO for her opening remarks. Thank you. Over to you ma'am.
A. Manimekhalai: Good afternoon to all of you. At the outset let me wish you all a Happy Diwali. Today we have come out with our results and coming to the Union Bank 's business and financials for the quarter ended September 30 for FY2023 .The Bank has continued to post strong financials as a total business has grown by 17.33% YoY . The total advances registered a growth of 21.92%.Within that the RAM sector has grown by 14.45% and domestic advances standing at 54. 57% as against the corporate credit o f 46% .
The total deposit has grown by 14.14% by YoY led by a CASA deposit growth of 9.42% YoY . The C ASA ratio is standing at 35.63% as at September 30 , 2022. The net interest income gr ew by 21.61% of YoY . The N II stood at Rs. 8,305 crores and the global NIM is 3.15% for the quarter ended F Y2023 . The operating profit of the Bank has improved by 8.29% YoY toRs. 6,577 crores and the net profit is at Rs. 1,848 crores registering a growth of 21. 07%.

The asset quality of the Bank has improved. The gross NPA ratio stands at 8.45% and the net NPA stands at 2.64% which is 197 basis points over September 2021 .
The CRAR has improved from 13.64% to 14 .5% and the return on assets is also at 0.61%.

As you are aware the Bank has bought many structural ch anges in the existing setup by way of introduction of various STP journey in Agriculture, MSME and retail segments. We've also introduced specialized branches , corporate relations cell and various other initiatives have been taken by the Bank to increase the business and to increase the footsteps of the Bank .

With this we have also , if you remember that we have given guidance for the financial year 2023 and let me reiterate the guidance. The deposit growth was to the extent of about 10% for FY23 advances growth in the range of 10% to 12%, CASA ratio in the range of 37% , NIM to be around 3% , credit cost at 1.7% ,delinquen cy ratio at less than 2% and gross NPA less than 9% and NNPA at less than 3%.

These

are my opening remarks and we are now open for Q &A session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ashok Ajmera from A jcon Global Services.

Ashok Ajmera: I got a couple of observations , questions and so me clarification. My first clarification I would like to have , it is on the taxation front which Mr. Samal if you can elaborate . This total note, note #14, that reverse DTA of Rs. 1,436 crores and then revers al of the provision of taxation of earlier years of Rs. 607 crore s. So, in nutshell, during this quarter how much amount is impacted in the provision for taxation and in other provisions? Can you please get this clarification ma■am ? What I want to know basic ally that in provision for tax is only Rs.652 crores which is around 22 %-23% or 25% of the profit of this quarter . So, how much of this reversal of DTA and reversal of provision of taxation , these figures have gone into the other provisions.

Praful la Kumar Samal: As you have rightly said and also disclosed in our note s on account, Rs. 1,436 crores is a deferred tax reversal which is hit to the profit and loss accounts and there is another , we have disclosed that there is a provision reversal of Rs. 607 crores which is a provision reversal on account of certain court decision s that has come in Bank ■s favor because we normally provide our taxation in a conservative basis and pay advance tax but sometime we get the (Inaudible) provision released . So, that is the principle basically because we have to pay on a conservative basis so that we don■t have to pay the interest (Inaudible) so on that account we got Rs. 607 crores reversal, so the difference between two is basically the net into the (Inaudible) and the Bank for the current year also because of our higher provisions as well as write -off the Bank ■s tax liability is going to be very minimum and we are continuing to pay the tax under MAT, minimum alternative tax. So, under the MAT provision the tax is very less so we also take the



MAT credit on th is(Inaudible) income as well as the MAT credit. So, all this put together the (Inaudible) comes into whatever we have disclosed.

Ashok Ajmera: So, as a prudent measure you have taken, the MAT provision you ha ve done but based on this final code judgement and these figures will be added in the profit of the Bank according to you, isn■t it?

Prafulla Kumar Samal: Right, MAT we are contesting . There are different decisions, something in favor of the Bank , somethin g against the Bank . So, that is there,that has gone to a larger bench of special bench of the tribunal. So, that itself will come as and when so there will not be much because we are paying MAT provision and taking MAT credit. So, much of things will not be there. Post that it will be nullified.

Ashok Ajmera: My second question is on this note #12 of the fraud account. Generally, all the Bank s are giving the full numbers that how much was the profit this quarter, how much provided for, how much total provi sion has been made. Whereas in your case it is only has been given, has been provided for. So, in this quarter how much provision for the fraud accounts have been done beyond whatever has been carried forward about Rs. 1,100 crores something?

Prafulla Kum ar Samal: What happens no when we declare any account in fraud so automatically 100% provision is made. That is a defaultbut then as per our policy and whatever RBI has permitted the Bank , Bank has a n option to carry forward the provision into four quarters and we do that whenever the fraud is there so these Rs. 1135 crores basically is carried forward.

Ashok Ajmera: In this quarter how much has been pro vided for ?

Prafulla Kumar Samal: This quarter it may not be much. I don■t have the figures right now

because it gets settled into the hedging provisions actually. So, therefore, right now I will not be able to tell you exactly how much. But then I will tell you Rs. 1,135 crores which we a re carrying forward is basically, in this there are two major accounts. One is ILFS Tamil Nadu which is basically a large account, Rs. 650 crores are there which will be fully provided in the next quarter, December quarter it will be fully settled in our h edging provision. So, it is totally going to be wiped out. Similarly , another large account is there, so going ahead , i in the next December -March quarter

it will be fully absorbed.
Ashok Ajmera: My next question is on the recovery. Onthe recovery front ab out the Rs. 10,000 crores of target , can we have a clear picture now in th ese two quarters whatever happened and now going forward in the remaining two quarters where do we stand and are we increasing this target of recovery and what is the status of the NARCL now going to ,I mean I believe that nothing has been done up to 30thSeptember 2022. But g oing forward how many accounts and how much amount is going there?



A. Manimekhalai: Ajemra ji, the guidance is Rs.15,000 cro res for recovery and as on date we have done Rs.8,900 crores we have already recovered. We are keeping the guidance to Rs.15,000 c rores.
Regarding NA RCL Ashok will explain this .
Ashok Chandra: As of now there is a visibility of three accounts which is already there in the public domain which has been EoI has been given by the NARCL a nd these three accounts we are there in these three accounts , so there are other two accounts where our exposure is not there. These three accounts our exposure is around Rs.1,000 crores and we are likely to get around Rs.444 crores .
Ashok Ajmera: Out of Rs.1,000 crores you are going to get Rs.444 crores .
Ashok Chandra: Yes.
Ashok Ajmera: No, t hat is the total this thin g or it is including the cash .
Ashok Chandra: This i s the total .
Ashok Ajmera: This is the total amount which you are going to get in.
Ashok Chandra: Correct.
Ashok Ajmera: Now coming in on this credit side growth , our pension amount as we generally see as much higher than the amount actually disbursed, especially in the corporate books. I would like to just have a little picture of that how much during the quarter we have sanctioned and how much during the quarter we have dis bursed, especially in the corporate book. Going forward what is our plan to ach ieve this growth of 12% of the advances ?
A. Manimekhalai: As on date we have got about unavailed limit of about Rs. 21,000 crores . So, sanctions to disposal is almost like 60% to 70%. Going forward we will be able to reach the target that what we have give n to the range of 10% to 12%. We will be able to achieve that kind of growth number s.
Prafulla Kumar Samal: So, as madam said, we have got some unavailed limit of Rs. 21, 000 crores. Other than that, we have got sanction limits, put together we will have around Rs. 50,000 crores of portfolio which we have. Maybe some of them are under recommendation, some of them are (Inaudible) so put together it will 50, 000 crores of pipeline we have. We have a kind of clear visibility of credit growth in the coming quarters.
Moderator : The next question is from the line of Jai Mund hra from B&K Securities.
Jai Mund hra: There was a recent RBI notification on new rating norms wherein RBI has mandated that the Bank 's name should be clearly mentioned in the rating document of the rating agency to get the



rating benefit. So, (a) just wanted to understand ma'am what is the inte nt behind the RBI , behind this circular and how are we practice , what are the normal practice as of now?
Ashok Chandra: Yes, to respond basically this is for large exposure accounts. Wh

at RBI has observed that in large exposure accounts the rating if say i f it is Rs. 7,000 crores rating it does not mention which are the Bank s for which this rating is , this Rs. 7,000 crores total rating. There may be a multiple Bank ing account which has 10 to 15 Bank s or a consortium account which is having 12Bank s. There is a short -term rating and a long -term rating. To ob viate this what RBI is now saying to the rating agencies and Bank s is, that you mentionthe name of the Bank for which the rating is ascribed for the amount which is given. This is the basic in tent of RBI.
Jai Mundhra: If you have let us say three facility and maybe multiple facility that rating has to be there for each of the facility or it would be at single Bank level ?
Ashok Chandra: What happens is normally sometimes it happens that say Union Bank has giv en a term loan of Rs. 500 crores and a cash credit of Rs. 200 crores, right. So, Rs. 700 crores exposure is there in our account and now we sanction another Rs. 400 crores of a term loan , fresh term loan. If that Rs. 400 crores term loan, additional term l oan is not reflecting in the rating now hence forth then it will be an issue. Immediately the auditors will also catch it and others will also come to know that this Rs. 400 crores which we have given fresh is not covered. So, this is the basic intent here.
Jai Mundhra: Now after this circular gets implemented from March , in this case the rating document would

have the clear detail of Union Bank in these three facilities , right? It would be facility wise or it would still be corporate level exposure ?

Rajneesh Karnatak : Yes, it should be Bank wisetotal exposure . Further clarity is yet to come. Presently what we are presuming is Bank wise say State Bank has given to X company this much , Union Bank has given this much , Bank of Baroda has given this much , this kind of thing would be there.Another clarification which we are awaiting from RBI is with respect to whether though it will be kicking off from 1st April 2023 but there are certain ratings which will get due after 15 months as per RBI guidelines. So, will that happen , after the re-rating happensor do the Reserve Bank wants it to be effective in all ratings as on 1stApril. That clarification is yet to come from RBI.

Jai Mundhra: On interest income this quarter ; there is a very strong loan growth and there is a very strong interest income growth , interest incomeon loans. I just wanted to check so it has gone up from Rs. 12,000 crore s to Rs. 13,800 crore s. Is there any one off or is there any component which has c ome from NP A recovery and has now become a part of the interest on advances?

A. Manimekhalai: I was just telling you that about Rs. 700 croreshas come from NP A recovery in this amount. In that Rs. 13,811 that you're seeing about Rs. 700 croreshas come from NPA recovery.



Jai Mundhra: Rest is all business -as-usual right , in the normal interest ?

A. Manimekhalai: Yes, absolutely.

Jai Mundhra: Ma'am in your guidance slide while we have done very well , it looks like either you have not updated the guidance or I'm not able to understand that advances growth so far is 21.9% and we are still maintaining like 10%-12% range. Do you see a very sharp deceleration in the business growth in the second half or ho w should we look at the advances growth and same as the G NPA number that you have put out?

Rajneesh Karnatak : No this is only a mathematical thing , situation which is there . The 20% growth of advance which we are seeing now is year -on-year. We are comparing it from September „21 to September „22. September „21 our advance was not elevatedactually . The growth has happened post March actually it happenedin March . The acceleration happened in December „21 then March „22, then June „22. Now it ha s been growing in the last three

quarters. March „23 guidance we are keeping at 10 to 12 because our March „22 advance was elevated so it has already started picking up. The percentage growth in March „23 we are that is why keeping at a rate of 10% to 12% only.

Jai Mundhra: Our core C ET1, Tier 1 number that you have put out , this includes the first half PAT or it does not include the first half PAT?

Prafulla Kumar Samal: No, that doesn■t include the PAT.

Jai Mundhra: I missed that.

Prafulla Kumar Samal: It doesn't include the profit. Profit, quarterly profit we don■t take.

Jai Mundhra: This is including or not includ ing?

A. Manimekhalai: It is not including Ja i.

Moderator : The next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Agga rwal: I'll take forward from this guidance side again. The first half growth is already 10%. So, when we look at by March of course there's an elevated advances number and we did see advances growth picking up last year in the second half. But over the Mar ch closing we are already up 10% and so which is where if you can indicate as to what sort of say some of these key operational numbers like margin s, asset quality and advances growth ; are we really looking for during F Y23 because we are tracking significa ntlyahead ?



Rajneesh Karnatak : As far as guidance is concerned, we are keeping the guidance at the same number. Reason being that is a lot of geopolitical and other issues which are there in the market. So, factoring that we are not changing the guidance at present .

Moderator : We will take the next question from the line of Anand Laddha from HDFC Mutual Fund.

Anand Laddha: Just wanted to understand our NII includes Rs. 700 crores of interest recovery from NPA . If I had to exclude the same then our N II is almost sla gged this quarter on a Q-o-Q basis . So, just want to understand despite the R BI repo rate hike we haven't seen any margin improvement for us. If you can give some outlook on N IM side ?

A. Manimekhalai : NIM is almost 3.15% for this quarter and we have kept the guidance to 3% . The repo whatever the 190 basis points that RBI have given us , that has been factored into in our repo linked rate 190 basis points EBLR has been already passed on to the customers and to M CLR to the extent of 65 % which has already been passed on and our yield on advances has also improved to

7.65% for this quarter and going forward we will see because this thing s came only in this quarter in the last 2 months of this quarter . Going forward we will see some increase in our interest on advances .
Anand Laddha: Ma'am, if I had to remove this Rs. 700 crore s you indicated, which is the recovery of interest on return of asset, if I had to remove that because that's one of f then our NIA gro wth has been almost like fl at QoQ.
Ashok Chandra : Yes. In fact, if you see the last quarter the factoring of the interest recovery in the NPA, last quarter also it was Rs. 600 crore s was there. So, every quarter if you see the recovery through the NPA account in the interest component, that is around Rs. 600 to 700 crores.
A. Manimekhalai: In September '21.
Ashok Chandra : So, September also you want, see, September '21 it was around Rs. 340 crores.
Anand Laddha: Okay. Same quarter last year was Rs. 640 crore s. This quarter it is Rs. 700 crore s.
Ashok Chandra : Yes. That component is constant. I think it is in the range of around Rs. 600 to 700 crores . That component will continue in the next quarter also. So, it is not one -off item. It is like your interest income on the standard assets also.
Anand Laddha: If you can give some, this quarter the slippages are quite low. If you can give some outlook for the full year slippages, how do you see that? Do you see this run rate of current quarter sustainable for us? And also if you can give some outlook on provision

cost for us?
A. Manimekhalai: See the guidance is, you know, the slippages will be to the extent of 3%. That is what we want to ke ep it. 2% is what we want to keep, and this time the slippages were to the extent of



Rs.2,913 crores. And we are hopeful that we will be able to reduce this number going forward. The slippages what we are seeing is, you know, stresses what we are seeing is only in MSME book and retail. And retail slippages are not coming up. Only in MSME book and Agri we are seeing some slippages, which we will be able to reduce further.
Anand Laddha: And despite that you wanted to keep your guidance of 3%. I think you will end up this year with the 2% slippages run rate.
A. Manimekhalai: Yes. We hope to reach that number.
Anand Laddha: Okay. But this quarter the recovery and upgrades were higher than the slippages .
A. Manimekhalai: Yes.
Anand Laddha: Do you believe th at this is sustainable for us? What sort of recovery upgrades we expect for the full year ?
A. Manimekhalai: See, we were looking at Rs. 15,000 crores of, you know , upgradation and recovery for the whole year FY ' 23and slippages to the tune of Rs. 13,000 crores . That was the guidance given . So, what we have done is for this H1 FY ' 23, we have done Rs. 8,900 crores of recovery and about Rs. 6,000 and odd crores of slippages. So, we will be able to rea ch the guidance that what we have given . My slippages will be below the recovery and upgradation, much below that.
Anand Laddha: And lastly , on the tax rate side, we are on the new tax regime o rwe are still in the old tax regime ?
A. Manimekhalai: We are in the old regime only.
Anand Laddha: By when do you believe we will move to the new tax regime ?
Prafulla Kumar Samal : Sir, we are reviewing that. Current year also our current year's liability is now going to be (Inaudible) . We are also writing a lot of loans. So, we will remove this next year. This year we are moving to that tax regime, but our tax will be very, very minimum. Next year we will remove and let you know.
Anand Laddha: And, ma'am, for us this year first half if I see the loan growth, a bulk of the loan growth has come from the corporate sector . If you can give some color , which sector have the growth come in, demand has come in?
A. Manimekhalai: Yes. The, you know, RAM also has grown to an extent about 14.95% , and this has grown by 21%. The corporate book has grown by about 21%.You know, the growth has come in the



corporate sector with regard to infrastructure. Funding has happened on NB FCs. We have seen some growth onchemical. We have seen some growth in steel and pharma and cement also.
Prafulla Kumar Samal : Textile.
A. Manim ekhalai: Textiles we have seen some growth.
Anand Laddha: Perfect. And do you believe that quarter -on-quarter from here on the growth will decelerate significantly ?
A. Manimekhalai: Yes. But our guidance says that we want to keep our corporate books at 40 , RAM at 55.

Moderator: Thank you. The next question is from the line of M . B. Mahesh from Kotak. Please go ahead .
M. B. Mahesh: I have two questions, ma'am. One is, there has been a sharp jump again in the international loan book . If you c an just kind of give us some color, what is the nature of the se exposures that you ar e taking today, and whether they have some linkages back to Indian corporate out there?
A. Manimekhalai: You are talking about the, you know, our overseas business. There has been a sharp jump in the advances in the overseas book. That is the question. Yes. That is what. Bala, my IB – Chief General Manager is replying to your question.
M. V. Balasubramanyam : Mahesh, this is basically, we didn't offset any of the like India n or like that we don't have any differentiation. Basically, these are syndicated loans, a

nd much of the new factors are from the banks basically to talk one of the prime banks we have given the majority of that. Of course, there are one or two India -based companies also ECB loans they have given during this particular half y ear.
M. B. Mahesh: Sir, these exposures that you take, how, what is the kind of duration that you typically take on these loans?
M. V. Balasubramanyam : Yes. On an average, we are taking around 3 years, not beyond 3 years. We have requests at around 5 year s also, but we are not taking that.
M. B. Mahesh: Average payout is 3 years.
M. V. Balasubramanyam : Yes. Average payout is 3 years.
M. B. Mahesh: Ma'am, second question to you. There is about Rs. 1,500crores provision on standard assets this quarter. What is that pertaining to?
Prafulla Kumar Samal : Sir, these are relating to standard asset provision mostly relating to certain large corporate accounts where there are some delay in resolution plan implementation because there are accounts in multiple bank s. These accounts th ere are exposure in multiple bank s, and as per the

RBI circular which says that when there is a default and the bank has to put in place a resolution plan. So, basically these are certain large accounts which we have done as per the RBI guidelines.
M. B. Mahesh: So, you mean to say that these are NPAs currently in your books or these could potentially become an NPA?
Prafulla Kumar Samal : No, no, there is no NPA. There is no NPA.
Ashok Chandra : But just to clarify, all these account s are either consortium account or multiple accounts, and they are getting the 7 June 2019 circular wherein there is in out of SMA in the CRILC . So, that is where the RBI observation was to make provision in these accounts, and these are all common industry accounts where other banks are also there.
M. B. Mahesh: But that number seems to be fairly large, right? Because if you are saying it's -
Ashok Chandra : No, entire part is not for those accounts. So, this entire provisioning is not for th ose accounts. There is a normal standard provisioning also .25, .4, 1% also, and some COD provisioning also where the infrastructure projects where we extend the COD. We want 2 year. We have to make 5% provision. So, all these combined together is this fig ure of Rs. 1,400 crores.
M. B. Mahesh: And my final question , wage settlement, do you start making provisions from next quarter? How, what is the thinking behind that?
A. Manimekhalai: November, no, December quarter we will start making provisions.
Moder ator: Thank you. The next question is from the line of Suraj Das from B&K Securities . Please go ahead .
Suraj Das: Most of the questions have been answered . Only couple of question . In your DTA book, what would be the total outstanding accumulated losses , if you can give us the figure?
A. Manimekhalai: DTA accumulated loss.
Prafulla Kumar Samal : As of now our accumulated before tax balance is Rs. 10,335 crores.
Suraj Das: Rs. 10,000 crore is the total DTA book. What would be the accumulated losses , total accumulated losses ?
Prafulla Kumar Samal : No, we don't create any DTA on accumulated losses. This is not an accumulated losses. Basically, the difference comes from all of the provisioning because whatever bad debt provisioning we ma de in our book, eve rything is not available for income tax. That's the reason they are differen ce come . We don■t create any DTA on losses.

Suraj Das: But you would be having some accumulated losses on your book , right, even if you don't have DTA on that , but you still have some accumulated losses on your book, right?
Prafulla Kumar Samal : That is there. But we will take very conservatively. So, it is now around Rs. 3,000 crores of accumulated losses are still there to set up against our abs

olute income on a conservative basis.
Suraj Das: Rs, 3,000 crore that is you were saying?
Prafulla Kumar Samal : Rs. 2,900 crores.
Suraj Das: Understood . And now in the ECLGS book, which is roughly around 16 billion, so what would be the GNP or delinquency here in this book on the ECLGS ?
A. Manimekhalai: 3.5% is the NPA . Our ECLGS book 3.5% is the NPA, and same amount at the stress also.
Suraj Das: And the last question from my side would be on the restructured book. So, you have given restructuring 1.0 and 2.0 figures . Is there any other restructuring number which is pertaining to previous earlier MSME scheme or CDR, SDR or anything outside these two numbers ?
A. Manimekhalai: No. RF1 and RF2 numbers we have given. This is only restructured book that we have got. And one time restructuring also under COVID, that also we have given you. There the gross advances, the percentages to gross advances is 2.6% .
Suraj Das: So, this Rs. 20,000 crore s, this is the total restructured book for the bank .
A. Manimekhalai: Yes.
Moderator: Thank you. The next question is from the line of Rishikesh Oza from RoboCapital . Please go ahead.
Rishikesh Oza: Sir, only one question from my side. Please indicate on the tax rate for H2 FY '23.
Prafulla Kumar Samal : FY '23 is normal tax rate. We are in the normal tax regime.
Moderator: The next question is from the line of Rakesh Kumar from Systematix Shares . Please go ahead.
Rakesh Kumar: Just two questions I have . Firstly, if I see the domestic investment book, you know, the yield has gone up by around 10 bps, 10, 11 bps, and in the first half or maybe from the June to September also the mo vement is just around 15 bps. We are holding the duration of around .5years on the SLR side, and the majority of the investment book w ould be SLR itself around 90% plus. So, why that, you know, we have seen in the market that , you know , yield movement is pretty sharp on the shorter end. Why our yield has gone up by just around 13, 14bps?So, what is the reason behind it?

Management : These are all short end duration Treasury bills which don't have any much impact on the yield movement. Our portfolio 60% con sists of the Treasury bills. That is why the duration is very low. So, impact on the short end curve though moved up, butTreasury bill yields have not gone up such an extent. That is why we are not having much impact on the MTM portfolio as well as on the interest rate yield curve.
Rakesh Kumar: No, sir, I was not referring to the MTM losses. That would certainly not be there if it is FRB or if it is a Treasury bill. I was referring to the yield movement in the system , and our yield movement on the domestic book is just around 10, 13 bps, though the yield movement is the system is much , much higher . So, if you see the 36 4days T bill, it has gone up by around 50 , 55 bpsin this quarter itself . So, why our yield movement is not reflecting what is happening in the system , because if the duration is so low , we would have churned the book also ?
Management : Yes. These Treasury bills are 91 days and 180 days . The majority of our 6 0% of the portfolio is Treasury bills. So, it has got matured and it has been replenished with the new 91days T bill. So, the impact will be 15 to 20 bps only.
Rakesh Kumar: Sir, the ne xt question I had on this slide #16 that has given on a corporate loan rating, so we have Double B and below of around 11%.So, out of this 11% , what would be the number of , you know, percentage of loan which are actually not rated , like some of the government SEBs and all? And what is the remaining portion?
A. Manimekhalai: This 11% of the Double B and below are mostly MSME loans, and this is all covered under the CGTMSE . So, you cannot say that, you know, there are not unrated ones.
Rakesh Kumar: These are rated, but rated Double B and be

low and are covered under the CGTMSE.
A. Manimekhalai: CGTMSE, yes.
Rakesh Kumar: All, all loans?
A. Manimekhalai: Yes. Some portion must be the personal loans also, but these are all loans that we gi ve to salaried employees or where the account is with the bank itself for quite some time. And this is through an SEP journey that we have given these personal loans. But majority almost 90% of the Double B and below are MSME loans only.
Moderator: As there are no further questions from the participants , I would no w like to hand the conference over to the management for closing comments .
A. Manimekhalai: Thank you everyone for the insightful discussions. We are grateful to the analysts and the inves tor fraternity for their continued support and feedback that helps us to take informed decisions in our journey towards efficiency and profitability . Once again, wishing you all happy Diwali . Thank you all of you.

Moderator: Thank you. Ladies and gentlemen , on behalf of Union Bank of India , that concludes this conference call. Thank you for joining us , and you may now disconnect you r lines.

# Call: Jan 2023

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■■■■■ Ref.:■■.■■.■■.ISD/370/2022 -23 ■■■■■■ Date : 27.01.2023

■■■■■■ Madam/■■■■■ Sir,

Subject: Transcript of Post Earnings Call

This is to inform that transcript of Post Earnings call held on January 20, 2023 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter and Nine Months ended on December 31 , 2022 is submitted herewith as a PDF searchable attachment .

The same is also being made available in the Bank’s website under the following web link :

https://www.unionbankofindia. co.in/english/financial -result.aspx

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A , 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

Encl.: As above
BSE Ltd.
Corporate Relationships Dept .
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400 001.
BSE Listing Centre
Scrip Code 532 477 National Stock Exchange of India Ltd.
Listing Dep artment
Exchange Plaza, Plot No.C/1, G Block
Bandra -Kurla Complex, Bandra (E),
Mumbai -400 051.
NEAPS
Scrip Symbol -UNIONBANK -EQ
Security – UBI-AT/BB



“Union Bank of India Q3 FY-23 Earnings Conference Call”

January 20, 2023

MANAGEMENT : MS. A. MANIMEKHALAI – MD & CEO
SHRI NITESH RANJAN – EXECUTIVE DIRECTOR
SHRI RAJNEESH KARNATAK – EXECUTIVE DIRECTOR
SHRI NIDHU SAXENA – EXECUTIVE DIRECTOR
SHRI RAMASUBRAMANIAN S – EXECUTIVE DIRECTOR
SHRI S K MOHAP ATRA – CHIEF GENERAL MANAGE R
SHRI M V BALASUBRAMANYAM – CHIEF GENERAL
MANAGER
SHRI PRAFULLA KUMAR SAMAL – CFO
SHRI SUDAR SHANA BHAT– GENERAL MANAGER

CONFERENCE CALL SERVICE PROVIDER:


Moderator : Ladies and gentlemen , good day and welcome to the Union Bank of India Earnings Conference Call for the period ended December 31, 2022. The Bank is represented by Managing Director and CEO – Ms. A. Manimekhalai ; Executive Directors – Shri Nitesh Ranjan, Shri Rajneesh Karnatak, Shri Nidhu Saxena , Mr. Ramasubramanian S., and other members of the Top Management.
As a reminder , all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you ne ed assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mrs . Ranjita Suresh – Assistant General Manager, Investor Relations. Thank you , and over to you , ma'am.
Ranjita Suresh: Thanks, Michelle. Good afternoon, ladies and gentlemen. I, Ranjita Suresh, Head of Investor Relations , welcome you all for the Union Bank of India Earning s Con-Call for the period ended December 31 , 2022. The structure of the con -call shall include a brief opening statement by MD and CEO , and then the floor will be open for interaction.
Before getting into the con -call, I will read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statements based on the current expectations. These statements involve a number of risks , uncertainties and other factors that cause the actual results to differ from the statements. Investors are therefore requested to check the information independently before making any investments or other decisions.
With this , I now request our MD and CE O ma'am for her opening remarks. Thank you. Over to you, ma'am.
A. Manimekhalai: Good afternoon to all of you. It is my pleasure to welcome the analysts and the investor community. You are one of the major stakeholders for the bank and we are grateful for your continued support and the feedback that helps us to take informed decision s.
Let me give you a brief on the broad macro environment before going into the performance of the bank f or the Q3 2022-23. You know, the banking sector has shown improved performance led by a broad -based economic recovery . The deposits and credits of the scheduled commercial banks have registered a YoY growth of 9.2% and 14 .9% for the fortnight ended 30th December 2022 . , the same, our bank has registered a higher growth and the deposits in advances recording a YoY growth of 13.6% and 20.1% respectively .
The bank's financial s for the quarter ended December 2022 has shown some good performance. The global business of the bank has reached Rs.18.69 trillion consisting of Rs.10.65 trillion deposits and Rs.8.04 trillion of the advances as of 31st December 2022.

The bank has also registered a growth of 17.8% YoY growth in RAM sector, retail being 1 6.6% growth, agriculture 17.6, and MS ME has registered a growth of 19.6 YoY. The NIM has improved to 3 .21 as against 3.15 in Q2 of FY '23, an increase of about 6 bps.
Operating profit of the bank has registered a growth of 29.8% YoY to Rs. 6,619 crores during Q3 FY '23. Net profit of the bank has also improved by 106.8% YoY to Rs. 2,245 crore s during Q3 FY '23. The gross NPA of the bank has reduced substantially to 7.93%, and net NPA has

also reduced by 195 bps to 2.1 4% as of 31s t December 2022 .
The PCR has improve d to 88.5% , and the CRAR of the bank has also improved by 53 bps to about 14.45%, and CET has also improved by 53 bps to about 10.71% .
I conclude my opening remarks. I once again thank all our analysts and investors fraternity. We are now open for Q&A. Thank you.
Moderator: Thank you very

much , ma'am. We will now begin the question and answer session . (Operator instructions) We have t he first question from the line of Maharukh Adajania from Nuvama Wealth Management. Please go ahead.
Maharukh Adajania: Good afternoon. So, ma'am, my first question is, if at all we can get the breakdown of pro fit on sale of investment and F orex income ? And then my second broader question is what would be the outlook for loan and deposit growth from here on, because the sense is that obviously, deposit mobilization will get more aggressive and more competitive in the fourth quarter ? The fourth quarter is generally busy season as well plus rates have already risen a lot . So, what is the out look for deposit and loan growth in near term, that is in the fourth quarter , and then in FY ' 24? And even in terms of margin , so there has been a lot of concern on whether the margins will decline or stay stable in fourth quarter and FY '24. So, what are your thoughts on margin given that deposit rates are moving up ? And any special segment of deposits that we are targeting ? So, that's the second part of my question.
A. Manimekhalai: Ma'am, let me answer your question with regard to advances and the deposit growth. We have seen, if you could see our guidance for FY ' 23, advances growth was given at 10 % to 12%, and as on date, as Q3, we have grown by 20%. Deposit growth we had given a guidance of 10%, and we are at 13 .61% . So, we would like to keep this guidance, and we will see that we keep the advances growth to minimum to 12% in the current quarter also. Both we have grown by 20% in the last quarter.
And coming to you r FOREX and Treasury, my Treasury head will give you the repl y to this.
M V Balasubramanyam : Good afternoon. As far as the bifurcation of the Treasury income is concerned, we have 4 71 crores for this quarter ending December three months. Out of th at, Rs. 168 crores is by way of profit on sale of investments , and 412.6 --
Maharukh Adajania: Sorry. How much is profit --

M V Balasubramanyam : Pardon ?
Maharukh Adajania: Sorry. How much is profit on sale?
M V Balasubramanyam : Profit on sale is Rs.168 crores. And the exchange in come is Rs. 206 crores. And we have a write back of MTM also to the tune of around Rs.67 crores.
Maharukh Adajania: Write back of?
M V Balasubramanyam : MTM.
Maharukh Adajania: Ma'am, I appreciate the guidance given, and you have al ready outdone or outperformed that guidance. So, that kudos to you and your team . But, ma'am, if you look at 12% YoY growth for Q4, then we could actually be at a level lower than Q3. So, you know, if you could revise the guidance and give us like a more say recent picture on loan growth guidance for 4Q, right, because then if the 4Q, if the guidance is maintained at 12% year -on-year, then there will hardly be any growth in the fourth quarter . That's why I am asking.
Rajnish Karnatak : Yes. So, to answer your question, see, the growth guidance has been pegged at 10 to 12% reason being that the base effect is there. So, December 21 the advances of the bank were on a lower side, so the growth has what you are seeing at around 20% . So, this is the same situation for all the scheduled commercial bank s. So, the base had increase d for all scheduled commercial banks including Union Bank of India for March ' 22, because of which the year -on-year growth will not to be the extent off , say 20% for other s. So, this is also the reason why the credit growth is around 20% in the industry, and the deposit growth is around 1 3% because the base of deposit was high in December '21 all around for scheduled commercial banks, but for the credit growth the base was muted. So, this is the reason why the guidance has been muted, but though we may outperform it, we are trying to keep the guidance at a low level , which is 10 to 12%.
Maha

rukh Adajania: Sir, so if you see the gross advances for Q4 FY '22, then they were at around Rs.7 trillion, right. So, if you take a 10% growth, then there won't be a much QoQ growth, correct?
Rajnish Karnatak : No, it's not a question of, see, we were at Rs. 7 lakh crores. So, we have already touched Rs. 8 lakh crores of credit book as on December '22. So, there will be some growth over this number definitely , but the growth we are presently saying is at around 12% only, because our base of March '23 is Rs. 7 lakh crores sorry March '22 is Rs. 7 lakh crores.
Moderator: Thank you. We have the next question from the line of Ashok Ajmera from Ajcon Global . Please go ahead.

Ashok Ajmera: Thank you for giving th is opportunity . And congratulations to ma'am and the entire team, all the
Executive Director s and Top Management for coming out with yet another set of very good
number s for the Bank whether you look at the profitability front or even the asset quality and

recovery. Having said that , I have got just a few observations and some couple of question s,
which are just maybe some information point also.
So, my first one is th at just in order to assess, you know , that what is the impact could be or in
future how much can we have, this note number 13, which say s that 100% provision s on the
fraud accounts has been made without giving actually the amount . So, just to get an idea like
how much the fraud reported in th is December quarter , and I mean, the 100% provision is made
for that. So, what was that amount , ma'am ?
Prafulla Kumar Samal: Ajmeraji, Namaste. I am Samal here. See, there is no major material fraud declared during this
quarter actually in th e December quarter. And you would have seen our unamortized some fraud
provisions were there during the September quarter Rs. 1,100 crores that have been fully
absorbed in the provisions.
Ashok Ajmera: Yes. So, that 1,100 crores because this time the amount is not given. That is why.
Prafulla Kumar Samal: Yes. That is fully absorbed. And there is no major fraud this quarter. So, there is nothing.
Ashok Ajmera: Now since, Mr. Samal, you are there on this, on Not e number 15, I would like to have some
clarity about this impact . And secondly, the number of figure for the tax, it distorts sometimes
the overall picture, like our net profit before tax is Rs.3,583 crore, which is actually the real
profit. But if you look at the net profit after tax, it is Rs.2,245 crore.
Prafulla Kumar Samal: True. True.
Ashok Ajmera: Which has been provided for here is Rs.1,338 as against Rs.652, almost 100% more . So, had the
tax provision would have been the same what was in September , our p rofit would have been Rs.
2,900 crores something . So, can you again explain that impact for the information of everyone
who is here?
Prafulla Kumar Samal: No, that is because of the DTA reversal again. So, current quarter we have, again, w e were at
Rs.1,296 crore of before tax assess . That is what. So, because we have been aggressively writing
off the loans also 16, I will tell during the nine month we have done writing of f the loans is
Rs.16,496 crores, which will have an impact on the DTA reversal. So, that's exactly it is.
Ashok Ajmera: Write -ups?
Prafulla Kumar Samal: Loan write -off, sorry, NPA write -off. TWO, technical write -off. So, loan write -off will have
impact on the DTA reversal. So, that's what . Therefore, the DTA reversal is there , Rs.1,296
crores during the current quarter .
Ashok Ajmera: So, the write -off, you know, which is also again an erratic figure, because in the last quarter, it
was Rs. 8,599 cro re. In this quarter, it is Rs.1,249 only . So, going forward , what will be the real
picture or color can you give with March ending like it is g oing to be so volatile the number ?

Because ultimately, you know, the people , overall investors and the people , they see your bottom
line. They don't actually understand because of the tax how much impact has been met where
really actually you are not paying any tax.
Prafulla Kumar Samal: No, that is true. That is true. You see last year we had a write -off of Rs.19,484 cror e. It was the
last year write -off, and current year it is in the similar line . You can say erratic, but in quarter to
quarter it may vary. But year to year you will be in the similar line. And you know, this is one
of the reasons the banks will also bring down the gross NPA because most of the loans are where
the 100% provisions has been made, and also recovery chances are less. So, the banks selectively
find out some accounts for write -off. Of course, later on we get from those accounts, we get
some recovery. That is another issue. But then the write -off is in line with last year, Ajmera sir.
Ashok Ajmera: Ma'am, this, when we are on the gross NPA side, of course, it is under control now . It has come
down substantially, but it's still the figure is still very high otherwise if you look at some of the
smaller PSB. So , one is tha t what is the position of the NARCL accounts now because December
also I think it c ouldn't actually take place? So, in the March quarter, now, finally , how much are
we going to , I mean, how much amount is going to be transferred? And how much of that we
are going to get in the March quarter?
Ramasubramanian S. : Good evening , Ajmera sir. Ramasubramanian here. Regarding NARCL, yes, it is now taking
some steps. We also identified three to four accounts for this one. I think now there will be some
sales that would be happening, sir, actually in these cases. And certainly, the gross NPA level of
the banks may come down, sir , going forward .
Ashok Ajmera: The idea of the amount now fin ally when the government has also, I mean, that modality of the

guarantee and everything is over now, and in this quarter like the January, March quarter definitely s ome actual action is going to take place . So, some idea that how much ? Okay. Number of accounts, okay . And with that also the SREI also now coming in and almost at the --

Ramasubramanian S.: Ajmera sir, let it happen really . It will come anyway. Everything will come in. But only thing is lately it comes, you know , sir. So, that is the only issue.

Ashok Ajmera: All right. I take it that w ay. What is the on the Treasury side , of course, we are doing well , and even the NPA Rs. 67 crore just now reported action profit and the profit on sale Rs. 206 crore and Rs. 168 crore, but in the segment -wise result if you see, the Treasury profit has come down to 447 crore as against Rs. 1,096 crores in the last quarter . So, what is the overall picture from various sources in the Treasury, where do we stand in this quarter, December quarter? Where we were ?

Sudarshana Bhat Ajmera ji, this is on account of provision made towards CDR, SDR cases to the extent of Rs. 400 crores, which has been added in a Treasury overall performance , which is already provided by the bank in the credit side. So, the coming quarter also, we will not face any much



NPI in this regard . This is mainly on account of CDR, SDR which are restructured accounts converted into NPI due to non -compliance of the terms and conditions.

Ashok Ajmera: So, we may go back to Rs. 1,000 crore plus in the January, June quarter.

Sudarshana Bhat Yes. During this quarter only, it is around Rs.400 crores, and we have provided SR fully to the extent of 92.7% , which has added additional provision during this quarter. So, we will not face any much in the coming quarters which is already 92.7% of the SR outstanding Rs.2,000 crores, around Rs. 1,850 crores already been provided . Another Rs.200 crores recovery w

e are expecting during the current quarter with which we will be able to complete the entire process. So, we are not facing any much ad ditional provision during th e current quarter.

Ashok Ajmera: Point well taken, sir.

Moderator: Mr. Ajmera, I am sorry to interrupt. I would request you to please rejoin the queue.

Ashok Ajmera: All right. I will come back again. Thank you.

Moderator: Thank you. We have the next question from the line of Dixit Doshi from Whitestone Financial Advisors Pvt Ltd . Please go ahead .

Dixit Doshi: Thanks for the opportunity . My first question is regarding the credit cost. So, we have now already reached 1.25% credit cost this quarter , and our net NPA is coming down to only Rs. 16,000 crore now , and with SMA -2 book is quite under control , how do you see credit cost in the FY '24, not for Q4, the next year ?

A. Manimekhalai: Sir, we will not be able to comm it ourselves to the credit cost for FY ' 24.

Dixit Doshi: But do you see at least we can maintain the current credit cost ?

A. Manimekhalai: No, we had given a guidance of 1.7 for FY '23, and we are today at 1.56. So, we will be able to reduce it to a further number below 1.56.

Dixit Doshi: And anything planned for the QIP? I mean, will it be happening this year before March or ?

A. Manimekhalai: So, we have taken an approval to raise capital to the extent of Rs. 8,100 crores from the Board. We have raised Tier-1 to the tune of Rs. 1,983 crores , and Tier-2 to the extent of 2 ,200 crores . We have also Board approval to raise Rs. 3,800 crores as QIP. So, we will come at the opportune time probably in th is quarter .

Dixit Doshi: And just last question from my side. So, as you have rightly mention ed that for the industry , the loan book growth is around 20% also because of the lower base of the last year . So, with now a higher base of this year , do you feel that we c an still grow at 10% to 12 %, 13% next year?



A. Manimekhalai: Sir, our guidance is to the extent of 10% to 12% , and we do have some good sanctions on hand , and so we will be able to maintain a t least 14% to 15% growth in our advan ces.

Moderator: Thank you. We have the next question from the line of Ashlesh Sonje from Kotak Securities . Please go ahead.

Ashlesh Sonje: Just a couple of questions from my side. Firstly, if you can tell me what is the outstanding DTA amount on the balance sheet today? Is it close to Rs. 9,000 crores .

Prafulla Kumar Samal : Yes. Correct.

Ashlesh Sonje: And secondly , can you talk about the trend on margins because this quarter we have not seen much of an improvement th ere? Any particular things you would like to call out? Anyone offs over there?

Prafulla Kumar Samal : Margin means NIM you want to know?

Ashlesh Sonje: NIM, yes.

Prafulla Kumar Samal : Yes. We have given guidance of NIM of 3%, we are well above that for the 9 month a NIM stood at 3.11 quarter -to-quarter there is improvement, the second quarter it was 3.15 and third quarter it was 3.21. We are ex pecting the same to be on the similar line year end we will be able to maintain that minimum NIM margin of 3% .
Ashlesh Sonje : Was there any interest income from recoveries in this quarter we had about Rs.700 crore last quarter?
A. Manimekhalai: Can you please repeat your question.
Ashlesh Sonje : With in the interest income we had about Rs. 700 crores of benefit coming from NPL recovery last quarter?
Ramasubramanian S. : This quarter also we expect the similar line only it will be there for the interest income.
Ashlesh Sonje : What was the line for the third quarter?
Ramasubramanian S. : Third quarter you want the number Rs. 685 crores.
Ashlesh Sonje : I am just trying to understand that for some of the peer PSU banks we have seen expansion in margins, but not so much for us it is only expanded by abo ut 5 basis points, so any

color over there?
Ramasubramanian S. : You are talking about again NIM margin only.
Ashlesh Sonje : Yes.

Ramasubramanian S. : Actually speaking, whatever the rate hike it does not pass to the credit side immediately. So, last quarte r if you see that the deposit rates have moved only from the later half of the quarter only because of that it depends upon the Bank's which come out fast with the increase in the rate hike in the deposits. It is only a tamper in the last quarter and in th is quarter every Bank will have the same stabilization.
Moderator: Thank you. We have the next question from the line of Rakesh Kumar from Systematix Shares. Please go ahead.
Rakesh Kumar: So, can you give us the breakup for the provision so we have NPA pr ovision number and apart from that if I see in the restructuring side as per the lots of account there is some reduction, so if you can give the bifurcation of the provisions for this quarter?
Prafulla Kumar Samal : Total provision during the quarter is Rs. 4,374 crore which comprises of Rs. 2,443 crores is NPA provision and Rs. 860 crore is again provisions for security receipts and certain NPI basically these are loan loss provisions converted to securities on accou nt of restructuring so that was Rs. 860 crore and we have provided Rs. 1,296 crores towards the DTA reversal and current taxation Rs. 41 crores. Yes, you rightly mentioned there are certain reversal up Rs. 279 crore in the standard asset provisioning mostl y on account of the certain accounts where we earlier made provision because of the 7th June Circular resolution on stressed asset. So, on that account we have provided certain account that has come out of stress and therefore there are certain reversals.
Rakesh Kumar: Sir there is some rise in the SMA numbers on the sequential basis also, so what is happening there is some volatility in the SMA number that we have reported?
A. Manimekhalai: You are talking about SMA.
Rakesh Kumar: Right.
A. Manimekhalai: Yes SMA numbers for December '22 it is above Rs. 5 crores, it is 0.72% to the gross advances and for Q2 it was around 0.57.
Rakesh Kumar: What is your reason like where we are witnessing this stress which particular statement?
A. Manimekhalai: we have se en little bit of rise in retail and MSME, but that is also controlled retail loan though there is a stress but there is not much slippages in the retail advances. MSME of course there is a little bit of stress. Slippages is extent of about Rs. 850 crores y ou have seen in MSME and close to about Rs. 300 crores in retail advances.
Rakesh Kumar: Any ad hoc provision that we have taken?
Prafulla Kumar Samal : No during this quarter nothing.

Moderator: Thank you. We have the next question from the line of Jai M undra from B&K Securities. Please go ahead.
Jai Mundra : Ma'am A , I wanted to check the RBI divergence exercise for FY22 has that been over for our Bank?
A. Manimekhalai: Yes, it is completed the divergence exercise has been completed for our Bank.
Jai Mundra : The divergence is of course below the threshold and that is the right….
A. Manimekhalai: And we have taken care of that.
Prafulla Kumar Samal : In fact, there was no divergence actually in the NPA and provisioning there was no diversion.

There was only some standard assets regarding that some divergence were pointed out and that was fully provided in last quarter at September.
Jai Mundra : Secondly, this Rs. 120 crore wage revision that you have provided this is assuming what wage revision hike?
A. M animekhalai: About 12% to 13% hike.
Jai Mundra : Ma'am on this quarter we have seen a corporate slippage of around Rs. 507 crores, is there any sectoral color there two, three large sectors there?
S K Mohapatra : See in corporate advance this quarter it is

Rs. 380 crores, but in MSME around Rs. 760 crores, agriculture is around Rs. 800 crores and retail is around Rs. 420 crores. The accounts are one is HIL India and another is Hitodi Infrastructure, these two large accounts they slipped in the last quarter.
Jai Mundra : And on this the same slide it says that we have around Rs.5,300 crores of restructured corporate loans, is there any breakup or at least are there any sovereign accounts which have been there and hence the probability of default is negligible or h ow should we look at that corporate restructure of Rs.5,300 crores?
S K Mohapatra : These are all COVID restructured account under the RF -1 Category. So, these are all spread over different industries actually, steel sector is there, textile is there, all kinds of sectors are there in that. So, none of them is sovereign.
Jai Mundra : And sir all these loans have come out of moratorium they would have started repayment?
S K Mohapatra : Some moratorium is there, there are around Rs. 4,000 crore account is there Corporate -I, in RF - 1 nothing is there.

A. Manimekhalai: Restructured account in RF -1 that is specifically what you are talking about corporate loan of Rs.5,300 crores , none of them were in the moratoriu m book as of date.
Jai Mundra : Ma'am what is your sense on the health of this portfolio especially on the corporate side , has they come out of moratorium ?, I mean would they see the same sort of a relapse rate that we have seen two, three years back or do you think they are I mean what kind of slippages can one expect from this portfolio?
A. Manimekhalai: No, we do not expect any slippages and they all come out of moratorium and we are not finding any stress in these accounts.
Jai Mundra : Lastly ma'am two more question is this quarter again we have seen the recoveries and upgrades have been higher than slippages I mean should this trend continue as we go into fourth quarter because you will have some NARCL recoveries and maybe some other recoveries, so sho uld that trend continue or how should one look at it?
A. Manimekhalai: Sir we have given a guidance of slippages to the tune of Rs. 13,000 and recovery to the tune of Rs. 15,000 crores. So, as of date we have slipped to the extent of Rs. 9,700 crores and r ecovered close to Rs. 13,600 crores. So, we will find the trend going forward and we will see that slippages were contained below Rs. 13,000, but we hope recovery more than Rs. 15,000 crores of course.
Jai Mundra : Ma'am we have given this SMA -1 plus SMA -2 number for CRILC , if you can provide the total including below 5 crore loans because I think that would be a key indicator as we transition to ECL also, so if you have that number handy that what is the total SMA -1 and SMA -2 for Bank as a whole?
A. Manimekhalai: Sir we do not have the figures right now we will send it to you separately.
Jai Mundra : And lastly what would be the LCR percentage for the Bank?
A. Manimekhalai: LCR is about 153.
Moderator : Thank you. We have the next follow up question fr om the line of Ashok Ajmera from Ajcon Global . Please go ahead.
Ashok Ajmera : Ma'am we are acquiring few loans like in this quarter also we have acquired, so what is going to be strategy for the inorganic kind of a growth and these are good account I mean we have a tangible securities 113.41% and the retention by the originator is 10%, so going forward can you give some idea on this and secondly in the co -lending space and the overall NBFC space how active we are and what is our target?
A. Manimekhalai: Sir NBFC we are not very aggressive, but then if you look at the sectors NBFC and HFC we have given close to 14% of our portfolio is towards NBFC and HFC and we have also done some co-lending and full buyout also. The strategy will be the same even in the nex t quarter. We are

having equally we are giving to various other sectors also, infrastructure also that is another

growth area for us almost 15% of our portfolio is in infrastructure, steel is another area that we are looking very aggressively, petroleum an d renewable energy is also another sector that we are looking at.
Ashok Ajmera : When you are little more positive even your initial note was also very positive on the Indian economy and the overall growth profit, so can we again like the question was there the original I think one of the analyst had asked that this overall target of the credit which we are having, do you not have the clear visibility to increase the same looking at all this kind of process, some idea can be drawn from that about how are we going to end the March?
A. Manimekhalai: We have a clear visibility, we have some sanctions on hand on various stages of disbursements, but we do have to align it with our deposit growth which is at 13.65% and going forward if we see the same sustained gro wth of deposit we will be able to increase our advances to the extent that what we have done for this quarter also.
Moderator : Thank you. As that was the last question for today I would now like to hand the conference over to Shri Nitesh Ranjan – Executive Director for closing comments.
Nitesh Ranjan : Thank you. I think most of the things have been touched one very, very important aspect of the Bank which we have deeply engaged in which is about technology and digital transformation, which was not there. S o, in my concluding remark I will try to touch on that.
So, as I said we are looking in very positively and aggressively and therefore three things are very important for us one is building the technology capability.
Second is building the partnership ecosystem.
Third is building the people capabilities. So, on the technology capabilities today we are investing our budget this year is around Rs. 1,600 crores compared to less than Rs. 1,000 crores of budget last year for the technology CAPEX and that is mostly going into building digital platform. Second, building the data lake and extending the analytics center of excellence which will believe we will be able to create a good customer experience across the lifecycle of the customer needs. Now, if you loo k at the partnership which is yet another important aspect of our objective. We have today over 150 partnerships with fintech and multiple journey that we have done it has been possible only because of the partnership that we have built.
Third aspect of ou r digital transformation is about building the people capabilities and another thing that we have done last quarter is we have hired a Chief Digital Officer , Mr. Rajnish Khare who is coming over two decades of experience in large private and foreign banks in a similar space.
We have also identified people inside the Bank for grooming the talent for the future and still in the process of hiring certain more skill set from the market to drive this digital and technology

transformation. And so, if we look at t oday we have 20 plus straight through journeys particularly on the lending side and very soon we will also be coming on the liability side. In fact on the liability side one of the interesting numbers that I would like to share is about the fixed deposit c reation on the mobile app. So, today including fixed deposit and the recurring deposit it is also a kind of FD over 2.5 million accounts have been created on mobile app itself that is the number over Rs. 1,500 crores, Rs. 1,600 crores of disbursals we have done which is completely a straight through process which includes the pre -approved personal loans which is currently only to our existing to Bank customers then we have also the three journeys for the MSME loans, we have recently introduced couple of mor e journey for the original

entrepreneur
the scheme called Union Nari Shakti and also for the education loan for the premium institution and our objective is also to on board more and more customers on our mobile app which we have recently launched the impr oved version with 350 plus features and today we have more than 20 million registered users we get on daily basis on 2.2 million hits on our mobile apps similarly all other channels of digital would be debit card, mobile banking or the UPI, we are seeing a phenomenal growth in the range of 40% to 70% YoY and as per our aspiration of having higher level of retail business coming through retail origination coming through the digital channel we are on the right track and over the next 12 months we will be deep ly engaged in further creating the capabilities for digital transformation.
This is just the brief I wanted to share couple of slides we have already given in the presentation and be happy to set base with anyone of you, who would like to understand and di gital for us is not only in terms of customer transaction, but even on the entire stressed asset, recovery module and interestingly on the HR module we have digitized most of the things and we are taking it forward. So, just to conclude apart from digital as we have discussed today Bank has a very strong balance sheet in terms of the provision coverage ratio and the capital adequacy ratio and we continue to show very high growth rate in the top line as well as in the bottom line and we are confident that wh atever guidance we have given on the different parameters we will be able to achieve that.

With this we can conclude thank you very much.
Moderator : Thank you. On behalf of Union Bank of India that concludes this conference. Thank you for joining us and y ou may now disconnect your lines.

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# Call: May 2023

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■■■■■■ Ref.:■■.■■.■■.ISD/61/2023 -24 ■■■ ■■ Date : 11.05.2023

■■■■■■ Madam/■■■■■ Sir,

Subject: Transcript of Post Earnings Call

This is to inform that transcript of Post Earnings call held on May 06, 2023 for Audited (Standalone and Consolidated) Financial Results of the Bank for the Quarter and Year ended on March 31, 2023 is submitted herewith as a PDF searchable attachment .

The same is also being made available in the Bank's website under the following web link :

https://www.unionbankofindia.co.in/english/financial -result.aspx

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A , 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

Encl.: As above
BSE Ltd.
Corporate Relationships Dept .
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400 001.
BSE Listing Centre
Scrip Code 532 477 National Stock Exchange of India Ltd.
Listing Dep artment
Exchange Plaza, Plot No.C/1, G Block
Bandra -Kurla Complex, Bandra (E),
Mumbai -400 051.
NEAPS
Scrip Symbol -UNIONBANK -EQ
Security – UBI-AT/BB



"Union Bank of India Q4 & FY -23 Earnings Conference Call"

May 6 , 2023

MANAGEMENT : MS. A. MANIMEKHALAI : MD & CEO

MR NITESH RANJAN : EXECUTIVE DIRECTOR

MR NIDHU SAXENA : EXECUTIVE DIRECTOR

MR. RAMASUBRAMANIAN S: EXECUTIVE DIRECTOR

MR. ABHIJEET BASAK : CGM

MR. RAJIV MISHRA : CGM

MR. P K SAMAL : CFO

MR. SUDARS HANA BHAT : GM

MR. O P KARWA : GM

MR. SUNIL JADLI : DGM

CONFERENCE CALL SERVIC E PROVIDER :



Moderator : Ladies and gentlemen , good day and welcome to the Union Bank of India Earnings Conference Call for the period ended March 31st, 202 3. The Bank is represented by the Managing Director and CEO – Ms. A. Manimekhalai ; Executive Directors – Shri Nitesh Ranjan, Shri Nidhu Saxena , Shri Ramasubramanian S., and other members of the top management.

As a reminder , all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please n ote that this conference is being recorded.

Now i hand over the call to Mr . Sunil Ja dli – Deputy General Manager . Thank you , and over to you, sir.

Sunil Ja dli: Thanks Madam . Good afternoon, ladies and gentlemen. I, Sunil Ja dli, Head of Investor Relations , welcome you all for the Union Bank of India Earning s Con-Call for the period ended March 31st, 202 3.

The structure of the con -call shall include a brief opening statement by Respected MD and CEO Madam , and then the floor will be open for interac tion.

Before getting into the con -call, I will read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statements based on the current expectatio ns. These statements involve a number of risks, uncertainties and other factors that cause the actual results to differ from the statements. Investors are therefore requested to check this information independently before making any investments or other d ecisions.

With this , I now request our Respected MD and CEO ma'am for her opening remarks. Thank you and o ver to you , ma'am.

A. Manimekhalai: Good afternoon. It is my pleasure to welcome the Analysts and the Investors . We are grateful for your continued support and feedback that has helped us in taking informed decisions.

Let me just give you a brief on the broad ‘Macroeconomic Environment’ before I go to the performance of the Bank:

In the midst of the global uncertainty , Indian economy showing a strong momentum . The economy is expected to continue to perform well and will remain as a fastest growing economy in the world .

The Bank ing sector is also shown improved performance, led by a broad -based economic recovery. Our Bank ’s ‘Business and Financials ’ registered strong growth during Q4 FY 23 and we have achieved a good set of numbers in terms of ‘Profitability, Asset Quality and Capital Adequacy’ among others.



Now let me give you a brief on the highlights of our ‘Bank ’s Performance ’:

The operating profit of the Bank reached Rs. 25,467 crore s with the growth of 16.4% during FY23.
The net profit of the Bank has increased by 61.2% YoY to Rs. 8,400 crores during the year .
Net interest income grew by almost 18% YoY during FY 23.
NIM has also improved to 3.07, almost improving by 13 bps from FY 22.
Gross advances has increased by 13.1%, while deposit has grown by 8.3% .
The Bank has registered good growth in the RAM portfolio also – 17% growth in Retail , 14% in Agriculture , 13% growth in MSM E advances . RAM shar e to the total advances is 56%.
Gross NP A of the Bank has reduced by 358 bps on YoY basis to 7.53% .
Net NPA is reduced by 198 bps on YoY by basis to 1.70% .
CRAR improved to 152 bps to 16. 04%. the PCR also we have increased to 90.34% as is March 31, 2023.
Our overall cash recovery and upgradation has crossed Rs. 20,000 crores.
Slippages has been moderated at Rs. 12,518 crores as against the guidance that we gave to the market at Rs. 13,000 crores .
Durin g FY22 -23, the Bank has taken many important structural changes, which is yielded positive result

s. One among them was the large -scale digital transformation exercise that the Bank has taken.
Before I conclude my opening remarks , I would like to invite my ED – Mr. Nitesh Ranjan to speak on the various digital initiatives that the Bank has taken during FY23 and also what we are going to do in th is current year.
Nitesh Ranjan: Thank you, ma'am. Good evening. We have done very well in terms of business and financials for FY23 as well as the Q4 of FY23 , in the area of digital and technology also we have taken several initiatives to further improve customer service, increase the revenue and optimize the cost.
If you look at our aspirations for the digital and that is in line with the consumer preference shift towards more and more digital services also given that currently the penetration of digital

services also in the entire ecosystem is very low which gives an opp ortunity for us to do more and more into digital .
We have set an aspiration of having 50% of RAM loans origination over the next 3 years coming through the entirely digital channel , which will translate into around 50% of RAM loan book being fully through the digital source loan .
On the liability side on 1 trillion quality CASA accounts, we'd like to acquire fully STP on the digital side over the next 2 to 3 years .
And the 3rd associated objective and aspiration of the Bank is to create a great customer satisfaction score and customer experience through digital and technology. For that, we have continuously been building capabilities in the recent past in the core IT, digital, analytics as well as cyber security. We have been continuously been augmenting the IT hardware infrastructure to meet the requirement of an increasing number of transactions in the system .
We have implemented the state -of-the-art SD-WAN technology a cross all our branches and units. Currently , we're in the process of adopting the SD -WAN software defined network. We are among st a few large Bank s in the country who have got PCI DSS Certified for the payment channel. You are aware that every payment player has to be compliant with the PCI DSS, but Bank has gone a step forward to get certified with the PCI DSS, which gives a lot of comfort to us as well as to our customers.
Similarly, on the security side, we have state -of-the-art Cyber Security Operation Center today and we are taking it to the next level into Cyber Security Center of Excellence and we are working with the top -class advisors and consultants and we're collaborating with the many all India level institution s to take it forwa rd.
Thirdly. We are building a digital platform which will be a microservices led API based infrastructure and which will be aiming at creating , as I said , for the customer seamless journey , Omnichannel experience, hyper personaliz ation for various segment s and sub -segments for the customers as well as using the modern AI including the conversational AI technology or creating convenience to our customers and also investing in creating a Data Lake Analytics Center of Excellence which will help us leverage our digital capabilities to offer good services to our customers.
For customer satisfaction and customer convenience, we recently adopted and implemented the CRM solution which has been developed in association with the Zoho Corp and now we have decided to invest in digital conta ct center, which has also been using the conversational AI and it will be one -touch point solution for customer service as well as sales .
Now if you look at FY23, what all we have done and I would like to just highlight certain

numbers that we launched our revamped Mobile App Vyom in November 2022, which today offers not only the Bank ing services but it has plethora of insurance, mutual fund as well as

lifestyle servi

ces available on our mobile app and we are continuously adding more and more features based on the market demand as well as the customer feedback.
So, far we have already developed 10 plus journeys into retail, Agri and MSME segments for our customers and these 10 plus journeys are completely straight through processing. Four or five of these are in MSME segments. Three segments of the Mudra – Shishu , Kishore , and Tarun. Then there is Union Nari Shakti Scheme and the GST Gain scheme up to Rs. 25 lakhs of loans and all these 5 are completely straight through .
Then in agriculture again w e have the Kisan Credit Card Loan (KCC) which we have implemented in association with Reserve Bank Innovation Hub , we have been among the first Bank to do that . Today we are doing the pilot in the state of Madhya Pradesh and Karnataka in association RBIH and that is a complete Stage -2 journey .
Similarly on the retail loan side, we have the pre-approved personal loan. We have again the pre-approved personal loan for the s pecific segment of customer that is the pensioners . We have launched the straight through educational loan for the premi er educational institutions in the country .
And as we speak today we are looking at many more journeys in retail loans including housin g loans and vehicle loans also with the tie up with the OEMs, which will create a lot of convenience to our customers and they can do the Bank ing services from their comfort and convenience.
So, over the last 12 months in FY 23, we have serviced more than 32 lakhs customers and when I say these 32 lakhs customers, these are not the branch -based , these are completely digital service customers and we have generated a business of Rs.48,200 crores through the customer through the digital routes which includes new loans to Rs.1.48 lakhs customers aggregating around Rs.2200 crores of sanctions and the deposit of over 30 lakhs customers aggregating around Rs.46,000 crore.
You are also aware and we have been sharing with you in the past that for the review renewal of the existing loans in the RAM segment, which has been a very tedious , friction -full branch based proces s, we have changed this into the straight through process digitally where there is a less intervention to the branch as well as hardly a click or 2 requirement from the customer and these renewal journeys on the digital again is available for various segme nts of Retail, Agri and MSME customers. Over FY23, we have renewed digitally over 8 lakh loans aggregating to Rs.42,000 crores of our RAM portfolio.
So, this is just a beginning and as I shared the investment that we are doing and we are almost at the final s tage of onboarding our system integrators and vendors and partners who will work with us, we are very much hopeful that our aspiration of 50% acquisition of RAM as well as 1 trillion new CASA customers through the digital channels straight through would be possible.
In fact, in FY23 due to our efforts ,Bank was ranked #1 into IBA ’s PSB Reform s Agenda , which is under the title of EASE and EASE is currently running into its 5th version, so the Quarter 3

of FY23 results of EASE in that Union Bank has s ecured 1st Rank amongst all public sector Bank s and you are also aware that EASE has actually 5 broader themes and in 4 of the 5 themes, Union Bank has been ranked #1 and 3 out of these 4 things actually relate to the area of technology, digital , cyber security and we have been ranked #1 due to our efforts and initiatives . Even the one of the coveted awards which is given by the Indian Banks Association in the area of IT. Last year we have received 6 IBA Awards which includes Best Technology Bank as well as Best IT Security amongst all the large Bank s in India. When I say large it includes private as well as public sector Bank s. So, the recognitions are also co

ming, whi ch motivates us to further
invest and do more and more for creating customer convenience for the more than 14 cores of our customers using and leveraging technology and digital.
Thank you very much. I'll take a pause here and during the discussion if you would like to know anything specific on our initiatives , we'll be happy to interact.
A. Manimekhalai: We are now open for interaction.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Jai Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra : Ma'am f irst question is on NIM , net interest margins, s o this quarter the loan yields are still rising

QoQ, but cost of deposits have ris en faster and h ence we have seen a dip in the NIMs. Now going ahead as we understand that the rates have almost peaked s o yields may still rise, but cost of deposit cou ld still be rising faster than the loan yield t hen ideally there should be pressure on the NIMs. So, we are saying that the NIMs our guidance is almost flattish, s o just wanted to understand the thought process here.

A. Manimekhalai : As far as FY 23 was concerned we have improved our NIM from 2.94% to 3.07% about a 13 bps increase. We have seen a better credit upta ke in the RAM sector and so faster a sset pricing ha s helped the margins to improve. Going forward t here will be slight pressure on the margins due to the liability repri cing and slower deposit growth that 's what we feel, but however we will be seeing it looks like there will be a fall in the deposit rate. We ha ve already seen that CD rates have also come down by almost 40 to 50 bps from the mid-March level after RBI took a pause in the interest rate. G oing forward what we feel is we will be able to sustain our NIM to the 3% level. If you look at the portfolio of the Bank almost 50% is MCLR bas e out of which just about 40% to 50% has been repriced and the remaining 50% is to be repri ced during the current year. So, we assure you that we will be able to maintain a NIM of at least 3%.

Jai Mundhra : And just a follow up ma'am there on this M CLR book so this is essentially the corporate book and it should be repricing once in a year at least the reset period should be one year if not lower then in the last one year t he entire book should have been reprised, is that understanding right?

A. Manimekhalai : Yes, that is correct, b ut I will tell you the Bank 50% of the domestic advances is classified as MCLR as I already told you. I f I can tell you that during '23-24 Q1 we have got about Rs.47,000





of our loan book to be repriced and tota lly we have got about Rs.2,80,000 crores that i s the kind of numbers that we are looking at for repricing. So, every quarter we ha ve some numbers and the reset will be happening every month as you said or a quarter. So, we are seeing that this MCLR will be translated or the loan b ook will be reprised and so we will have a better NIM.

Ramasubramanian S : Madam if I may add Mr. Mundhra what happe ned was actually it has not l ast one year actually from September onwards only the r ates have gone up very high. So, what m adam was trying to say was even from here to September the assets which are going to be reprised s o we wi ll be able to main tain the NIM of 3%.

Jai Mundhra : No, I am not asking that s ir I mean you can do there are lot of variables, but what I wanted to ask is that RBI started the rate hike in May of last year and then I mean your MCLR woul d have also started to reprice, s o the entire corporate book should have been repriced, right , it looks like that there is a bit of a pressure o n pricing also incorporate?

Ramasubramanian S : See that is what I am trying to say that see our MC LR is the marginal cost on the rate which is our cost where we are getting it. So, if you ar

e looking at it the northward movements of the rates in deposit has happened from this second half of last year.

Jai Mundhra : And s ir now when let u s say this Rs.47,000 crores of book comes for repricing in Q1 c onsid ering there is a lot of competition while the M CLR the card rate may let us say rise up by 100 basis point or x basis point, do you think that the competition intensity allows you to pass on that rate hike?

A. Manimekhalai : Out of 250 transmission rates ha ppening the MCLR has grown by about 14 0 bps only that is the competition in the market pricing everything has already been taken into account accordingly.

O P Karwa : So, just to add the MCL R rate would be in a ri se in all the Bank s. So, we do no t see the difficulty in pass on the increasi ng rate because right now every Bank has increased more or less around 140 or 150 bps.

Jai Mundhra : The second question is on your notes to account 16 so this pertains to a previous June 7th circular disclosure that w e disclose d every time I just have a small doubt so I wanted to cl arify the exposure is around Rs.4,000 crore o f which around Rs.2,500 crore has already slipped and the Bank has made a reasonable pr ovision there, I wanted to check that what is the nature of the Rs.4,000 crore minus Rs.2,500 or Rs.2,600 crores that these accounts are still standard and can they slip in future quarters?

P K Samal : These are perfectly standard loans you are talking about the portfolio which are covered under June 7th circular, right?

Jai Mundhra : Yes.





P K Samal: These are perfectly stan dard loans and well performing o nly thing is that there is sometimes there is a delay in the resolutio n plan, t herefore that additional provision it attracts , but when the resolution plan rectification whatever that put in place and satisfactory their performance no default in next 6 months the provision get reversed you see a few accounts also this quarte r

earlier we made provision this provi sions got reversed. So, absolutely there is no such thing we do not f ind any reason that any of such account will be slipp ing. In fact, our corporate book particularly is behaving very well and we do not foresee any ki nd of account going to slip there.
Jai Mundhra : And how much was the family pension th at we absorbed in this quarter?
A. Manimekhalai : We did about Rs.1,100 crores w e have ob served during the current year w hich actually we had a dispensation of 5 years. We have observed everythin g during the current during FY23 last quarter.
Jai Mundhra : So, the entire has come in last quarter, right?
A. Manimekhalai : Yes.
Moderator: Thank you. We have our next question from the line of Ashok Ajmera from Ajcon Global . Please go ahead.
Ashok Ajmera : My only concern is that in the last quarter let us say Q4 our results are not that like our credit growth is almost muted 0.29% in the domestic a nd even on the other front also if you look at the profitability and other thing because the recovery from the return of account has come very high in this quarter that is why we could inc rease our operating profit too o therwise there was a pressure on our margins a nd our entire operating profit, y ou have done very well in the Bank for last 9 months, y ou have set up 126 MSME loan point, 105 MSME first branches, 160 retail point 1,331 gold loan point and I a m sure they all will give the benefit in the time to come to the Bank . Having said that I have got some specific pointers, some questions and some data point f irst of all Nitesh Ranjan on the digital journey you have taken and it is really commendable sir, y ou have put in a total capital employed if you go on this segment wise result Rs. 3,53 8 crore has been capital employed on the di gital initiative which has been now made compulsory for presentation by the Rese rve Bank of India and i

f you look at that asset segment y ou have created Rs.42,263 crore asset and liability of Rs.38,000 s o net capital employed is rs.3,539 w hereas the loss on the digital which is reported for the first time is Rs.102 crores, s o this lo ss of Rs.102 crores because this pattern is going to be set up for future t his is not to be included in the capital emplo yed for the digital initiative t his will be in the normal overall t he Bank ing operations going forward, loss or profit In the segmentation wise report or it will be a total clear picture will be given where the loss is added to the capital employed and the profit is red uced from the capital employed, so what is the strate gy on that t his is number one. My second question is on DTA and MAT size that we have a DTA r eversal of Rs. 3,632 crore and the MAT credit of Rs.2,269 crore which you have taken, s o how much is the DTA balance left and the MAT credit left for the Bank so as to as sess the future number of the Bank s. If I may continue asking some more questions ma'am you answ er this first and then I come b ack again for the second.

P K Samal: Ajmera ji before we forget what you asked so let us answer that first and I wi ll request our CFO to take on both the questions. Ajmera sir first thing is that regarding the capital employed and loss you have mentio ned in the digital segment it is not actually a loss this is written in the bracket t his is because this is within the retail Bank ing segment. It i s a sub segment within Retail Bank ing that i s the reason it is written within the bracket it is not a negative figure number one. So, there is no loss as such it is profit only. So, regarding the capital that has been allocated for digital seg ment is basically the assets which the Bank has created through the digital mode of course the loan have taken as we have to maintain the capital for the capital adequacy norm. So, accordingly the necess ary capital has been allocated. T he second questi on you are asking about the DTA a nd the MAT credit that the Bank has taken is b asically we have also discussed earlier quarter the Bank is contesting the q uestion of applicability of MAT on the public sec tor Bank is still sub -judice is going to a spe cial bench of the IPA .The hearing have been started so we are quite confident that because the past decision has been taken in favor of the Bank . So, we are considering that the cas e will be in favor of the Bank so there will be no impact in terms of the MAT credit rework under whatever so that is one part. The second part is about the DTA assets so after Rs.3,600 crore kind of reversal this year we will have another Rs.8,500 crores of DTA that will remain in our book. So, since DTA cr eated out of the timing dif ferences out of the provision and all it will accordingly get nullified in the due course of time any further clarification you want on this matter.
Ashok Ajmera : How much as per income tax , the carry forward losses if at all for the past?
P K Samal: No, there is no carry forward losses Bank does not create any DTA on carry forward losses so that is not there. The DTA created on the timing difference on the bad debts provisions and all becaus e entire bad debt provision which you make in the book s is not al lowed fully in the taxation so therefore there is difference , there is no carry forward loss.
Ashok Ajmera : No, Rs.8500 crore is the DTA still the balance sheet there according. to you, is not it?
P K Samal: Yes.
Ashok Ajmera : And how much MAT credit is left?

P K Samal: So, MAT credit as I told you it is basically whatever MAT we have paid that equal amount is taken as a MAT credit, but since we are saying that MAT is not applicable to us, so it will be nullified. So, there is no implication on this.
Ashok Ajmera : Ma'am coming back to the credit growth our boo

ks because we were expecting it to continue the momentum w hich was set up in the earlier two quarters, where d o you see the credit number o ne coming from why that our growt h is muted in the last quarter, i s there any specific reason and if you are again having the target of 12 % to 14% of the credit book for the for FY24 where is the credit going to come from ?



A. Manimekhalai : The overall credit as the Bank has grown by 13.3% while the average credit register ed growth of almost 16.74% and the CD ratio the Bank has also improved to 73%. It is not muted growth of course b ecause the base figure was lower and that i s why the figures were shown. As p er the system we are at the same growth rate of 13.3%, w e are looking at the system growth will be about 14% to 15 % even in RAM portfolio we have done well and the retail has shown a growth of 17%, Agri at 15% and MSME at 13 %. We have also grown very well in the go ld portfolio which is about 48% education loan at 25% and vehicle loan at 31%. Now what we are looking at is 10% to 12% growth in the coming years and the majority of the research report also says that if you look at the GDP growt h of about 6.5% , credit growth may hover around 12 % to 13% and that is the guidance that we a re also taking. We are taking 10% to 12% growth under the credit portfolio for the year 23 -24.
Ashok Ajmera : Ma'am , just last question in this round on the SR Rs.2,233 crore w hich is fully provided for two SR are added of Rs.342.68 crore, s o if the SR are added recently number one what kind of is it from private ARC, NARCL?
Sudarshan Bhat : These are all NARCL which is fully provided.
Ashok Ajmera : What was th e need of providing 100% if it is a fresh SR?
Rajiv Mishra : This is the SR through the NARCL sale which we have done. There are two accounts for which NARCL sale ha s taken place where 85% is in SR form and it i s backed by government guarantee, but still it is 100% provided.
Ashok Ajmera : Sir, s ince it is 100% provided by the government it must have taken in the r ecovery or the investment?
Rajiv Mishra: Value is right now being taken at that rate.
Ashok Ajmera : This is as good as a very I mean extra cushion for the Bank because this money is guaranteed by the Bank ?
Rajiv Mishra: It is a 5 year plus 3 years part of guarantee and right now Bank has taken a call to take a provision you can take it as an extra cushion on behalf of the Bank .
P K Samal: One small correcti on on the digital segment what you have mentioned is that the loss in digital I want to make a correction this is you are right the amount or figure mentioned there in on the segment result l oss on digital operation this is right. T his is mainly because of the initial CAPEX and revenue expenditure because the Bank is now building lot of IT infrastructure and all there fore the digital expenditure has been high that i s the reason why this is a loss, b ut we are very sure the volume is going to increa se in future s o that will be def initely positive, but as of now it is a loss.



Ashok Ajmera : So, what I was saying that sir that our revenue is Rs.169 crore and the loss is Rs. 102 crore it means Rs.271 crore is the expenses for earning the Rs.169 crore which I can understand because it is a initial stage of the digital the entire segment wise and reporting and total digital initiative which has to be reported separately what was my point is that this loss today it maybe Rs.100 crore tomorrow there can be Rs.500 crore or a profit of Rs.1,000 crore whether it should be adjusted on the capital employed on that particular segment so that is one point which I raised and other one for the loss anyway you can take it the queue from that and can decide accordingly.
Moderator: Thank you. We hav e a next question f

rom the line of Rakesh Kumar from B& K Securities.
Please go ahead.
Rakesh Kumar: So, ma'am one question was pertaining to the total stress book or the restructured book which is pertaining to your notes of account number 14, 15 and 16 so number comes to which is standard number around 18,000 crore, so if you can indicate what is the total provision that we are holding against this out standing so non NPA standard of Rs.18,100 crore?
A. Manimekhalai : Now restructured book as you said is about Rs.17,826 crore and we are holding p rovisions to

the extent of 10%.
Rakesh Kumar : This 10% number ma'am Rs.1,800 crore number you are not clubbing it with the ge neral standard provision s o it is separate number, correct?
P K Samal: Yes, separate numbers.
Rakesh Kumar : And secondly ma'am like we have seen quite a strong growth in overseas credit book this quarter , but if you look at the provision what we are holdin g for the un-hedged foreign currency exposure that number has actually come down. So, like number is not significant at all, but just wanted to understand the thought process or maybe what is happening in the business l ike is that the case that in this qua rter even after having such a strong growth in overseas book foreign currency exposure has it come down that is why the provision in this quarter has come down from Rs. 26 to Rs.17 crores?
S. Balasubramanian : This is actually the two different things as far as the overseas advances are concerne d, it is advances given at the two branches w e have one at Sydney and another one is at Dubai. As far as the other one is concerned it is the domestic exposure Forex e xposure that we have given.
Rakesh Kumar : And after the shifting loss that we have done like we had around Rs.97 crore, Rs.98 crore for shifting loss this quarter, s o how are we placed now b ecause the modified duration is still we have less than one year for AFS book especially on the SL R side and we are not changing i t from the last quarter number, s o what is the view that we are holding on the interest rate movement as you said that certificate of deposit ra te has come down and that is a fact of the matters and short term T-bill has als o come down, but we are not changing ou r modified duration on the SLR i n the AFS book so things a re not appearing to be in line, so why did no t we change our duration on the higher side when we see that rates are coming down?

Sudarshan Bhat: Shifting loss is pertaining to first quarter of 22 -23 which has already been booked s ubsequent to that whatever the investment portfolio we have added which mainly consists of treasury bills and other shor t term securities which due to e xcess liquidity in the system we have placed this in treasury bills as well as one to three year duration t hat is why we are having a duration continually m aintained at the similar level one that is w e are having average duration of 3.6 6 which we will be able to encash over a period of t ime.
Rakesh Kumar : Question was basically on the AFS book s o total duration is same at around 1.3 years and S LR duration is at around 0.7 years. So, if we are seeing that rates are coming down then are we changing the duration, are we increasing the duration or we are not increasing the duration?
Sudarshan Bhat: We are chan ging the duration over a period of time. This mainly for portfolio consists of treasury bill which is due to excess system liquidit y available which has been kept if we withdraw that our duration will come to around 3.65 to 3.66 in AFS book itself.
Rakesh Kumar : And how much we are planning to shift in this coming first quarter?
Sudarshan Bhat: To the ex tent of Rs.5,000 to Rs.8000 crores.
Rakesh Kumar : And the duration of that book would be two, three years on the HTM side?
Sudarshan Bhat: Yes, 3 to 3.5 years.
Moderato

r: Thank you. We have a next question from the line of Raju Barnawal from Antique Stock Broking. Please go ahead.
Raju Barnawal : My question is on the corporate port folio side . In the current quarter we have seen a softer growth on the corporate side while it has d eclined on a sequential basis, so what i s your outlook on the corporate portfolio going ahead?
Abhijeet Basak : So, we have taken a conscious decision to keep as you know that we are keeping our corporate book and RAM at a particular proportion, t o have that proportion and we should not g row beyo nd that and to keep that ratio we have remained the corporate book at that level that is one part. The second part is if you see what would be the growth next year. We have given guidance of 10% to 12% and we will remain at that leve l because we have got a lot of traction in different areas. So, most of the sectors are now opened up a nd we are get ting proposal from most of the sectors. So, it is not on a particular sector, but in all the sectors there is a good growth s econdly and thirdly we ha ve got a pipe line of around Rs.30,000 to Rs.35,000 c rores in the pipeline which is under different stages of d isbursement a nd which we have given the sanction. So, this may be disburse over a period of say 12 to 18 months so that disbursement will happen and along with that we have a fresh sanction on (PIM) means term sheet approval of around Rs.15,000 crores, Rs.20,000 c rores which will come over a perio d of time which will be sanctioned during the year and again those proposals are that we are considering in different branches will be coming to us

so that I have not taken only have taken this part. So, we see corporate book to grow decently

during this year.
Raju Barnawal : And some data keeping questions can you please provide a breakup of this p rovision during the quarter between NPA provision and others?
P K Samal: The total provision during this quarter was Rs.4,000 crore o ut of that Rs.3,567 crore was towards the NPA provision.
Raju Barnawal : Out of?
P K Sa mal: Total provisioning was Rs.4,041 crore out of that Rs.3,567 crore was towards the NPA provisions for the Q4.
Raju Barnawal : And what was the FOREX based income during the quarter?
P K Samal: Roughly from FOREX transaction was 217 crore during this quarter and for the full year FOREX exchange income was 813 crores.
Moderator: Thank you. We have our next question from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje : Just a co uple of questions from my side . Firstly on the recovery front we have seen a healthy recoveries of about Rs.20,000 crores during FY 23 against the guidance of Rs.15,000 crore but how it is now for FY 24?
Ramasubramanian S. : Generally, we will try to maintain, or we will want to improve our performance in the r ecovery front, process a re in place so we will be more or l ess actually in the same level.
Ashlesh Sonje : Where do you think all this would be coming from, any large accounts? do you foresee any segments any particular industry ?
Ramasubramanian S.: No, it is not like that w e have already launched few schemes for actually fo r one-time settlements where w e had some aggressive schemes have been launched which we are now able to ge t some of the accounts cleaned up n ot any bigger accounts we are not any forcing on that, b ut it wil l be on a continuous basis we will be able to grow.
Ashlesh Sonje : So, this will be from mid corporate kind of?
Management : If you look at it normally mostly we are expecting it from agri and MSME sector.
A. Manimekhalai : See during the last year that is ‘22-23 we did about 2,19,000 accounts and about 530 crores of recovery in that number. We also did quite a number of SARFAESI almost 8000 and odd SARFAESI we have done during the last year

and we were able to recover about close to



Rs.3,000 crores in that. So, it is not that one particular sector that we are looking at. We are looking at recover y from every area we have also s omething lined up with NARCL and we hope to see some good recovery from th ose centers also.
Ashlesh Sonje : And the second question is again on recoveries from the return of accoun ts which we have seen in the fourth quarter, c an you shed some light on which were any particular la rge accounts?
Ramasubramanian S.: See the large accounts means there were some of the accounts which have been fully provided and written off very old NPA account s which we have on cash basis w e have sold to some of the accounts to ARC on 100% upfront cash basis and amount into around Rs.930 crores it has come on that other than that as Madam has also told we wer e very aggressive with the old NPAs due to OTS some of the lower that is small accounts have been cleaned up that is what around more than 2 lakh acco unts in which liabilities are very less. We had entered into a settlement and we have cleaned the Bank this also s o that we are able to do this write -off in the TWO account s we would show a better result in the last quarter.
Ashlesh Sonje : And lastly, have you booked any recoveries in the interest income line during fourth quarter, in the last quarter if I remember right we had about Rs.685 cr ores in t he interest income?
Ramasub ramanian S.: For the entire year it is around Rs.2, 600 crores .
Ramasubramanian S.: Sir, it is Rs.2,600 crores in the entire year and Rs.682 crores in the last quarter.
Moderator: Thank you. W e have a next question from the line of Sushil Choksey from Indus Equity Advisors. Plea se go ahead.
Sushil Choksey : Listening to all the Q&A so far I feel there is a change of h eart at some strategy b etween a balance in corporate and retail, so can you roll out the strategy points for next 12 months, 24 months w hat Union Bank desires to do?
A. Manimekhalai : So, have a strategy that we will do 55% RAM and 45% of our loan book will be corporate. So , we have told earlier also we have put up some statistic verticals we have made like the retail loan point, the MSME loan point w hich we will aggressively look at giving retai l loans and plus education loan, gold lo an, these are all the verti cals that we have come up with a nd with regard to even corporate advances we are not saying that w e will be limiting to 45% alone if the projects that we get is better so w e are going ahead and doing it even in large corporate we have set up about 14 LCVs and 56 mid corporate b ranches which will fuel this g rowth in the corporate advances. W e have also set up about 14 corporate relationship cell across the country who will be also looking at building relationships with existing corporat es for fee -based income and third party products also.

Sushil Choksey : Now just relating to that so you are not averse that 55 -45 is a fixation, it i s just a matter of thinking that we will drive retail and wholesale?

A. Manimekhalai : Absolutely yes.
Sushil Choksey : And i t is more of an initiative becau se you spend so much on digital so I want elaborate on that question an d secondly some of the Bank s which has declared results are guiding that the r ates have peaked in US and rates are picked up in India also based on RBI guidance, h ow do you position yourself not only AFS and HTM, but if bond rates are headed to 6.75 as the year end as what is indicated on pricing of your loan MCLR and in your treasury operations?
Sudarshan Bhat : As far a s treasury operation is concerned a lready interest rates are peaked up as you have said. However, depending upon t he inflationary condition and U S market there may be either cut or stagnant for a long period of

time that is the case a ccordingly we h ave positioned our HTM and AFS book to take care of the se requirement and we will definitely able to gener ate a substantial and MTM free p osition over a period of next one year.
Ramasubramanian S.: Choksey s ir regarding MCLR repricing as earlier in the conve rsation we have told that it is coming for the repricing time it will be appropriately done considering the present market conditions.
Sushil Choksey : Because I could sense from madam comment that the deposit rates are already coming down and MCLR has al so peaked or the system MCLR has peaked let us put it that way my understanding is right?
Ramasubramanian S.: Sorry you ca n say that, but we are just waiting and watching the MCL R the pricing mechanism it also depends upon the competitiveness in the market also. So, maybe it maybe there or little more increase may be expected on that.
Moderator: Thank you. We have a next ques tion from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah: So, firstly on the LCR front I had a question s o in terms of if you look at LCR is roughly 193 % as against the regulatory requirement of 100 percentage, s o any reason for carrying such excess LCR and if we reduce the LCR then should that help on the margins front, any benefit on the margin front can be expected from that?
O P Karwa: This is actua lly last day numbe r. So, that is the reason it is 192%, but if you take the average of the quarter it is around 167% and that is because we have a good chunk of excess SLR and that is the reason it is at a comfortable position.
Chintan Shah: Sir do we plan for that?
O P Ka rwa: So, that will depend upon the market conditions and how is the op portunity in the credit market, how is the cost in the deposit market as well as the opportunity in treasury.

Chintan Shah: Secondly on the term deposit rate s o I was lo oking at the ter m deposit rate s o it is around 6 .5% is the peak rate i f I look at the term deposit rate also what would be this rate the highest rate in the past 5 years of 1 year or 1 to 2 years rate higher CD rate in the past or is it aro und the highest rate as of now?
O P Karwa: Yes.
Chintan Shah: So, current would be the highest rate in the past 5 years, right?
O P Karwa: Yes.
Chintan Shah: Do you think the SA rate just to garner more deposit that given that there is quite fight on the deposits front, s o are we p lanni ng to raise any rate on SA s ince we are starting from 2.75 , any thoughts on that ?
Nidhu Saxena: So, the s aving deposit portfolio is not so rate sensitive is what we under stand and what that reality is also. We are rather looking at other initiatives to see how this saving portfolio can be enhanced in the Bank . So, what we have seen we have studied that the s aving share our salary share i n the saving portfolio is lesser a nd we are far below the industry benchm ark. So, we are working on that part, w e have come out with the improvised salary product an d we have created this vertical for salary accounts mobilization in the Bank and with those kind s of initiatives w ith our mobile app having enhanced features 350 pl us features and having more engagement with customers, having more of the SB accounts where the Union Bank account becomes the operative account. These are the kind of initiatives we are trying to take and increase our s avings rather than the pricing p art of it.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you.
A. Manimekhalai : Thank you everyone for your continued support. We assure you that with various initiatives

which the Bank is con tinuously taking, we will be showing better results in the next quarter also. The Bank has also taken

m any new initiatives especially in the lateral recruitment side we create a lot of new vertic als like the wealth management, t he digital marketin g, transaction Bank ing, call center management and we ar e recruiting lot of experts from outside to the Bank . With all this and the digital what Mr. Nitesh Ranjan has also spoken to you we would like t o be see n as the more digital savvy Bank in the future. Thank you all o f you.

Moderator: Thank you. On behalf of Union Bank of India, that concludes this conference. Thank you for joining us and you may now disconnect your line.

# Call: Jul 2023

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■■■■■■ Ref.:■■.■■.■■.ISD/175/2023 -24 ■■■ ■■ Date : 26.07.2023

■■■■■■ Madam/■■■■■ Sir,

Subject: Transcript of Post Earnings Call

This is to inform that transcript of Post Earnings call held on July 21, 2023 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter ended on June 30 , 2023 is submitted herewith as a PDF searchable attachment .

The same is also being made available in the Bank's website under the following web link :

https://www.unionbankofindia.co.in/english/financial -result.aspx

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A , 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

Encl.: As above
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"Union Bank of India
Earnings Conference Call"
July 21, 2023

MANAGEMENT (UNION BANK OF INDIA):

MS. A. MANIMEKHALAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

SHRI. NITESH RANJAN – EXECUTIVE DIRECTOR

SHRI. NIDHU SAXENA – EXECUTIVE DIRECTOR

SHRI. RAMASUBRAMANIAN S – EXECUTIVE DIRECTOR

SHRI. PRAFULLA KUMAR SAMAL – CHIEF FINANCIAL OFFICER

SHRI RAJIV MISHRA – CHIEF GENERAL MANAGER

SHRI SUDARSHANA BHAT – GENERAL MANAGER

CONFERENCE CALL SERVICE PROVIDER :



Moderator : Ladies and gentlemen, good day and welcome to the Union Bank of India Earnings Conference Call for the period ended June 30, 2023. The bank is represented by the Managing Director and CEO, Ms. A. Manimekhalai, Executive Directors S hri Nitesh Ranjan, S hri N idhu Saxena, S hri Ramasubramanian S. and other members of the top management.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sunil Kumar Jadli, Deputy General Manager, Head Investor Relations. Thank you and over to you sir.
Sunil Jadli : Thank you. Good afternoon ladies and gentlemen. I, Sunil Jadli, Head of Investor Relations, welcome you all for the Union Bank of India earnings con call for the period ended June 30, 2023. The structure of the con call shall include a brief opening statement by respected MD and CEO madam and then the floor will be open for interaction. Before getting into the con call, I will read out the usual disclaimer statement.
I would like to sub mit that certain statements that may be discussed during the investors' interaction may be forward -looking statements based on the current expectations. These statements involve a number of risks, uncertainties and other factors that cause the actual resul ts to differ from the statement. Investors are therefore requested to check these information independently before making any investments or other decisions. With this, I now request our respected MD and CEO madam for her opening remarks. Thank you and ove r to you ma'am.
A. Manimekhalai : Good afternoon. It is my pleasure to welcome our analysts and investor community for the Union Bank of India's financial results for the quarter ended June 2023. We are grateful for your continued support and feedback that helps us to take informed decisions. The banking sector performance remains strong, supported by the robust economic activities and result in pick -up in the credit growth. Our bank's performance for the Q1 FY24, we have achieved good set of numbers in term s of profit and profitability, asset quality, capital adequacy among others.
The total business of the bank has crossed 19.5 trillion and the operating profit of the bank registered Y-o-Y growth of 32%. Net profit of the bank has grown by almost 108%. NIM has improved to 3.13 registering a 13 bps increase in Y -o-Y. ROA has improved to 1% for the quarter ended June 23 registering 47 bps Y -o-Y. PCR of the bank has also improved to 90.86%. We have significant improvements in our asset quality.
While the gross NPA has come down by 288 bps, our net NPA has come down by 173 bps. Total deposits of the bank has registered a Y -o-Y growth of 13.6% and credit cost of the bank has come down to 0.97 %. And all my RAM portfolio, whether it be retail, agriculture or MSME, have shown good growth over and above 12%. So I would like now to request my ED, Mr. Nitesh Ranjan to speak a little on the digital initiatives that the bank has taken. Thank you.
Nitesh Ranjan : Yes, thank you, ma'am. So I'll start from where we left in t he last meeting that was on 6th of May when we were discussing the Q4 con call. And we shared some of the numbers that we are doing on the digital. I just extend that first. So the last time when we were speaking about the new loans that



we have done compl etely digitally, that was around 1.48 lakh accounts, aggregating INR2,200 crores. From there in two and a half months, the account addition only through the digit al is 20% growth in two and a half months and the volume is

15% growth. Similarly, on the depo sit side, since
the 6th of May in two and a half months, the account and volume accretion only happening through the digital is around 7%.

See, over the last few quarters, we have seen that 65% growth is there in digital FD creation. 53% growth is there in loan against deposit taking digitally. Shishu Mudra STP is 38% Y -o-Y growth and 31% of our personal loan portfolio is getting sanctioned only digitally. Along with that, we also shared last time that we have the digital renewal process for MSME loans up t o Rs. 10 lakh and the retail loans up to Rs. 50 lakh.

I'm very happy to share that as on date, 94% of MSME loans, small loans up to 10 lakh are getting renewed, reviewed digitally. And over 80% of retail loans are also getting reviewed digitally, which is creating a lot of customer convenience as well as saving on our opex and manpower. As I also shared with you last time that we already have for the digital platform the consultant on boarded. And today we also have the SI system integrator on boarded for t hat. We have a two to three year roadmap for the entire digital transformation journey, but that will happen in two phases.

And the first phase, now that SI is also on board ed, the first phase of the first MVP is expected in the Q3 of the current year, somewhere between October to December, where we'll be launching many more journeys, which will be on the mobile app, but the web -based journeys. And by Q4 of the current financial year, we'll be transitioning our existing mobile banking platform to n ew platform, digital platform of microservices led.

And from there on, in FY25, again, we'll be building on 350 plus journeys, and we'll be creating separate assets for the MSME customers, corporate customers and also building further partnerships like OND C and the [OCEN ]. As of now, we already have around 100 FinTechs empanelled with us and we are working to close to two dozens of them on the various journeys. On the ecosystem side also, we have partnered with Reserve Bank Innovation Hub and I'm very glad to share that even in the recently G20 Summit at Ahmedabad of the global finance ministers and the central bank governors, our KCC journey along with the Reserve Bank Innovation Hub was one of the showcase there.

As well, we have also been working with Res erve Bank of India directly for their CBDC project and we are one of the first set of pilot banks. So broadly, if we look at our digital aspirations over the next two to three years, we are looking at 50% of RAM acquisition happening through the digital channels, 15 % of RAM, consequently RAM book, will come into the digital channels, INR 1 trillion of CASA is through the digital channel, and thirdly we are looking at creating a digital enablers in such a way that will increase our customers satisfaction mea sure to see set a score for the various products and services.

For that, we have already been strengthening and augmenting our core IT systems, applications and hardware. We have taken multiple steps in the recent past. Along with that, there is added focu s on the strengthening of the cybersecurity. In fact, currently, we are in the phase of building Cybersecurity Center of Excellence, and many initiatives are being taken there in partnership with



the best of the institutions. And third is obviously we just spoke about the digital platform which has started the building which will have three, four key components of creating 350 plus seamless journey for various banking services, creating an omnichannel experience for the customer so that he can switch over f rom one channel to another channel in a seamless manner.

Since the customer segments that we are seeing are multiple and varied, and every customer segment requires different kind of engagement and services, so we are also looking at creating a hyper - personali

zed experience on our mobile app, and also using the AI technology for the conversational AI. Alongside, we are investing in a digital contact centre for which RFC is in a very advanced stage and the timeline for the completion of the project is six m onths from the onboarding of the SI. And hopefully by in the fourth quarter, our digital contact centre also will be up and running. The key differentiator from the current call centre to the digital contact centre will be that while the current call centre is mostly responding to the inbound calls, this contact centre along with what is being done will actually be a sales and service centre for the bank and it will be a kind of business engine for the bank. We have rolled out during the last quarter all the packages of the customer relationship management, CRM, which we have developed with Zoho Corp and this CRM is also now on the maturity curve in the next six months as also contact centre comes. We believe that CR M will be a good tool for our business.

And the fourth part is that we are looking at leveraging the data. For that we are investing in Data Lake and building an analytic centre of excellence. There also the RFP is in advanced stage and hopefully in the n ext couple of months we should be having our partners on board working on that. So broadly the idea is to create a digital ecosystem where we engage more and more with the customers so that we become the prime bank for the customer which will aid in higher business, higher CASA balance, higher transaction and overall higher profitability as well as saving on the opex for the bank. And today as I speak, we have not only taken decisions, but most of the things are already on board and into building and implem entation stage. Thank you.

A. Manimekhalai : We are now open for interaction.
Moderator : Thank you very much. The first question is from the line of Mahruk Adajania from Nuvama. Please go ahead.
Mahruk Adajania : Hello ma'am, congratulations. Ma'am, my first question is on yield. So your yield on domestic loans has improved substantially this quarter. What are the drivers of the improvement? And is this margin sustainable now? I know you had guided to much lower for the year, but since you've already overachi eved, is it sustainable? And also in the breakdown of interest income, the interest on RBI balances looks much higher sequentially. So comment on that too ma'am please.
P.K. Samal : Good afternoon ma'am. This is Samal this side to your first question abou t the NIM and its sustainability. We have also earlier given you a picture that we have around 90% of the loans which are floating rate loans linked to either around 49% linked to MCLR and EBLR rate. So quite a good portion of the loan where the interest r ate transmission was pending , that has been taking place during the quarter. So that was the reason why you would have seen an improve ment in the yield and advances.


Of course, the deposit rates have also gone up in the improvement of the cost of the deposits. But that has basically led to the improvement in margin. You know there are also certain advances where still the interest rate trans mission will be happening over the subsequent quarters. We have given guidance to you to maintain a margin of aro und 3% and we are trying very hard to see that the margin remains pro tected at the 3% level overall.
To us, we are also working on the deposit side to see that the deposit cost remains within control. Also, the CASA side, we are working on various initiatives. So we are very much confident that we will be able to maintain a margin of around 3%. That's wha t the guidance we are giving. The second question was about what was that? Interest.
P.K. Samal : I think that was additional interest income from the RBI balances and all that .
Sudarshana Bhat : RBI balances and others per

taining to swap transaction we did, and which has resulted to around
INR600 to 700 crores additional interest income generated from the treasury operation, madam.
Mahruk Adajania : Okay, but if you are guiding the margin of 3% and currently we are at 3.15, so we are expecting margins to come down during the course of the year?
P.K. Samal : We can't say exactly that madam because we have to see how the you know MPCDs and the rate hikes and all happen and also what is the liquidity condition going ahead as of now it is positive because of the de monetization and other related matters and also credit demand has been not that aggressive but going ahead we will have to see how this liquidity condition also prevails. So we have taken some conservative estimates so that's why we have given a 3% kind of a guidance madam.
Mahruk Adajania : Sir answer my last question is so when do you think deposit costs will peak? Will they continue to rise? How much more can deposit cost, your average deposit cost, rise from here?
A. Manimekhalai : Presently the cost of my deposits is about 4.97 and if you look at my deposit book, 27% of my deposit book is bulk deposits and 73% is retail and CASA. We hope to increase the CASA deposits and the local deposits numbers to maintain the cost of deposits an d we would like to bring it down much further. And it also depends on my credit offtake .
Presently my LCR is quite good at 161%. I have got sufficient liquidity and I don't have to take bulk deposits from the market. If my credit increases, outpaces, then I am sure that I have to take bulk deposits from the market and that is where we will see a little bit of growth in my cost of deposits.
Moderator : Thank you. The next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajme ra: Thank you for this opportunity. Compliments, madam, for yet another quarter of very good performance. Your operating profit, your profit after tax, cost to income ratio, credit cost, everything has improved substantially. And the profit has increased i n spite of the other income going down in this quarter to INR3,903 crores against INR5,269 crores in the last quarter, mainly because of the little less recovery in the written of f account to only INR692 crores against INR2,954 crores in the last quarter.


So my first question is on that, that the recovery on the written off accounts going forward in the coming three quarters, what do we see basically which comes to the bottom line of the bank? This is one. My another observation and question, madam, is on t he, if I think, if you look at your slide three of the presentation, I think something, either I'm reading it wrong or it says June 23 already actual, versus March, overall target of March 24. I think this 12.33 is for last year, not for June 23 because in the June quarter the credit growth is only 1%? So I think in this slide…

A. Manimekhalai : Ajmeraji, what we have given is the Y -o-Y growth. Q -o-Q growth is 1.63, that is there in the slide somewhere. But what we have shown 12.33 is the Y -o-Y growth in adv ances.
Ashok Ajmera : Okay, so you are taking the last nine months also. Anyway, so this quarter the growth is, credit growth is little mute, I mean at 1%. So going forward, are we meeting, making the same target of 12% for the whole year? In the nine, thre e quarters going forward, we will achieve that 12% credit growth. This is another one?
And, ma'am, just a small observation on our segment -wise results which have been given. They are very distorting in this quarter. While the Treasury income has gone up t o INR1,262 crores from INR660 crores , it is acceptable. But if you look at the retail, other retail segment -wise profit to INR1,580 crores against INR232 crores , corporate INR1,492 crores against INR2,800 crores , and the other INR494 crores against INR296 cr

ores , and unallocated INR303 crores against INR8 crores .
So is there any change in the segment -wise allocation of the income of the bank or some, I mean the whole process because segment is also very important to assist. So if Mr. Samal can give some explanation for this, that why so much of variation in the segment wise result in this quarter. That is my third thing?
And two, Mr. Samal, again one, on the DTA, on the MET revision, our tax provision in this quarter has gone up to INR1,937 crores against IN R1,105 crores in the last quarter. That is mainly because of the DTA reversal of INR 1,329 Crore , MAT provision of INR 920 Crore , and M AT created of INR 313 Crore . It means in actual effect there is no tax in the real sense has been given. Just want a confirmation on that?
Nidhu Saxena : So, Ajmeraji, to start off with your first question, as regards the recovery in the written off accounts, so recovery as was last year a focus area and is going to continue as a focus area. We are fully aware of the fact that the industry, the system has a lot of stock of the written off accounts, including our bank, and whatever schemes and whatever efforts in terms of recovery we are putting, so we are focusing on the written off accounts where it gives addition to my OP.
And so for that purpose we have a non -discriminatory NDND scheme that is currently also functional. It is available up to September where we are able to settle loan accounts, borrow accounts up to 5 crores and we are able to give liberal settlement to our borrowing customers. And we are finding a lot of traction in this and with the scheme coming to a closure, I am sure in the remaining three months we wi ll be doing more settlement in these accounts.
Ramasubramanian S : And regarding the credit growth, Ajmeraji, Ram Subramanian here. See, against our guidance of 10% to 12%, our credit growth year -on-year is 12.33%. Though in a quarter, it was, as already Madam has told, it is 1.63%. This is, we all know that the 12.33% growth which we will be showing


year-on-year, out of that our RAM portfolio has shown a growth of around 15%. Corporate has shown around 9.4% growth year -on-year.
Though the corporate has sho wn less growth, we have already are having sanctions more than INR 25,000 crores which are going to be dispersed during the current year. Already sanctions are in place and it will be dis bursed . So we don't expect any problem in reaching our guidance figur e which has already been given around 12%.
And for remaining, your questions Samalji will be answering it.
P.K. Samal : Ajmera sir, Namaste. Your first question was regarding the -- I think segment result right. I can see the specifically to the retail bank ing you asked that it is INR 1,622 crores. You see year -on-year basis the same quarter last year it was INR 1,476 crores. Of course in the March quarter it was a bit lesser because there was some additional provisioning in that, certain accounts including certain agricultural advances which also because it is less than INR 7.5 crores, So it comes in that retail banking operations. So because of some higher provisioning the profitability was lesser last quarter. Otherwise if you see last year first quarter t o this year first quarter it is comparable.
The same way in the corporate banking also now corporate banking is actually becoming profitable. The reason being that the aging provision, we have already almost taken care of. So the provisioning impact will b e very, very less going forward. So corporate banking is gradually therefore making profitable.
Then about your second question on the DTA. In fact, we have made a total provision of INR 1,900 crores this quarter. Out of that, INR 1,300 crores is towards d eferred tax and INR 600 crores towards the current tax. That is what it is. We have, during the first quarter, wha

t is normally done is the tax
is provided on the estimated basis. What will be your estimated profits or estimated write -offs provisioning for the full year that is calculated and based on that it is provided.
So this is again subject to future adjustment in the next quarter and all. So we believe that including the deferred tax reversal and all our total tax liability would be something around INR 7,500 crores

for the whole year. So accordingly that is provided. So that is, so actually this is the past year we are going to start paying income tax.
Last year, up to last year there was gross forward losses. This year onwards we'll be paying income tax. So we have also provided current tax, so we have also provided current tax, INR 600 crores in the current quarter.
Moderator : Thank you, Mr . Ajmer a, I may request you to join the queue for any follow -up. The next question is on the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar : Yes, hi. Thanks a lot, sir. Ma'am, just a couple of questions. So, just wanted to reconfirm, do we have any loan or EBLR which is linked to T -Bill?
A. Manimekhalai : We do have, you know, loans to T -Bill. We have TBLR linked loan portfolio and about 1 6% of our loan book is to the TBLR


Rakesh Kumar : Okay so did not we get any adverse impact since the yield came down T -Bill yield came down so did not we get any adverse impact on the loan yield because of the reset?
Ramasubramanian S : See, literally speaking, they are not fixed actually. These are all floating only. It will be reset whenever the T -Bill c hanges, automatically it will be reset. So we only take the spread out of that.
Rakesh Kumar : That's correct. So what I'm saying that in the previous quarter, in the Q1, the T -bill actually came down by around 40 to 43 bps one year T bill, 364 days. So, wa s there any reset done for the loan linked to T bill or not?
Ramasubramanian S : No, actually see, these all are very short term loans. We are not providing the T -bill rate for the long term loans, actually speaking. So these are all maximum periods of 90 d ays, if you are looking at it.
So automatically, when the things are getting over, what we are quoting, it is based on the competition in the market. Again, that will be quoted. So actually, there is no loss for the bank out of this.
Rakesh Kumar : So Have we run off? Did not we renew that book?
Ramasubramanian S : Yes, it was renewed. That's what my corporate growth is muted on that.
Rakesh Kumar : So after the renewal, whatever rate we would have got that would be lower than the rate which was prevailing ear lier.
Ramasubramanian S : Correct. That is the reason why we have not much aggressively quoted during the current quarter.
Rakesh Kumar : Got it, sir. So a couple of other questions.
Ramasubramanian S : There was a small rundown in the corporate book, actuall y.
Rakesh Kumar : Okay. So coming to the notes of accounts, so like in the PSLC, we accrued the income of INR550 crores this quarter. What was the like to like number in the previous quarter and a year back sir?
A. Manimekhalai : Last year the income was clo se to about INR 120 crores.
Rakesh Kumar : Okay this year it is INR 550 crores.
A. Manimekhalai : Yes, we have seen a growth of almost 430 bps Y -o-Y in the PSLC numbers.
Rakesh Kumar : Correct ma'am, correct. And how much we are planning to sell ma'am in the remaining nine months any number that we have in the mind PSLC how much we are planning to sell?
A. Manimekhalai : As of now see if my rate is good enough then I will be doing it. As of now, I do not have anything in mind to sell off right now in this quarter.
Moderator : Mr. Kumar, may I request you to join the queue for any follow -up?
Rakesh Kumar : Just one question, last one question I have. So this sundry interest received is INR 303 crores. So what is

the character of what is the, like, if you can e xplain on that number, related to notes of accounts number 18, what is that interest income number in the miscellaneous income?


P.K. Samal : Income tax refund.
Rakesh Kumar : But that is in the other income line.
P.K. Samal : It goes in other income, right.
Rakesh Kumar : Not in the interest income line.
P K Samal : No, it doesn't go in the interest income. Because it's not a regular kind of, it's not a lending activity. So whenever the income tax department completes assessment, they give the refund, then a sm all portion of interest also comes with that.
Rakesh Kumar : Okay, so we need to adjust the NII number to that extent, correct, Sir? Though it is in the other income but we have to…
P K Samal : No it is not a part of our net interest income, it is not a part of net interest income because it is not a lending activity a s such, so therefore we don't consider that. It's not a core business.
Rakesh Kumar : Got it. Thank you, sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Jai Mu ndhra from ICICI Securities. Please go ahead.
Jai Mundhra : Yes, hi, congratulations for a great set of numbers and 1% ROA. My question on home loan actually, home loan and corporate loans. So, both these segments which are probably more competitive have been growing at a much fast -- at a much lower pace than system. Corporate growth we have been, if I look at last two quarters has been more or less muted, flattish or actually marginal decline for the last two quarters. At the same time home loan, the growth is, of course, 10%, 11%, but which is much lower than the system number that we see from RBI. So, I wanted to check your thoughts ma'am from a medium -term persp ective that how are you looking at both these segments, A, corporate in terms of growth and B, the home loan?
Ramasubramanian S : Sir, as you rightly told, these two fields are very, very highly competitive. How we are now, first regarding corporate loan, if I am saying, if I am doing that, we now look at the overall profit from each corporate. We are also having our collection services provided to them so that we can compete with the market where there is a very, very high competition is there in the rates .
At the same time, we are also looking at some of the few new sectors like your renewable energy and real estate where we can get a higher margin. But we expect that, we are also having -- as I earlier told, we are also having a large number of amount wh ich is already sanctioned and are in the various stages of disbursement more than INR 25,000 crores is in disbursement. Hence, we don't see that any decline in growth in the corporate sector in the coming days.
As regards to retail, yes, though we are, as you told, that we are lesser than the industry growth. But if you are looking at it, we are consistently growing in the housing sector and now in the last year we have undertaken the verticalization of the entire retail portfolio and now everything underw riting is being done by retail loan points and though the delivery is at the branches. So, now all the structures, everything is in place and we expect that TAT will be improving and we will be showing an excellent growth during the current year.


Nidhu Sa xena : Just to add on that regarding the home loans, what we have seen last year, lot of centralization has given benefits to the bank. So, home loan in one particular area tying up with builders. So, that we found that, we need to actually improve, ramp up and what we have done this time that the builder project approvals were all centralized at the central office. That itself will increase our penetration in the builder new projects that are coming up across the country and with that of course the home loan gro

wth will be further improving.
Ramasubramanian S : I to continue on that. If you are looking at it, our education portfolio which has shown a 33% growth. The thing is this is – we are now focusing on a high value education loans, where it is to the p remier institutes or abroad studies only where more or less it is a very good job opportunity or it is fully collateralized. So, we also find that, this is a great avenue for the bank, and also for the new generation, the customer acquisition also it helps us on that.
Jai Mundhra : Right. Sir, your yield on advances, right, this question was, I think, was asked earlier also. The yield on advances has grown by – has increased by 40 basis point Q -o-Q, which is actually higher than what it was, higher than the uptake seen in the last quarter. Of course, there is a floating loans getting repriced. The question -- there are two questions, one, A, do you think that because the repricing should continue in, let us say, second quarter as well, so similar kind of a y ield improvement is possible in yield on advances? And, B, is there any some other sector also such as maybe the interest recovery on NPA bulky NPA or something else which may have helped this number, yield on advances or this should be assumed to be…
A. M animekhalai : Yes, see my MCLR book is close to 50% of my loan book and during the current quarter just about 25% of my MCLR base book has been repriced. So, going forward I do have a book of about INR2,76,000 crores of advances which are still to be repric ed and for the next three quarters it will be repriced accordingly. Then I also have recovery also I am looking at and written off accounts and where it is fully provided. In those sector also, there will be an interest reversion and I am also looking at i nterest income coming from that portfolio.
Jai Mundhra : Right, so 25% has already that got repriced in this quarter, right, if that is first quarter?
A. Manimekhalai : Yes, June quarter it has been repriced.
Jai Mundhra : Right. Understood ma'am. And lastl y, on bulk deposits, so we have 25%, 27% of the deposits under bulk category, is that the blended cost of bulk deposit in a way is, I mean, lower than the TD cost or how has that behaved?
Sudarshana Bhat : That will be little higher between 20 bps to 30 bp s than the retail cost of the deposit.
Jai Mundhra : Okay. And is that the trend getting better there sir? I mean the bulk deposit isn't the cost moderating at a slightly faster pace?
Sudarshana Bhat : Yes, it is moderating at the current level because mor e demand supply matters. And expectation of the rate cut in the coming fourth quarter of the financial year also looked into.
A. Manimekhalai : As there is enough liquidity in the market right now and so we are seeing a moderation in the rate of

bulk depos its.


Jai Mundhra : Sure. And I have a last question ma'am on ECLGS, right, so we have mentioned around INR16,700 crores sanctions. If you can share the outstanding number and as well as the NPA that is there?
A. Manimekhalai : Yes, the outstanding is around INR 8,700 crores and NPA is to the tune of 5.93%. But these are all -- there is a guarantee on these accounts which has been given by the government. So, we have no problems in recovering this amount.
Jai Mundhra : Right. And 5.93% is on sanctions amount, right, because that is how…
A. Manimekhalai : Yes, yes.
Jai Mundhra : Sure. Thank you, madam, and all the best.
A. Manimekhalai : Thank you.
Moderator : Thank you. The next question is from Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje : Hello, hi team. Congrats and good afternoon. Just a couple of questions from my side, if I look at the slippages breakup across segments, you have seen elevated slippages from the corporate segment this quarter. Can you give some colo ur on what sector these slippages have

come from?
A. Manimekhalai : Yes, we had slippages to the tune of INR 1,200 crores from the corporate credit. And it has only one or two accounts and that is only in the LRD segment t hat we have got this, about one LRD segment that we have got. And others were small loans that the RBI had plugged off, but they had not asked us to classify that NPA but we took view to classify this accounts.
Ashlesh Sonje : Okay, ma'am and secondly, if I look at the staff cost number, sorry, the non -staff cost number that has declined by 7% quarter -on-quarter, could you explain this decline?
P K Samal : Ashlesh ji if you see our Q4 number last year, there are some additional items like the PLI was there, the performance linked incentive provision was there. The family pension, one -time family pension, it was fully provided where we were supposed to amortize it over the next four years we have provided the entire amount of INR 1,500 crores. So, that was the main reason why the Q4 of last year's staff cost was higher. So, that is now normalized, actually.
Ashlesh Sonje : I was more curious about the non -staff cost part, which has come down by 7% Q -o-Q?
P K Samal : Non-staff cost. Okay. That's also normal basically, what happens, it is usual for the normal first quarter kind of business, normally opex used to be a lower side because most of the expenses the payments are made in the fourth quarter. So, normally fourth quarter the opex used to be on a higher side. But otherwise if you see on quarter -to-quarter basis sorry year -on-year basis June '22 it was INR 2,298 crores and June '23 it is INR 2,300. So, slight increase on year -on-year basis.
Ashlesh Sonje : Okay, per fect. And just lastly, can you share the number of employees who are still part of the defined benefit pension scheme?
P K Samal : That we will provide you right now, that number is not available with me. I will provide you separately.


Ashlesh Sonje : Okay, sir. Thank you. And just one last clarification if I may on the YOA number, the yield number which we have given our presentation, would that be a yield on assets number or a yield on advances number for us?
P K Samal: Yield on which yield you are talkin g?
P K Samal : It is yield on advances. Right
Ashlesh Sonje : Perfect. Thank you.
Moderator : Thank you. The next question is in the line of Deepak Poddar from Sapphire Capital. Please go ahead.
Deepak Poddar : Yes. Thank you very much sir for the opportunity. Sir, so first of all I wanted to have a clarification. You mentioned about INR 600 to INR 700 crores of some additional income, right? What was that account of?
P K Samal : INR 600 to INR 700 additional income during Q1? No, we have not mentioned any such thing. In fact, Q1 there were some additional income one was the PSLC certificate sale of priority sector certificate with just INR 550 crores plus there was income tax refund of INR300 crores.
Deepak Poddar : And INR 300 crores is what?
P K Samal : That is income tax refund.
A. Manimekhalai : INR 700 was recovery in write off…
Management : 100% recovery that normally we get.
Deepak Poddar : So, INR 550 crores of PSLC extra additional income?
P K Samal : Priority sector certificate sale.

Deepak Poddar : Okay, understood. And sir in terms of your cost -to-income I think, we have seen a big improvemen t right in this quarter, so how do we see that going ahead and our ROA aspirations, yes?
P K Samal : The cost -to-income we will be something around 44% to 45% that is what we are trying to reach, basically. So, we are well -placed to achieve that. The number one is that the benefits from digitization and other activities will come. And second is through our outsourcing, through our wholly owned subsidiary, UBI Services Limited wherein we have been now a lot of marketing of the loan products as well as the bac k office op

erations and all being outsourced that expansion is also in a very good phase. So, that we will save. Apart from that, whatever branch rationalization and all that we have done, that cost will be definitely continue to accrue to us.
Apart from that, we have been focusing on the fee -based income, which is basically this year fee - based income focus will be again on the transaction banking side, on the third party income like wealth management, insurance product and all, credit card will be the primary focus on the fee -based



income. So, considering that, we believe that we will be able to have that guidance of around 44% to 45% cost -to-income ratio.
Deepak Poddar : Understood and ROA aspirations over the medium -term?
P K Samal : Yes, that was, in fact, every time you are asking the same question when the bank is going to achieve a ROA of 1%, we are always telling you it will be the 2025. But we will always tell you, but we are aiming to achieve it much earlier than 2025.
So basically, there are three things to achieve this. One is that the credit cost, which is very important, and we are very closely checking that. So our recovery cost and the slippages control . This is one thing, because that is the sole thing which determines your ROA. So we believe that our credit cost will remain under control over the next year, this year, and going forward also, credit cards will be under control, that is one thing.
Then the non -interest income side, we are very focused and last year we had around 30% kind of growth, this year also we have been focusing on that to have that kind of a growth. So we are putting our best efforts to, see that we maintain this. That is our endeavor .
Deepak Poddar : Okay, maintain this 1% ROI rate.
P K Samal : Yes.
Moderator : Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.
Dixit Doshi : Yes, thanks for the opportunity. My first question is regarding the provisions. So you have mentioned that our gross NPA target is coming below 6%. What kind of target we have for the net NPA and also the credit cost was substantially lower this quarter. So do you feel that for rest of the year also it will b e in this range?
Rajiv Mishra : Last year also we did a good recovery, though the guidance was around INR 16,000 crores, we did around INR 20,000 plus crores. This year also the guidance which we have given for recovery is around INR 16,000 crores and we ha ve done in the first quarter around INR 3500 plus crores, which we intend to better off in the remaining nine months and we will be doing better. So guidance for GNPA is around below 6%, and Net NPA would be around below 1%.
Dixit Doshi : Okay, and what abo ut credit cost?
P K Samal : Same as I mentioned, we are very much taking very much, very concerned steps on this area to check the slippages as well as recovery. And I think we have done aggressive provisioning in the earlier years that you have seen our pr ovision coverage ratio is more than 90%. So we are therefore expecting that going forward, aggressive provisioning is not required and through our recovery mechanism and all, we are not expecting any substantial slippages.
So that will keep our credit cost much under control. so you will not see any surprises I believe in the in terms of the credit cost it will be in the similar range.



Dixit Doshi : Okay so 10, 15 basis point plus or minus but it will be in this range only credit.
P K Samal : That's what, Yes.
Moderator : The next question is a follow -up question from the line of Ashok Ajmer from Ajcon Global. Please go ahead.
Ashok Ajmera : Yes, thank you for giving me the opportunity again. Sir, I got one small query -- I might have missed in between. This employee cost in this quarter has come down to

INR 3,183 crores as compared to
the last quarter of INR 4,142 crores . Whether the trend is going to be the same around INR3,200 crores every quarter hereafter or is the re any provision to be done which is left out?
P K Samal : No sir, last Q4 was an exception because of the absorption of the onetime family pension cost. That was exceptional, otherwise there is nothing exceptional in the employee cost side. So normal incre ments and all will happen. So it will be similar only, sir.
Ashok Ajmera : And sir, my another question is on the provision for the ECL, expected credit loss. So whenever it comes, like the guidelines are getting now pumped up. So how much cushion do we alr eady have and how much direct provision we have done in anticipation of the future credit loss?
P K Samal : Sir, what we are doing is that based on the particular account, we make specific account, specific provisioning sometimes. So what is required under the RBI, IRAC norms, we tend to provide a little more in these accounts. That's why you see our provision coverage ratio has gone close to 91%. That is one thing.
So we have not so far created any specific floating provisions which you are referring about to take care of the ECL. The reason being that we believe that the ECL can be better controlled through the monitoring mechanism through control of the SMA and all because on the NPA side we have provided enough so nothing more should come from ECL side.
Ashok Ajmera : So any other buffer provision, any other like COVID provision, or any buffer which we have, the provision other than the IRAC?
P K Samal : The COVID restructuring provisions are continued to be there in the book. So that is for the RBI guidelin es. What I mean to say is that the ECL provision which we are mostly talking about is the differential is mainly coming from the SMA Stage 2 assets. So that is basically we are very closely and critically monitoring and trying to reduce and it has been if you see last few years we used to be have SMA assets double digit 15% and that has now come to below 4%.
So we have been gradually seeing the reduction in terms of the ECL provisioning, which we will see further reduction also. So we are trying to control that. So therefore we believe that there may not be very substantial impact going forward, maybe one year l ater when we will be actually moving to the ECL mechanism and we should be able to observe that.
Ashok Ajmera : Last is on NARCL, any colo ur on that because we have stopped talking about that now I think things are not happening there or we expect now in th e coming two quarters at least something to happen here which may majorly bring in some money here.


Nidhu Saxena : So, Ajmeraji, last year already three accounts have seen the settlement, they have been transferred successfully, amount of INR990 crores arou nd was involved and recovery for the bank was around to the tune of 46%. Now we have in addition to this another eight set of accounts where the NARCL has given us the price and the process for accepting those bids are on the way.
Another 10 set of account s are there where the NARCL is doing their due diligence and in due course they will be sharing us the price to look at. So this is the thing and process is going on. Three accounts already settled. Another set of 20 accounts, 25 accounts we are seeing pro bably will be seeing the first recovery through NARCL.
Moderator : Thank you Mr. Ajmera . I request you to join the question queue for any follow -ups. The next question is in the line of Sarvesh Mutha from Antique Stock Broking. Please go ahead.
Sarvesh Mutha : I have one question. Can you give a break up of fee based income and treasury income? Thank you.
P K Samal : Okay, that break -up is available. The treasury income is somewhere around INR 775 crore s, comprising of exchange income of INR 261 cr

ores, received from the normal profits from the trading activities as well as mutual funds. Then the other one you have asked? Core fee -based income? Yes. The core fee-based income was INR 1,947 crores for the Q1 a s against INR1,679 crores the corresponding figure of the last year.
Sarvesh Mutha : No, within fee based income like forex income or any other break up within that?
Sudarshana Bhat : As far as treasury is concerned INR 775 crores out of which forex inco me is INR 261 crores remaining are sale of investment profit on SLR, non SLR and mutual fund activity. That is around INR 500 cores.
Moderator : Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to th e management for the closing remarks. Thank you and over to you.
A. Manimekhalai : Thank you everyone and we hope that we have clarified all the issues that you have raised here. We are extremely thankful to the analysts for the positive things that you tal k about of Union Bank and we will be closely interacting with you in the next few days also because the bank is in the process of raising the QIP. So we will be interacting with you more often. Thank you and have a good day.
Moderator : Thank you very much. Ladies and gentlemen, on behalf of Union Bank of India, that concludes today's call. Thank you all for joining us and you may now disconnect your lines.

# Call: Nov 2023

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■■■■■■ Ref.:■■.■■.■■.ISD/299/2023 -24 ■■■ ■■ Date : 01.11 .2023

■■■■■■ Madam/■■■■■ Sir,

■■■■ / Subject: ■■■■■ ■■■■■■■■ ■■■ ■ ■ ■■■■■■■■ Transcript of Post Earnings Call

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This is to inform that transcript of Post Earnings call held on October 28, 2023 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter ended on September 30, 2023 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindia.co.in/english/financial -result.aspx

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

Encl.: As above
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National Stock Exchange of India Ltd.
■■■■■ NEAPS
■■■ ■■■ Scrip Symbol -UNIONBANK -EQ

“Union Bank of India
Earnings Conference Call ”
October 28 , 2023

MANAGEMENT (UNION BANK OF INDIA):

MS. A. MANIMEKHALAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. NIDHU SAXENA – EXECUTIVE DIRECTOR
MR. RAMASUBRAMANIAN S – EXECUTIVE DIRECTOR
MR. SANJAY RUDRA – EXECUTIVE DIRECTOR
MR. P K SAMAL – CHIEF FINANCIAL OFFICER
MR. SUDARSHANA BHAT- CHIEF GENERAL MANAGER
MR. ASHWINI KUMAR CHOUDHARY - CHIEF RISK OFFICER

CONFERENCE CALL SERVICE PROVIDER:



Moderator: Ladies and gentlemen, good day and welcome to Union Bank of India Earnings Conference Call for the period ended September 30 th, 2023. The Bank is represented by the Managing Director and CEO, Ms. A. Mani mekhalai , Executive Directors, Shri Nidhu Saxena , Shri Ramasubramanian S , Shri Sanjay Rudra and other members of the Top Management.
As a reminder, all participa nts lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch tone phone.
Please note that this conference is being recorded. I now hand the conference ove r to Mr. Sunil Kumar Jadli, Deputy General Manager. Thank you and over to you, sir.
Sunil Jadli: Thank you, sir. Good afternoon, ladies and gentlemen . I, Sunil Jadli, Head of Investor Relations, welcome you all to this Union Bank of India earnings conference call for the period ended September 30th, 2023. The structure of the con -call shall include a brief opening statement by respected MD and CEO madam and then the floor will be open for interaction.
Before getting into the con call, I will read o ut the usual disclaimer statement. I would like to submit that there are certain statements that may be discussed during the investor interaction, may be forward looking statements based on the current expectations. These statements involve a number of ris k, uncertainty and other factors that cause the actual results to differ from these statements. Investors are therefore requested to check this information independently before making any investments or other decisions.
With this, I now request our respect ed MD and CEO madam , for her opening remarks. Thank you and over to you, ma'am.
A. Manimekhalai: Good afternoon. I hope that all of you are able to hear me. It is my pleasure to welcome our analysts and investor community for Union Bank's financial results for the quarter ended September, 2023. You are one of the major stakeholders for the bank and we are grateful for your continued support and feedback that helps us to take informed decisions.
The Indian economy continues to be resilient , amidst uncertainties in the global environment. During the quarter, we have seen economic activities have performed better, improved GST collection, pick up in the automobile sales, strong traction in the UPI payments, expansion in manufacturing and servic es.
However, there are concerns emanating from the on -going geopolitical tensions, slowing external demand, volatile oil prices, moderating elevated inflation. Our bank's business and financial results continued good momentum during the Q2FY24 with good se t of numbers in terms of profit, asset quality and capital adequacy among others.
During the quarter, our bank successfully raised equity capital of INR 5,000 crores via the QIP on August 25, 2023. This is one of the largest equity capital raising programs in the PS B space in recent times. This demonstrates the continued faith all of you have on the Bank's growth trajectory and prospects.

During the quarter, domestic rating agencies have upgraded their outlook on Banks' Basel III complian ce bonds, while Crisil, ICRA and India Ratings upgraded their outlook from stable to positive. CARE upgraded their rating to AAA with stable outlook. This demonstrates the Bank's sustained improvement in asset quality, improved earnings over the past few qua rters, alongside steady balance sheet growth and adequate capitalization.

Quite recently, the bank has undertaken one of the pioneering initiatives by launching Union Bank's first -ever women's hockey team. On the inaugural day, we had a friendly match with Indian Railways. This resonates

our commitment to empowerment, inclusivity and community engagement.

Let me now give a brief on the highlights of our Bank's performance in the quarter ended September 2023. The total business of the bank reached INR 19.85 trillion, with a deposit base of INR 11.38 trillion and advances of INR 8.47 trillion. The deposits of the Bank registered a growth of 9.04% Y -o-Y. Credit registered a growth of 9.5% as of September 2023.

The operating profit of the Bank reached INR 14,400 crores for the half -year ended September 2023, registering a Y -o-Y growth of 19.8%, largely driven by 13% Y-o-Y growth in net interest income and 25% growth in non -interest income. Net profit of the Bank stood at INR 6,748 crores for the half -year e nded September 2023, with a Y-o-Y growth of 98%.

We are above our guidance in NIM by registering a continuous improvement to 3.18% for Q2FY24 from 3.13% in Q1FY24. The RAM portfolio registered a higher growth of 14.7% Y-o-Y as of September 2023. Retail grew by 14.7% , Agri by 15%, MSME by 14%. Out of the retail, we have registered a very good growth in education loan which registered a growth of 50%, gold loan by 56% and vehicle loan by 26%.

The gross NPA has reduced by 207 b ps to 6.38% and Net NPA has come down by 134 bps to 1.3%. Provision coverage ratio of the Bank has also improved to 92.03% , while credit cost has been brought down below 1% , i.e. to 0.81%. Return on Assets has improved, Return on Equity has also improved. Return on Assets is 1.07% and ROE is about 17.97%. The [CRAR] has improved substantially from 14.5% to 16.69%. CET-1 ratio has improved to 13.05%.

We continue to enhance our digital capabilities by on -boarding news customers in our digital platforms. We ha ve 24 million customers now registered on our mobile platform. The Bank has rolled out many digital journeys , covering both assets and liability products. We firmly believe that these digital journeys will not only enhance customer satisfaction , but also translate into good business opportunities for the Bank.

We have rolled out several initiatives like the Wealt h Management, the CRM Edge tool for our customer relationship, Analytical Centre for Excellence and many more such new initiatives have been taken up. For better penetration of the market, we have also started extensively utilizing the services of our own Bank subsidiary i.e. UB ISL for business expansion.

We have also on -boarded external domain expertise by recruit ing CDO, CRO, Wealth Management and Head of Merchant Banking and Credit Card s, Head for Digital Banking and many more external domains are also b eing taken up during this quarter and the next quarter.



We understand that by bringing this external expertise, we will be embracing fresh perspectives, new ideas and innovative approaches and thereby increase our portfolio.

Looking ahead, we see a lot of opportunity for the Bank, in-line with the emerging trends. We will remain committed on maintaining a strong balance sheet with a healthy growth and profit so that we stick to our guidance.

With this, I conclude my opening remarks and we are now open for interaction. Thank you.

Moderator: The first question is from Mahruk Adajania from Nu vama. Please go ahead.

Mahruk Adajania: Hello, madam. Congratulations to you and your team. So ma'am , my first question is on deposit growth. So, you had excess SLR wh ich you have utilized and you still seem to have excess LCR.

So, could we expect deposit growth to remain in this range even in the quarters ahead till you utilize additional excess LCR? That's my first question on deposit growth.

And then I have a questio n. Last time you had explained , but if you could elaborate a bit. So, your other interest income has been higher than your normalized level and that's largely treasury related interest income. But if you could elab

orate on what has actually happened ?
And then of course, your outlook on NIM because when you were seeing so many other Banks showing falling NIM s, your NIM s have actually improved marginally quarter on quarter. So, given festive offers , do you expect to be able to hold on to NIM s at these le vels?
A. Manimekhalai: Thank you. With regard to deposit portfolio for the year, we had given a guidance of 8% to 10% and we have grown by 9.04% in September 2023. And we hope to maintain that kind of a trajectory. As we have already told that we have got enough liquidity in the Bank, we will not be that aggressive on taking bulk deposits, but our major focus will be on increasing the CASA ratio, CASA of the Bank.
The CASA, if you can see from the results, has increased by 4.5%. So, we will be concentratin g on increasing the CASA balances in our bank. So, for that reason, we have taken major strategies have been taken up for increasing the CASA like we have started to have deep segmented approach for CASA. Specifically, I can tell you that we have started e xclusive products for women, for salaried, for pensioners, for women entrepreneurs and such like that.
We have also put in place a concept of relationship managers, which is hitherto not there, dedicated relationship managers to take care of the top clients of the Bank. We have started exclusive vertical in the B ank to concentrate on salary, current account and relationship, all those things. We have also taken up the digital path, w hich will enable us to increase our footsteps and CASA.
We also have onboarded, as I have earlier told in my opening remarks, wealth management and merchant acquisition and credit card also has been taken up. With regard to NIM, we understand, yes, the ma rkets have shown a little bit of decline, but we are sure that we will be able to protect our NIM at 3%. Going forward, there will be a little pressure on the margins due to the liability


repricing, but I don't think that our NIMs will fall to a very great extent. We will be able to maintain the NIM at 3%.
P K Samal: Yes Maam, Good afternoon, Samal this side. With respect to your third question on the other income, you are right, this is basically comes from our treasury for deployment of the temporary funds in various, like interest from other Banks, interest from RIDF, etc., interest from FRA, IRS, etc. Since we have some surplus funds available, that is temporarily deployed. So that is the income, right? And also swap income.
Sudarshana Bhat : In addition to that, arbitrage swap income between forex and domestic market, because forex market yields are higher than the domestic market, which has been deployed in arbitrage swap, which is generated around substantial income in the other interest.
Mahru k Adajania: Sir, could you quantify the amount?
Sudarshana Bhat : It will be around INR700 crores per quarter.
Mahruk Adajania: Okay, sir. Thank you.
Moderator: Thank you. Our next question is from the line of Rakesh Kumar from B&K Securities. Please go ah ead.
Rakesh Kumar: Yes, thank you. Thank you, sir. Thanks, ma'am. A great set of numbers. Firstly, ma'am, this credit yield number for this quarter, so what is that is driving this credit yield number? There is a sequential rise. Previous quarter also we h ad seen a rise in the credit yield. This quarter also we have seen a rise. And CRR at the moment is not that much. So what is contributing to this rise in the credit yield? So is it the credit composition has changed in the favor of higher yielding advance s? If you could explain and what is the longevity of this rise in the credit yield number in the coming second half, if you can help with that, some understanding on that then it would be helpful.
A. Manimekhalai: Yes, thank you for the question. The yield we were able to maintain at 8.8%. And what I can tell y

ou is here the 50% of my portfolio, that is advances portfolio is MCLR backed and repricing is happening on a quarterly basis.
And we have seen that, even in this present quarter, and the next quarte r, I have almost INR 1.2 lakh crores repricing yet to be done on my domestic advances. And secondly, if you have seen my improvement in CD ratio, that has also enabled the increase in my yield. And thirdly, we have phased out low yield advanc es. We have phased out in a very, very strategic manner. Last but not the least, I can tell you that we have increased our portfolio of the retail advances. If you've seen earlier, it was almost like 55 -45.
That was my ratio, retail and RAM . But we have n ow increased our RAM portfolio to 57%. And my credit portfolio, which gives you a lesser yield, I have brought it down to 43%. So, all these mixed strategies have given me a better improvement in my yield on advances.

Rakesh Kumar: Got it. So, if you can help us understand th at in Q1 and Q2, proportion of loans linked to MCLR, what are the repricing?
Moderator: Sorry to interrupt, Mr. Rakesh Kumar. May I request you to please use your handset? Your voice is not audible, sir.
A. Manimekhalai No, I got the question. The Bank's d omestic advances, 50% of my domestic advances is classified under MCLR. Quarter wise, if I can tell you, in Q1 and Q2, we had repriced about INR 1.1 lakh crores of the MCLR. And for Q3 and Q4, it will be about INR 1.2 trillion of the domestic advances unde r MCLR will be repriced.
Rakesh Kumar: So, INR 1.2 trillion is the cumulative number, which is coming?
A. Manimekhalai Yes, for Q3 and Q4, that's the cumulative number. For this quarter, if you want to break up, it's about INR 58,000 crores. And for Q4, i t will be about INR 66,000 crores.
Rakesh Kumar: What proportion of term deposit is coming for repricing in Q3, Q4?
A. Manimekhalai: See, we have taken a lot of deposits as on September 2022, the repricing had happened actually. So, as of date, we do not h ave much of our portfolio, which will be repriced in Q3 and Q4.
Rakesh Kumar: Okay. And what is the reason for such a sharp jump in the processing charge of advances? So, this quarter also, we have close to around INR 417 crores – INR 418 crores number pro cessing charge on advances, part of the other income number. So, why there is such a sharp jump, ma'am?
A. Manimekhalai: See, if you have seen, my portfolio has also increased. And plus, you know, usually, there are a lot of review and renewables will come up in the Q2 part of the year. And that is why the processing fee has gone up. See, this is a legal income that the Bank has to get. First of all, you should all understand this. And then we have been doing our renewables and review right in time.
And that is the reason the processing fees has been increased. It is not that dramatically, if you can see that my portfolio in the corporate structure has also not increased. But the Bank is very prudently looking at renewables and review of the term loans. And accordingly, my processing fees has also gone up.
Rakesh Kumar: So, this run rate will continue ?
A. Manimekhalai: Yes, it will surely continue. We are, you know, if you see, because it's a festive season, some of my portfolio, we will not take process ing charges or the reduction will be there. But however, this run rate will continue.
Rakesh Kumar: And the sundry interest income received, I think, you know, last quarter also, we had discussed, this quarter also, this is quite a sizable number. So, this is interest income on the income tax refund, which is sitting in the non -interest income line, which is still -- this quarter also, we have got a quite sizable number ma'am?




P K Samal: Yes. This quarter also, we have got some incom

e tax refund . We got INR 255 crores. So we are actually -- the pattern is not something . The department when they complete the assessment and raise the refund we get that. Of course, we do a lot of follow -up with them for the early assessment in refund that is one thing. So we get that the interest portion of that one. The other part of the treasury income, whic h we have already explained now when madam Mahrukh had asked the question.
Rakesh Kumar: Correct, correct. Sir in the second half, this kind of income would not be there. This income tax refund on the IT?
P K Samal: May not be, but it depends, it may come also. We are still following a certain assessments are pending. So if they release we may get something. So this pattern is not -- it can be unusual like it can come it may not come. It's not a core income .
Moderator: Thank you. Our next question is from t he line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera: Congratulations, madam for the fantastic set of numbers. There is hardly anything, I mean, which can be pointed out because on all the parameters the Bank has performed very well. An d congratulations to you for raising the capital also of INR 5,000 crores at such a good rate, INR 2,500 crores issue and doubled to INR 5,000 crores with the extra subscription.
It's a fantastic job. Also for the rating upgrade because of your per formance. And congratulations and welcome to our ED Rudraji to this Bank, Union Bank of India. Having said that, ma'am I have got some certain discussions, certain point of information and your idea on revision of some of the targets because of this performance.
Coming first is our slippage target for the whole year is INR 12,000 crores. But up to September, it is only INR 5,400 crores. So you would like to reduce this target, slippage will be more under

control? Number one.
Similarly, on the recovery side also up to September, we have almost achieved about INR 7,800 crores. So whether the recovery target of INR 16,000 crores also may be upgraded. Can we a little a little optimistic on that? And can I get the answers of this and then we go on…
A. Manim ekhalai: Thank you, Ajmeraji, and thank you for all the compliments that you have given us. Of course, the guidance the Bank had given was on the beginning of the year, but we will not be revising those guidance. We have as against INR 12,000 crores we hav e done about INR 5,404 crore s as you rightly pointed it out.
But this is the maximum line that we have kept we will try and keep the run rate below INR 12,000 crores. And with regard to recovery, we have kept the guidance of INR 16,000 crores . As you can understand, last year, even though we kept the guidance of INR 16,000 crore s, we had done about INR 20,000 crores. But now we will not be revising the guidance, we will maintain the guidance and see that we surpass those guidance levels.


Ashok Ajmera: Point well taken, ma'am, we had already discussed in the earlier question about CASA. Perennial, in fact, our CASA ratio compared to some of the other peer Banks is low at around 34%, 34.5%. And because of that our NIM is also in the range of that 3%, 3.1% or something. So while you are taking as you said actions on increasing the CASA can there be some more aggressive or out of box thinking to increase this CASA ratio over the period of time so that we also match with the other Banks of going beyond 40% or so. Is there any thought to remove some of those obstacles which comes in the way for CASA for us?
Nidhu Saxena: So Ajmeraji, Saxena this side and see as already told by MD, the deposit growth, what we have seen in the September quarter is 9% against our guidance of 8% to 10% overall. And within which CASA has grown at a Y -o-Y rate of 4.5%. Now actually, what we have been doing, we are analyzing ho

w the market is performing in CASA and how our Bank is positioned vis -a-vis our peers and all PSB s put together.
So the figures for September are not available, but we have seen since June and what this analysis tells us that, yes, CASA has become a little competitive area definitely and the growth is a challenge in this sector. What we have seen in s avings CASA put together term deposits and total deposits , Union Bank so far is performing quite well when we compare and see the comparative position so we are almost second or third highest in terms of growth in all these individual and overall total dep osit parameters .
Having said that, see, CASA is definitely an area of focus. We have added despite the challenge in the low CASA ratio, around INR 16,500 crores is what net CASA we have added year -on-year figures and lot of initiatives have been taken. So, if I have to share a few of them, some initiatives that already have been implemented and some that they are going to be implemented in due course.
So maybe share a few of them. So in the opening remark, MD has also shared. So we have gone for product imp rovements, what we had found that our salary share of SB was low compared to others who are players and the private players. So we provide a lot of product. Today, our product, we can most of the best the product in industry in terms of corporate salary ac counts. We are having the best product in industry. We have also looked at customer engagement product per customer. We have also revamped our mobile app to include more and more services so these are all implemented things, and we are seeing some benefits going to come and is coming also.
Going forward also, we are seeing the onboarding experience should be a smooth one. So the video KYC is going to enable the online digital account opening end -to-end that experience we want to give. We also have our own s et of marketing officers and branches, which are mobilizing the CASA business, but to reach out to a wider segment, they are not sufficient so we are engaging our own subsidiary and the workforce available there , the UBI SL, to mobilize more and more CASA b usiness. So those and many more are the strategies that are going to get implemented and CASA will remain our focus going forward.


Moderator: Our next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.
Dixit Doshi: Yes, so I have a couple of questions. Firstly, in terms of , as Miss Chairman has mentioned, the Merchant Banking and Wealth Management business, if you can throw some more light by when

we can build this business, wealth management and merchant banking and how many credit cards we have operational right now. Show some light on those businesses?

And my second question is regarding the income tax. So in the H1, if I see our provision for tax is almost 36%. So it will remain at that level o r for the full year, it will be lower in the H2 and for full year, we will be at 25%?

A. Manimekhalai: Yes. Thank you for the question. We have actually onboarded Head of credit card and merchant banking actually. And our card base has now increased as of September ’23 to 7.27 lakhs as against what it was at 5.5 lakh in September '22. We aspire to reach at least 1 million cards by end of the year. And we have also started the STP journey for existing customers for issuance of credit cards. That's about credi t card.

And with regard to the Bank assurance or the wealth management here, the Bank has got two partners in the area of life insurance, we've got good partners with regard to general insurance and with health also we do have some of the pro ducts . Now the marketing, we are also onboarding wealth managers or what we call as relationship managers for our high net -worth clients .

So that using the analytical tool and lead g

eneration, we will be able to effectively talk to these customers and onboard them t o our wealth management. And in fact, as our ED has also told when he was talking about CASA, we're also looking at PPC, increasing the number of products per customer, all this will enable us to increase not only the fee -based income, but also to increase the stickiness with the customer.

Dixit Doshi: So, my second question was regarding the income tax. So for H1, it was almost 36%. So for full year, it will be 25% or it will remain at these levels?

P K Samal: Yes. Dixitji this is Samal this side. You would have seen in the past half it is INR 3,879 crores, which almost coming to that percentage so 36% mostly is on account of the revers al of the deferred taxes. Foreign tax is only INR 1,217 crores and INR 2,662 crores is the reversal of deferred taxes.

So the Bank is actually planning to move to a new tax regime this year. So because of that, the current tax will remain at 25%, but there will be a onetime reversal of the deferred tax asset that has to be re -casted from 35% to 25%. So we'll have a onetime impact on account of that. So put together because of the onetime reversal. So our whole year tax provision could be around 35%. Which w ill be same as the old tax rate. But then going ahead next year onwards, it will be brought down to 25%.

Moderator: Thank you. Our next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.



Jai Mundhra: Congratulations on a great set of numbers. My first question is on margin. So within margins, we have seen a sharp rise in the yield on advances. Maybe the MCLR portfolio is repricing with a lag, and you have done successfully very well there. You also mentioned that some INR 58,00 0 crores of advances will come for repricing. But what is your sense on the yield going forward? Can they still rise by let's say, the similar proportion at 30 -35 basis points or the incremental rise will be limited to 5-10 basis points?

S. Ramasubramanian: Good afternoon. Ramasubramanian here. See, yield on advances, it is rather , as already we have discussed about this , there are many factors contributing to that where major is that we have repriced our MCLR advances to the large extent in the quarter. And we saw this quarter also, you are getting is some around INR 58,000 crores is going to be repriced under the new MCLR regime. But the yield on advances, it will be purely depending on the market demand and supply. So, going for the present condition, we expect that we will be able to maintain or little above the current rate, we'll be able to do that.

Jai Mundhra: And secondly, sir, the similar question on yield on investment in a rising rate scenario. I mean, Y-o-Y yield on investment have risen at a decent pace. But do you think, in the last two quarters, it has almost, it has been flattest to stable. Do you think there is some more scope in yield on investment also, or which can contribute to the margins or that contribution should be sma ll?

Sudarshana Bhat : Definitely, because our AFS portfolio consists of liquid investment, a treasurable to the extent of INR 40,000 to 45,000 crores that will be replenished with high yield securities over a period of time. Definitely, we will be improving 10 to 25 basis point improvement in the yield on investment also in the coming days.

Jai Mundhra: Okay. And if you can quantify the technical write off recovery (TWO) that is there in the interest income line, this quarter?

P K Samal: Technical write off (TWO) recovery current quarter INR 856 crores.

Jai Mundhra: No, sir. In NII, sir?

P K Samal: That is, okay. So, that is the dummy ledger recovery, which is that’s around INR 700 crores

roughly.
Jai Mundhra: Okay, so that even for the last quarter, it was a lso INR 600 crores, something right?
P K

Samal: Yes. Both Q1 and Q2, it is around INR 1,400 crores.
Jai Mundhra: Okay. And then secondly, ma'am, in your opening remarks, you mentioned that, the Bank has, of course, filled a lot of position laterally, CDO, CRO, wealth and credit card heads. And you also mentioned that there are a few openings that you intend to fill in the coming months. So, if you can specify, I mean, which positions the Bank is trying to fill further?
A. Manimekhalai: We will be taking on role our Chief Economic Analyst, actually, and the Chief Compliance Officer and CFO also. And you know that we have got Union Learning Academies that are the training centers, which are highly expertised in certain areas. So, we have around nine ULAs,


for various sectors like marketing, for operations, for credit. So, we are also taking seven ULA heads for those also we will be taking. And further, domain experts of the middle management and the level of digitization, senior domain experts in terms of debt certification, all those areas we are looking to take from the market.
Jai Mundhra: So ma'am on the retail book . The retail has been focused area and we have been increasing the feet on street. So, I hav e two questions. A, what is the feet on street right now? And B, out of the entire retail portfolio, how much is the portfolio which is buyout portfolio or is not originated by the Bank?
A. Manimekhalai: So, feet on street, we can say that we have got DSAs actually, we have got our own marketing officers. And as we have already told you earlier, we have a subsidiary, the UBISL, who gives us a lot of inputs with regards to distribution of loan products for recovery and sales. And so, that is how our feet on street works. And we are using all these tools for increasing our spread. Pool buyout is negligible. In the whole Bank, the pool buyout is close to about INR 1400 crores.
Jai Mundhra: So, the entire retail book is originated by the Bank only?
A. Manimekhal ai: Yes.
Jai Mundhra: And last question on asset quality, ma'am. So, we have done, I mean, the experience in the last few quarters have been phenomenally well and the net NPAs now have come to 1.3%. I wanted to ask if the, I mean, assuming the credit envir onment remains as it is, would you be, keen to put some buffer at this point of time, as a standard asset buffer, or, you would keep saying, huge declin e in the net NPA? I mean, how would you be balancing the two? As of now, I think you do not have any sig nificant buffer apart from the, let's say, maybe the 10% on restructuring. But how are you looking at, creating a buffer versus reducing the net NPA?
Sanjay Rudra : Yes, immediate target for us is to bring down the net NPA below one, which is the immediate target. But going forward, what you see, you are also looking forward to create some additional provisions which we have done somewhat. But further additional provisions we will do in the standard assets category also, depending upon the availabi lity of the profit and all. But immediately, first target is to bring down the net NPA below 1%.
Jai Mundhra: Thank you.
Moderator: Mr. Jai Mundhra, may we request that you return to the question queue for follow -up questions, as there are several particip ants waiting for their turn. Thank you. Our next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead, sir.
Nitin Aggarwal: Yes. Hi, ma'am. Good afternoon, and congrats on good results. I have few questions. What is on the yield, which has been talked like, there has been a very sharp increase Q -o-Q on the lending yields. And so, I just wanted to understand as to how is the Bank's ability to pass on the interest rate, because when you look at a portfolio yield going up by 37 basis points , then there will be borrowers who are seeing a 90 -100 basis point increase in their borrowing rate. So, ho

w is the
Bank's ability, and ultimate ly, how do you see that progressing?


S. Ramasubramanian: Sir, Ramasubramanian here. As I already told, this is because the major is, though the yields on advances have been passed on to the customers on a phased manner. So, we have already done around 50% of our portfolio, MCLR portfolio has been already re -priced. Remaining will be re - priced during the current and the next quarter. At the same time, if you are looking at it, our RAM growth, where our yields are a little more, we have increased it from 55% to 57% now of total advances.

So, these two factors combined together, it has increased our yield. And presently, market also, it is like that only, because there are, in the corporate sector, there is a lot of competition is going on. So, we are more focu sed on the retail segment, where we can get a good yield. That's what is happening, sir. And as I already explained that we are very, very hopeful that this will be able to protect and increase it further.
Sanjay Rudra : And to supplement what sir said, our CD ratio has improved by 2%. We had a 74% CD ratio, which has gone to 76%. So, these 2% of the assets, which has basically moved from our investment portfolio to our credit portfolio, investment portfolio is having the 6% plus yield, while the advances po rtfolio is having the 8% plus yield. So, as a result of shifting of our, this portfolio, our overall yield and advances has improved.
Nitin Aggarwal: Right. But, sir, my question was also around like, how forthcoming the borrowers are to see such a big cha nge in their borrowing rate? Is competition not limiting your ability to pass on the rates?
P K Samal : Sir, see, this MCLR, which is basically charged to the corporate customers, is not that something immediately, because the MCLR depends upon the deposit, incremental deposit, being revised, a kind of INR 0.04, INR 0.05 over a period of time and there is also a time lag. And most of the borrower also know that when their particular interest reset in MCLR is due. So, they know it well in advance.
So, accordingly, they also factor. So, that is what, and the other thing is that, no customer is going to leave because of the MCLR reset, wherever the deserving cases are there, good performance and other, based on the risk appetite, we, of course, give cert ain concessions and all.
But largely, we are sure that we are able to pass on the interest, that MCLR revision to most of the borrowers.
Nitin Aggarwal: Right, sir.
P K Samal: And that should not create any major problem in terms of, issue in terms of cus tomer leaving to other Banks that will not happen. That experience shows that, that is not happening.
Sanjay Rudr a: And in case of the retail borrowers, the RBI has also given the dispensations to extend the tenor as per the request of the customer. So, ba sically, the customers are not feeling very high pinch on account of the increased rate of interest, but the tenor is getting adjusted with that.


Nitin Aggarwal: Got that. And the second question that I have is on operating expenses, wherein the growth rat es have been quite controlled. And so, what quantum of wage provisions have we made during the quarter and what level of wage hike are we building in?
P K Samal: So, as we have also mentioned last time, we are providing at the rate of 15%. Historically, th at's what we expect that when the settlement happens. So, that amounts to around INR 110 crores per month, so , say INR 330 crores. That is what we provide.
A. Manimekhalai: We actually started providing from November ‘22 onwards. Now, that's a date when the, it will be effective salary revision. So, from November ‘22, we are providing.
Nitin Aggarwal: At the rate of 15%, right?
A. Manimekhalai: Yes. 15%.
Nitin Aggarw

al: Right. And ma'am, my last question is on the treasury. We have been reporting ver y strong treasury performance. This quarter, we have seen some private Banks reporting losses also, the treasury fund, but Union Bank has been consistently making very healthy treasury gains. So, if you can comment on the outlook, because of late, we have seen some rise in the bond yields again. How are we placed and what is our cut -off yield on the treasury?
Sudarshana Bhat : Yes. After the MPC meeting, there were some discussion on OMO sale by the Reserve Bank of India. In addition to that, US Federal Rese rve is consistent hiking the interest rate with th e higher inflationary trends and continuous outflow on account of FIIs taking away the money. All those factors are very critical for rate movement.
However, RBI has supported, telling that, they will contr ol the volatility by way of increasing the liquidity in a timely manner. And during the coming quarter or by June, there will be indexation of JP Morgan bond that will give support to the market. Overall trend is, yes, the interest rates are already peaked , but the stress is that there will be further scope for another 10 to 15 basis point hike, not beyond 7.5 0.
And as far as Union Bank is concerned, our duration is at 1.19. We will be able to comfortably add wherever possible and generate required interest as well as trading profit as and when the opportunity emerge.
Nitin Aggarwal: Right. Understood. Thank you so much, sir. Wish you all the best.
Moderator: Thank you. Our next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Hi, team. Good afternoon. A couple of questions from my side. Firstly, if I look at the unsecured

personal loan book that has been broadly flat over the past three quarters at around INR 12,000 crores , any reason why this growth has been sluggish, sequential growth?
A. Manimekhalai: Unsecured lending rate, INR 11,000 crores is what the book is and it remains to that extent only. And, our total personal loans is, out of that 70% is almost the salaried employees and some


extent is, of course, from credit card business. As we go on to increase our credit card busin ess, this will see a little bit of growth.
But, regards to personal loan, we are just taking it up only with the salaried employee, that's the reason there is not much substantial increase in that product. But as and when the credit card business grows, we will see some unsecured lending on personal loan.
Ashlesh Sonje: Okay. But any trends that you are seeing on delinquencies in this book as of now?
A. Manimekhalai: Delinquencies has, the NPA on personal loans is about 1.5%. And slippages, we have seen to the tune of about 1%.
Ashlesh Sonje: Okay. Secondly, question to CFO, sir. Can you explain what would be the balance sheet and P&L impact of moving to the new tax regime?
A. Manimekhalai : 10% savings will be there on the total taxable profit. So, current y ear, as I told you, current year it will not be there, even though we are moving to lower tax. But the one -time impact of the write -down of the DTA around INR 2,400 crores is there. So, therefore, the benefit will not be there this year because of this one -time impact. But next year, there will be a 10% savings in the post-tax profit.
Ashlesh Sonje: Perfect, sir. Thank you.
Moderator: Thank you. Our next question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.
Sushil Choksey: Hi. Congratulations to the team, Union Bank for the excellent result. Based on some Q&A which we have already done, it seems that we are seeing that interest rates are going to peak out by the year-end. Ma'am, am I right in understanding that?
Ashwini Cho udhary : So, it is very difficult to forecast interest rates whether it has peaked up or

not. But what we
believe, in the next six months, it will not start reducing and it may remain at the same level.
RBI also hinted that they will tighten the liquidity t o control inflation. So, they may not take the route of hiking interest rate. That is what we believe at this point in time.
Sunil Choksey: How do you see the second half treasury income based on that?
Sudarshana Bhat: Our duration is 1.19. We will not have much hit on MTM because the portfolio is well -protected. We are already at yields are at 7.35% as against 7.10% as on September 3 0th, 2022 . So, there will not be any further hike we are expecting. However, if 10 to 15 basis point hike also happens, there may not be much impact on our portfolio as such. It is totally being controlled by duration. We will ensure that we will minimize the MTM as and when the coming days.
Sunil Choksey: The next question is based on various initiatives on retail, wealth ma nagement, digitization, new structures on corporate products. Where do you see a cost of income and what kind of digital spend are we likely to do for current year and years to come?


A. Manimekhalai: With regard to digital spend, of course, we have taken a budget from the Board close to about INR 1,500 crores. That is what we have taken a budget and we hope to see that it is utilized during the year. With regard to the yield on advances, we have already told you that we would like to maintain this kind of n umber that we are looking at.
With regard to cost of deposits, we are not trying to increase the deposit numbers because we have got enough liquidity. We will take deposits at higher rates or bulk deposit rates only when I need it or when my credit growth is substantial. Otherwise, I have got substantial liquidity right now. So, I feel that the cost and the yields will remain to whatever rates that we have got right now.
Sunil Choksey: How do you see your percentage in corporate and retail ramped by the yea r-end, in the similar number or will it be drastically different?
A. Manimekhalai: We had an internal guideline that we will be at 55 -45. So, we will try and maintain that kind of a stand. Now the festive season has started, so retail lending will surely g o up and even the crop season is up. So, we hope to see some better results in retail. But the guidance of course was 55 - 45. We will try and keep it to that level or retail will be a little higher.
Sunil Choksey: Thank you and all the best for the years to come now.
A. Manimekhalai: Thank you, Choks ey ji.

Moderator: Thank you. The next question is from the line of Akash Jain from Ajcon Global Services Limited. Please go ahead.
Akash Jain: Congratulations team Union Bank of India for an excellent set of numb ers. My question pertains to the write -offs. The write -offs look higher in this quarter at around INR 6,108 crores. So, wanted a break -up on the regular write -offs and the technical write -offs and a color on the policy for write -offs? What is the provision we do before writing off the asset and what are the regulatory guidelines towards the write -offs?
A. Manimekhalai: If you see the balance sheet, last year we had written -off close to about INR 18,000 crores and during the current year also we have done, last quarter we did about INR 2,000 crores and this quarter we have done INR 6,000 crores of write -offs. The Bank has laid down the write -off policy and accordingly the write -offs are being done.
This is in various sectors that we do, whether it is r etail or MSME, agriculture or large corporate, the write -offs are been done accordingly. And all them are technically write -off but this doesn't stop us from not recovering from those written -off accounts. And these are all 100% provided accounts.
Akash Ja in: And the write -offs were NPAs for how many years?
Sanjay Rudra : These are dif

ferent period of NPA and not having any specific period NPA only. It's a different, different period of NPA has been written -off, depending upon the possibility of recovery onl y accounts are technically written -off. And these are fully provided accounts.


A. Manimekhalai: The total portfolio of written -off accounts is around INR 72,000 crores.
Akash Jain: Okay. And what can be the expected recovery from this portfolio say in next three to four years?
A. Manimekhalai: Sir, we have recovered close to INR 1,500 crores during the current year and we hope to hit around INR 4,000 crores by end of FY '24.
Akash Jain: Thank you ma'am, thank you.
A. Manimekhalai: Thank you.
Moderator: Thank you. Ladies and gentlemen, the last question is from the line of Rakesh Kumar from B&K Securities. Please go ahead sir.
Rakesh Kumar: Thank you ma'am. I have two questions. Firstly, on Agri loan, the slippage run rate is a bit elevated at around INR 1,000 crores in this quarter. And last quarter also we had a bit sizable number on the Agri fresh slippage. So any comment on that ma'am?
A. Manimekhalai: Yes, you know the Bank has got almost 59% of the branches spread in the RUSU areas. So we have got substantial numbers and you know that the Bank has two major Banks, Corporation and Andhra Bank was also amalgamated who also had a good substantial number in the agriculture advances. And accordingly we are growing the advances portfolio under ag riculture.
Plus the government has also come out with various schemes under the agriculture schemes like you know the dairy farming or agriculture infrastructure and the CPG, food processing. There are so many such industries have now been added apart fro m the traditional KCC and that's the reason that it is grown. Plus, we also have grown substantially in the agriculture gold loans and these are all have helped us in the growth in the agriculture portfolio.
Rakesh Kumar: Secondly ma'am, this LCR number th at has fallen to 145% from 161% on a sequential basis. It's a very sensitive number that for us that deposit growth is like below 1% and our total domestic investment number is flat, marginally lower and duration is also not changing much. So what is the r eason that you know LCR is falling so much, bulk deposit ratio number is also same at around 27%. So if you can explain like, why there is such a sharp fall in the LCR?
Ashwini Choudhary : So if you look at LCR number, this is still substantially higher tha n the regulatory requirement. So idea is not to keep surplus liquidity beyond the level because there is balance which we need to make between making profit and keeping liquidity. So we'll keep on maintaining liquidity at a comfortable level including LCR and this is still above the threshold required by RBI and we were conscious of this fact and it's a conscious decision which we have taken to keep at this level.
Rakesh Kumar: I understood that sir, but only question that we have is that sir why like, what is that change in the operations in the numbers, at least what is there in the PPT, we are not very well placed to understand what is the reason for such a sharp fall? Like see, LDR is going up marginally and all that. That understood but still, more than 10% fall on a sequential basis, just because it will limit our opportunity to use the extra liquidity that we have in the future quarters?

Sanjay Rudra: Yes. I am Sanjay Rudra, Rakesh ji. Now if you see the liquidity position in fact if you see the post-demonetization, the LCR was in the range of 175% to 200% but it is not good to maintain such a high liquidity ratio. So gradually over a period of time, the LCR came down and we cannot deny that there is not as liquid market available as on today as it was earlier. So LCR will come down and ide

ally we will try to maintain the LCR as it is 100% we will try to maintain our LCR above 110%. 10% reduction in the LCR for in the Q -o-Q basis it not very high it is in line with the market trend.

Rakesh Kumar: Okay, g ot it sir. Thank you sir, thank you ma'am.

Moderator: Ladies and gentlemen that was the last question of our question -and-answer session. As there are no further questions, I would now like to hand the conference over to the Management for closing comments.

A. Manimekhalai: Thank you all of you for your continued support. We all understand that the expectations of the investors and the analysts are there with the Bank and with the kind of trend that the Bank has taken, the kind of steps that we are taking, the new entrance that we are taking, the new fresh innovative ideas that the Bank is taking, we will be able to maintain the same kind of numbers and we will reach out or we will maximize the guidance that's been given and see that we fulfill the g uidance that has been given to us by ourselves. Thank you.

Moderator: Thank you on behalf of Union Bank of India that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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# Call: Jan 2024

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Classification: Public ■■■■■■ Ref.:■■.■■.■■.ISD/431/2023 -24 ■■■ ■■ Date : 25.01.2024

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This is to inform that transcript of Post Earnings call held on January 20, 202 4 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter ended on December 31, 202 3 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank’s website under the following web link:

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■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

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“Union Bank of India
Earnings Conference Call ”
January 20, 202 4

MANAGEMENT : MS. A. MANIMEKHALAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. NITESH RANJAN – EXECUTIVE DIRECTOR
MR. NIDHU SAXENA – EXECUTIVE DIRECTOR
MR. RAMASUBRAMANIAN S – EXECUTIVE DIRECTOR
MR. SANJAY RUDRA – EXECUTIVE DIRECTOR
MR. AVINASH PRABHU – CHIEF FINANCIAL OFFICER
MR. ASHWINI KUMAR CHOUDHARY - CHIEF RISK OFFICER
MR. RAJIV MISHRA _ CHIEF GENERAL MANAGER
MR. C.M. MINOCHA _ CHIEF GENERAL MANAGER
MR. SUDARSHANA BHAT _ CHIEF GENERAL MANAGER
MR. DHIRENDRA JAIN _ GENERAL MANAGER
MR. SUNIL JADLI _ DEPUTY GENERAL MANAGER

CONFERENCE CALL SERVICE PROVIDER:



Moderator: Ladies and gentlemen, good day and welcome to the Union Bank of India Earnings Conference Call for the period ended December 31 st, 2023. The Bank is represented by the Managing Director and CEO, Ms. A. Manimekhalai, Executive Directors, Shri Nitesh Ranjan , Shri Nidhu Saxena, Shri Ramasubramanian S, Shri Sanjay Rudra, and other members of the Top Management.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on a touchtone phone. Please note that this conference is being recorded.

Now I hand the conference call over to Mr. Sunil Jadli, Deputy General Manager. Thank you and over to you, sir.

Sunil Jadli: Yes, Thanks, Madam. Good afternoon, Ladies, and Gentlemen. I, Sunil Jadli , Head of Investor Relations, welcome you all for the Union Bank of India earnings concall for the period ended December 31, 2023.

The structure of the con call shall include a brief opening statement by respected MD and CEO, Madam, and then the floor will be open for interaction. Before getting into the concall, I will read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investors' interaction may be forward -looking statements based on the current expectations.

These statement s involve a number of risks, uncertainties and other factors that may cause the actual results to differ from the statements. Investors are therefore requested to check this information independently before making any investments or other decisions.

With this, I now request our respected MD and CEO, madam, for her opening remarks. Thank you and over to you, madam.

A. Manimekhalai: Yes, good afternoon. I am sure that I am perfectly audible to all of you. It is my pleasure to welcome our analysts and investors' community for the bank's third quarter financial results i.e., for 31 st December 2023. We appreciate your support and valuable feedback.

On the bank's performance for the Q3 versus the guidance that we have given, let me just tell you a few points. We have provided guidance for the current financial year with a target of 8 % to 10% growth in deposit and 10 % to 12% growth in advances.

Against this, our deposits have exhibited a Y-o-Y growth of 10.1% and advances recorded a growth of 11.4%, affirming our alignment with the stated guidance for the financial year. We aimed for an NIM of 3% and to keep our GNPA below 6%. The NIM for the nine months ended December , stood at 3.10 % and we have reduced gross NPA to 4.83%, surpassing the guidance outlined for FY '24.

 Notably, our gross recovery for the nine months for December 2023 stood at around INR13,800 crores, while fresh slippages were restricted to about INR7,960 crores. These figures are well within the guidance that we have given, i.e., we said gross recovery will be INR16,000 crores and slippages will be less than INR12,000 crores.
Our ROA for the quarter reached 1.07% and our credit cost is 0.56% in Q3 , FY'24, achieving the milestones we originally projected for FY '25. The performance demonstrates that our financials are in alignment with the guidance provided at the beginning of the year and we are optimistic about exceeding the guidance set for FY '24.
Now, let me briefly highlight the performance of our bank for the quarter ended December 2023. Our total business reached 20.68 trillion with a deposit base of INR 11.72 trillion and advances of INR 8.96 trillion. Our operating profit reached INR 21,678 crores for the nine months ended September 2023, registering a Y-o-Y growth of 16.

27%, driven by 10.68% Y-o-Y growth in net
interest income and 21.45% growth in non -interest income.
The bank achieved net profit which has crossed INR10,300 crores for the nine months ended December 2023 and with a Y-o-Y growth of 82.94%. Our CA SA ratio is at 34.4% and CD ratio is at 77.8%. RAM portfolio has grown by 14% Y-o-Y as of December 2023 and our RAM share to corporate lending, the ratio between RAM and Corporate is 56 :44. We have seen a very good growth in our education loan and gold loan portfolio which is 57% and 53% Y-o-Y.
Gross NPA has reduced by 310 bps Y-o-Y and net NPA has reduced by 106 bps. Our PCR is improved by 404 bps and we are at 92.54%. Our C RAR is at 15.03% and CT ratio -- CT1 ratio is improved to 11.71%.
Now, we continue to enhance our digital capabilities both on -boarding new customers in our digital platform. We have close to about 25 million customers who are registered on our mobile platform called the Vyom. We have centralized lot of our processes and for the better penetration into the market , we are extensively utilizing the services of our UB ISL that is our subsidiary and we are also using the requirements of the business correspondence for our business expansion. Our endeavours is encompassing wealth management, [CRM H] and many other such tools for enriching the overall customer's experience. In conclusion, we are witnessing and we are optimistic of robust growth in the banking industry , aligning with the overall economic progress of the country. The bank is positioned to contribute to the positive trajectory of the banking sector.
I will conclude my remarks for now and we will get into the Q&A session. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Mahrukh Adajania from Nu vama. Please go ahead.
Mahrukh Adajania: Yes, hello ma'am. Ma'am, my first question is on the wage provision. So, you have been providing at around INR 110 crore s per month. I don't know if it's INR 105 crores or INR 110 crores , but somewhere around there. So, what has that increased to ? And whatever catch up
 provision you made during the quarter, does that also include any catch up on pensions from the new wage hike?
Also, just in terms of wage provision again, you know, the increased Q oQ in wages is only 2 billion. So, has there been some additional provision and then some write back also?
Avinash Prabhu : Yes, Mahrukh , hi. This is Avinash Prabhu. So, as far as your question is concerned, yes, we were earlier providing at 15% and then we've increased to 17% following the communication and that connection. So, we are providing now at a rate of INR 130 crores per month. So, the differential of about INR 200 crores to INR 225 crores is what we've provided for in the December quarter.
Mahrukh Adajania: So, that's for the first 11 months differential you've provided that way?
Avinash Prabhu : Yes. Okay. That's right. And then as far as the pension related provisions are concerned, we are in discussion actuary on that and we are waiting for some final guidelines in that connection. So, we will take a call on that in the Jan to March quarter.
Mahrukh Adajania: Okay. But my question was that in employee expenses, you said that the backlog provision for 11 months was around INR 220 crores to INR 225 crores. In addition, there'll be provision at INR 130 crores per month for this quarter, right? So, INR 390 crores . But if you see the increase in the wage bill, it has not gone up by INR390 crores plus INR225 crores . It's gone up by only around INR200 crores. That was my question ?
Avinash Prabhu : Yes. So, when we did this exercise, we also looked at, you know, what are the excess provisions

that we would have in terms of the entire staff cost. And therefore, we did

that exercise for the
December quarter. And therefore, the net charge which you see will be lower as compared to
what you would expect.
Mahrukh Adajania: Okay. So, there would be some write -backs of earlier charges as well given how the wage has been settled, agreement.
Avinash Prabhu : That's right.
Mahrukh Adajania: Okay. But from next quarter onwards, can we expect 130 into 3 as the additional provision?
Avinash Prabhu : Yes.
Mahrukh Adajania: Got it. And pensions will be as and when?
Avinash Prabhu : That's right. That's right.
Mahrukh Adajania: Okay. And just in terms of now this whole discussion around loan -to-deposit ratio, I know you are quite comfortable. Your LCR has also been good. But would, like a lot of private banks have even admitted that R BIs had discussions around LDRs with them, would you have had any such discussion with the regulator? Or if I have to frame my question differently, would you be maintaining your LDR at current levels? Would you mind increasing it or do you want to decrease it? Any target on LDR that you can give for fourth quarter and even for FY25?


 A. Manimekhalai: Actually, see, the bank has been maintaining the CD ratio at about 76 % to 77 %. And you know
that the SLR and CRR and all these things, the banks can go up to 78 % as a CD ratio. And my LCR is at 125 %.
And I will continue to maintain, though the regulatory is about 100, 100 is the LCR, we will continue to maintain at 125 %. We will be want ing to optimally utilize my , the liquidity that is there with us. So I think the LCR will be around 125 and I will keep the CD ratio at about 77 % to 78 %.
Mahrukh Adajania: Got it. And my last question is just on margins. So do you expect margins to stay at current levels or given that there will be heated competition in deposits in the fourth quarter, private banks may get aggressive given LDR discussions? Do you expect any moderation in NIM from 3.1? I know your guidance is 3. You maintained it above that. But?
A. Manimekhalai: Yes. You know, based on the various factors that we have taken into consideration, like, you know, our advances growth is, you know, quite good. And actually our cost of deposits have also been, you know, to that almost flat kind of a thing. My MCLR advances are also increasing. Plus my, if you look at my MCLR base book is almost 48 % to 49 % of my total advances. Taking all those factors into consideration, I will be able to maintain the NIM of about 3 %.
Mahrukh Adajania: Okay, ma'am. Thank you so much. Thank you.
A. Manimekhalai: Thank you.
Moderator: Thank you. We have our next question from the line of Ashok Ajmera from A jcon Global. Please go ahead.
Ashok Ajmera: Thank you for this opportunity. And congratulations, madam, once again for the fantastic set of numbers. I think the Union Bank has really accelerated its entire business growth. You talk about recovery. It's phenomenal growth over the last one, one and a half years. So congratulations for that.
Having said that, madam, our credit growth advances have gone rapidly much beyond even the targets. Like if you have given the target of 10 %, 12%, but if you look at only up to December nine months, it is almost already now 10.62 %. And the way you are going from September to December, you have gone. If you take another four or five percent, it means are we talking about almost about 15 % to 16 % growth in the credit?
A. Manimekhalai: Thank you, Ajmera ji. But we would like to, you know, whatever guidance that we had given in the beginning of the year at 10 % to 12 %, it will be moderated and we will be at 10 % to 12 % as per the guidance that we have given.
Ashok Ajmera: Okay. You are being conservative. And the major growth has come from the contributed in the agriculture space and also in the industrial industry, NBFC and HFC sp

ace. So whether, I mean,
what kind of opportunities are we finding in these two areas, especially the agriculture?


 A. Manimekhalai: Yes. So, yes, we have seen good growth in our overall, you know, advanced

segment. And of
course, our growth of, you know, agriculture sector is at a tune of about 17. 88%. And out of this, I know that major growth has come from the gold loan sector. Now, gold loan if you see has contributed to almost, you know, there is a Y-o-Y growth of 53 % and that is what is contributing to the agriculture sector growth.

Ashok Ajmera: All right Ma'am. Now, taking to some other targets, you know, targeted numbers, like slippages, you have kept very much in control and against INR 12,000 crores, I think so far in nine months, it is only about INR8,000 crores or so. And similarly, for the recovery also, you know, from the targeted INR 16,000 crores, you are almost near to INR 14,000 crores already. So, whether you would like to revisit these numbers or you will give a surprise on that also?

A. Manimekhalai: Sir, we will give you a very positive surprise on the slippages and for, you know, recovery. Though we have INR 12,000 and INR 16,000 crores, we would like to surpass those numbers. That is one number that we will really want to surpass.

Ashok Ajmera: Good Ma'am. Coming on this capital adequacy CRAR, you already raised earlier INR5,000 crores at 86.55 per share. But now, considering, you know, your results and the performance, our share price has also gone up substantially. Is it not the time again to raise some more funds?

A. Manimekhalai: Sir, we are looking at that, you know, regarding the raising of capital. Actually, we have got, you know, board approval to the tune of about INR8,000 crores to raise equity capital. Out of that, as you already mentioned, INR5,000 crores is what we have raised as QIP. Another INR3,000 crores, we will be coming out, you know, probably during this F Y itself.

Ashok Ajmera: Oh, that's a good news because it's a good price to, you know, at which to issue the shares. And one question on the Treasury. If you look at the segment wide, our Treasury profits, income has gone down to INR848 crores from INR1,145 crores. But overall, can you give some color on the overall Treasury operations, considering all kinds of incomes and the profit books? And even on the equity books also, I think you have a book of INR4,000 crores -INR5,000 crores. There also, we might have made good profit beca use the entire market has run up, you know, considerably high. So, some colo ur on that ma 'am.

C. M. Minocha : Thank you, Ajmera ji. Our Treasury income is around the same level. The previous quarter was INR 681 crore and now it is INR 611 crore . It largely depends upon the 10 -year benchmark yield. And in October, the RBI announced that they will come with the OMO sales due to which the yield increased. But later on, with the U.S. announcing that rate cuts will be there after a few quarters, then it softens.

So, coming in the near future also, it depends upon the geographical factors and the inflation which has come, which has slightly increased. So, in spite of that, we are building the book from low-yielding income to the securities which are giving higher i ncome. And we will continue to maintain the same level of profitability, the Treasury income at the same level we will try to maintain.

Ashok Ajmera: Thank you, Bhat sahab. My last question in this round, ma'am. How much has it impacted in terms of the margin?



Ashwini Kumar Choudhary : So, the total impact on RWA is about INR26,000 to INR27,000 crores. That is, including personal loans, credit card loans, and loans to NB FCs. And impact on CRAR is about 60 bps on a ccount of this . Total reduction in CRAR you would have seen, but that is also because of increase in the lending portfolio.

Ashok Ajmera: Can you repeat how much total will be impacted on the BPS? What is the percentage percentile of bps? Total impact?

Ashwini Kumar Choudhary : 60 basis points. That is the impact on CRAR . Is your quest ion on return on equity or not?

Ashok Ajmera: Yes, CRAR . No, this is al l right. 60 basis points is the tota l impact, isn't it?

Management: Yes, effective. Okay, al l right.

Ashok Ajmera: Thank you.

Moderator: Thank you. We will take our next question from the line of Swechha Jain from Whitestone Financial Advisors. Please go ahead.

Swechha Jain: Hi, ma'am. Thank you for giving me this opportunity. My first question is, from FY25, will we do a tax provision at 25% in P&L?

Avinash Prabhu : Yes. In fact, for FY23 as well, we have filed o ur returns based on a 25% tax rate. And for FY24 also, we will be doing that. So your question is relating to FY'25. That will continue.

Swechha Jain: Okay. And, sir, recently, there was a company called BGR Energy Systems, which defaulted on its loan. So if you can just give some sense of how much exposure we have in BGR Energy Systems and how much have we already provided for?

Ramasubramanian S : Madam, normally, we avoid company -specific questions on the investor call. But it is not much, I can say that. And most of them are in project bank guarantees, which have been given. And we

are also closely monitoring on that.
Swechha Jain: Okay. But how much have you provided? Have you provided for it completely or a lot of provision is left on that? If you could give some sense.
Avinash Prabhu: As far as we know, this is on NFB business only. So, actually, there is no devolvement of LC or BG. It is not there. And I can say that the amount is very meagre .
Swechha Jain: Okay. And sir, my last question is actually a follow -up regarding the wage provision. So, I just wanted to understand -- probably, I think I joined the call a little late. So, you are saying, in this quarter, we have already provided for the 17% wage provi sion, right, from 15%, it has increased.
A. Manimekhalai: We have provided at 17%, yes.
Swechha Jain: Okay. So, that additional impact for nine months was ?
A. Manimekhalai: INR233 crores.


 Swechha Jain: INR233 crores for 11 months of last year, right?
A. Manimekhalai: Yes.
Swechha Jain: Okay. And going forward, what would be this number be? Going forward, what would be the run rate?
A. Manimekhalai: INR130 crores per month .
Swechha Jain: INR130 crores per month. Okay. So, that 130 crores is at 17%, right?
A. Manimekhalai: Yes, at 17%, right.
Swechha Jain: Okay. Thank you, ma'am. Appreciate that.
A. Manimekhalai: Thank you.
Moderator: Thank you. We have our next question from the line of Rakesh Kumar from B&K Securities. Please go ahead. Mr. Rakesh Kumar, your line is unmuted. Please go ahead.
Rakesh Kumar: Yes, hi. Can you hear me, ma'am?
Moderator: Yes.
A. Manimekhalai: Yes, we can.
Rakesh Kumar: Thank you, ma'am. So, firstly, ma'am, what is the total recovery that we have done apart from the recovery on the written off of loan? So, what is the other recovery number that we have accrued to the P&L in this quarter?
A. Manimekhalai: The total recovery that we have made in this quarter is close to INR5,900 crores.
Rakesh Kumar: So, I think, ma'am, this number, like, if we exclude INR5,952 crores number, if we exclude the cash recovery and upgradation number and the recovery on w/off of number, any other number that is accruing to the P&L in this quarter?
Sanjay Rudra : Yes. Basically, the recovery consists of four components. One is in the ledger balance recovery. Other is the technically written off accounts where we are recovering. Tha

t is almost INR995 crores is the recovery in the written off accounts. And we also recovered in the interest component of the NPA account. So that is approximately INR900 crores. So, all together, it comes to INR5,500 crores of recovery during the Q3 quarter -- INR5,900 crores of recovery in the Q3 quarter.
Rakesh Kumar: Okay. And how much that number was for in Q2, sir?
Avinash Prabhu: Q2, it was INR5,500 crores.
Rakesh Kumar: Okay. Sir, the cumulative provision that we are holding for wage revision is INR1,764 crores. And how much that number was, ma'am, in Q2 end, cumulative provision for the wage revision?


 Sanjay Rudra : INR390 crores.
Avinash Prabhu: Yes, it will be less by about INR500 crores. Because we have taken -- the normal impact is about INR330 crores and plus we have taken about INR200 crores. So, it will be about INR500 crores.
A. Manimekhalai: INR500 crores, yes. We have made additional.
Rakesh Kumar: Okay. And how much this number, the INR1,764 crores number, so where this number would -- what is the -- where we are planning to take it to?
Avinash Prabhu: Another INR390 crores -- sir, another INR390 crores every quarter, sir.
Rakesh Kumar: Every quarter, sir. How many quarters, sir?
Avinash Prabhu: INR130 crores per month, INR390 crores a quarter.
A. Manimekhalai: See, we are providing INR130 crores per month. And till the wage settlement finalizes and we get the approvals right, we will keep providing. And once it is fully -- it is finalized, then it will become our expenses. It will come into our salary.
Rakesh Kumar: Correct. And this tax number, ma'am, so like this quarter also the tax provision, tax rate, like

including reversal number, DTA reversal number, it is around 35% -36%. So, how much that number would be for Q4?

Avinash Prabhu: Yes, it will stay at the 35% mark for this year and then next year onwards, you will see a reduction to about 25% -26%. And that's because we are giving impact to the reversal of the DTA built up in earlier years. So, you had to reverse that and that's the rea son why it will be roughly about 35% for the entire year.

Rakesh Kumar: Got it. And margin, if we look at margin number is looking a bit suppressed. If we also take into account the way the cash to NDTL number has come down by around 200 bps and also there is a reduction in the investment deposit ratio, and LCR has fallen by a round 20% from 145 to 125 around. So, what is the sustainable margin that we see in Q4, and maybe till the time the interest rate is, like, kind of going up or maybe in broadly in the similar range, then how do we expect the margin to behave? Because we are hitting into the liquidity, it seems.

Ramasubramanian S. : Yes. See, as you know, in the banking sector itself, there is a challenge in taking a deposit now. There will be always and that is going forward also. The challenge is going to continue for the time being, at least for the current quarter. So, we expect that the way we are now growing the credit, what we are doing, we are seeing t hat we are rep ricing some of our actually NBFC portfolios to a little higher rate so that we try to protect the 3% which we are given a guidance for the current year.

Rakesh Kumar: Got it, sir. Thank you, sir.

Moderator: Thank you. We have a next question from the line of Rushil Dedhia from Antique Stock Broking. Please go ahead.

 Rushil Dedhia: Sir, I just wanted the number for the risk -weighted assets, if you can help me with that.

Avinash Prabhu : Number for risk -weighted assets?

Rushil Dedhia: Ma'am, I just wanted the number for the risk -weighted assets.

Avinash Prabhu: Yes, it is INR658,000 crores.

Rushil Dedhia: Okay, ma'am. Thank you.

Moderator: Thank you. We have a next question from the line of Jai from ICICI Securities. Please go ahead. Mr. Jai, your line is unmuted. Please go ahead with your question.

Jai: Yes, thanks for the opportunity, ma'am. Thank you. Thanks for the opportunity, ma'am. I have a few questions. First is on pension provisions, right, regarding now that we have stepped up from 15 to 17. If you can ballpark hint what could be the likely pension hit because of this increase in the rates, and what is the provision that we have set aside for the likely retirement liability?

Sanjay Rudra : Pension benefits comes under the defined benefits and provisions on the pension requirement is made on the basis of the actuarial valuations. When actuarial valuations are done, it takes basically the two, three components are there. One of the important components is the return on assets. At present, the returns are, yields are good. Market returns are good. So returns in that is giving benefit for the actuarial valuation also. And we have made the adequate provision which is required under t he defined benefit guidelines as per the accounting practice standard, AS -15.

Jai: Okay. If you can highlight what is the outstanding provision that you may have and what could be the additional provisions required on pension because of this hike?

Avinash Prabhu: Jai, are you referring to the wage division or are you referring to the usual?

Jai: No, no, no, the wage revision related pension?

Dhirendra Jain : INR1,754 crores.

Dhirendra Jain : Wage revision provision as of 31st December is INR1,754 crores. It represents 17%.

Jai: No, no, no.

Sanjay Rudra : That is already taken care of.

Avinash Prabhu: So, Jai, to answer your question, like I mentioned earlier, we made provision for the 17% wage hike up to December. As far as the retirement benefits are concerned, that has not been taken into account. We are in touch with the actuary to estimate that amo unt. And we are waiting for final guidelines and confirmation on that. So, we don't have an estimate at this point in time.

Jai: We would have some provisions for sure, right?

 Avinash Prabhu: No, we are making provisions, but that is the usual provision that we make per quarter towards the actual valuation. But that is not towards the bipartite agreement.

Jai: But last time, if you recall, sir, I mean, this is every year, every five years we see this. If you can roughly recall, what could have been the retirement liability in the last bipartite? And, you know, could that be a significant amount?
A. Manimekhalai: Jai, we will look into the numbers and we will come back to you on that.
Jai: Sure, sure ma'am.
A. Manimekhalai: Thank you.
Jai: And ma'am, my second question is, while our cost of deposit has been very calibrated this quarter, but we have seen a few banks like State Bank also, they have increased the deposit rates in the shorter tenure. How would you look at the deposit cost going ahead in the near term?
Ashwini Kumar Choudhary : We have also increased the rate of interest for the shorter tenure up to 50 bps. So, our rate is also in line with market rate. And that is the expectation from the customers and hence we have also increased.
Jai: And at this point of time, are you seeing any pressure on the bulk term deposit rate or the bulk TD rate is more or less similar to the retail TD rate? Is there any difference here?
Ashwini Kumar Choudhary : Nothing significant. It is very close to what we have been offering under the new rate.
Jai: Last question ma'am. Post this RBI circular on higher risk rates to NBFCs, any median rate yield hike that you would have expected towards NBFCs? And how are you seeing the reaction from the borrowers?
A. Manimekhalai: Yes, close to about 60% was the impact on our C RAR because of the NBFC guidelines. And we have some few of the NBFCs who have come for ren

ewal and review, we have already raised the interest rates to about 15 to 20 basis points. Going forward also, we will be doing the same thing.
Jai: Right. Understood ma'am. That's all from my side. Thank you.
A. Manimekhalai: Thank you.
Moderator: Thank you. We will take our next question from the line of Rishikesh from Robocapital. Please go ahead.
Rishikesh: Hi, thank you for the opportunity. Did we just say that we will be doing QIP this year? So are we saying this financial year or this calendar year? And also if you could indicate the size of the QIP?
Ramasubramanian S. : Yes, if you are looking at it, we already have a board approval which we have to complete it. I think before this financial year, we have to raise the QIP. We have a board approval for



 INR8,000 crores. Already we have raised around INR5,000 crores. Another INR3,000 crores, any time during the quarter we may be able to do that.
Rishikesh: Okay. And also my second question is with respect to the credit cost. What's the credit cost do we see going ahead in FY '25 and FY '26?
Ramasubramanian S : See, already what we expected was the credit cost will be coming down for our bank. We were expecting that we will be going below 60 by the end of March '25 actually. But already we have achieved that. So going forward, we expect that it will be around 50 bps only in the coming days. The present level of slippages which is happening in the bank.
Rishikesh: So for coming 1 and 2 years, are we expecting 50 bps of credit cost? Is that correct?
Ramasubramanian S : Yes, that is what we are expecting. Subject to the same cycle continues.
Rishikesh: Right, right, correct. Got it. Thank you very much.
Moderator: Thank you. We have a follow -up question from the line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera: Thanks for giving the opportunity again. Ma'am, we have been talking in last few quarters about the recovery in the cumulative written -off accoun ts. So I think if I am correct, in the last quarter you had said that your total written -off account, I mean amount is around, I think INR72,000 crores. So if you add another INR9,000, it becomes, I mean INR81,300 crores.
And you said we have already recovered INR1,500 crores and this year we plan to recover INR4,000 crores. So now we have recovered, another INR1,026 crores. So do you think, does it mean that in this current quarter of January -March, we plan to recover arou nd INR2,400 crores from the w/off accounts?
Sanjay Rudra : No, we had given a guidance for INR4,000 crores, I think. So already we have reached to INR2,700 already we have reached. So remaining INR1,300 crores, definitely we will achieve this quarter.
Ashok Ajmera: All right, I think last quarter the INR1,500 figure was not right?
Sanjay Rudra : Yes, yes, correct.
Ashok Ajmera: So that figure, I think was almost INR1,700 crores. So around INR1,300 crores -INR1,400 crores we can expect in this quarter.
Sanjay Rudra : Yes.

Ashok Ajmera: I was just, there was one question for which the answer was given about the total recovery of this INR5,962 crores. So if you look at the cash recovery INR2,725 crores, upgradation INR1,388 crores, and recovery from return of account of INR1,026 crores. So total it becomes INR5,139. So what was the remaining component of INR800 crores -INR900 crores?


 Sanjay Rudra : Remaining component is the interest on the NPA accounts which we have recovered.
Ashok Ajmera: All right, al l right. I mean that has made a major difference.
Sanjay Rudra : So there are two components which goes to PL. One is the recovery in written -off, other is the interest which we recovered from the NPA borrower.
Ashok Ajmera: That's right, that's right. So ma'am, thank y

ou very much and all the best for the next quarter.
A. Manimekhalai: Thank you.
Moderator: Thank you. We have a question from Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Hi team, good afternoon. First question is on the term deposits front. We have increased the rate we are offering on the term deposit 1 -2 Tier bucket. The peak rate by about 25 basis points in the December month. Any reason why we have done that? Because w e were already offering premium rates as compared to SBI or Bank of Baroda?
Rajiv Mishra : The rates were increased to be in the market. There's no additional increase. Even if you see the other banks, including the State Bank of India, they have also increased in the last fortnight or so. All the banks have gone up and increased the rates.
Ashlesh Sonje: Okay, but we are already at a premium. Is there some pressure in terms of deposit acquisition which prompted us to increase rates?
Rajiv Mishra : No, there is no as such pressure on the deposit, which is in ways, just to be in the market in line with the overall peers. We have been doing that.
Ashlesh Sonje: Understood. And now that we have raised deposit rates, where do we expect the overall cost of deposits to stabilize?
Rajiv Mishra : The cost of deposit has gone up by 6 basis points. That’s why I think right now we are not seeing any increase in the rate in the near future. But we will watch the market and accordingly price it.
Ashlesh Sonje: Okay, but the re -pricing should lead to --
A. Manimekhalai: Cost of Deposits have gone by 6 bps and even on yield on advances also we have reduced by 6 bps. So going forward there is a challenge on deposits and there will be a little bit of increase in our cost of deposits. But we will just wait and see as to how much -- In fact, we are comfortable with our liquidity right now and plus we also have about close to INR 60,000 crores of excess SLR with us. So going forward depending on my advances, the way the advances increase I will be able to take t he deposit. As of now we are not seeing a very substantial increase in my cost of deposits.
Ashlesh Sonje: Understood. And secondly on the yield front, do you expect any further benefit coming in from re-pricing of MCLR linked loans?


 A. Manimekhalai: I do have about INR62,000 crores of my advances still which are yet to be re -priced. INR 62,000 in domestic advances in MCLR has to be re -priced during Q4. So considering the existing MCLR advances we hope to see some increase in our yield on advances also.
Ashlesh Sonje: Okay, Thank you. And just one last question. If I look at the corporate slippages, there was a slight increase sequentially to INR600 crores. Any lumpy slippage there?
Sanjay Rudra : No, it's only two accounts in the corporate book has slipped. And we are hopeful that the recovery will happen in one particular account. Other accounts, some other issues are there but in one account we are expecting the recovery.
Ashlesh Sonje: Okay, any sector like these accounts you want to call out?
Sanjay Rudra : Pardon?
Ashlesh Sonje: Which sector are these accounts from?
Sanjay Rudra : These are from the industry, textile is one such as, and other is the infrastructure.
Ashlesh Sonje: Understood, thank you.
Sudarshana Bhat : Additional increase of INR200 crores in the existing NPA.
Ashlesh Sonje: Okay, Thank you.
Moderator: Thank you. We have a next question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Congratulations to team Union Bank for excellent performance. Ma'am, we've done exceedingly well on most of the fronts whether it was fundraising, margins, profitability. Now, you've taken such good steps as a team. What initiatives are we doing to bring our cost to income down? You've initiated on wealth management, cros

s -selling. How are we empowering our bank's human resource to be future ready in terms of technology as well as all the new initiatives taken?

Nitesh Ranjan : Okay, yes. So, in terms of the capabilities that bank is building and you also talked about how we are building the human resources for the future including using the technology. So, you'll be aware that bank has taken multiple initiatives also for digitiz ing the HR processes and we have achieved most of those.

On top of that, we are investing a lot in learning and development, new skill sets, lateral hiring for the various skill sets that we have been doing. And also, you'll note that technology and digital is not only for the consumer facing assets but across the bank including HR recovery processes, we have implemented technology. On top of that, how the future growth we'll be able to take?

One, as you rightly said about our subsidiary that UB ISL, we are using it as a sales engine. And today, it is supporting the bank through their presence across the country with more than 4,500



 staff that they have for sourcing the retail and MSME loans. And also, they are helping us in the centralization of many back -office processes.

So, that is one area where we'll be able to acquire the customer at a cost lesser than the cost of acquiring a customer at the branch level as well as we'll be able to kind of cross sell to the customers also through this. And also, you'll note that we ha ve also invested in technology across the gamut of the customer life cycle right from sourcing, underwriting, monitoring and so on.

For example, CRM is already an implemented tool in the bank and not only within the bank, like this tool is also helping our UB ISL team, our BCs to actually generate and source the lead. We have also recently on boarded our partner for building a digital contact centre which going forward will be more outward outbound call centre services and that will also be generating the business and revenue for the bank.

So, bank is actually investing across the business domains and capabilities so that the current rate of growth that we are seeing and profitably that we are witnessing we'll be actually able to ramp up over the current rate in the coming years.

Sushil Choksey: Can you quantify the amount and kind of human resource you are building for doing this capability?

Nitesh Ranjan : Amount of? Can you please repeat?

Sushil Choksey: How much amount you have invested?

A. Manimekhalai: We are taking almost close to about 75 to 100 people from outside who are domain experts in the various capabilities actually. In HR, like we have created the ULA, the Union Learning Academy so we have taken people in that area we have taken in the respect ive cyber security we have taken, in digital front we have taken. So, these are the areas that we are looking at and capabilities of being built across the various domains.

And with regards to cost to income I think we are the least in the industry right now and you know if you take for the past almost like seven or eight quarters we have bought it down to very much lower than what it was earlier. So cost to income is already at the lower end but anyway with all the capabilities that ED has already explained, I am sure that we will be able to maintain the cost to income ratio.

Sushil Choksey : And because you have done well the expectation builds higher.

A. Manimekhalai: Yes, Thank you. Yes, we will meet the expectations of the market.

Sushil Choksey : Okay ma'am, my last question how are we positioned for 2024 as treasury market has surprised a bit in this quarter and may surprise the world in 2024 because India has a bright place in terms of inclusion in various indices and the collection on corporate tax collection may not put pressure on government borrowing. If such situation ar

ises, how are we placed for the year?

Nitesh Ranjan : Yes, so I think if we particularly talk about the treasury markets and the outlook which is there globally and in India. The obviously we – the rate which is at the peak today is expected to



 remain there for quite some time and in our estimate not earlier than the second half of the current

calendar year we will be able to see some kind of rate cuts. So in that sense, treasury market would remain tight.
But if we talk about from the bank perspective, our focus is -- not to make treasury as a key pillar of profitability, but rather focus on the advances because you have been noticing over the past many quarters that we have been investing a lot in differen t kind of opportunities in the asset market like be the gold loan, the auto loan, the education loan, everywhere we are building capabilities and that is our objective.
Treasury will definitely focus on the trading capability and we have a very good set of dealers across the FX and the fixed income site. So other than that, it will only be a kind of tool for managing the liquidity for the bank. But obviously, I think for the investors, they should not look at similar kind of profitability which treasury has given in the last three to five quarters.
Sushil Choksey : Thank you for answering all my questions and all the best for the year.
A. Manimekhalai : Thank you, Chokshiji .
Moderator: Thank you We have a next question from the line of Swechha Jain from Whitestone Financial Advisors. Please go ahead.
Swechha Jain: Just a follow up, if you could give me again the breakdown of that INR5,900 crores of recovery I kind of missed some numbers there?
Sanjay Rudra : The total recovery during the Q3 is INR5,9 35 crores. Out of that INR2,700 crores is the recovery by way of the ledger balance recovery and there is an upgradation of INR1,388 crores. In addition to that, the write -off of recovery is around INR1,026 crores and dummy ledger recovery which is the inter est recovery is around INR 995 crores. So all together it comes to INR5,962 crores of recovery.
Swechha Jain: And this INR2,700 is what we had guided by your end should be INR4,000 crores So INR1,300 crores should roughly be again in Q4, right?
A. Manimekhalai : Yes. From the write -off? Correct, correct.
Swechha Jain: Right. Thank you.
Moderator: Thank you. We have a next question from the line of Rahil Shah from Crown Capital Please go ahead.
Rahil Shah: Hi, good evening. Have you shared any ROI guidance for this year and next year as well?
A. Manimekhalai: No, we are not revising our guidance for the current year. So we are sticking to our guidance and we hope to perform much better than whatever the guidance that we have given. And as far as the next year guidance for FY'25, we will be the country's GDP wil l be close to about 7% or 7.2%. So we hope to, the thumb rule is we will do about 1.5 times the GDP growth. So accordingly, we will be taking our guidance for '24, '25.

 Rahil Shah: Okay. But just the ROA guidance for this year. Can you please repeat it?
A. Manimekhalai: The guidance for the current year, of course, advanced growth we said 10% to 12% We are today at 11.4%.
Rahil Shah: ROA?
A. Manimekhalai: ROA was the guidance was to reach 1% and that we have already reached. Because actually for FY'25, FY'25 our guidance was 1% and that which we have already reached in the September quarter.
Rahil Shah: Ok, no problem Thank you and all the best.
A. Manimekhalai: Thank you.
Moderator: Thank you. We have a next question from the line of Rakesh Kumar from B & K Securities. Please go ahead.
Rakesh Kumar: Yes, Thanks Ma'am. So just one question with respect to our deposit composition. Bulk deposit has sti

ll, kind of gone up as a proportion compared to September quarter and short -term rates are rising in the system and like as we were discussing the LCR also has fallen quite a lot . It had happened in Q2 also and in Q3 also it has happened. So margin guidance, that we have of 3%. So are we expecting 10, 15 pips sequential fall in the margin considering all these points like Bulk deposit rates?
A. Manimekhalai: See it is just not the deposit rates or the how I raise my deposits, impacts my margin So I am not looking any downward impact in my margins right now. There are lot of other, contributory factors to maintaining my margin. So I am sure that, I will not be able -- I will be able to maintain my margin at 3%.
Rakesh Kumar : Yes. nine months, nine months margin is at around 3.1%.
Rakesh Kumar : Yes. 3.1%?
A. Manimekhalai: Yes.
Rakesh Kumar: So would that be the number for Q4 also or because the guidance is at 3%?
A. Manimekhalai: Yes I will be able to maintain it at 3%. Or little above that also.

Rakesh Kumar: Okay. Okay, ma'am. Thank you.
A. Manimekhalai: Thank you.
Moderator: Thank you. Ladies and gentlemen, which was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.
Nidhu Saxena : Yes. So we at the outset thank all the investor community who had been always participating in all our con calls very actively and taking the guidance from the bank. And also giving lot of
 suggestions which, we have been taking and looking at how we can improve upon our financial and overall of performance. So thank you for that and thank you for this attending the con call.
Thank you.
A. Manimekhalai: Thank you all of you. Thank you.
Moderator: On behalf of Union Bank of India, which concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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# Call: May 2024

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Classification: Public
■■■■■■ Ref.:■■.■■.■■.ISD/45/2023 -24 ■■■ ■■ Date : 17.05.2024

■■■■■■ Madam/■■■■■ Sir,

■■■■ Subject: ■■■■■ ■■■■■■■■ ■■■ ■ ■ ■■■■■■■■ Transcript of Post Earnings Call

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This is to inform that transcript of Post Earnings call held on May 11 , 202 4 for Audited (Standalone and Consolidated) Financial Results of the Bank for the Quarter /Year ended on March 31,2024 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindi a.co.in/english
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This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■. ■■. ■■■ S. K. Dash)
■ ■ ■■■ ■■■■ Company Secretary
■■■■■■ FCS - 4085

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National Stock Exchange of India Ltd.
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 “Union Bank of India Q4 Earnings Conference Call”
May 11 , 2024
MANAGEMENT : MS. A. MANIMEKHALAI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. NITESH RANJAN – EXECUTIVE DIRECTOR
MR. RAMASUBRAMANIAN S – EXECUTIV E DIRECTOR
MR. SANJAY RUDRA – EXECUTIVE DIRECTOR
MR. PANKAJ DWIVEDI – EXECUTIVE DIRECTOR
MR. AVINASH VASANT PRABHU – CHIEF FINANCIAL OFFICER
MR. SUDARSHANA BHAT – CHIEF GENERAL MANAGER
MS. KANIKA PASRICHA – CHIEF ECONOMIC ADVISOR
MR. ANITH THOMAS ZACHARIAH – DEPUTY GENERAL MANAGER


Moderator : Ladies and gentlemen, good day and welcome to the Union Bank of India Earnings Conference Call for the period ended March 31, 2024.
The Bank is represented by the Managing Director and CEO – Ms. A. Manimekhalai; Executive Directors – Shri Nitesh Ranjan, Shri Ramasubramanian S., Shri Sanjay Rudra, Shri Pankaj Dwivedi and other members of the top Management .
As a re minder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch - tone phone. Please note that this conference is being recorded.
I now hand over the call to Mr. Anith Thomas Zachariah, Deputy General Manager. Thank you, and over to you, sir.
Anith Thomas Zachariah : Thank you. Good morning, ladies and g entlemen. I, Anith Thomas Zachariah, Deputy General Manager of the Investor Relations Department, welcome you all for the Union Bank of India Earnings Conference Call for the period ended March 31, 2024.
The structure of the con call shall include a brief “Opening Statement” by the respected MD and CEO ma’am, and then the floor will be open for interaction.
Before getting into the conference call, I will read out the usual disclaimer statement :
I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statements based on the current expectations. These statements involve a number of risks, uncertainties and other factors that cause the actual result to differ from the statements. Investors are therefore requested to check this information independently before making any investment or other decisions.
With this, I now request our respected MD and CEO ma'am for her opening remarks. Thank you, and over to you, ma'am.
A. Manimekhalai : Good afte rnoon to all of you. I welcome you all on behalf of Union Bank and I also thank you for joining us today.
We appreciate your support and valuable feedback. Despite the global geopolitical tensions, the Indian economy remains strong, supported by high GDP g rowth and sustained positive momentum.
At Union Bank, our strategic focus has always been to build a sustainable business with a customer -centric approach. Let me just give you a brief on what guidance that we had given for the year FY24 and what the actua l numbers are. We provided financial guidance at the start of

FY24, and I am pleased to report that the Bank is aligned well with the projections that we have made.
We aimed for a YoY deposit growth of 8% to 10% for FY24 and we ended the year with 9.3% growth. The advances growth projected was 10% to 11% and we could achieve 11.7% growth. The NIM guidance was set at 3%, but we were able to achieve 3.10% and on a YoY basis, our NIM improved by almost 3 bps. We aimed to reduce our gross NPA to less than 6% and we successfully brought it down to 4.76%. Regarding gross recovery and net slippages, we exceeded our goals by keeping slippages below Rs . 12,000 crores and achieving a gross recovery of Rs. 18,554 crores .
Let me now quickly ru n through the highlights on our “Financial Performance”:
Firstly, I am happy to share that we have achieved our highest ever net profit of Rs . 13,648 crores for FY24 with an impressive year -on-year growth of 62%. Our operating profit of the Bank reached Rs . 28,210 crores registering a growth of 10.8% largely driven by a net interest income

of 11.6% and a non -interest income growth of 10%. The total business of the Bank reached Rs 21.9 trillion with a deposit base of Rs 12.21 trillion and advances of Rs 9.05 trillion. The RAM portfolio increased by 13.8% and our RAM lending to corporate lending ratio rem

ains at 55 -45
ratio.
The capital position of the Bank is quite strong with 16.97% as our C RAR and 13.65% as CET1 ratio. The gross NPA has reduced by 277 bps. PCR is increased at 235 bps with 92.69%. The ROA and ROE is at 1.03% and 15.58%. Our operating profit has declined sequentially by 4.3% and as all of you are aware, it is primarily due to the increase in expenses related to wage revision and additional pro visions for pensions amounting to Rs . 1,334 crores .
Beyond the financial, this year the Bank achieved many milestones. We raised Rs . 8,000 crores in equity capital, the largest among the public sector banks, and our market capitalization also crossed Rs 1 lakh crores . We have received some upgradations from the rating agencies and we have also been included in the MSCI Global Standard Index among our other achievements.
We have been taking many initiatives in the last couple of years to strengthen our organ ization, including to strengthen the underwriting and digital capabilities. Our Bank is in the forefront of adopting advanced IT and cybersecurity systems and we have also been adjudged as number 3 in the Eas e ranking of all the public sector banks.
During the current year, we have taken many new initiatives, like for the CASA transformation, we have taken new initiatives. We are targeting the RUSU (Rural and Semi -Urban) centers and growth hotspots to increase our high potential in these locations. We have also set up a customer service excellence cell to provide top -notch service to all my customers.

Looking ahead, we see significant opportunity to drive business growth. Although the operating environment may be a bit challenging due to the tight liquidity, we are optimistic that the Bank will continue its efforts to capitalize on these substantial opportunities that lie ahead of us.
Thank you, and I am now open for questions. Thank you all of you.
Moderator: Thank you very much. We will now begin the questi on-and-answer session. The first question comes from the line of Mahrukh Adajania with Nuvama. Please go ahead.
Mahrukh Adajania : Ma'am, so your annual slippages are within your guidance, but there has been a sharp increase in MSME, Agri and Retail slippag e QoQ in the fourth quarter though of course, the overall figure for the year is in line with your guidance. So, if you could explain if there's any seasonality or any specific geography -related issue or any segment -related issue within these three segment s? That's my first question, and I have two others.
Ramasubramanian S. : Good afternoon, ma'am. See, as you are right, you told that MSME and Agriculture, slippage more than the last quarter. But historically also, if you're looking at it, around Rs. 1,000 crores are slipping last quarter of every year in the Agriculture sector, because this is about the repayment and the seasonality which coincide on that.
That is the reason. MSME, it is normal, which we're taking into account our portfolio and what are the slippages happening. It is normal, and we are closely monitoring those things.
Mahrukh Adajania : Sure. But sir, the growth in this quarter, QoQ is much sharper than the previous last few years. And then on a sequential basis, and also like when private ba nks say, they say that first and third quarter have seasonality in terms of repayment. So, how is it different for state banks? Why is it more seasonally weaker in terms of repayments in fourth quarter, like say, relative to private banks? Though I know th at PSUs have a larger Agri portfolio than private, but still asking just for understanding.
Ramasubramanian S.: See, that is what we have. So, public sector, you see, the way we are having our Agriculture portfolio, that is, if you're looking at it, our ma jor are coming from even pan -India also. It is there actually all over India . And especially our concentration,

because of the branch network,
our concentration is more on UP, Maharashtra, Karnataka and Andhra Pradesh and Telangana.
So, basing on the seasonality of the crops, this payment terms have been fixed by the things and normally, we find that the last quarter slippages in Agri is a little higher.
A. Manimekhalai : One thing we should understan d that as per the RBI guidelines also, the slippages in the Agri portfolio, once the repayment comes in, immediately we can give the loans also to these sectors.
Now, if you look at my Agriculture portfolio, if I look at June to March, there has been an increase, but in the last quarter, it has increased and as ED also pointed out, it is because of the seasonality of the crops and also because of the geographical conditions in these locations. But going forward, these slippages will be now converted into ad vances when the payment comes through. The payments usually come in this quarter and then we can make fresh advances also.

Mahrukh Adajania : That's helpful, ma'am. So, would MSME and Agri be linked? Because there's rice processing in MSME, all these proces sing units. So, are the MSME and Agri slippages linked or not really?
A. Manimekhalai : Ma'am, the food processing industry is, either classified as agriculture or MSME based on, of course, the investment that is made in that sector. Most of the rice proces sing and dal processing industries are classified as agriculture only. Other than that, based on the investment, it is all classified under MSME.
Moderator : The next question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera : Yes, ma'am. Overall, if you see the overall year's performance, it's fantastic. And every guidance given by you, ma'am, has been achieved. The only concern is on the operating profitability, which is mainly you said that because of the employees' cost, t he pension. But we have seen in most of the other banks that the majority of this provisioning was done into the December quarter. Now, here, you see our employees cost has gone up to Rs. 4,829 crores in this quarter against Rs. 3,279 crores, which has had a major impact. Some impact has been offsetted by increase in the other income by Rs. 1,000 crores in this quarter. So, going forward, what will be our run rate on the employees per month cost so that we can get a clear idea? And what is the reason or wha t are the exact calculations for such a high employee cost in this quarter, ma'am?
A. Manimekhalai : Sir, thank you for the compliments. And you know, with regard to the wage revision expenses, we have done this provision every quarter, actually. And every quarter it was done, as you are aware, we have been talking about this. The additional provision to the extent of Rs. 1,334 crores is what we have done in this quarter. This is mainly for pension, gratuity and leave encashment. That was what we have taken up. Wage arrears provision also we have taken close to about Rs. 163 crores. The total additional provision that we have done, additional impact on staff expenses is close to about Rs. 1,334 crores. So, that is what has impacted our operating profit.
Ashok Ajmera : Okay, ma'am, point well taken. Going forward, ma'am, what will be our monthly or quarterly employees cost approximately? Because all this provisioning has been done, with extra provisioning.
Avinash Prabhu : So, because of the bipartite every quart er, the increase in HR costs would be about Rs. 330 crores. So, if you try and standardize the HR establishment costs, say, for example, if you take the September quarter of this year, you need to add about Rs. 330 crores and that is already reflected in t his year's number as well. So, ideally, you should not see so much of an increase in the HR costs going forward. You might probably see about a 6% to 7% increase in the HR costs on an annual basis. And

that is because of increase in expenses like dearness allowance, et cetera.
So, very simply put, about Rs. 1,300 crores is the one -time hit that we've taken in Q4.
Ashok Ajmera : About Rs. 1,300 crores per month, according to you, isn't it, sir?
Management : Rs. 330 crores per quarter.



Ashok Ajmera : Means approximately the monthly cost will be Rs. 1,250 to Rs. 1,300 crores, isn't it?
A. Manimekhalai : No. The monthly expense will be close to about Rs. 110 crores with regard to additional expenses of Rs. 110 crores per month.
Ashok Ajmera : Ma'am, what will be the impact of these RBI guidelines which have come for the higher provisioning of the project finance loans?
A. Manimekhalai : Sir, as per the RBI guidelines provisioning, we are not seeing much impact . To give you a small number, we are still calculating the numbers. There is a lot of clarity that needs to come. About 68% of our loan book is completed projects. Out of that, project loans to corporate is about only about 28%. So, we are not seeing much of an impact which we will be able to manage.
Ashok Ajmera : I will take the point further. Some other points are there, but if the time permits, I'll come back again. Otherwise, we'll meet later.
Avinash Prabhu : And just to answer your question, the quarterly cost as far as establishment costs or staff cost s will be roughly about Rs. 3,300 to Rs. 3,500 crores.
Ashok Ajmera : Yes. So, that's what I'm saying that maybe Rs. 1,150 to Rs. 1,200 crores per month.
Avinash Prabhu : Yes.
Moderator : The next question is from the line of Nitin Aggarwal from Motilal Oswal . Please go ahead.
Nitin Aggarwal : Good afternoon, everyone, and congratulations, ma'am, on good results overall, but for the high OPEX . So, my first question is on the capital. Now, if I look at, because Bank has raised capital very well over the year and has reduced government holding to the minimum to like less than 75, so how do we really look to deploy this capital better? Because the growth rates that we are targeting now is still like closer to where we have been, and our ROEs are significantly highe r than the loan growth. So, we will ideally keep on accreting capital. So, what's the plan to utilize this capital ratio better?
A. Manimekhalai : The capital raise, the deployment of these capital will be towards the CAPEX for the Bank . You

understand that the Bank is looking forward to utilize a lot of CAPEX on building the digital portfolio of the Bank also. So, that is one area that we are looking at. Secondly, of course, for the growth of the Bank , at least in the credit portfolio, we are looking at that. We have also seen a little bit of increase in our establishment expenses. That is also another area. We are also looking at growth in our branch expansion for the current year. We are close to abo ut 200 to 250 branches is what we are looking at to grow in the current year. So, these are the areas that we will be looking to deploy our capital.

Nitin Aggarwal : And the second question is on the overall tax rate, because we have been absorbing the DTAs and our tax rate, therefore, is elevated. And despite that, we have been able to deliver more than





1% ROA. So, what is the outlook there? By when do we plan to migrate to the lower tax rate? How much is the outstanding DTA remaining that are yet to be abs orbed?

Avinash Prabhu : We have already migrated to the lower tax rate in the current year, which is March '24. However, you are not seeing the impact because we have had a write back in terms of the deferred tax asset. So, that is the reason why you are se eing that the effective tax rate is higher in the range of around 35% or so. But in the current year, which is '24 -'25, you see the effective tax rate in the 25% to 27% range. So, you see that in the current year.

N

itin Agarwal: And so related to it, then what will your ROA guidance as such for FY '25?

Avinash Prabhu : So, we have given an ROA guidance which would be higher than 1% , and we would stick with that.

Moderator: Thank you. The next question comes from the line of Kunal Shah with Citigroup. Please go ahead.

Kunal Shah: So, w ith respect to write -offs and the recovery from that, so when we look at it this year, we have almost done Rs. 4,000 odd crores kind of recovery from the written off accounts. And we are guiding for recoveries to continue quite s trong, getting into FY '25 as well. But broadly, if you can just highlight maybe out of this Rs. 16,000 odd crores of guidance for recovery, how much of that could be from the written off accounts and the pull out there ?

Sanjay Rudra: Last year actually o ur recovery in the technically written off account is around Rs. 4,000 crores , and also we have recovered the dummy interest to the extent of Rs. 3,000 crores. So, altogether it is around Rs. 7,000 crores and we hope that this year also we are expecting the total recovery of around Rs. 16,000 crores. And our recovery from the technically written off accounts will be more than Rs. 4,000 crores for the current financial year also.

Kunal Shah: That will be like more than Rs. 4,000 crores. And w hen you look at it in terms of the related question, may be the dummy interest which was accrued during this year , so is that the reason that despite may be exiting the Q4 with this kind of a margin, we are still guiding for 2.8 % to 3% margin, or is it more in terms of the cost of deposits catch up and how much of re -pricing on the deposit is still left?

A. Manimekhalai: Re-pricing on advances you are asking?

Kunal Shah: No, no , sir, I was just saying in terms of the overall margins, the exit quarter margins which have been there, okay, the run rate at least in terms of the guidance that we are giving is still lower . So, is it to do more with respect to the further catch up in cost of deposits which can ha ppen, or is it maybe the component of recovery which got accrued in this year that might not repeat next year and that's the reason we are still saying like 2.8 % to 3.0% margins, Yes.

Sanjay Rudra: No, margin of 3%, you are talking about the NIM , net inte rest margin.





Kunal Shah: Yes. So, NIM we exited at 3.1 . Guidance is 2.8 to 3 . Okay . So, is it because of cost of deposit re-pricing, or is it because of a lower recovery even from the interest component ?

Avinash Prabhu : So, Yes, so this is basically because we are expecting some pressure on our cost of funds and that's the reason why we have given a guidance of 2.8 % to 3%.

Kunal Shah: So, how much of re -pricing will still be left on the deposit side? We already feel like we are at 5.2, overall cost o f deposit.

A. Manimekhalai: No, it actually depends on the kind of liquidity that we are going to have in the current fiscal, of course. We have seen good liquidity in the month of April, but in the month of May and June, we feel that the liquidity will b e slightly under pressure . So, based on the liquidity conditions, the cost of funds, so that is how we have re -priced, we have given a guidance of NIM 2.8% to 3%. But this is , of course , subject to review . As the market conditions improve, we will come out with better numbers probably after looking at the liquidity position in the market.

Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital . Please go ahead.

Darshil Jhaveri: Ma'am, I just wanted to ask what kind o f loan growth and deposit advances do we look for FY '25 and will our G NPA decrease further?
A. Manimekhalai: Yes, my guidance for the year, the next year's guidance is that we will be close to about 11% to 13% in our advances. Depo sit growth will be abo

u t 9% to 11% and o ur slippages we will be
containing below Rs. 11,500 and gross recovery we are looking at Rs. 16,000 crores .
Darshil Jhaveri: Sorry , ma'am, gross slippages. Sorry, could you just repeat that?
A. Manimekhalai: Gross recovery will be Rs. 16,000 crores and slippages we are likely to reduce it below Rs. 11,500 crores.
Darshil Jhaveri: And our GNP A, ma'am ?
A. Manimekhalai: Gross NPA will be below 4%.
Darshil Jhaveri: And just one more question . Just with how the economic outlook currently , do we see any sector where there might be more pressure due to inflation or something , just like how is the economy doing well or some part where can be a surprising pressure ?
Kanika Pasricha : In terms of , first of all , when you say the economy is doing well , as a bank we are actually focused more on sunrise sectors , but when you say inflation , as you would have seen even RBI has been stating , they are cautious about inflation eating into salary led or retail led credit growth , which is as I have already tried to crack down on unsecured retail . So, retail is one portfolio with person al loans growth for the system at 27 % excluding margin effect at 16% to 17%. So, broadly,

retail is one area which may come under pressure on account of higher inflation. Otherwise, on other corporate side basically, they are actually witnessing the momentum is still trying to pick up after 10 years and the momentum may still continue.
A. Manimekhalai: Actually, my C EA has already said, we are also looking at the private CAPEX in FY '25, pickup in the private CAPEX , especially in the telecom, the construction, and the road, and the railways, food processing. These are the sectors that we are really looking at. There, t he government has also tal ked about hotspots, growth centers in various locations like tourism and all those areas. So, we are also focusing on these areas to improve our loan growth.
Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar: So, my question is basically pertaining to one is that interest income on the IT refund . That number has taken or doubled now to more than Rs. 1,000 crores for the entire year. So, a ny expectation there that how it will be in next year ? Though it is slightly difficult to predict, but if you can tell us, because the number is quite sizable.
Avinash Prabhu : Yes. So, obviously , IT refunds cannot be forecasted with good accuracy . So, we would conservatively look at maybe about Rs. 500 crores of IT refunds , interest on IT refunds .
Rakesh Kumar: Second part was considering the flow of or the run rate of the slippage for this quarter, would it be like the guidance that we have given credit cost guidance, so we would be able to sti ck to that number, our slippage number of Rs. 11,500 crores, because run rate has increased suddenly in this quarter ?
A. Manimekhalai: Actually , if you look at my slippages of whatever we have had during the current year of Rs. 11,000 and odd, out of that Rs. 750 crores is a slippage from my previous years, that is because of the aging, probably aging is what we have got, and plus we have also got recovery of close to Rs. 1,500 crores . With that actually my slippage is around Rs. 9,665 crores only for the current . So, with this, I will be able to maintain my ratio that we have talked about, credit cost ratio that we have talked about.
Rakesh Kumar: So, credit cost number, how much you hope, get, ma'am, the guidance for '25?
A. Manimekhalai: We are at the same range . We are looking at the current year, it was about between 60 to 70 bps. So, that is how we are looking at for the next year.
Avinash Prabhu : We are looking at a guidance of less than 1% in terms of credit cost.
Moderator: Thank you. The next q uestion i

s from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: I have a few questions. One is on project loans, the new RB I's draft guidelines. Just to clarify that you had mentioned that 68% of the project loans are already completed and rest maybe 30% is under implementation. Is that number right ? And is this a part of your, the entire Rs. 4 lakh crores corporate book or what is the absolute number here?
A. Manimekhalai: Sir, my total corporate advance is as you have also mentioned is about Rs. 4.07 lakh crores . Out

of that, if you take out the NBFC portion, out of th e remaining portion, 68% of that is project loans. And out of that 68% are completed loans, and the remaining is in various stages of the implementation.

Jai Mu ndhra: Ma'am, it would be great if you have the absolute number, but anyway, so ma'am, let's say, assuming this goes through the rest, I mean, only the 32% numbers, 32% of the project loans, which would have some impact , right, on provisioning , the 68% which are already completed may not have any substantial markup.

So, the question is, do you sense that these 68% project loans, which are already complete, c ould there be any incentive for the bank to increase the prices here? I mean, what I am asking is, under these guidelines, do the operating assets can have higher pricing from banks?

Ramasubramanian S. : See, this is the RBI draft guidelines has come for discussions and we are also having internal discussions with ourselves, what are the things whic h we want to or we also called for our views on this. So, we are also working on that. But if you are looking at it, in the corporate book, the 28% of the corporate book is, we have under the project loans and out of the 28% of the corporate book, 68% are completed project s. But as per the RBI draft guidelines, even after completion of the also, in the operation phase, we have to have the higher provisions has to be done till that 20% repayment is being paid back.

So, basing on all these things, there is a room, but it cannot be, we will be closely, once it is being implemented, we will be closely associating with the corporate and we will, because the same thing we have done it in the NBFC also . The NBFC also come in December quarter, December, when RBI i ntroduced the higher provision norms, we engaged ourselves with all the NBFCs and we improved the pricing. So, same thing, it will be done . It will not be like over the table, we will not be doing, but there is always with a good negotiation and engaging ourselves and looking at the long -term business prospects, this always will be done.

A. Manimekhalai: It is too early to have any speculation on the numbers right now, actually . The RBI is actually currently seeking a lot of input from the banks and vario us other institutions , and we have also given our feedback to them for the analysis, and we are sure that the RBI will take a prudent view on this . So, I think we should wait for the final decision before taking any view on this subject.

Jai Mundhra: Just to clarify then, see, out of Rs. 4 lakh crores, 28% only is project loans and of which 68% is already completed . Is that clear .



A. Manimekhalai: Yes, exactly, yes.

Jai Mundhra: Second question, ma'am, is on guidance on loan growth, right . So, we are saying that 11 % to 13%. And within that, do you think that the RAM growth will be a bit higher than the overall growth and corporate growth will be a bit slower as it appears right now?

A. Manimekhalai: Yes. So, we have projected a ratio of 55 % to 45%, that is what we are saying . Corporate loan will grow at the ratio of 45% will be at the corporate loan. We are looking at the ratio of 55% growth in our , sorry, in our retail portfolio will be, R

AM portfolio will be considering 55% of the total. Historically , we are growing at 11 % to 13% in our RAM portfolio , and similar growth is what we expect in the current year also.

Jai Mundhra: And ma'am, on the recovery of Rs. 16,000 crores this year that we estimate, is there any breakup between, let us say, NCLT or maybe NARCL ? Or this is going to be only granular retail and MSME kind of a thing?

Sanjay Rudra: Yes, in case of the current year recovery target, already The NARCL 11 accounts are under discussion with the NARCL amounting to almost Rs. 1,990 crores . As I already said, our target to recovery through the technical written -off is in the range of Rs. 4,000 crores . NCLT also the progress is quite satisfactory. Last year, a resolution happened in almost Rs. 3,200 crores in 8 accounts. This year also , we are expecting some good number of accounts where the resolutions are in progress. And the equivalent amount also Rs. 4,000 crores , we are targeting for the current year also.

Jai Mundhra: Rudra sir, just to understand, this dummy interest goes to P&L, right? That is why it is called dummy interest, right?

Sanjay Rudra: Yes.

Jai Mundhra: And that Rs. 3,000 crores that we did this year, you think that could be a similar number this year? Or this should come down as total recovery is also declining .

Sanjay Rudra: That is what we have observed in the previous year also, that is '22-'23 also, it was around Rs. 2,700 crores . So, it is in the range of Rs. 2,700 to Rs. 3,000 crores annually.

Jai Mundhr a: Last question, sir, or ma'am , if you can comment on the unsecured personal loan, we had a portfolio of around Rs. 11,000 odd crore s. What is the number right now and if you can share any slippages in that book and the absolute number of the portfolio and the GNPA or slippages in that book ?

A. Manimekhalai: With regard to personal loans, including credit card, there is a very marginal growth actually. If you look at Rs.12,587 crores was my last year's numbers and the present is about Rs.12,983 crores . And there is a growth of about just about 3% and in credit card we have a de -growth of



about 2% . Not much of delinquency in those books because it is given to all salaried employees who have got accounts at the bank. We have not seen much slippages in my pe rsonal loan book.

Moderator: Thank you. The next question is from the line of Sushil Choksey with Indus Equity Advisors . Please go ahead.

Sushil Choksey: Ma'am , in your opening remark , you highlighted that you are going to have a huge CAPEX or a large number on digital and branch initiatives. Can you elaborate little more what are the initiatives we are taking under that?

Nitesh Ranjan : So, when we talk about digital and IT , I just like to give a color that we have continuously been augment ing our IT capacity to make it more robust and resilient. So, if you look at our CAPEX on IT over the last few years, I think in FY '22, it was around 5 billion INR , FY '23, it was close to 6.5 billion INR , and which we augmented significantly in the last financial year to around 11.5 billion INR.

And on top of that , this year also , again , the plan is of around close to 14 billion of CAPEX related to the IT and which includes the core IT, the security, the analytics and the digital transformation project that we are underway. And it encompasses hardware augmentation, network capability and security capability.

So, far as the digital things are concerned, you are aware that from the last year we have started investing in digital capability, building the d igital platform, which also includes the creation of the mobile banking platform on our own, which we will be migrating to during the current financial year.

Simultaneously, we have also been building several digital journey and which MD in

the opening

remarks alluded to . Close to around 12, 13 journeys are already there. And on the asset side, we have done a business of around Rs. 8,300 crores on that. And on the liability side, total of I think around 20 lakh customers have been able to open the liabili ty side accounts to our mobile app and close to around Rs. 60,000 crores of deposits flow have happened through that.

Simultaneously, we are covering the low -ticket size MSME and the Agri loans for the auto renewal on the digital side. That amount also a number of accounts is significantly higher. We have invested in analytics capability by building the data lake and the analytics, which is a work in progress.

So, overall, I think one part is that we will continue to invest heavily into IT infrastructur e. And the idea is that, and we have been telling this earlier also , that over the next few years, around 50% of our retail origination should happen through the digital channels , and I think these are on track.

Sushil Choksey: This would lead to a reduct ion in cost to income by how much?



Nitesh Ranjan : So, very difficult to say at this point of time. But if you look at the financial institutions who have invested in digital, I think the impact on the cost -to-income ratio is , what you call, it comes with a lag of three to five years because the initial investment is pretty high. So, not in the immediate years, but if you look at maybe three to five years from now, it can definitely have an impact of 2% to 3% on the cost -to-income ratio.

Sushil Choksey: And this doesn't include any Union Bank shared service, which you are planning to or implementing, right?

Nitesh Ranjan : No, in overall reduction of the cost -to-income ratio, obviously the shared services will also have some positive impact.

Sushil Choks ey: Yes, but these expenses, what you are incurring is only part of Union Bank balance sheet, not shared service.

Sanjay Rudra: Right.

Sushil Choksey: My second question is, ma'am, as you are witnessing still tight condition as an assumption of your fore cast, with India being included in various indexes starting from Bloomberg and JP Morgan, how are we prepared to capitalize on this opportunity , which the bond market and the money market and the FX, which would emerge and throw a big, huge benefit to bank s, specifically a size of Union Bank, which can garner a huge money flow through various schemes and the security market?

Sudarshana Bhat : Yes, see, bond indexation news is already there in the market. That will happen during the June month. There will be expectation of 10 to 15 or 25 billion of dollar indexation will happen. This

will happen over a period of the next year. We will take this as an opportunity and include those corporates and F PIs in our folder and try to generate a custodian facility which can be extended to those F PIs, so that we can able to increase our fee income as well as trading activity in those segments. I just say that will be a plus factor for very positively in the coming days.
Sushil Choksey: Any quantifying or measures you hav e taken within the bank?
Sudarshana Bhat : We have an independent fee activity . That will increase our volume and net worth, so that we can be able to garner those things very positively. As of now, it is in the initial stage. We will look for the opportun ity in the coming days when the indexation inclusion happens.
Sushil Choksey: But have we implemented anything in GI FT City or overseas branches?
Sudarshana Bhat : Yes, already we have requested for getting the permission from Reserve Bank of India. It is in the final stage. We are looking to get the permission as early as possible. When that happens, definitely we will look for opening our setup at GI FT City.
Sushil Choksey: Ma'am, what is your guidance on ROE and R

OE for the coming year?

A. Manimekhalai: ROA, we said we will be above 1%.
Sushil Choksey: Are we being conservative or?
A. Manimekhalai: We will be above 1%.
Avinash Prabhu : No, because I think the reason why we are saying above 1% is because we have been saying that our NIM would be 2.8 to 3. So, obviously , that could also have an impact on the ROE , and therefore we are sticking with the guidance of greater than 1%. Obviously , we will try to beat that.
Moderator: Thank you. The next question is from the line of Vikram Raghvan from Moon Capital. Please go ahead.
Vikram Raghvan: I just have one data keeping question. What is the interest recovery or the dummy ledger recovery in this quarter? Last quarter we did Rs. 995 crores.
Sanjay Rudra : Last year we recovered altogether Rs. 3,000 crores , and as I said earlier also , on average , we are recovering around Rs. 3,000 crores annually. So , this year also we are targeting Rs. 3,000 crores of dummy interest.
A. Manimekhalai: This quarter we recovered from the dummy ledger about Rs. 850 crores.
Moderator: Thank you. The next question is from the line of Ashlesh Sonje with Kotak Securities. Please go ahead.
Ashlesh Sonje: Just a couple of questions from my side. Firstly on the personal loans book, can you share some trends on what the G NPA ratio on this book looks like? How it has trended in the last few quarters and any observations which you have seen on the delinquencies?
A. Manimekhalai: Yes. The NP As on the personal loan is to the extent of less than 1.5% actually , and I am not seeing a trend in any of the slippages because as I said , these are all to my own customers, salaried customers who are already banking with the bank salary from various authorities , but their banking with the salary is drawn from my bank. So, I am not seeing much of a trend in this and problem in this portfolio. But however , my book is also very small . Less than Rs. 13,000 crores is my book , and I have not seen much of a slippage in this book.
Avinash Prabhu : Yes, our slippage is quite consis tent. Even our March '24 slippage is consistent with what we reflected in the December '23 quarter as well for personal loans.
Ashlesh Sonje: What was the GNP A ratio, let's say , in the December quarter or in the March FY '23 quarter?
Avinash Prabhu : The G NPA ratio in the December quarter was 4.83% and in the...

Sushil Choksey: Specifically on the personal loans now?
A. Manimekhalai: No, personal loans, sir, Yes.
Avinash Prabhu : Yes, it would be similar, Yes.
Sushil Choksey: Any sense on what is the re-pricing left in the NCLR -linked loan portfolio?
A. Manimekhalai: It's just about, you know, if you can see the repo rate increased by 250 bps, but then we passed on only to the extent of 165 bps to the customer. I still have a long, you know, I can pas s on to the customer still further , but then depending on the market conditions and the liquidity positions, only then I will be increasing the NCLR numbers.
Moderator: Thank you. The next question comes from the line of Rakesh Kumar with B &K Securities . Please go ahead.
Rakesh Kumar: Just one question with respect to the borrowing strategy, like, the Treasury Department, the way the borrowing number has come down year-on-year and sequentially also , so, could you give some understanding, like, what we are planning on doing there on the borrowing?
Sudarshana Bhat : Yes, as far as domestic treasury is concerned, we are having a excess SLR, against which only

we are borrowing. As far as our global balance sheet is concerned, we have it tied up with the HSBC b ilateral loan agreement of $500 million . So, that will help to meet our requirement. Other than that, whatever is required , we will be doing those activities

to either syndication loan or
bilateral loan depending upon the credit demand in the global market . India is concerned , we are having excess SLR with which we will be able to, whenever required, to keep our CD ratio within the tolerable limit, we will take the chance. Otherwise, we will rise up by way of bulk deposits or CD to take care of the credit d emand.

Rakesh Kumar: Excess SLR would be how much, sir, in the quantum ?

Sudarshana Bhat : Now, as on March, we are having around Rs. 65,000 crores to Rs. 70,000 crores excess SLR that can be deployed for the purpose of credit requirement to keep our CD ratio.

Moderator: Thank you. Ladies and Gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

A. Manimekhalai: Thank you all of you for participating in the con call. I thank yo u once again for your continued support to the bank. The bank is on a sustained growth path. We are taking measures to see that we have strong fundamentals and at the compromise of our bottom line, we do not want to grow our top line too.

And t he bank is also very much concerned and open to the compliance part. The regulators ' views are taken very seriously by the bank . And we are guided by the various RBI guidelines ,



and the DFS guidelines and the various authorities. And we stand to see that all our ini tiatives that we have taken in the couple of years has yielded lot of results to the bank , and we continue to make newer initiatives to see that the customers have the best of the products from the bank and also the right kind of services from the bank. Th ank you all of you once again.

Moderator: Thank you . On behalf of Union Bank of India , that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

# Call: Jul 2024

[redacted], [redacted], [redacted], 239, [redacted],
[redacted], [redacted]- 400021.
Union Bank of India, Investor Services Division , Union Bank Bhavan ,239,VidhanBhavan Marg, Nariman Point, Mumbai - 400021.
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Classification: Public
[redacted] Ref.:[redacted].[redacted].[redacted].ISD/146/2023 -24 [redacted] Date : 25-07-2024

[redacted] Madam/[redacted] Sir,

[redacted] Subject: [redacted] Transcript of Post Earnings Call

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https://www.unionbankofindia.co.in/english/
financial -result.aspx

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[redacted] 46(2)( [redacted]) [redacted] 30 [redacted]
[redacted].
This is to inform that transcript of Post Earnings call held on July 20 , 202 4 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter ended on June 30, 2024 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindia.co.in/english
/financial -result.aspx

This information is furnis hed in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

[redacted] Yours faithfully,

([redacted]. [redacted]. [redacted] S. K. Dash)
[redacted] Company Secretary
[redacted] FCS - 4085

Encl.: As above [redacted] BSE Ltd.
[redacted] BSE Listing Centre
[redacted] Scrip Code - 532 477 [redacted]
National Stock Exchange of India Ltd.
[redacted] NEAPS
[redacted] Scrip Symbol -UNIONBANK -EQ

"Union Bank of India Earnings Conference Call for the
Period Ended June 30, 2024 "

July 20, 202 4

MANAGEMENT : MS. A. MANIMEKHALAI – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER

SHRI NITESH RANJAN – EXECUTIVE DIRECTOR

SHRI RAMASUBRAMANIAN S. – EXECUTIVE DIRECTOR

SHRI SANJAY RUDRA – EXECUTIVE DIRECTOR

SHRI PANKAJ DWIVEDI – EXECUTIVE DIRECTOR

SHRI AVINASH PRABHU – CFO

SHRI AJAY BANSAL – HEAD, INVESTOR RELATIONS

 Moderator: Ladies and Gentlemen, Good Day and Welcome to the Union Bank of India Earnings Conference
Call for the Period ended June 30th, 2024.
The Bank is represented by the Managing Director and CEO – Ms. A. Manimekhalai, Executive Directors – Shri Nitesh Ranjan, Shri Ramasubramanian S., Shri Sanjay Rudra, Shri Pankaj Dwivedi and other members of the Top Management .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" an d then "0" on your touchtone phone. Please note that this conference is being recorded.
Now, I hand the call over to Mr. Ajay Bansal – Deputy General Manager. Thank you and over to you, sir.
Ajay Bansal: Thanks, sir. Good afternoon, ladies and gentlemen. I , Ajay Bansal – Head of Investor Relations, welcome you all for Union Bank of India Earnings con-call for the period ended June 30th 2024.
The structure of the con call shall include a brief opening statement by respective M.D. and CEO ma'am, and then floo r will be open for interaction.
Before getting into the con -call, I will read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statement based on the current expectations. These statements involve a number of risks, uncertainties and other factors that cause the actual result to differ from the statement. Investors are therefore requested to check this information independently before making any in vestment or other decision.
With this, I now request our respective M.D. & CEO ma'am for her Opening Remarks. Thank you and over to you ma'am.
A. Manimekhalai: Good afternoon to all of you. I welcome you to Union Bank Financial Results Announcement for the 1st Quarter ended June 30, 2024. Thank you for joining us today. I trust you have reviewed our results.
Let me "Provide an Overview of our Performance and Key Highlights for this Quarter ":
The 1st Quarter is typically a flat season compounded by election impact and annual staff transfers, resulting in not -so-good business growth.
As far as the banking industry is concerned, the credit growth has been outpacing deposit growth, increasing competition for liability. We are mindful of this fact and implemented several strategies to address this challenge, which I will discuss in detail later.

Classification: Public The guidance versus the actual performance :
Let me just give you a brief with regard to what the guidance that the Bank had given and the performance of the Bank . The deposits have grown by 8.5% YoY, advances by 11.5%, largely in alignment with our guidance range of 9 % to 11% for deposits and 11% to 13% for advances. Our NIM is at 3.05% surpassing our guidance of 2.8% to 3 % for FY25.
On asset quality :
We are showing consistent improvement in the past several quarters. In line with our guidance, gross NPA reduced to 4.54 % with gross recovery at 3,368 crores and slippages restricted to 2,318 crores.
With regard to my growth :
We aim for a sustainable growth balancing top line and bottom -line performance. As per latest RBI data as of June 2024, S CBs reported 10.6% YoY deposit growth and 13.9% growth in credit vis -à-vis our Bank reported 8.5% growth in deposits and 11.5% growth in advances. Both on YoY and QoQ basis, the deposits and advances of the Bank is positive. We are not growing our top line at the cost of our bottom line. CASA and retail term deposits form 72% of our total deposits and we are maintaining this ratio consistently for a long time.
Now, with regard to my Q1 highlights :
Total business of the Bank

reached Rs.21.36 trillion with deposits of Rs.12.24 trillion and advances at Rs.9.12 trillion, while our SB deposit registered a YoY growth of 4.6%, CASA on a whole grew by 3.7% and term deposits registered a growth of 9.5%.
We grew better under RAM advances by 14.5%, while large corporate advances grew by 7.8%.
Higher growth, we have seen under gold and an education loan and also vehicle loans.
Net profit of the Bank has reached Rs.3,679 crores in June quarter, a growth of 13.7% YoY and 11.1% QoQ basis. Operating profit of the Bank is at Rs.7,785 crores with 8.5% YoY growth and 19.1% QoQ basis. GNPA has reduced by 280 bps, net NPA has come down b y 68 bps to 0.90%, PCR has improved by 263 bps to 93.5%. The credit cost improved to 0.73%, grew by 24 bps YoY . ROA has improved to 1.06% and ROE to 15.7% as of June 2024. The implementation of the new investment norms has positively impacted our portfolio .
With regard to CASA growth, we have taken a lot of initiatives, and we hope to increase our CASA base based on the various initiatives that the Bank has taken.
During the quarter, the major achievements that the Bank has achieved is S&P Global Rating has revised our outlook to positive aligning with the sovereign rating of the country. India Rating upgraded our rating to AAA Stable, one notch up.

Classification: Public We have opened the first branch in Lakshadweep at Agatti and also opened 12 premium branches in the RUSU locat ions.
We also have a plan to raise capital to the extent of Rs.10,000 crores for FY25. It has been approved by the board, of which Rs.6,000 crores will be equity and Rs.4,000 crores through AT 1 and Tier 2 instruments.
In conclusion :
I want to emphasize the Bank has been very consistent in performance. Our balance sheet is quite strong, stable and sustainable. The key initiatives we have taken with regard to underwriting capabilities, centralization, verticalization, HR transformation, a nd robust assurance framework all are yielding good results for the Bank .
Before I conclude, I want to address yesterday's outage regarding the Microsoft system. I want to emphasize that the Bank has not been impacted with regard to the outage.
I conclude here and now we are open for questions. Thank you.
Moderator: We will now begin the question -and-answer session. The first question is from the line of CA Dr. Ashok Ajmera, Chairman Ajcon Global. Please go ahead.
Dr. Ashok Ajmera: My only little observatio n and concern, ma'am, is on the credit and deposit growth, especially in this quarter which is totally I mean muted, 0.59% domestic credit grew, and the deposit reduced from Rs.11,99,197 crores to Rs.11,96, 168 crores as far as the domestic deposit s are concerned . So, this is my first question that in the remaining quarters like when we have to grow our credit books even as per your target of almost about Rs.1,10,000 crores, that is almost about Rs.36,000 crores per quarter minimum, how do we pla n to grow that credit book and equally the deposit also, and which are the areas from where, because our agri portfolio has already grown much?
Ramasubramanian S .: See, if you are looking at actually our growth, the banking industry is presently undergoing the equity trend that the deposits are very difficult and there is a high cost, it involves a large cost for the increase in the deposit, but at the same time, if you're looking at it, our retail, there is a steady growth

of around Rs.3,000 crores we have increased in the quarter despite being one of the flat quarters normally in the banking industry, being the 1st Quarter . If you're looking at it, as madam has already informed that we are taking the main various initiatives for increasing our deposits. Th ere will be a special focus on CASA. We have taken a project where we are reaching out to our ETB and also new-to-Bank clients

for balancing the CASA accounts. As ma'am told, we have also opened some premium branches, catering to these clients. The premium branches will be only catering to the CASA clients so that there is a steady growth of CASA in the coming days. So, already the Bank is aware of the situations, and we have already initiated many, many projects in this regard to keep our market share at t he existing level. As regards to credit, if you are looking at the last quarter also, our RAM sector growth is 14%, which is in tune with the market. There is a reduced growth in the corporate sector where actually because some of the low yielding advances have been shut down
 during the last quarter, and our CD ratio also, we want to maintain between 73% to 76%. So, Bank is very well aware of it. If you are looking at the credit, once the private cap ex come into full Force, Bank is ready already, if you're looking at it, we are having an excess liquidity of around Rs.65,000 crores. So, Bank is ready to increase the portfolio in the coming days.

Dr. Ashok Ajmera: Ma'am, just due to the change in the classification and valuation norms of the investment, our AF S, there is an increase of Rs.1,702 crores which has gone to the general reserve. But, if you take it, our net worth which was Rs.87,601 crores given in the result and if you add the profit of Rs.3,678 crores , the total should come to Rs.91,279 crores but it is Rs.93,748 crores. So, net worth has gone up by Rs.2,470 crores versus the AFS increase in the valuation of the general reserve of Rs.1,702 crores. So, about Rs.700 crores has gone further into the res erve if you look at the networth difference between the March end and the June quarter. So, what is that component of that Rs.700 crores, the additional increase in the networth, is it zero coupon bond, some calculation?

Sudarshana Bhat : As far as investment in new norms are concerned, which has been implemented from 1st April onwards, whatever the impact on that general reserve is Rs.1,702 crores after tax, which has been added in the general reserve. In addition to that, around Rs.20 crores, whatever the Ju ne quarter addition is there, that has been added to AFS reserve. Total addition is Rs.1,722 crores on account of changes in the investment guidelines which effect from 1st April 2024 onwards.

Avinash Prabhu: This is Avinash Prabhu. Basically, the Rs.700 c rores that you're talking about is the reduction in DTA. So, because there's a reduction in DTA, you're seeing that differential of Rs.700 crores. So, that's why our networth has increased.

Dr. Ashok Ajmera: That is why Networth has gone up another Rs. 700 crores. Ma'am, certain on the notes to the accounts, there is a fraud in the note #9, the fraud is reported Rs.465 crores, the outstanding is Rs.341 crores in this quarter in 128 basis. So, number one, it's a very high number in the first one quarter itself. Secondly, how much is of these frauds are on the borrower account and how much is on the digital and other cyber frauds and what are the chances of recovery out of this Rs. 341 crores outstanding which has been fully provided for?

A. Manimekhalai Maybe in terms of Reserve Bank of India guidelines, now all the frauds, even though if the Bank is not responsible for that, but it is on the digital platform, it has to be classified as fraud and we have taken this up with the RBI in this regard. So, almost like 70% to 80% of these frauds are digital frauds of small in nature and of course the remaining are credit and credit fraud that is happening. The Bank has taken lot of initiatives with regar d to this. We have opened the separate transaction monitoring department in the Bank . We also have reconciliation department. We have put a lot of steps with regards to arresting the digital frauds as well as with regard to the various transaction

fraud th at's happening. Real -time monitoring of all the transactions are happening in the Bank . We are also putting velocity checks and customer profile, AI we have taken this. So, we are taking up a lot of measures to arrest the fraud and you must be aware that t he Bank is operating at 24/7 cyber security operations center also at Hyderabad. So, with these initiatives, we hope to reduce the number of digital frauds that's coming up with the Bank , plus also the transaction frauds are happening within the Bank .
 Mode rator: We will move to the next question which will be from the line of Mahrukh Adajania from Nuvama.
Please go ahead.

Mahrukh Adajania: Ma'am, firstly on PSLC income, while of course it's always strong in the 1st Quarter , it is kind of doubled. So, who wo uld be the main buyers -- would it be Foreign Banks, Private Banks, who are

the main takers of PSLC because the demand this quarter looks to be significantly higher than last year, right, where last year's 1st Quarter also there was good income, but this t ime it's even better? And what is it that sells the most -- is it agri -gold or what? That's my first question and then I have a question on cost of funds as well.
Sudarshana Bhat : as far as PSLC is concerned, it is traded on the platform which is open to a ll the buyers. We are not able to understand who is the buyer and who is the seller. It is a platform where it will be dealt based on the demand/supply, but usually on observation during the last quarter, when the sale took place major buyers look to be a Private Sector Bank , who are in the segment.
Mahrukh Adajania: Sorry, I did not hear the last point.
Sudarshana Bhat : Private Sector Banks who are having the shortfall in that segment. It was traded at a range of Rs.1.80 - 2.00 during the quarter.
Mahrukh Adajania: And then what would be the amount of recovery income or dummy interest in NII and any swap -related income in NII this quarter?
Sanjay Rudra : For the last quarter it was Rs.607 crores. And what you asked about the second question?
Mahrukh Adajania: In NII, you have some swap -related income every quarter, right? So, what was it this quarter?
Sudarshana Bha t: Yes, it will be around Rs.700 to 800 crores, madam. It is on par with the year and quarter basis, similar income. There is no change as much.
Mahrukh Adajania: Just one last question on cost of funds. Obviously, there's no business growth given that it's the 1st Quarter and it's a dull quarter for the banking sector. But, as liabilities are challenging, you yourself pointed out deposit growth being slower than loan growth and that there are special offers given by all Banks on term deposit, do you see an upward movement in the cost of funds in the quarters ahead, this quarter it has somewhat declined?
A. Manimekhalai Actually if you look at this, QoQ, the cost of deposits is slightly reduced by 5 bps over March '24. It is because we did not take much funds in t he market and we have got enough of liquidity with us. That's the reason the cost of deposits has fallen in this quarter. But going forward, looking at the increase in advances, we would like to borrow funds or raise more term deposits and that is the time that we will be looking at increasing probably rate of interest. And as of now we are very competitive in the market with regard to deposit rate and we look at the tight liquidity position and dividing gap between the deposits and the credit growth, plus we also have quite good excess SLR growth. So, we were not looking at increasing the cost of deposits to a great extent.
 Moderator: The next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.
Suraj Das: Couple of questions. One is on the yield on advances,

that has declined on a QoQ basis. If you can shed some light, I mean, what is the actual behind that? And has there been any impact because of this revised payment charges guidelines?
A. Manimekhalai Yes. Yield on advances has declined by about 15 days, primarily due to the fall in our DL recovery. About 11 bps impact it had because of the DL recovery compared to the previous quarter. We also saw a small increase in the average advances, that's about Rs.10,000 crores increas e in the average advances. That's the reason there has been a decline, and plus if you look at this we were able to pass on the MCLR reset of only 25 bps during the year. So, that is the reason that if you look at YoY there is a decline in the yield on adv ances.
Suraj Das: So, the second question is on the standard asset provision. So, I think this quarter you have provided something like Rs.1,300 crores and similarly, I think if I see let us say SMA -0, that book has also increased. So, if you can shed some light here?
A. Manimekhalai Standard asset provisioning, we have done to the extent of about Rs.1,296 crores. It's increased to that extent. This increase is due to an anticipated distress or potential restructuring in a couple of accounts. That's the rea son that we have done this additional provisioning.
Suraj Das: And then the rational of increasing?
A. Manimekhalai Rational also is there in SMA -0. That's the reason that our SMA -0 numbers have also gone up.
Suraj Das: Last question would be on the NBFC g rowth. I think in your corporate slide deck, you have given the exposure to NBFC has grown substantially on a QoQ, YoY , both basis. So, I mean how you are looking at this growth probably in the coming quarters?
A. Manimekhalai No, if you look at QoQ, there is not much of an increase in NBFC, but YoY of course from Rs.1,07,795 crores to Rs.1,20,065 crores that's how the NBFC book has grown. But we have shared lot of numbers on the NBFC book plus our other low yielding advances bo ok also close to Rs.15,000 crores is what we have.
Ramasubramanian S .: To add to that, if you are looking at other Banks growth in NBFC, it is from the RBI data, we find that it is a 15% growth is shown, whereas our growth is around 14%. Still, we are havi ng a room we will be taking.
A. Manimekhalai We have shared almost Rs.5,000 crores in. our NBFC book. If you look at December '23, it was at Rs.1,25,540 crores and today we are at Rs.1,20,065 crores .

Suraj Das: What could be the rating here? I'm assuming t his would be double A or AAA rated NBFCs?
 A. Manimekhalai Yes, my NBFC portfolio, if you look at almost like 99% is A and Above and 1% is Triple B and
Lower.
Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Pr ivate
Limited. Please go ahead.
Dixit Doshi: So, I have three questions. Firstly, as you mentioned that the standard asset provisions we are anticipating some loan accounts defaulting. So, also do you feel that we will increase the standard asset provision going forward also or it was maybe one -off this quarter and this will be such high provisions in the future quarters as well?
A. Manimekhalai Yes, this is a one -off provisioning of a certain couple of accounts and that's the reason that we have done this.
Dixit Doshi: So, from next quarter onwards, this amount will be lower.
A. Manimekhalai Yes, in the next quarter, it may not come up.
Dixit Doshi: My second question is regarding this recent Telangana Government farm loan waiver. So, first thing is, will it impact us? And also, secondly so how this will be recorded in the books of accounts, will it be like those accounts move to the entry and the government will pay us at a later stage or I think the amo unts are transferred to the farmers account, so can we do the auto debit kind of?
A. Manimekhal

ai It's done usually, the amounts are credited to the farmers account and from there it is credited to the loan account. And it has just started. So, we will not know the impact because we are doing it in two phases. The second phase will be completed by August 15th. So, we will know the exact by that time.
Dixit Doshi: The amount will be transferred to loan account. So, we don't anticipate a significant jump in the GNPA because of this, right?
A. Manimekhalai No.
Dixit Doshi: So, our capital adequacy is quite strong at 17% and we are targeting a growth of 11% to 13%. So, this Rs.6,000 crores equity raise, is it just the provisional approval we have taken, or do you really feel that we will require this much fund?
A. Manimekhalai Yes, we are quite comfortable, as you say, with regard to the capital adequacy is concerned, w e have enough capital to take care of our growth. But we have taken a board approval to raise capital in case there is a capital cycle revival and then the growth profits the Bank also increases and the ecosystem also increases, we would like to have more capital to take care of that.
Moderator: The next question is from the line of Jai from ICICI Securities. Please go ahead.
 Jai: My question is sorry again on this standard assets provisioning of Rs.1,200 and plus crores. Is this entirely due to some rising the SMA that you have seen, or this also includes the usual higher provision on restructured assets?
A. Manimekhalai Because of those couple of accounts that we are finding a potential stress, that 's the reason that it has been done.
Jai: These are like large corporate s, right? So, if you can mention the sector and the like overseas account also?
A. Manimekhalai Not overseas sector, these are domestic ones only.
Jai: And the amount even if I look at SMA right, it is only Rs.5,000 crores, usual trend of Rs.1,000 crores.
So, it looks like that the increase is more like Rs.4,000 crores?
A. Manimekhalai Yes, exactly.
Jai: And against that you have taken a like 25% kind of provisioning?
Avinash Prabhu : Yes, but Jay, it's not necessary that these accounts have to be in SMA. So, we have looked at the overall book and We have identified like ma'am said a couple of cases where we could need additional provisioning and that's why. So, it's not necessary that it has to tie -up with the increase in the SMA book.
Jai: If you could mention the sector of these potential accounts, just to understand sector color there?
Avinash Prabhu : Unfortunately, it covers a few sectors, and we don't want to get into those details at this stage .
A. Manimekhalai Jay, no, as I told you, these are potential numbers that we are looking at. We have been u pfront about it. So, we do not know how those accounts are going to behave. But as a prudent governance method, we have already provided for them.
Jai: Then there's a question on this AFS new guidelines, right. In convention to that, there is a sharp cut in the AFS book also in absolute amount in both SLR and non -SLR, very sharp reduction in the absolute amount and similar to that I was under the impression that treasury income may decline

because of this new guidelines. So, two questions here. One is why t here is so much sharp cut in the AFS and non -SLR book in the AFS category, why not too much impact on the treasury income?
Sudarshana Bhat : As far as treasury is concerned after the new guidelines, AFS book will not be treated as a trading book, it is a ba nking book. So, whatever the trading position to be taken, that should be taken in the HFT book. So, we have taken the position in HFT book instead of AFS book, and we have strategically done the exercise and we could able to book similar amount of profit which even otherwise annual s hifting , other activities are not there, still we could able to generate a year -on-y

ear
 equivalent profit. That is the main reason for generating the equal amount of profitability in the treasury during the current quarter.
Jai: Sir, there is Rs.150 crores of positive impact in the P&L, right, because of this treasury, because of these norms. If you could explain sir, what is that?
Sudarshana Bhat : That is the mark -to-market gain on that which is not booked. It is accounted for daily basis and even quarter -end also. As per the new guidelines, we have to be done on the fair value and daily impact on all those portfolios will be taken into account in the P&L account. Since our HFT portfolio is having a position which is having a po sitive gain, that has been added to the P&L.
Avinash Prabhu: See, basically this is the consequence of the new guideline, right. So, you see this across the banking sector where because there's a split in the held to maturity, AFS and F VTPL you see that these movements would happen in the 1st Quarter , but obviously you may see lesser volatility in the subsequent quarters.
Jai: Ma'am in your opening remarks, you mentioned initiatives in CASA, and I think you mentioned a range of the loan to deposit ratio also. So, is that fair to say that loan growth in the near -term for next one to three quarters would be similar to deposit growth, right , I mean as you grow deposit, you will be able to lend as well, is that a fair understanding?
A. Manimekhalai Yes, that is our strategy. We want to grow our deposits in line with our advances growth, but we have given our guidance for the year and we will be keeping to the guidance that we have given, but however, we have taken a lot of steps with regard to increasing the liability portfolio of the Bank and as I told you in the very beginning that we have also taken a consultant on both to increase to give us guidance on how to increase deposits, plus we are opening new branches and we are also opening new premium branches at RUSU locations to see that our deposits are growing. We have also established a customer service excellence cell for better service an d complaint management and to take care of our existing to Bank customers. So, there are many strategies that the Bank has implemented during the last half year, and we hope to see good results and the gap between the deposit growth and advances growth wil l be reduced.
Kanika Pasricha : This is Kanika, CEA . So, there are a lot of questions coming on wedge between credit and deposit growth and this whole issue around cost of deposits. While for our Bank , this quarter has been favorable, but overall, for the system we have seen on a macro basis, if you actually see the RBI itself in the latest financial s tability report has come up with an analysis which shows that in high growth phases , typically, the wedge between credit and deposit growth lasts for 2 to 4 years . Now in the current cycle, which has started from April 2022, this wedge has been initiated betw een credit and deposit growth. 26 months have passed. We still have a year to go and the RB I itself is acknowledging that even for the next 12 months , that is going by historical examples of experience, this wedge may persist between credit and deposit gro wth. Similar issue for our Bank is actually for the system as well and it's reflecting in our guidance too. The second point is everybody is talking too much about CASA cost of deposits . Cost of deposit today for the banking system as a whole is
 witnessing upward pressure. We have been lucky in this quarter , but broadly the risk is on the upside purely because CASA as a segment is witnessing a structural slowdown. There are two points. One is of course the structural slowdown, because household s are shifting their savings mix from deposits t

o equity in small savings and we are anecdotally facing that. And the money roots back to the banking system in the form of a TD or a bulk deposit. So, CASA is facing structural slowdown and in high-rate periods , CASA ratio usually comes down , that is true for our Bank as well. And in fact, it's true for every Bank on street especially in this quarter where Q -o-Q, there has negative CASA growth. L ast but not the least, what we will actually see is that CASA is faci ng a structural slowdown , the wedge between credit and deposit to persist for deposit is real in this financial year. They are causing some upside risk to cost to deposits as well. Thanks.
Jai: Yes, sure. That's very helpful. One last question is on restructuring provisions. So, we have a

restructuring book of around Rs. 11,000 crores – Rs. 12,000 crore s. How much is the restructuring provision that we have? And it looks like that we may be seeing ECL implementation very soon. Do you envisage any addi tional provisioning a) on the total loan and b) specifically on the standard restructure d book? Thank you.
A. Manimekhalai : With regard to, in the meantime that we get the numbers for restructured book , ECL, we will not be having much of an impact. We have lived into that portfolio, ECL will not be having major impact on the Bank numbers. The banking sector is in a relatively better position now in terms of asset quality, capital adequacy and profitability. And we will be able to absorb the impact condition of the ECL and I know the timelines will be given for one year timeline to implement the ECL norms after the final guidelines and the news is that it will be implemented for FY26-27. So, in this scenario , we will not have a substantial impact on our balance sheet with regard to ECL.
Avinash Prabhu : So, there , the restructuring book is very small. So, we will get back to you on the amount, but it's only about Rs. Rs.22,000 crores and we will come back to you in terms of how much , about 39 % of that is NPA.
A. Manimekhalai: 36% of the restructured book is NPA .
Avinash Prabhu : Correct. So, we will come back to you on the amount provided, but it would be significantly covered in terms of provision.
Moderator: Thank you . We have the next question from the line of Prabal from Ambit Capital. Please go ahead.
Prabal: Ma'am, j ust a clarification first. I was asking the clarification that the reversal of penal charges, that 11 basis point on advance s, is that the correct understanding ? And this was for how many quarters prior ?
Ashwini Choudhary: Meaning?
Prabal: Meaning how many quarters prior penal charges have been reversed in this ?
 Ashwini Choudhary : If you're referring to the penal charges introduced by RBI instead of payment charges guidelines you
are referring . So, there is no significant impact of that movement because all charges are generally collected as and when it is applied. So, compounding was anyway had a very limited impact, so it will not have any significant impact in terms of amount.
Prabal: So, would it be fair to say that let's say from next quarter this 11 basis points will get added to your loan book and it will continue thereafter?
Sanjay Rudra : Basically the 11 bps interest yield on the advances has come down primarily because Rs. 850 crores last quarter we recovered the dummy l edger interest around Rs. 850 crores. A s it is Rs. 850 crore s, this quarter the dummy ledger interest recovery is around Rs. 607 crore s. Almost Rs. 243 crores shortfall is there because that has impacted 11 bps interest reduction in the yield on advan ces and in fact penal interest and penal charges, it has not major impact on Bank 's earnings.
Prabal: My second question is on the agriculture book that's growing pretty strong at 23%. So, what is dialing that?
Sanjay Rudra

: CASA book is primarily w e have grown in around 23% year -on-year basis in the last quarter . In that , we have both the KC C and infrastr ucture lending , investment credit was the major focus . But that also our gold loan portfolio has also helped in increasing our agriculture advances .
A. Manimekhalai: Agri book, as ED said it's gold loan increase was also there plus agri SHG that also has g rown substantially to about 30% growth we have seen in agri SHG. Investment credit , food and agr o and all this has been helped us in increasing the agri book . Also, you must be also aware that 59% of my branches are in the RUSU market. So, that's the reason that we are having a healthy growth in our agriculture portfolio.
Prabal: How do you look this g rowth going ahead?
A. Manimekhalai: We would be growing consistent ly. We have been growing at 21 % or 22% in my agri book. So, it will be increasing in the same level . In the interim budget , the FM also talked about the GYAN, that rural also was the main focus of the present Government. So, we are looking at growth in tho se locations also. Agri infra is one portfolio that we are very aggressively looking at. So, my p ortfolio will have a good growth in the agriculture.
Prabal: Prior to you, agriculture book had a lot of NPA , so after you taking charge, have you made any strategic tweaks in the way it is getting underwritten ?
A. Manimekhalai: Yes, agriculture, NPAs are there of course. But we have a very robust OTS system there where we are able to immediately settle the agriculture NPAs and also give loans apart from that. We have also seen some debt waiver schemes from one or two states, so this will reduce the NPA agriculture. We started off with almost like 10% in June 23 , today we are at 8%. That's the kind of secured NPA that we have seen in our agriculture. It's coming down year-on-year.

Classification: Public Sanjay Rudra : And supplement to what ma'am said, we change our strategy for the agriculture also . Our m ajor focus
now if you see for the last 1 or 2 years, we have focused more on the SHG fund le nding also where we are growing at a 30% and the delinquency rates are very low. In addition to that , the major NPA which was seen over the period of time was in the farm credit and that also we have changed mostly from the farm credit to investment credit also. So, with all th is strategy , our overall NPA percentage has come down and it is in fact further improving with the recent debt waiver which has been announced with few of the state s. There also we are finding not much, but some positive impact on our recovery side also is happening.
Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.
Rakesh Kumar: Ma'am, first question is with respect to this Rs. 1,2 96 crore s standard asset provision that we have made. So, what is the outstand ing number against which we have made this kind o f provisioning?
Sanjay Rudra : No Rakeshji, we will not be able to tell you the exact number against which we have created. These are the general provisions we have made, but as you will find that some of the accounts are already happening under the SMA zero category also and some are still not happening under the SMA category also. So, there are couple of accounts for which we have made the additional provision on this standard provisions we have made.
Rakesh Kumar: I was saying, ma'am, that generally whenever there is such occurrence, we start with making 15 % to 20% provision , right ma'am?
Sanjay Rudra : Yes, it will be in similar line only.
A. Manimekhalai: 15% to 20% provisions.
Rakesh Kumar: Ma'am, the interest income coming into the N II line, this quarter it was Rs. 607 crore s. Last year FY24, we had Rs. 3,065 crore. So, would we like reach similar kind of number of Rs. 3100

crores
by FY25?
Sanjay Rudra : Yes. This being the 1st Quarter , we were aware th at this quarter we had an election, and all transfers has happened. So, there was slightly, the recovery itself was slightly muted because of the various factors. One of that majorly is because of the election also. So, we hope that as we have already projected Rs. 16,000 crore of recovery in NPA. So, we will be able to meet Rs. 3,100 plus crore of recovery in the dummy ledger interest.
Rakesh Kumar: Ma'am, the small and marginal farmer , now we have 11.3% as against benchmark of 10% . So, like this quarter we have sold quite a lot of like and we have gained quite good gain also of around Rs. 950 crores. So, what is the sustainability of that number considering that now we have a new base of ANBC as compared to 4th Quarter we had 13% , similar number . So, like what is the prospect of this PSLC in remaining quarter ?



Classification: Public A. Manimekhalai: Yes. PSLC, usually we gain in the 1st Quarter . We do not do this in the next quarter s also, but the
small and marginal farmers, we will be able to sustain this growth . As I told you earlier also that our growth in agriculture is quite good and we will be able to meet this requirement of S&MF on a quarterly basis.
Moderator: Thank you. The next question comes from the line of Srik arthik Velama kanni from Investec. Please go ahead.
Srikarthik Velamakanni: Thank you. I have a question on the AFS book. You mentioned our excess liquidity is roughly Rs. 65,000 crores whereas the AFS book itself aggregate s to Rs. 25,000 crores. So, how do you intend to really deploy this excess li quidity because largely logged in the HTM portfolio?
Sudarshana Bhat : We have kept the AFS portfolio after the new guidelines, it will be treated as a banking book, not a trading book. Whatever excess liquidity we provided depending upon the requirement, we have taken strategic position in the different segment to generate a dditional gain on account of fluctuation in the bond yields as well as expectation of the rate cut. Accordingly, we have positioned ourselves in various segments to take the advantage of the market movement during the current fiscal .
Srikarthik Velamakanni : Yes, s ir. Part of the liquidity will have to be sold from the HTM book also, right?
Sudarshana Bhat : Now we kept depending upon the requirement 60%, 20%, 20% and it can be easily accessible and can be disposed of as and when required the liquidity requirement. It will be in 50:48 which can be disposed of as early as possible, which will not be kept in HTM portfolio.
Srikarthik Velamakanni: Understood. And in this quarter, what is the percentage of recovery in our net interest income?
Sanja y Rudra : Dummy ledger interest r ecovery is around Rs. 607 crores for the June quarter.
Avinash Prabhu : So, just to clarify, if your question is on the recovery in written off accounts in the non -interest income , it's Rs. 954 crores.
Srikarthik Velamakanni: No, this was a dummy ledger income.
Moderator: Thank you. The next question comes from the line of Kunal Shah from Citi. Please go ahead .

Kunal Shah: So, on gold loan, what is the quantum of gold loan out of this Rs.1,90,000 -odd crores? And wh at was that year prior to that and what would be the GNP As out there?
A. Manimekhalai: Total portfolio of gold is about Rs. 78,000 crores and out of that, Rs. 66,000 crores is in agri.
Kunal Shah: So, in agri, it is Rs.66,000 crores and this Rs.66,000 crores compared to last year ?
A. Manimekhalai: Rs.43,000 crores in June 23.
 Kunal Shah: And in terms of the GNP As out there, how would it be GNP A proportion in that portfolio?
A. Manimekhalai: In gold ?
Kunal Shah: Yes, in agri gold.
Sanjay Rudra : GNP A is around approximately

0 .02% .
Kunal Shah: So, assuming that Rs. 66,000 crores is almost zero. So, when we look at the agr i GNP A at maybe almost 8.13 %, then ideally on the other proportion, it should be relatively on the higher side. So, what improvement we are seeing from 9.92 % to 8.1 3% that is p rimarily coming because of almost like zero GNP A on the agri gold loan.
Sanjay Rudra : Yes, that i s one area. Similarly, in the SH G also , the GNPA is very low, exact number is less than 2% in the S HG portfolio also. And when we move towards the investment credit , there also the GNP A is low. Primarily , the GNP A was high on account of the farm credit, which is grad ually, we are not increasing much on the farm credit but in other area we are increasing our portfolio. So, not only when the SH G and also the investment credit has helped the Bank to improve the reduction in GNPA in the agriculture portfolio.
Kunal Shah: And in terms of the standard asset, you mentioned like it could be 15 % to 20% provisioning on the outstanding on an average and there would be only couple of accounts which would be there in that provisioning. And any impact on interest income becaus e of that?
Avinash Prabhu : Currently no impact.
Kunal Shah: So, interest is st ill getting recognized on that?
Avinash Prabhu : Yes.
Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
Rahil Shah: I'd like to know where is our return on assets and cost -to-income ahead? So, if you have any guidance outlook for FY25?
Avinash Prabhu : Cost to income ratio, we are in the 44% range , 44.08%. So, in terms of guidance for cost to income ratio, where we not formally given out any guidance, we expect to be in the range of about 45 % to 45.5% somewhere there. So, it will be bet ween that 44% range to the 45. 5% range. The reason why we say this is because if you look at our peers, they have a much higher cost to income ratio. So, we have room for investment and that's the reason why we don't. We're not actively looking at bringing this down further.
Rahil Shah: ROA?
 Avinash Prabhu : ROA, w e have given a guidance that we will be above 1% and that's what We have achie ved in Q1.
Rahil Shah: So, any further room for improvement on ROA expected ahead ?
Avinash Prabhu : We will obviously, I mean I think ma'am in her opening remarks also said that we will not chase growth for the sake of growth, and we will obviously keep in mind the metrics. So, obviously we will look at opportunities to improve the ROA , but we don't want to give any specific guidance on that.
Rahil Shah: And any branch opening targets. Have you released that as well?
A. Manimekhalai: Yes, branch opening, yes, we are looking at opening branches at RUSU locations and other locations also. We have also rationalized about 25 branches in the current year last year of course. And this year we would be opening about 200-250 bran ches. And basically, these branches will be in the premium kind of a branch es. We have opened 28 premium branches in this year and these branches, we have also taken a lot of analytical tools and digital tools to see that the branch locations are properly done and especially in high gr owth centers, we are looking at opening of branches.
Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Good afternoon and congratulations on the good numbers. First question is on the fee income front, the growth in fee in come was quite strong in this quarter. Are there any exceptional items here?
Avinash Prabhu : Yes, like we covered earlier on the call, PS LC fees, we have got about Rs. 955 crores. That is generally a Q1 event. So, we would not see that recurring in subsequent quarters to this extent.
Ashlesh Sonje : And I'm r

eferring to just the fee-based income which is Rs. 2,868 crores for the quarter ?
Avinash Prabhu : That's right.
Ashlesh Sonje : I believe PS LC is separate from that one ?
Avinash Prabhu : No, that's included in that.
Ashlesh Sonje : Secondly , if I look at the provision on investments, there has been a reversal in the last couple of quarters. Can you elaborate what is causing this?
Sudarshana Bhat : From 1st April onwards, new accounting guidelines has taken place . Earlier whatever the MTM gains are there in AFS portfolio that will be taken in the P&L account. But during the current qu arter onwards, the AFS book will not be a trading book , it will be a banking book. And daily basis, mark -to-market with the fair value will be happening and whatever the impact will be there that will be taken into P&L account. Accordingly, current quarter there is very limited scope . In earlier quarter ,

 that option was available . Now in the new guidelines, the MTM gains on the AFS books were not available. That is the reason it is showing that.
Ashlesh Sonje : Thank you, Sir. I was referring actually to the provision o n NPI, non -performing investments that has been negative in the last couple of quarter s?
Sudarshana Bhat : As far as non-performing investments are concerned, we will provide 100% provision due to a variation in the market value of those equity instrument which has resulted into gain that has to be reversed back. That is why there is a Rs. 300 c rores reversal is there in that segment which is shown as reversal of MTM gain on the N PA item.
Ashlesh Sonje: Lastly, on the recoveries from written -off accounts which go into non -interest income, that item was also fairly strong in this quarter given that this was an election related disrup tion quarter. Was there any on e-offs in this Rs. 955 crore number?
Sanjay Rudra : No. These are mix of various accounts. It 's not one -off item is not there. And on an average , we recover around Rs. 1000 crore plus in technical write -off. Last year also , it was Rs.4000 crore plus for the entire year . This year also we expect a better recovery because we have kept a higher target for overall recovery and accordingly our TW O recovery also will be Rs.4000 crore plus which earlier also we have discussed .
Moderator: The next question is from the line of Anurag Mantr y from Ox bow. Please go ahead.
Anurag Mantry: So, two questions , one is on the credit cost. So, I think this quarter is celebrated as a percentage of the net loan which is about 1. 26%. And I think your guidance in general has been about less than 1% for the year, so do you see that you ha d levers to resell less than 1% mark by the end of the year? That's number one. And the second question is regarding the ECL. In fact, if you can just quantify that amount a nd if you know the capital raise that you're planning of about Rs. 6000 crores, is that related to ECL impact at all?
Avinash prabhu : Credit cost. What did you say? You said the impact is 73 basis points and then yes, we have given a guidance of less than 1%. So, yes, we're looking at sticking to that.
Anurag Mantry: No, I think the credit cost analyze d number for this quarter is 1.26% on net loans, that's higher than the 1% that you've guided for is my understanding. So, just wanted to get a sense of what the levers could be to get that 1 .26% down to 1% through the year and looking at the gross nu mbers?
Avinash prabhu : Our credit cost is 73 basis points. We look at it from a standard advances point of view. So, that is what we are looking at in terms of guiding. So, we would look at keeping a control on that unless there's any one -off event but that is what we're guiding in terms of keeping it below 1%.
Anurag Mantry: And the second one on the capital raise and the ECL?

 Avinash prabhu : On the capital raise, like was mentioned earlier , we have got a board approval for Rs. 10,000 crores.
We will look at opportunities in the market. Obviously, we currently have a very strong capital ratio. So, we don't immediately see a need for capital, but if there is a growth in our advances book and increase in our risk weighted assets, we will approach the market at the opportune time. It is not linked to ECL.
Anurag Mantry: And co uld you quantify the ECL impact roughly?
Avinash prabhu : So, we have been monitoring ECL over the past few years. The gap between what is required under ECL and what's required under the current accounting norms has narrowed down significantly. So, we obviously are waiting for the final guidelines on ECL because the Reserve Bank of India has indicated that they may finalize the ECL guidelines this year , but the gap has narrowed down significantly. We are not in a position to publicly mention that number.
Moderator: Thank you. Ladies and gentlemen, we will now take one last question, which will be from the line of Nikhil Agarwal from VT Capital. Please go ahead.
Nikhil Agarwal: I have two questions. One is with regard to the standard accounts that may be pote ntially stressed,

like you said that there could be a 15 % to 20% provision. So, assuming a 20% provision, the amount comes to Rs. 6500 crores and the SMA is Rs.5000 crores right now. So, my question is like you said, some of the accounts have come and some have not come in to SM A till now. So, what is the bifurcation if you could explain that? And secondly like you mentioned, the different efforts of shifting from farm credit to investment credit, which is helping and bringing agri NPA down . Similarly, what are the efforts in bringing MSME NPA down as well because that is also significantly higher at 8%. These two questions please.

A. Manimekhalai: Yes. With regard to MSME, NP A is bringing it down. If you l ook at my MSM E book, almost 50% of my MSME book is in the micro advance s and which is 75% collateral is available in the form of CGTMSE. So, we are very mindful of that and of course in the other sectors of small and medium, there is a robust mechanism to improve underwriting and of course the recovery mechanism also is good. Plus, we have got substantial collaterals in base account that's the reason that if you see the NPAs in my MSME book is coming down. And with regard to your question of SMA, the total SMA book consists of about, if you look at the June '24 book, it's about Rs. 5,144 crores and that's differentiated between retail , MSME , agriculture and the corporate. So, that's the number that we have. Retail is close to about Rs.200 crores , MSME about Rs.1000 and odd crores, agriculture is also to that extent, so it is equally distributed among the portfolios.

Ramasubramanian S. : Only thing you have to understand tha t see some of the things , maybe the interest as already we have replied , the interest would have come but we may be entering into ICA because of some defaulting somewhere else where there will be some restructuring will be going up. These are all in a very fluid stages. We are hoping to resolve it quickly. Otherwise as a precaution it has been done.

Avinash Prabhu : Like we mentioned in notes to account s, this is on a prudential basis, right . So, therefore we have just looked at our accounts and we said, okay, fine, the Rs. 1,200 crores seems to be appropriate at



this point in time and would cover our risk . And that's what We have done. We are not getting into further straight into how much is SMA, how much is standard , etc. That's the number that we have in mind in terms of what could be the right number for this quarter.

Moderator: Thank you. That would be our last question for today. I would now like to hand the conference over to the Management for closing comments.

Ramasubramanian S. : Yes. Good afternoon to all of you. See, as you can see that despite the difficulties or the chall enges happening in the banking sector, we focused on only one thing that is sustainable and steady performance for our Bank and as already explained in our opening remarks by Madam that we already taken a lot of initiatives to encounter these challenges which are happening, and we will be more focused on that. We can assure you that the management is focused on the dynamic changes and the challenges happening in the market and we hope to get the same amount of support and cooperation from all of you . Thank you very much.

A. Manimekhalai: Thank you very much.

Moderator: Thank you. On behalf of Union Bank of India, that concludes this conference. Thank you all for joining us. You may now disconnect your line s.

# Call: Oct 2024

[redacted], [redacted], [redacted], 239, [redacted],
[redacted], [redacted]- 400021.
Union Bank of India, Investor Services Division , Union Bank Bhavan ,239,VidhanBhavan Marg, Nariman Point, Mumbai - 400021.
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Classification: Public
[redacted] Ref.:[redacted].[redacted].[redacted].ISD/258/2023 -24 [redacted] Date : 28.10.2024

[redacted] Madam/[redacted] Sir,

[redacted] Subject: [redacted] Transcript of Post Earnings Call

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https://www.unionbankofindia.co.in/english/
financial -result.aspx

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[redacted] 46(2)( [redacted]) [redacted] 30 [redacted]
[redacted].
This is to inform that transcript of Post Earnings call held on October 22, 202 4 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter ended on September 30,2024 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindia.co.in/english
/financial -result.aspx

This information is furnished in terms of Regulation 46(2)(oa) and Reg ulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

[redacted] Yours faithfully,

([redacted]. [redacted]. [redacted] S. K. Dash)
[redacted] Company Secretary
[redacted] FCS - 4085

Encl.: As above [redacted] BSE Ltd.
[redacted] BSE Listing Centre
[redacted] Scrip Code - 532 477 [redacted]
National Stock Exchange of India Ltd.
[redacted] NEAPS
[redacted] Scrip Symbol -UNIONBANK -EQ

“Union Bank of India Earnings Conference Call for the
Period Ended September 30, 2024 ”

October 22, 2024

MANAGEMENT : MS. A. MANIMEKHALAI – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
SHRI NITESH RANJAN – EXECUTIVE DIRECTOR
SHRI RAMASUBRAMANIAN S. – EXECUTIVE DIRECTOR
SHRI SANJAY RUDRA – EXECUTIVE DIRECTOR
SHRI PANKAJ DWIVEDI – EXECUTIVE DIRECTOR
SHRI AVINASH PRABHU – CFO
SHRI AJAY BANSAL – DEPUTY GENERAL MANAGER ,
HEAD OF INVESTOR RELATIONS

 Moderator : Ladies and gentlemen , Good Day and Welcome to the Union Bank of India Earnings Conference
Call for the Period ended September 30th, 2024.
The Bank is represented by the Managing Director and CEO – Ms. A. Manimekhalai, Executive
Directors – Shri Nitesh Ranjan, Shri Ramasubra manian S., Shri Sanjay Rudra, Shri Pankaj
Dwivedi and other members of the Top Management.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during th e
conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Ajay Bansal – Deputy General Manager. Thank you , and
over to you, sir.
Ajay Bansal: Thank you, Madam . Good afternoon, ladies and gentlemen. I, Ajay Bansal – Head of Investor
Relations, welcome you all for Union Bank of India Earnings con -call for the period ended
September 30th 2024.
The structure of the con call shall include a brief “Opening Statement ” by respect ed M.D. and
CEO ma ’am, and then floor will be open for interaction.
Before getting into the con -call, I will read out the usual disclaimer statement
I would like to submit that the certain statements that may be discussed during the investor
interaction may be forward -looking statement based on the current expectations. Th ese
statements involve a number of risks, uncertainties and other factors that cause the actual result
to differ from the statement. Investors are therefore requested to check this information
independently before making any investment or other decision.
With this, I now request our respect ed M.D. & CEO ma ’am for her “Opening Remarks .” Thank
you, and over to you , ma’am.
A. Manimekhalai: Good afternoon everyone, and welcome to the Union Bank Financial Results Announcement for
the Second Quarter ended September 30, 2024. Thank you for joining us today. I trust you have
had the opportunity to review our Results .
I will provide you a brief overview of our performance and “Key Highlights ” for this
quarter :

Before diving into our financials, let 's touch upon the operating environment. The banking industry has seen credit growth outpace the deposit growth, creating a competitive scenario for liabilities. However, the gap between credit and deposit growth is narrowing as per the latest RBI data.

 Now let's take a look at our "Financial Highlights " for the quarter -ended September 2024 :

We have achieved our highest ever operating profit and net profit for a quarter. Our operating profit reached Rs. 8,113 crores reflecting 12.4% growth . Net profit stood at Rs. 4,720 crores showing a 34.4% year -on-year growth.

ROA has improved to 1.35% an d ROE has reached 19.10% for Q2 FY25.

Our capital adequacy ratio improved to 17.13% with the CE T ratio increasing to 13.8 8% as at September 2024.

Gross NPA has reduced by 202 basis points while net NPA has reduced by 32 basis points. The PCR has improved by 76 basis points to 92.79%.

Our cost-to-income ratio improved to 43.56% for Q2 FY25 down from 44.0 8% that was what was in the last quarter.

Our Q2 performance is broadly in line with our FY '25 guidance. Deposit grew by 9.2% year-on-year and advances by 9.6%. While the deposit growth is within our target range of 9-11%, Advances growth has been slightly muted than the what the target that we had given. In the advances segment, we saw 12.3% growth in RAM lending while corporat e lending grew at moderate 6.3%.

Our NIM stood at 2.97% for H1 FY '25 and 2.9 0% for quarter ended in FY '25, aligning with our guidance of 2.8 % to 3%. The decline in

NIM is primarily due to adjustments in penal charges as per RBI guidelines and a drop in our d ummy ledger recovery.

Asset quality continues to improve with gross NPA reducing to 4.36%, aligning closely with our target of below 4% by March 2025.

For Q2 FY '25, gross recovery was Rs. 3,932 crores, which is lower than slippages of Rs. 5,219 crores, mainly to a large -ticket slippage from a single major account. In H1 FY '25, we achieved a gross recovery of Rs. 7,300 crores, in line with our annual target of Rs. 16,000 crores .

Total slippages stood a t Rs. 7,537 crores as against our guidance of Rs. 11,500 crores. We have consistently met and often exceeded our target, and we are confident in our ability to achieve the same for FY '25.

We remain committed to sustainable growth, ensuring a balanced focus on both top -line and bottom -line performance. We prioritize profitability and efficiency over chasing growth at any cost.

 Our CASA & retail term deposits account for 72% of our total deposits, a ratio we have maintained consistently. In our advances portfolio, we have targeted retail to corporate ratio of 55-45%, and as of September 2024, we are at 57 -43%.

Let me share with you some of the "Significant Developments " during the quarter :

We achieved second position in th e EASE 7 ranking for the 1st Quarter . We ranked first under the theme Banking towards Viksit Bharat , and second in Customer Service Excellence, Effective Risk Management, and Developing Employees for Emerging Banking priorities.

We have opened 122 branches this financial year, up to September, including 12 focused branches in RUSU centers.

We launched Union LEAP, a CASA transformation and business build project, deploying 1,250 relationship managers to drive new business acquisition and engage exi sting customers. Up to September 30, 2024, we added over 3.48 million CASA accounts, and our own mobile registrations reached 29.1 million. Additionally, we onboarded 1,23,000 clients through our digital savings account.

We introduced several new digital journeys, such as the PM Vishwakarma STP , KCC renewal up to Rs. 10 lakhs, GST Gain STP for fresh sanctions up to 1 crore, and Union Nari Shakti STP for N ew-To-Bank Customers . Bank introduced a UPI Interoperable Cash Deposi t into the CRM, UPI Lite auto top -up, UPI Circle functionality and the ability to deposit into PPF and SS A accounts .

We inaugurated two rural self -employed training institutes in Mauganj , Madhya Pradesh and Palnadu , Andhra Pradesh, both fully managed by women staff to support women entrepreneurs.

All rating agencies have upgraded the Bank over the past year. In FY '25, S&P Global revised our outlook to positive with a BBB- positive rating, while IN D rating and Brickwork upgraded

us one notch to AAA with a stable outlook. We have also been added in the Nifty Next 50 Index.
To Conclude:
The Union Bank has consistently demonstrated strong, stable and sustainable performance. Our key initiatives, including enhanced underwriting capabilities, centralization, verticalization, HR transformation and a robust assurance framework are yielding positive results.
We have significantly strengthened our digital capabilities through the Vyom app , digital onboarding, straight -through processing journeys, fintech partnerships, analytics and data lakes.
We are committed to building on these initiatives to enhance our performance and customer experience further.
With that, we are now open to questi ons. Thank you.
 Moderator: Thank you very much. We will now begin the question -and-answer session. The first question
is from the line of Ma hrukh from N uvama Wealth Management . Please go ahead.
Mahrukh: Ma'

am, the slippage, so I have two related questions, firstly that the slippage we are seeing in LC and others of Rs.34 billion should be from a single account that is in the news and that was discussed even last quarter, correct? Is that correct?
A. Manimekhalai: Yes, ma 'am, it is only from a single account.
Mahrukh: Now the thing is that last quarter you had disclosed that a couple of accounts had come to the SMA list, right? And that is why there was a sharp increase in SM A. So, if something has slipped from SMA to slippage, I am guessing tha t this account was identified as SM A, then why has the SMA figure gone up quarter -on-quarter by Rs. 7 billion? It should come down by the amount of slippage, correct? That is the other question.
Ramasubramanian S. : Madam , only a couple of accounts which were there in the quarter 2 in which there was a one- or two -days delay which has come, and it has been recovered. So , it was on 30th September, it was the position actually.
Mahrukh: But on 30th September, the account that appears to have slipped in the corporate slippage was SMA last quarter, correct?
Ramasubramanian S. : No, see, actually in the last, if you are looking at a quarter 1, we made a provision for two accounts. Of the others, one has slipped in the current quarter.
Mahrukh: Correct.
Ramasubramanian S. : Another one is continuing in SMA. So , it was not there as a SMA on 30 /6/2024 .
Mahrukh: Sorry.
Ramasubramanian S : See, another account, i t was not a SMA as on 30/6, though it has defaulted in some other Bank .
Mahrukh: So, you made provisions on two of which, one was not SMA in the 1st Quarter .
Ramasubramanian S. : Yes.
A. Manimekhalai: Yes.
Mahrukh: But now the increase in SMA is driven by only that account or by a couple of accounts?
Ramasubramanian S. : No, another account also, but that is only because one- or two -days delay, it has come back actually.
 Mahrukh: And so, which sectors would that belong? It 's corporate, government . What kind of sectors would the SMA that got upgraded subsequently belong to?
A. Manimekhalai: These are state governments, ma 'am, and these can come back to normalcy in this quarter.
Moderator: The next question is from the line of Ashok Ajmera from Ajcon Global Serv ices Limited . Please go ahead.
Ashok Ajmera: Ma'am, compliments to you, especially as regard to the profitability of the Bank is concerned. You are very, very conscious about it and quarter after quarter you are declaring a very good profit. So, my compliments to the entire team and you for the same. I think our profit after tax has come up to almost Rs. 4,700 crore. I think one of the highest quarterly profit.
Having said that, ma 'am, I have got some questions, your comments, and maybe my conc ern on especially the business growth. So, while you say that year -on-year, I mean, if you take the whole year, then it 's okay , 9%, 7%, that 's okay. But if you look at the current half year of FY '25, our deposit has grown only by 1.67%, then our credit ha s grown only by 2.5%.
So, especially on the credit side, if you look at it, if you take your target of 13%, which means about Rs. 1,17,000 crores in this financial year should be, whereas the total credit expansion is only Rs. 23,947 crores . It means in the remaining 6 months, starting from October to March now, you will have to have the credit increased by about Rs. 93,000 crores.
Similar story on deposit side also. So, how confident and sure you are that in almost the

remaining 5 months now, 1 month of course you must have done some business ,
Rs. 93,000 crores is not a small amount. So, how do you see t he visibility from the sanction pipeline, from the new proposals which are coming in, which are in the sanctioning stage and the proposals w

hich were sanctioned are already in the disbursement stage ? So, can you give some little more detailed break up on this, how are we going to achieve this Rs. 93,000 crores credit? This is a very, very important point to take time forward.

A. Manimekhalai: Ajmeraji , I will answer your question. First, I will look at the low growth in the advances. The corporate loan, especially on T-Bill linked loans, we were not very aggressive. We let go some of the advances which were yielding us a slightly lesser rate of interes t. We had built this book when we had a surplus liquidity in the system. So, we have brought down our TBLR book to a considerable extent.

Our N BFC book has also been reduced from whatever it was in December '23 to now. We have brought it down considerabl y. That 's the area where we have, you know, why we have declined on our corporate book.

Now, if you are asking us with regard to what is our pipeline pending for disbursement and sanctions, if you remember we had set a guidance of 11% to 13% credit growth for the FY '25. We have almost about Rs. 75,000 crore credit for disbursement and sanctions. Out of which



Rs. 36,000 crores is pending for disbursement and Rs. 39,000 crore s of sanctions are pending for sanctions actually.

Now, on the corpora te side, we have good sanctions under road, power, real estate, telecom, iron and steel, cement . All these areas we are seeing, you know, we have got good sanctions. We are also focusing on sunrise sectors like renewable energy, EV, semiconductors, data centers, tourism. These are the areas that we are looking at. So, we also are hoping that the re would be Capex coming back in this quarter and so that we can revise whatever sanctions we have got on hand and see that they are dis bursed . That is with our credit growth.

With regard to deposit growth, of course, we had given a guidance of 9% to 11% and we have stuck to that guidance. We have done about 9.26% growth in our deposit. However, CASA has declined a little . But if you look at the numbers that we have, we have added absolute numbers to the close to about Rs. 8,000 crores in our CASA book and retail term deposit has also seen healthy growth.

We have taken lot of measures to see that our CASA increases, like we have opened as I said in the very beginning 122 branches , out of which 12 branches are in the RUSU centers . The premium branches have been opened. We have strengthened our BC model . We have got more than 21 ,000 BC models . We have launched special deposit schemes so that we can garner more deposits.

We have also separately introduced something called Excellent Cell in the Bank , which is dedicated to give top-notch service to our customers. So , we are looking at lot many things like this. We also are having a micro -market strategy . We are focusing on growth hotspots in the country. We have identified about 51 growth hotspots in the country where we will be seeing this growth.

So, overall , I can say that our focus is very clear. We would like to increase our deposits . We would like to increase our customer base. In the very beginning , I have told you that we added close to about 34.8 0 lakh CASA accounts , out of which, about 15 lakh customer s are from the rural and semi -urban areas.

So, these many strategies that we have got . I am sure that we will be able to increase my advances portfolio and my deposit portfolio also.

Ashok Ajmera: Thank you, ma 'am, for such an elaborate answer and I am sure with you being there all the time, you have been performing better than the targets and this year also, you may do some magic to reach that figure of the credit and deposit both.

Having said that, ma 'am, while we are comfortable on the, I think, recovery front, target of Rs. 16,000 crores , we have already achieve

d Rs.7,300 crores . So, we are more or less there. But on the slippage front, out of Rs. 11,500 crore s of target for FY '25, we have already, I think, slipped about Rs. 7,537 crore s. And we have a very strong SM A pipeline, in a sense that lot of



these accounts, SMA -2 is also Rs. 1,664 crore s. So, going forward, on the slippages front, are we comfortable? I mean, our slippages in the coming 6 mon ths now, the remaining 6 months will not be more than Rs. 4,500 crores or Rs. 4,000 crore s, so as to meet the target of, I mean, to be limited to the target of Rs. 11,500 crore s.

And coupled with that, one more question, ma 'am, because I may not be allowed to ask in this round the question. If you look at note no. 20, in the last June quarter, we said that we have made the additional provision on prudential basis on advances of Rs. 1,239 crore s, which has come down in this quarter to Rs. 553.93 crore s.

So, in fact, we have written back an additional prudential provision of Rs. 685 crore s in this quarter. So, had that not been there, our NPA provision would have gone up . So, it means it would have been Rs. 3,200 crore s. So, what is this mystery ? I mean, why have we reduced this provision, which was already made in June 2024, of Rs. 1,239 crore s, now reduced to Rs. 553 crore s?

A. Manimekhalai: So, I will answer your question with regard to slippage first . Though we had given guidance of Rs. 11,500 crores, we have already crossed about Rs. 7,300 crores in this quarter itself, in the second quarter itself. But you know, if you see, the only one large slippage, that 's the reason that the slippages are quite high in this quarter . If you look at the actual slippages that happened in this quarter, it is just about Rs. 1,604 crores.

So, slippages are under control. If not for that one big slippage, we would have contained our slippage to a very great extent. And with regard to what is talking about, you know, the second part of the question is also answered because of this reason only the slippage, the provision that we made in the 1st Quarter of Rs. 1,200 crores . Because that slipped into an NPA, that is the reason that it is showing that numbers.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi, good afternoon , ma'am, and thanks for the additional disclosures. Ma 'am, just wanted to check on the account that slipped, how much you have provided and what is your sense on the eventual haircut or the timeline of the resolution because that account is supposed to be sovereig n. So , if you can share your thoughts there.

A. Manimekhalai: Jai, we have provided cl ose to the extent of 20% as per the norms and with regard to recovery part of it, lot many things are happening at the background, at the government level, at the Bank 's level. Many things are in process, and we hope that the recovery comes very soon.

Jai Mundhra: But what will be the eventual haircut , ma'am? Should it be less than 20% or could it be even more than 20%?

A. Manimekhalai: No, we are not talking about any haircut as of now , Jai, on this account.



Jai Mundhra: Second , ma'am, that is still the second account , right, which was talked about last quarter. Is the account still in SM A-0? Right?

A. Manimekhalai: Yes, it is.

Jai Mundhra: And ma'am, so how is it possible in the sense that in last quarter , it was also relatively spread , and 90 days have passed and still in SM A-0? Is it under dispensation yet?

Ramasubramanian S. : Yes, Jai, if you are looking at it last quarter, it has started showing sickness in other banks. Though it was not SMA there, it started showing sickness in other banks.

So, as a prudential measure , we have done our provisioning, standard asset provisioning we hav e done it. Till the unit is running, cash flows are there, they are able to pay, but with some delay . Some restructuring plans are being worked out.

Jai Mundhra: So, there is no dispensation here . It is just that as of now the account is still in SM A-0?

Ramasubramanian S. : Yes, there is nothing.

Jai Mundhra: And we have around Rs. 550 crores standard asset provisioning?

Ramasubramanian S. : Yes, that 's right.

Jai Mundhra: And secondly, sir, we understand that margins are okay, but accounting wise there is a change and hence the penal interest has 11 basis point impact. So, thanks for that disclosure. But if I remember correctly, this new circular was effective from April 1s t, right? So, how should, I mean, why is the impact in this quarter and how should one look at it in the next quarter?

Avinash Prabhu : No, s o, Jai, yes, you are right, it was April 1st, but the higher impact came in this quarter. There was not much of an impact in the April to June quarter, but in the July to September quarter the impact was higher. So, it was about 11 b ps in the September quarter . And for the six months, the impact is 6 basis points.

Jai Mundhra: Even in third quarter, hypothetically, a person is charged penal interest, then this may impact third quarter also. This is not done ?

Avinash Prabhu : Yes, but it will continue.

Jai Mundhra: Other income.

Avinash Prabhu : Yes, but Jay, it 's really only a movement from net interest income to non -interest income. So, I mean, there 's no change in the operating profit. It 's just a movement between lines like as you 're

aware.
 Jai Mundhra: Right. Thanks for the clarification. Last thing sir, the cost of deposit has increased, Q -o-Q at
least that looks slightly steep, we have been very calibrated in the deposit growth, CASA is also
reasonably okay. What explains the rise in the cost of deposit?
A. Manimekhalai : Yes, Jay, the cost of deposits YoY is almost increased by 3 5 bps. Now, the Bank had slow rate
of growth in CASA that is the reason for this increase in cost of deposits plus the Bank had also
introduced a few specifically designed products for garnering retail term deposits. This was high
cost deposits that we had taken up. It's not because that we had taken bulk deposits, but it was
only for the growth of retail deposits that we had taken. So, that is the reason for the increase in
the cost of deposits .
Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal Financial
Services Limited. Please go ahead.
Nitin Aggarwal: I have two questions. One is ma 'am if you can talk about how much is the interest reversal this
quarter because with this large corporate sl ippage , has the margin been further impacted due to
that? Or is this the base th at we need to work forward with in the next quarter?
A. Manimekhalai: The interest reversal from this large account is about Rs. 45 crores.
Nitin Aggarwal: Okay, so not much.
A. Manimekhalai: Yes, not much.
Nitin Aggarwal: Right, ma 'am. And second, is there any lumpy recovery that we are looking at because we have
maintained our recovery guidance for the year while first half is tracking well, but we carry
100% provisions on the NCLT book, even the SR book is fully provided. So, any recovery that
we are expecting in the next two quarters?
A. Manimekhalai: We have a very healt hy book of about Rs. 81,000 crores and we hopefully want to get some
good recovery from these accounts. So, lot many things are happening at this front to recover
from the technically written -off accounts and the bankers put a lot of efforts in one time
settlement actually. And SARFAESI, we have done very well under SARFAESI. We have done
OTS. We have br

ought up a scheme for Rs. 1 crore and below accounts and we have in this half
year it is close to 2000 accounts and that is one area where we are working go od recovery.
SARFAESI also I think among the public sector banks, we are one of the highest numbers of
SARFAESI auctions we have done, that is another place we have seen. But with regard to bigger
recoveries, chunky recovery, we hope that there are some re coveries from NARCL and NCLT.
Nitin Aggarwal: Right. The last question is on the net profits that we have reported, which is a very sharp jump,
like an almost 28% sequential increase. So, like this is a RO A of 1.3 plus. And so how should
we look at it? Why did we not use this extra profit this quarter to make provisions given that
SMA number is still unchanged despite this slippage? So, what is the thought pr ocess behind
this high profits?
 Avinash Prabhu : Yes, so Nitin , we did the standard asset provisioning in the last quarter. At this stage , we did not
see a need for incremental provision. Our provision coverage ratio anyway stands at about
92.5%. So, we thought that we won 't make any additional provisioning for this quarter. If there
is a requirement, we will look at provisioning in subsequent quarter. But we did not see a need
to make add itional provision this quarter.
Moderator: Thank you. The next follow -up question is from the line of Ashok Ajmera from Ajcon Global
Services Limited. Please go ahead.
Ashok Ajmera: Ma'am, if you look at note no. 15, it says that in this quarter one new SR has been added. I would
just like to know the amount in the account for this SR and what was the outstanding and how
much amount for which the SR has been issued because 15% must h ave been in the cash if it is
NARCL or what is the status of this SR?
Avinash Prabhu : Ajmera ji, I will connect with you offline on th is one, on this query of yours.
A. Manimekhalai: No, the details are not presently with us. We will connect to you offline .
Ashok Ajmera: Alright ma 'am, there is no issue. Yes, so my question was also on one of my colleagues which
asked and he went out of the line is increase in the credit cost to 1.09 % from 0.7 3% in last
quarter. So, what is the overall target of the c redit cost for the whole F Y25 ma'am?
A. Manimekhalai: Credit cost, we would like to keep it at 1% or below 1% anytime and that is how it was behaving
for all these quarters , but for that one slippa ge that happened in this quarter, that is the reason
that the credit cost has shot up. Otherwise, it was always under control and below 1%.

Ashok Ajmera: Okay, ma 'am, as usual, one question is on the treasury front. Now, with all kinds of different views c oming and even the honorable RBI Governor also looking at the increase in the inflation rate and earlier the expectation of rate coming down and now recently again reading his statement, even after taking a pause, again to be very, very little more. So, what are our views on going forward on the treasury and the performance of the treasury looking at the rate scenario in the country by our Reserve Bank of India, not comparing with the US Fed? So, what are our views going forward on the profit income from th e treasury and also revaluation of assets and other.

Sudarshana Bhat : Ajmera ji, thank you very much for the question. As we projected during the 1st Quarter of the financial year, that a lot of things will come into action, like indexes, bond indexation and borrowing cut and all those things and subsequently a rate cut by Federal Reserve in September , 50 basis points instead of 25 basis points. Subsequently , European Central Bank and Bank of India also cut the rate by 50 basis points and 25 basis points. And RB I stands on the outlook from neutral to accommodation. These all given a clear indication about the outlook very good in

the futuristic view of the mark et. Subsequently, during the recent conversation, there is a clear -cut indication that inflation is very high, and RBI may not be in a position to cut the rate in the near future unless the probability of very visible. But there are some political situatio ns

 within the Federal Reserve in US also that election is matter , all those things given a mixed reaction into the market. But however, global condition as well as Indian market conditions are very favorable in the coming days because usually the market mo ves after the Diwali, the New year, the market react in a positive manner because of the ample liquidity availability and stability of the rupee because in spite of Rs. 40,000 crores to Rs. 50,000 crores of outflow in the FIS on account of the r edemption o f the equity is still rupees at a level of Rs. 84 level that gives a clear indication i n the market as well as to the m arket participation that there will be stability in the liquidity as well as interest rate outlook . We are hopeful that we have positione d ourselves in the coming days to take advantage of the market. Whatever the t hings have happened based on the projection , we have booked the profit . In the next two quarters also, we take a defensive and positive view of all those factors and give a decen t 20% to 25 % growth in the treasury income.

Ashok A jmera: That's good. B hat sir, I am always very positive, and your actions are definitely getting good profits to the Bank . So, thank you very much for this elaborate commentary on that. Thank you ma'am for this second opportunity.

Moderator: Thank you. The next follow -up question is from the line of Ma hrukh from Nuvama Weal th Management. Please go ahead.

Mahrukh: I just wanted to check that last quarter, the penal interest was applicable only on incremen tal loans. And this quarter, it 's on outstanding loans. Is that understanding correct?

Avinash Prabhu : That's correct.

Mahrukh: So, then next quarter, incrementally, the impact should be lower. It will continue, but it should be a lower impact, right? Just on NII. I know it comes back as non -interest, but just asking.

Avinash Prabhu : Yes, it should. Yes, we will, of course, have a deeper look at that. But Yes, it could be lesser , but the impact will still be there. And it'll probably be higher than Q1 .

Mahrukh: If you just see the other interest, right? Other interest as in that interest from interbank funds and maybe RBI, have gone up by Rs. 1 billion. So, that's just because of li quidity or what?

Sudarshana Bhat : This is on account of the available liquidity surplus that has been deployed to get a decent return, madam.

Marukh: Okay, so the FX loss income will be how much from that?

Sudarshana Bhat : So, that will be around Rs. 700 crores to Rs. 750 crores.

Mahrukh: That is the same like last quarter.

Sudarshana Bhat : Yes, it will be there.

 Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Pr ivate Limited. Please go ahead.

Dixit Doshi: My first question is, can you give a breakup of our M CLR link and external benchmarking clone?

A. Manimekhalai: Yes, MCLR is about 47% , that is the breakup and the remaining 43% is EBLR , the rest is base rates and other rates.

Dixit Doshi: My second question is regarding your outlook on the NIM. So, where do you see our NIMs over next 3-4 quarters because even without the interest rate cut by the RBI, we are seeing the pressure on the NIM. So, if not in December, let 's say in January, February, we will see a rate cut. So,

how do you see your NIM over the next 2-3 quarters?
A. Manimekhalai: We were given guidance at the beginning of the year that the NIM would be in

the range of 2.8 %
to 3%. And currently our NIM is about 2.97 % and with a good MCLR book that we have, we will be able to keep our NIM at that range only, 2.8 % to 3%.
Moderator: Thank you. The next ques tion is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.
Ashlesh Sonje: Couple of questions from my side. Firstly, on this PSU exposure default, it seems that the government is now fine with PSU entities defaulting on Bank loans. How does it change your view on lending to PSU entities going ahead ?
Ramasubramanian S. : See, we have to understand that default can happen from any, whether it is a private or PSU, it is under some of the critical areas because of that it is happening. There is no special dispensation being given by the Bank in appraising or underwriting the PSU loans also. So, we thought the same structure only and we are doing it. So, I do not find any difference in underwriting. There is any separately we are doing underwriting standards for the PSU. So, this is a normal business risk which the banks are undertaking , and the pricing also is depending on that only.
Ashlesh Sonje: And just to clarify, in the past have you experienced a loss on any of your PSU exposures in history ?
Ramasubramanian S. : No, I think some long time back, there were one or two there actually.
Ashlesh Sonje: And second question on the cost of deposits, what prop ortion of your term deposits are yet to be repriced fully to the fresh TD rates?
A. Manimekhalai: Except for the core deposits of CASA, the r etail term deposits will be repriced as and when the date of contract comes in. It has to be repriced. But one thin g is most of the deposits, 70% of my deposits are in the 1 -year range. So, after a year it will come out for repric ing.
 Ashlesh Sonje: Under your fee based income, there is an item called others, which has increased 50% Q oQ to
Rs. 1167 crores. Is it fair t o assume that this is th e penal charges related income?
Avinash Prabhu : Yes, penal charges are par t of that others. You ’re right.
Moderator: Thank you. The next followup question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.
Dixit Doshi: Yes, just one clarification. So, the account which got slipped is PSU, but the other account which is in the SMA, that ’s also PSU o r that is some private account?
Ramasubramanian S. : Yes, that is also PSU only .
Dixit Doshi: And both are state government or central PSU?
Ramasubramanian S .: PSU is a central government .
Dixit Doshi: So, the one which is slipped is central government and the other one is the state government ?
Ramasubramanian S. : No. That is a diffe rent context. Other than these two, there were one or two accounts which the state government party had given. It was for one or two days. It came as a SMA on September, which was cleared subsequently.
Moderator: Thank you. The next question is from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.
Sushil Choksey: Congratulations to Team Union for the stable result. The first question is credit visibility in terms of sanction pipeline, which is un -avail ed, and what kind of visibility is for the growth in the second half, specifically in view of the guidance which you ’ve given to the previous questions?
A. Manimekhalai: Okay, we had given guidance of 11 % to 13 %. We have got a healthy pipeline actually. If you see our sanctions, in this quarter we have got about Rs. 76,000 crores of sanctions for the current quarter and out of this, Rs. 36,000 crores is pending for disbursement. So, we have got a healthy pipeline also. And we hope that if the CAPEX cycle comes back, we will be able to disburse much faster and whatever the sanction limits that we have got, that also quickly disbursed.
Sushil Choksey:

Ma’am, the visibility is more coming from pr ivate sector or public sector?
A. Manimekhalai: It’s more on the public sector. We have roads. An d some of the private sectors are also in the area of real estate, telecom, iron and steel, s unrise sectors like renewable energy, semiconductors, data centers, tourism. There are many areas that we have given , ports are there. So, many are as we have given our sanctions.
 Sushil Choksey: Ma’am, how ’s the visibility in the festive season where retail loans are concerned, specifically

car loans, housing loans, with the environment being so competitive and rates being offered by majority banks are pretty low. How is the visibility there?
Arun Kumar : In retail loans, we have grown last quarter in the range of 5.88%.
A. Manimekhalai: Choksey ji, actually we have done very well in the last quarter in the sector of retail loans. Home loans and vehicle loans, w e saw close to about 15% growth and very good growth in our education loans sector also. Festive seasons are usually the time when retail registers higher growth and we hopefully want to see a better growth in our vehicle loan sector, home loan sector in this quarter also.
Sushil Choksey: Ma'am, my next question is more pertaining to t reasury, so you can answer or Mr. Bhat can answer. Ma'am, the world expects little volatility with US presidential election. RBI Governor has made very specific that early rat e cut is not required, but it seems that 2025 rate cut is certain, maybe in the 1st Quarter or later part. In view of the volatility which is there in the money market led by treasury and exchanges both, how are we garnering to position ourselves by encash ing sufficient treasury and converting into corporate loans or retail loans where the arbitrage is visible at 1.7 % to 3% depending what loans are you sanctioning?
Sudarshana Bhat : As far as volatilit y is concerned, yes. After the G overnor 's statement and US elections outcome, there will be clarity on the volatility. Till that time, the expectation of futuristic things happening, market will position themselves in the exchange market. But as far as India is concerned, RBI is quite visible to have stability in the exchange rate in spite of so much volatility in the global exchange rate, but Indian rupee is very stable, at Rs. 84 to 84 .10 level that indicates a clear -cut direction from the Reserve B ank that they want to stabilize the rupee. Once the rupee stability happens, almost all of the factors like liquidity, interest rate and various other factors in spite of the geopolitical conditions and crude oil prices uptick and global imbalances, still Indian conditions are far favorable. We as a treasury along with the relationship team coordinate with the various corporates to en cash the benefit of getting more and more business opportunity in respect of the foreign exchange, interest rate products and other sectors so that we can definitely margin ourselves and generate additional fee income by way of exchanging the information and timely interaction with them and giving the market outlook to generate additional business as well as overall growth in bo th treasury , credits and whatever asp ect available from the segment.
Sushil Choksey: So, is the foreign exchange income affects arbitrage income which was very sust ainable compared to other banks likely to be visible in the second half?
Sudarshana Bhat : Yes, because this depends on the liquidity condition. We are having compatible liquidity, and there is a good arbitrage opportunity available because the expectation of the interest rate cut in the US by 200 basis points in the next one year. So, there is a spike in the premium market that will be able to generate decent arbitrage as and when the liquidity is available into the system.
 Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over t o the management for closing comments.
Avinash Prabhu : And just before that, there was a question from Ajmeraji on the SR in note no. 15. So, the amount is not material, it 's only Rs. 2 crores. So, that covers that question as well.
Nitesh Ranjan : Thank you everyone for joining on the call. As we have discussed in the call that the Bank 's performance in Q2 has been in line with the guidance, and there were certain developments in the quarter in terms of the slippage of one large account, which also we had guided actually in the con call of the 1st Quarter . Other than that, everything has been in line. Also, that's how the initiative that Bank has taken during the current year, particularly in terms of CASA mobilization and which we have spoken earlier also. Hopefully in the second half of the year, we should see a good outcome out of that, as well as some of the steps that we have taken for MSME loan growth both in terms of the product and the reach out through a specific branch. I think that we should also see the positive outcome. And thirdly, on the digital area also, we have taken several initiatives. We have been talking about that. Hopefully in the second half that we are in, we 'll see some of these getting rolled out for our customers and creatin g value for the Bank . So, thank you once again for joining and for your feedback.
A. Manimekhalai: Thank you everyone.
Moderator: On behalf of Union Bank of India, that concludes this conference. Thank you for joining us, and you may now disconnect your li nes.

## Call: Feb 2025

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■■■■■■ Ref.:■■.■■.■■.ISD/405/2023 -24 ■■■ ■■ Date : 01.02.2025

■■■■■■ Madam/■■■■■ Sir,

■■■■ Subject: ■■■■■ ■■■■■■■■ ■■■ ■ ■ ■■■■■■■■ Transcript of Post Earnings Call

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This is to inform that transcript of Post Earnings call held on January 28, 202 5 for Reviewed (Standalone and Consolidated) Financial Results of the Bank for the Quarter ended on December 31,2024 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

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This information is furnished in terms of Regulation 46(2) (oa) a nd Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■■■■ ■ ■■■■■■■ Mangesh Mandrekar )
■ ■ ■■■ ■■■■ Company Secretary

Encl.: As above ■■■■■ ■■■■■■■ BSE Ltd.
■■■■■ ■■■■■■■■■ ■■■■■ BSE Listing Centre
■■■ ■■■ Scrip Code - 532 477 ■■■■■ ■■■■■ ■■■■■■■■■ ■■ ■■■■■■■ ■■■■■■■
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“Union Bank of India Earnings Conference Call for the
Period Ended December 31st, 2024 ”

January 2 8, 2025

MANAGEMENT : MS. A. MANIMEKHALAI – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
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SHRI RAMASUBRAMANIAN S. – EXECUTIVE DIRECTOR
SHRI SANJAY RUDRA – EXECUTIVE DIRECTOR
SHRI PANKAJ DWIVEDI – EXECUTIVE DIRECTOR
SHRI AVINASH PRABHU - CFO
MR. AJAY BANSAL – DEPUTY GENERAL MANAGER ,
HEAD OF INVESTOR RELATIONS
MS. KANIKA PASRICHA – CHIEF ECONOMIC ADVISER




Moderator: Ladies and gentlemen , Good Day and Welcome to the Union Bank of India Earnings Conference Call for the Period ended December 31st, 2024.
The Bank is represented by the Managing Director and CEO – Ms. A. Manimekhalai, Executive Directors – Shri Nitesh Ranjan, Shri Ramasubram anian S., Shri Sanjay Rudra, Shri Pankaj Dwivedi and other members of the Top Management.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note th at this conference is being recorded.
I now hand the conference over to Mr. Ajay Bansal – Deputy General Manager. Thank you , and over to you, Mr. Bansal .
Ajay Bansal: Good afternoon, ladies and gentlemen. I, Ajay Bansal – Head of Investor Relations, welc ome you all for the Union Bank of India Earnings con -call for the period ended December 31st 2024.
The structure of the con call shall include a brief “Opening Statement ” by respect ed M.D. and CEO ma ’am, and then the floor will be open for interaction.
Before getting into the con -call, I will read out the usual disclaimer statement .
I would like to submit that certain statements that may be discussed during the investor relation interaction may be forward -looking statement based on the current expectations. These statements involve a number of risks, uncertainties and other factors that cause the actual result to differ from the statement. Investors are therefore requested to chec k this information independently before making any investment or other decision.
With this, I now request our respect ed M.D. & CEO ma ’am for her “Opening Remarks ”. Thank you, and over to you , ma’am.
A. Manimekhalai: Thank you , Bansal . Good afternoon, everyone, and welcome to Union Bank Financial Results Announcement for the Third Quarter ended December 31, 2024. Thank you for joining us today.
I am sure you have had the opportunity to review our Results .
We are navigating through a challenging macroeconomic landscape characterized by tight liquidity conditions, which was eased a little by the Reserve Bank of India yesterday, moderating urban demand, uncertainty arising from global development s, volatility in the Indian rupee, and capital outflow s.

These factors are exerting pressure on the banking industry. However, positive developments such as recovery in rural demand, driven by higher agriculture growth, and gradually easing inflationary pressures are expected to support economic growth.



Moving to the Bank's performance :
We remain steadfast in our commitment to sustainable growth with a balanced focus on top line and bottom -line performance. Our strategy prioritizes profitability and operational efficiency over aggressive growth. The bank delivered a strong performance in key areas such as asset quality , capital adequacy and profitability, ensuring the long -term value creation for all its stakeholders.
Let me now review the 'financial highlights ' for Q3 FY '25:
The net profit reached 4, 604 crore s, marking a 28.2% year -on-year growth. For the 9 months ' ended December 2024, net profit stood at 1 3,002 crore s, registering 25.8% growth year -on-year, compared to the full -year FY '24 profit of 13,648 crore s.
Return on assets improved to 1.3% and ROE reached 17.75%.
Capital adequac y stood at 16.72% with a CET1 ratio of 1 3.59% as of December 2024.
I was talking about asset quality. So , gross NPA reduced by 98 b ps Y-o-Y to 3.85 %. Net NPA improved to 26 b ps to 0.82 %. Provision co verage ratio increased by 88 b ps to 93.42 %. Credit cost stood at 63 b ps and the slippage ratio improved to 89 b

ps.
Let me just give you the update on the guidance that we had made to the market :
While profitability and asset quality metrics remain in line with our expectations, there has been a moderation in the business growth this quarter.
This is largely due to our con scious decision to shed high cost bulk deposits, which impacted terminal gr owth numbers. As a result, the deposit s growth has moderated to 3.8%. However, our growth in advances has also remained at 5 .9%.
In terms of averages, both deposits and advances grew sustainably Y -o-Y by 7.6% and 10.9% respectively, reflecting resilience in our business expansion. We now anticipate achieving growth closer to the lower end of our guidance for deposits and advances.
Now, other highlights on our guidance :
NIM for the 9 months ended December 2024 stood at 2.94% well within our guidance range of 2.8 to 3%. Notably, on a Q-o-Q basis, NIM improved by 1 basis point. GNPA, which is currently at 3.85%, is already below the 4% FIN target achieved ahead of the schedule.
With regard to slippages and recovery, gross slippage for the 9 m onths stood at 9,506 crores , and net slippages are around 8,941 crores , while gross recoveries reached 10,789 crores, aligning



with our annual guidance and demonstrating our commitment to maintaining recoveries consistently higher than slippages.
I will now give you a brief on the significant developments during the quarter.
The bank has opened five Nari Shakti Branches in Bangalore, Chennai, Jaipur, Mumbai and Vijay awada on November 9, 2024, by the Honorable Finance Minister, which aims to support women entrepreneurs and provide tailored resources to foster growth and job creation.
On our 106th Foundation Day, we launched several innovative initiatives, including the Union Current Account S TP, Union Digital Contact Center, Union MS ME Superfast STP , Union CBDC accessibility initiative for the visually challenged and the Union Green Home initiative.
We have added 146 branches in the current financial year, taking the total branch network to 8,574. We have expanded our client ele by open ing 32 lakh CASA accounts in the first 9 months of FY 2025, including 2.42 lakh premium accounts.
To conclude, the bank remains steadfast in navigating challenges while delivering sustainable growth and value for stakeholders. With a focus on innovation, operational excellence and customer -centric initiatives, we are confident in our ability to drive long -term success.
Thank you and I look forward to your questions.
Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Jai Mundhra from ICICI Securities. Please go ahead. Due to no response, we move on to the next participant. Next question is from the line o f Ashok Ajmera from Ajcon Global. Please go ahead.
Ashok Ajmera: Good results , ma'am , as you yourself said on the performance of the bank is concerned on the asset quality side and even to a great extent on the recovery targets also. But ma'am, we are really going down on the business front, both the deposit and credit. And our performance is a little lower than other especially the PSU , PSBs , which have declared their results. I mean , we

are much below them in this nine months ' performance.
So, now some people have started a little bit downgrading our stock and our future prospects.
So, I would just like to know, though you have touched upon in this opening remark, you yourself said that our business growth is lower than the target. But going forward in future , not just in one quarter of the remaining quarter of this FY '25 , but what do you think? I mean, the previous levels or the targeted levels will come back again soon , or there is really a major slowdown in the economy and the growth path, and we may not rega

in the past glory again ? The first question is on that, ma'am.

A. Manimekhalai: Regarding the macroeconomic landscape, our economist will give you a brief. But however, as far as the bank is concerned, as I told you in the beginning with my opening remarks, we are committed to sustainable growth with a balanced focus on top line and b ottom -line numbers. Our strategy, of course, as I have been mentioning in all the quarters, we focus on the probability rather than adjusted growth. My total or the bank's total focus is to create long -term value creation for the stakeholders rather than making small glories.
Now, if you look at the way we have done it, we have shed almost like more than 30,000 crore s in bulk deposits to improve our CASA deposit number and see that our NIM is not impacted. The deposit growth moderated . We had a strategically, we reduced the numbers. We shed those numbers , bulk deposit. And many things that the bank has taken is to drive home the point that we are looking at sustainable numbers and not a small blip in whatever we do. And I will now ask Kanika to g ive you a brief on the overall macroeconomic scenario.
Kanika Pasricha : Thanks a lot, Ajmera ji, for the question. Sir, actually three quick points. First and foremost, of course, we acknowledge your concern. But if you look at every banker on the street, when they have come out with a post the analyst call, one stream of thought is very clear that the macro environment is very challengi ng, sir. And if you see the same period last year when we would have had this call, we would have said that at least for the next 12 months, even RBI was talking about a growth number of 7, 7.5%. They downgraded it to 6.5. Government is at 6.4. So , the RBI and the government have also acknowledged that there is a growth slowdown in the economy and the economy needs some oiling in that regard.
So, second point is just on the macro front , so what is the concern is that the nominal GDP growth for two consecutive years is below the double -digit mark. And in an economy like India, a nominal GDP growth drives credit growth. So , credit growth same period last year was 15 - 16% excluding the merger effect. Now it's trending at 11 % to 12% number. So , there has been a lag in terms of credit growth numbers for the total growth coming under the federal and statistical domestic factors. Global economic uncertainty also remains, which has got exacerbated under Trump 2.0 since November.
So, last point from bankers' perspective, and why is it, you know, why the economy and not just that the financial system needed some oiling? You know, the liquidity side, sir. Same period last week, we kept talking about deposit growth being higher than credit growth. We needed structural liquidity. Then post Trump 2.0, we got some 5 lakh crore of outflows on account of FX.
So, we started, you know, there were a lot of concerns raised. Of course, liquidity came under pressure. And in that regard, I would say now ending on a positiv e note , and an optimistic note in terms of outlook, sir. And we are very sure that it will hold something good for our bank as well. So , RBI yesterday, the kind of state of liquidity measures we have given are signaling that they are paying heed to our bankers' liquidity rules. And 1.5 lakh crore is a big amount given.

On the other hand, sir, now from the budget also, we expect that while the government stays committed to roadmaps, they will do something more to stimulate the economy. We see some incen tives coming in to boost overall growth that will lead to more business growth and eventually bank credit growth as well. So, something to look forward to. In fact, in the next 10 days itself , sir. Thank you so much.
Ashok Ajmera: Ma'am, my second question is

on the i ncome side , the non-interest income and especially the recovery from the written off accounts. Yes, I mean that is some area. You know , the overall recovery plus recovery from written off account plus other components of the other income. There, I think, if you can give some picture, that at least like on profitability front, like this operating profit also, this quarter was little under pressure. So , going forward, do we have some more ch ances of big profit , other income includes recovery from the written off account , treasury income a nd some other components of the income ?

Avinash Prabhu: Yes, so on the non -interest income side, we have been showing a consistent growth. So , our year-on-year growth is about 25%. Our core fee income is up by about 26% year -on-year. Treasury income is also growing nicely at about 23% year -on-year. Recoveries again have shown a higher trend year -on-year. So , that's at about 32% higher.

So, you can see that we are looking at various fronts as far as our non -interest income is concerned in terms of trying to get the maximum out of that. And we are quite comfortable that we will be able to show a similar trend going forward. So , that is something that we continue to focus on. And we will continue to show growth going forward.

Ashok Ajmera: Some color on the NCLT account and NARCL or other asset recovery company sale of the assets recovering some good amount on that in this quarter, so as to make this year at least a good year for profitability point of view?

Sanjay Rudra: Ajmeraji, g ood morning. I am Sanjay Rudra here. In the NCLT account, this quarter our recovery is slightly low as compared to the last year, December quarter. We are able t o recover 294 crores in NCLT accounts as against the 1,674 Cr. But in the current quarter, we are hopeful that some improvement will happen.

As far as the ARC sell is concerned, last year the number was zero , but this year it has improved , and it is 344 crore. So , if you see the total guidance , which we have given for 16,000 crore of recovery for the current financial year, out of that already we have achieved almost 10,800 crore, of recovery. And the balance amount of 5,500 crore recovery will happen in the current quarter. So, we are very much hopeful that we will be able to meet the recovery target. And already the write -off recovery is better than last year. We will see that it improves further, which will add to our other operating income , other income . It will add to our other income.

Ashok Ajmera: Sir, this 345 crore is the total recovery. I mean , out of this, only 15% is the cash component, isn't it this asset recovery company ?



Sanjay Rudra: No. That's slightly different. Now, the A RC sell , we are not looking for any SR because i t is on pure cash basis. So, this 345 is a whole full recovery on cash basis.

Ashok Ajmera: Cash basis. Okay, sir.

Moderator: Thank you. Next question is from the line of Aditi Naval from RSPN Ventures . Please go ahead.

Aditi Naval: I have a few questions. First, with respect to the interest on RBI balance or the bank balance line item, so that has dropped significantly Q-o-Q as well as Y-o-Y. So, anything that you woul d like to call out on tha t line item?

Sudarshana Bhat: Yes, madam. This is mainly because of the setting down our bulk deposit and liquidity tightness. We have not done much arbitrage activity. That is why it has come down by 187 crores. Otherwise, it is on par with the earlier q uarters also. If the liquidity improves and opportunity comes up , definitely we will add it and improve our performance in that case.

Aditi Naval: So, then second question was with respect to the effective tax rate this quarter came down to around 21%. So, is there any type of reversal of anything that we have gotten?

Avinash Prabhu: No, obv

iously we keep revisiting our income tax provisions from time to time. So , you will see that on an average our effective tax rate is about 24 to 25% , which is i n line with what the regulations are in terms of income tax. So , it is just that this quarter we just revisited some of our estimates and that is the reason why you see an effective tax rate of 22%.

Aditi Naval: And also just one last question on the SMA. So , SMA -2 has increased from 1 ,654 crores in September to 5 ,500 crore s in this quarter. So , is it that same account that we were referring to last quarter which was in SMA -0 around 5,000 odd crores and that has slipped i nto SMA -2?

Ramasubramanian S.: Yes, this is only one account actually, for which also we earlier told that we already made the adequate provisions also in standard asset . We approved the provision. But for your kind information, as of today, the amount is recovered.

Aditi Naval: So, this amount will go back to being standard in the current quarter .

Ramasubramanian S.: Yes.

Moderator: Next question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: The first question was with respect to the interest income accrual with, you know, due to the recoveries. So , I think that the number previous year was approximately 3 ,065 crore and that number has fallen to 1 ,750 crore in the nine months. So, any comment that you can offer or any clarification that you can offer , ma'am ?



Sanjay Rudra: For the last year, for nine months, recovery was around 2,223 crore and full year it was around

3,065 crore. But this year, in the first nine months, our recovery is only 1,738 crore, which is almost 500 crore s hort of last year number. But we are working on that , and we are hopeful that the recovery of the interest will also improve.
But interest recovery on NPA account is not through the OTS because we have a policy where in whatever the recovery comes through the Sarfaesi and all is first adjusted towards the recovery of interest. So , last year actually SARFEASI action was more effec tive. This year we have done some of the same but the realization has not yet happened which will have effective in this current quarter. So, I am hopeful that that number will also improve , and we will be able to meet our expected number of around 2 ,500 c rores for the current quarter.
Rakesh Kumar: Secondly, ma'am, with respect to our discount rate on the AS15 estimation, we have, I think, discount rate at 7.5% as on March ‘24. I am not sure if we have changed that number during the nine months. If it is the case, kindly clarify. And with the 10 -year G-Sec having come down to 6.7 and around . Would we have to reduce the discount rate for the AS15 calculation in the March quart er? And if that is the case , how would the terminal benefit obligation number would look like in the fourth quarter employee expenses number , ma'am?
Avinash Prabhu: Yes, so on that, on the AS15 assumptions, we are in touch with the actuary. So, you know, even for the December quarter, we did speak with the actuary before looking at what numbers should be booked. So , we have taken into effect what the actuary told us. We will again revisit this in March and finalize the numbers, but we are quite comfo rtable with the numbers that we have booked based on the discussions that we have had with the actuary , and no statements or assumptions right now.
Rakesh Kumar: Just one last question , sir. Our credit g rowth guidance is 11 to 13 %, and ma'am mentioned that we were looking at the lower end of the band , guidance band. We have done 5.6% in the 9 months. So , are we expecting that another 5% we can do just in one quarter, in fourth quarter? Would it be feasible in this market?
A. Manimekhalai: See, even though my terminal numbers, you know, if you look at the te

rminal numbers, my gross advances is at 5.9% . That's about 6%. But if you look at my average number growth, it's almost like 10%. That is the way the advances numbers have grown.
I also have a pipeline of about 75,000 crores sanction limit with me and out of that , pending for disbursement is close to about 36,000 and pending for sanctions is around 39,700 crores. We are getting very good traction from real estate, road, power, data c enters and other such centers. My RAM portfolio is equally quite aggressive, and we are hoping to grow a good numbers and plus with the kind of stance that RBI has taken, so we hope to improve the advances portfolio also in this quarter.
Moderator: Thank you. Next question is from the line of Mahrukh Adajania from Nuvama Wealth . Please go ahead.

Mahrukh Adajania: I had a few questions. Firstly, last quarter, because there was a big slippage of a lumpy telecom account, there was a sharp reverse, there would have been a sharp reversal in interest income as well, right? And e ven with that, so which wouldn't have been in this quarter. So , even on that base, our NIM has declined our lower growth , right, obviously because of tight liquidity and as you explained recovery interest being lower.
But g iven that now, possibly, neutral liquidity may last and may be the theme for the future quarters, do you expect your NIM to recover from current levels? I know you have full-year your guidance, but this is ju st like a discussion from the current quarter to where we see NIMs going ahead , right? Because m aybe the tight liquidity impacted NIMs, but do you see it recovering? Because l ast quarter itself, there was a lot of pressure from a big NPL. And also, if you could call out separately the arbitrage income this quarter versus last quarter ? This is my first question.
A. Manimekhalai: We have guided for the NIM of, if you remember, 2.8 to 3% for FY '25 . Our current NIM for December quarter is at 2.91. And if you look at Q-o-Q, we ha ve improved our NIM by 1 bps. And this is because we had maintained our cost of deposits, our yield on advances also improved by about 8 b ps. We have taken a lot of measures . We controlled and efficiently managed our bulk deposits.
On the yield front also , there was an increase in average advances. All this has helped us in keeping the NIM s above whatever the numbers that we had given. So , going forward also, I do not want to change my stand of 2.8 to 3%. We are looking to improve our NIM s to further amount , further numbers .
Sudarshana Bhat: As far as arbitrage is concerned, due to the tight liquidity condition and setting up our bulk deposit, w e took a little arbitrage opportunity. As and when this quarter if the liquidity eases happens and we have a surplus fund, definitely we will look for a better opportunity and increase the arbitrage income during this quarter. It is hardly Rs. 180 crores o nly down.

Mahrukh Adajania : Rs. 180 crores lower than the last quarter?
Sudarshana Bhat: Yes.
Mahrukh Adajania : And what would be the reversal on interest income last quarter and this from NPL s?
A. Manimekhalai : There is not much of reversal. It is a very miniscule number that we have been able to reverse.
Mahrukh Adajania : Reversal as in on NPL?
A. Manimekhalai : Yes. Very small number.
Mahrukh Adajania : But last quarter it would have been a bigger number ?

Avinash Prabhu: It's almost the same , Mahrukh quarter -on-quarter. So, if you look at the December quarter, the dummy ledger recovery is Rs. 600 crores. It is very small number. |Mahrukh, I will give you that number offline.
Mahrukh Adajania : And then just a clarity on that SM A thing, which has already been recovered. So, I guess in last quarter's discussion also, we said that the lumpy SMA loan was upgra

ded. So, at the time of last quarter results, so after it got upgraded, it got downgraded again, and now it's paid. Is that th e way to look at it?
Ramasubramanian S.: No, see, last quarter also, that was continuously in SMA, actually speaking. Sometimes it goes to SMA -2 also. That's what it has happened in December. We all know the account, so because of some funding from equity has come and the over dues has been fully cleared .
Moderator: Thank you very much. Next question is from the line of Jay Mundra from ICICI Securities. Please go ahead.
Jay Mundra: Just on this SMA, did I hear it correctly that the exposure itself has run d own now, right? Or it is just that the account has become normal?
Ramasubramanian S.: No. The overdue only has been run down. The exposure still remains. Over due has been fully cleared.
Jay Mundra: Right, and ma'am, on your loan growth, so somebody was also asking that even if you were to match your loan growth guidance at the lower end, it will be a steep ask. You mentioned that you have a decent separate pipeline, sanctions and amounts to be dis bursed. But again, then you will also face the same challenge, right, that cost of deposit is still hard and you may have to fund those corporate loans by T-bill or maybe bulk which will not help on the margin front. So, what is the way out in the sense that it looks like a catch 22 situation that you know CASA growth is not happening and hence we are not going corporate as much. So, that may continue for a while, right? Is that the understanding or how do you want to get out of this?
A. Manimekhalai : See, if you look at the way we have done in this quarter, we have consciously reduced our bulk, which is at a higher cost. And also, if you look at my average advances growth has also remained quite good at 10% -10.5%. Now looking at the pricing and most of my advances that is on the book now is at MCLR pricing and not at the T-Bill pricing. So, as and when there is a requirement and we have also seen a good growth in my retail deposit front. I have seen some good growth happening in the last nine months. So, the various steps that we have taken , my retail term deposit has also grown by about 8% and with an absolute growth of about Rs. 36,000 crores. Now, and with this also, and with a little bit of easing of liquidity measures that the Reserve Bank of India has also taken we were sure that we would be able to fund our advances growth.
Kanika Pasricha : So, you have two points. First of all, you know, it's not as if bankers are in a Catch -22 situation , even from the macro perspective you know that everybody is looking at sources of funds because

even now, credit growth is higher than deposit growth and of course, people are scouting for funds, but apart from deposit, the everybody is looking at alternate sources of funds. So, we also have our o wn avenues for the give that fund. Second, as liquidity eases and RBI signals, they're on a path to monetary easing because they also want to contribute, in fact, with the heavy lifting on growth. So, when the cycle switches, we all know the statutory effect on CASA as well in the coming months. It may not be as much because of the shift in savings profile. So, first alternate sources of funds, we are also looking for some. And second, on CASA , maybe some statutory relief in the coming months of the cycle shift. Thank you.
Jay Mundra: Ma'am actually, the broader point I was trying to understand was this NII growth now has become 1% Yo Y, right? And assuming no rate cut change, I mean, no change in the rate cut, you believe it will remain like this only , I mean, without any policy action, or you think it can inch up ?
A. Manimekhalai : I think the main income of the bank comes from interest income, NII only and we have seen a little bit of growth Q -o-Q also and Y -o-Y

in our interest income. With the easing of the liquidity
numbers and with the yields coming down probably with the run cut. We are sure that we will be maintaining our interest income with the higher growth, positive growth in our advances, that is one thing. But if you look a, the bank is also doing very well in the non interest income part. They have shown a very good growth almost 17% in the last 3 months and also Y -o-Y growth of about 25% in the non interest income. Core fees based income is also grown by 26% and recovery income is also in recovery in written off accounts, dummy ledger recovery , all this will also factor in and we hope to keep our net interest income at the steady growth space.

Jay Mundra: And then secondly on SME and Agri, while corporate may have very fine pricing, but SME and Agri, the largest PSU bank is delivering very steady growth on SME and Agri both. Other private banks are also delivering. What is actually impacting the slower grow th in both these segments ?

A. Manimekhalai : I will tell you about MSME , of course the growth has been muted because of two factors , one is of course Rs. 5,000 crores of my MSME book were upgraded to mid corporate segment. They were moved into the corporate because of the turnover and the other issues. And then secondly, about close to about Rs. 12,000 crores of my MSME book we had to declassify because of UR N number not happening. So, these are the two reasons becaus e there was a little bit of run down on my MSME book which I am sure that we will be able to make up during the current year. With regard to the Agri portfolio, it is showing a growth now. As of now, the season has started picking up. We had a lot of many governments coming up with debt wave r and all those things and that is why there was no growth in my agri sector and which we hope that we will be able to do during the current quarter.

Jay Mundra: And this MSME reclassification was during the quarter, rig ht? Or it was at the beginning of the year?

A. Manimekhalai : Yes, it was during the quarter. December Q3 quarter, it was done , declassification. and upgradation.



Jay Mundra: And then on gold loan, if you can quantify how much is your total gold loan, how m uch is agri - gold and how much is retail gold ? And is there any impact because RBI has revised the gold loan circular, asking for product changes, a lot of changes on LTV and maybe the rollover and renewal policies.

A. Manimekhalai : My total gold loan portfolio is to the extent of about Rs. 81,000 crores. Out of that, I Agri gold is about Rs. 50,000 crores. And of course, RBI has come out with the guidelines with regard to LTV for both agriculture and non-agriculture loans. We are yet to feel the impact of those guidelines by the RBI. But, however, we have been doing well. We have opened large number of gold loan accounts during the last few quarters and we hope to match those numbers and the portfolio will grow in a very healthy manner .

Jay Mundra: I have one more question on PL, unsecured personal loan. How much is the exposure and what was it last quarter , I mean how it has grown in the last one to two quarters ?

A. Manimekhalai : Unsecured lending to personal loans is about Rs. 12,800 crores, not much in the variation here , in fact if you look at YoY growth, it is actually declined by almost a percent . So, there has been a degrowth in my personal loan portfolio .

Jay Mundra: And if you have the GNPA number in this book , the outstanding GNPA .

A. Manimekhalai : NPA numbers stands at about 1.8% in this personal loan segment.

Jay Mundra: The last question, if you have the SMA number for MSME because there was some concern in the SM E portf olio for banks, if you have the SMA -1 or SMA -2 figure for MSME portfolio of the entire bank for this quarter ?

Sanjay Rudra: SMA number for MSME is around Rs. 9,90

0 as a whole. And SMA -1 is 3500 and SMA -2 is
4,600.

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: First set of questions on the deposit mobilization front. You have run down the bulk term deposits this quarter. How much of it, do you th ink there is scope for further run down here in this book?

Sudarshana Bhat: Run down around Rs. 30,000 crores plus and brought down the percentage to 25.02% that was the conscious call taken. We continue to stick to that 25% from the bulk side at the total deposits.

Ashlesh Sonje: If I look at your deposit growth rate for the year that is 9 % to 11 %, but YTD growth is negligible. Do you think you might have to hike your term deposit rates to garner more deposits for the rest of the year?



Sudarshana Bhat: That is because of the setting down the bulk deposit . As per our retail segment is concerned , it is at 8.5% level. And that is continuously doing pretty well. Only because of setting the number of bulk deposits , the percentage has come down.

Ashlesh Sonje: Do you plan to hike term deposit rates? That was the question.

Sudarshana Bhat: Deposit s are very competitive compared to other peer banks. We will look into the other bank's competitiveness, if required we may look for it.

Ramasubramanian S.: Just to add to that retail term deposit, if you look at our last year, our retail term deposit d uring the nine -month period, that is from April to December the absolute growth was only Rs. 6,500 crores. And during the current year, that is from April to Decembe r 24, the increase is around Rs. 22,000 crores. So, we are already our rate is very competitive in the market and we are growing in the retail term deposits.

Ashlesh Sonje: Sir, s econdly on the recovery front, you have guided for Rs. 16,000 crores for this year and you indicated that you expect to achieve it. Do you think you have a pipeline which is large enough to do a ballpark similar recovery in the next year?

Sanjay Rudra: The portfolio of recoverable amount is coming down year-after-year because last year if you see we have recovered Rs. 18,000 crores this year we are targeting for Rs. 16,000 crores after this also we will have a portfolio, but recoverability will come down , so we will take a call in the month of March that what will be our target for the next financial year . And majorly the majority of the accounts almost , Rs. 80,000 crore if I take Rs. 80,000 crore is in NCLT where the resolutions are very slow paced . So, that also will be one of the guiding factor for recovery for the next year .

Ashlesh Sonje: And j ust lastly , you shared the GNP A ratio in the personal loans book at 1.8% . What was this number last quarter?

A. Manimekhalai : It remains at the same level. 1.8% to 1.9%. We are not growing very aggressively in this book.

Moderator: Thank you. Next follow -up question is from the line of Ashok Ajmera from Ajcon Global Service. Please go ahead.

Ashok Ajmera: My question was a little bit more, again, on the business development, like credit and deposit, , a little more in detail. Like, what are we actually looking at? I mean, what is our pipeline is showing as far as the credit is concerned? We have I think, the renewable energy credi t facility of about Rs. 27,269 crores. So, are we looking for more opportunity in the renewable energy side? What is our sanctioned undisbursed pipeline is saying? And the proposals which are not yet sanctioned but are in pipeline you are saying? Because, you know, we need to start worrying about the growth. Deposit side, I mean you are comfortable as far as your CRA R is concerned. You also have extra SLR. I mean you can raise the funds also. But on the credit front, because in order to maintain the profita bility of the bank on a continuous basis, you ne

ed to grow your



loan book. So, where are the opportunities you are looking at and what t hrust on which areas you are giving the main thrusts?

A. Manimekhalai : We have almost as I told earlier also, we have go t almost about Rs. 75,000 crores are pending for disbursements and sanctions. Out of this Rs. 75,000 crores, Rs. 36,000 crores is pending for disbursement and Rs. 39,000 crores is pending for sanctions at our end. We have sanctions under road, power, real estate, iron and steel, cement, renewable energy, EV, semiconductors, you've got so many sectors under which the loan has already been sanctioned. Renewable energy also we get lot many proposals. But the bank is very clear that if you are getting it a good pricing and the rating of the promoters are good, only then we take up these kind of industries. We just do not want to grow for the sake of growing but whatever meets our bottom line that is the way the bank wants to grow. And I have told you at the beginning only that we are committed to a sustainable growth with a balanced focus on the top line and bottom line performance. And with the kind of strategies that the bank has taken in the last few quarters, we have shown a good bottomline performance exceeding the market, the way the market is thought about, we have taken up lot of initiatives to improve our performance in the advances sector also and we hope to continue with those kind of practices which help us in a sustainable growth, but also the bottom line of the bank is also adequately taken care.

Ashok Ajmera: So, basically, if these things little bit improved in the overall economy and if you become a little positive, you ha ve a scope for immediate Rs. 26,000 crore of this which is already sanctioned and on disbursement and you have another strong good pipeline, of course, providing you meeting your criteria. Having said that, my next question, ma'am, in this round is on a li ttle bit of clarity on this taxation DTA number. So, how much more is left, and can the CFO give little color like this quarter it was I think Rs. 1,289 crores compared to the last quarter of Rs. 1,681 crore, the taxation including DTA. Overall, in nine mo nths, it is Rs. 4,321 crores as compared to previous nine months of Rs. 5,819 crores. So, going forward , March '25, because the taxation ultimately affects our bottom line, even though we don't have to pay actual tax so much. So, can you please throw some color on that, that what is actually going to be the 2025 color figures on

the taxation on the DTA, including DTA?
Avinash Prabhu: See, the way generall y as we provide details of provisions, the work is that the provisions for taxation and DTA kind of offset. So, for instance people o bviously look at as we increase the amount of write -offs, that would have some color as far as our DTA is concerned . I will not be able to give you exact numbers as far as DTA is concerned or maybe I can discuss it with you offline in terms of how our DTA book is panning out . But I won't have numbers right now in terms of what the March 2025 DTA could be.
Ashok Ajmera: What is the total amount left now?
Avinash Prabhu: Total amount is roughly about Rs. 2,175 crores of DTA.
Ashok Ajmera: That is to be taken care of in the coming quarters, isn't it?



Avinash Prabhu: Not necessarily in the coming quarter, in the coming quarters, yes.
Ashok Ajmera: And last question is on the buffer provision, then have you used some of the buffer, you know the addition provision on the standard asset, I think which is stands about Rs. 550 crore something now. Is there any addition in this quarter in this or have you used something out of the existing buffer which we had or more than the IR AC norms provision if any which is there still?
Avinash Prabhu: I think we are making s

tandard asse t provision in line with the regulations , so we don't , I mean what we monitor is how are we comparing ECL versus what we are holding in our books right now and there we are very comfortable. So, we are not necessarily maintaining additional buffers as far as our standard asset provision is concerned.
Ashok Ajmera: It is written in the note to the account that as a prudential measure, not that as an IR AC requirement. If you read the note, it says additional provision on standard as a prudential measure, not on a prudential basis. So, definitely it means it's not as per the guidelines , it is above the guidelines?
Avinash Prabhu: But that is referring to the provision that we made in the June quarter, if you recollect, towards standard asset provis ioning. So, that we are still holding because one of those accounts moved to specific provision. The balance still stays there and that we will revisit as the quarters go back.
Ashok Ajmera: Basically my reason for asking this question was, whether in the coming quarter it might come, I mean it might get totally reduced or I mean, our decision may be applied on this or it may take some more time.
Avinash Prabhu: No, we don't expect this to, because obviously it can get reallocated to other, other NPAs if required. So, I would not say that it will reduce in the coming quarter. We will obviously revisit it as and when developments take place.
Ashok Ajmera: If you pe rmit, ma'am, something on the digital front, on the digital journey because when the moods are down, the business is a little bit down, and this thing, I mean, we reduce our efforts toward that. So, can you throw some light on the digital journey, whether it is for our plan, what kind of spending, which we have done already now this year, and what do we plan to do?
Anil Kuril: In terms of digital transformation journey, in this quarter, in the December quarter, we have actually launched our platform with the 7 journeys as of now. And in terms of other standalone journeys, obviously there are 17 journeys which are already live an d there are business which is being done. So, if you look at the number, basically around Rs. 18,800 crores , on digital lending we have done and there are around Rs. 5.26 lakh accounts we have opened and renewed. In terms of our liability side of it, obvio usly we have opened almost like a 1 lakh plus Digital accounts through that. And we have gone, in terms of our Vyom, particularly digital channel, which is Vyom, almost like 3 crore customers which are onboarded on this journey on this platform . So, as far as the bank is concerned, we are on track in terms of our digital



transformation journey. There are journeys which are going to come next quarter and there after. So, we are on track as far as our digital transformation plans are concerned.
Moderator: Than k you. Next question is from the line of Aditi Naval from RSPN Ventures. Please go ahead.
Aditi Naval: I just had one question on the asset quality front. So, on page 17 of your PPT, I can see that there's LC and others where the slippages have been very m iniscule this quarter . However, the outstanding GNPA has increased by around Rs. 2000 odd crores and the percentage has also increased. So, can you just provide some color on as to how this is working? I mean, your slippages are very less, but your GNPA has increased quite a bit ?
A. Manimekhalai : So, actually you are talking about the increase in the NPA numbers. I told you when I was addressing the MSME issue I was talking about , about Rs. 13,000 crores have been reclassified as you know from MSME book. Out of that because of the UR N number not available and out

of that close to about Rs. 7,000 crores are NPAs . It was ac tually, in the MSME segment because
there was no URN number available. It is declassified and that is how it is show i

ng under LC
and others.
Aditi Naval: So, even though GNPA gets reclassified?
Moderator: Thank you. The next question is from the line of Rakesh Kumar from B&K Securities. Please
go ahead.
Rakesh Kumar: Just one question I had ma'am. So, like in the first half, what we had seen is that, like, you know,
the core retail deposit growth as per the LCR definition and classification, was around 4.5% . So,
now even like, you know, retail term deposit growth has been close to around 8% number, but
how is the number as per the LCR, if you can throw some light because that would be important
from the LCR perspective and the balance sheet growth perspective ?
Ashwini Kumar Choudhary: Our LCR has been in the range of 130%. So, earlier it was little higher than 130%, but this 130%
is still very comfortable number for us. Even under new guidelines, it will be well above the
regulatory and our internal policy limits.
Rakesh Kumar: I was like you know that could have happened because this have reduced the wholesale deposit
composition this quarter on a sequential basis. So, that could have positive repercussion on the
LCR number. The core retail deposit growth which is very crucial for sustained LCR number
and for the balance sheet growth a lso. So, that number was around 4.5% in the last quarter. How
that number looks like this quarter ?
A. Manimekhalai : We will come back on this number calculation .
Moderator: Thank you very much. Ladies and gentlemen, that concludes today's conference call. On behalf
of Union Bank of India, we conclude today's conference. Thank you for joining us and you may
now disconnect your lines. Thank you.

## Call: May 2025

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Classification: Internal Ref.:...ISD/ 50/2025-26 Date : 16.05.2025

Madam/ Sir,

Subject: Transcript of Post Earnings Call

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This is to inform that transcript of Post Earnings call held on May 09, 202 5 for Audited (Standalone and Consolidated) Financial Results of the Bank for the Quarter /year ended on March 31,2025 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindia.co.in/en /co
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This information is furnished in terms of Regulation 46(2) (oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

Yours faithfully,

( Mangesh Mandrekar )
Company Secretary

Encl.: As above BSE Ltd.
BSE Listing Centre
Scrip Code - 532 477
National Stock Exchange of India Ltd.
NEAPS

“Union Bank of India
Earnings Conference Call for the period ended
March 31, 2025 ”
May 09, 202 5

MANAGEMENT : MS. A MANIMEKHALAI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. NITESH RANJAN – EXECUTIVE DIRECTOR
MR. RAMASUBRAMANIAN S – EXECUTIVE DIRECTOR
MR. SANJAY RUDRA – EXECUTIVE DIRECTOR
MR. PANKAJ DWIVEDI – EXECUTIVE DIRECTOR
MR. AVINASH PRABHU - CFO



Moderator: Ladies and gentlemen, good day, and welcome to the Union Bank of India Earnings Conference Call for the period ended March 31, 2025. The bank is represented by the Managing Director and CEO, Ms. A. Manimekhalai; Executive Directors, Shri Nitesh Ranjan, Shri Rama subramanian S., Shri Sanjay Rudra, Shri Pankaj Dwivedi and other members of the top management.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

Now I hand over the call to Mr. Ajay Bansal, Deputy General M anager. Thank you, and over to you.

Ajay Bansal: Thanks, madam. Good afternoon, ladies and gentlemen. I, Ajay Bansal, Head of Investor Relations , welcome you all for the Union Bank of India Earnings Con call for the period ended March 31, 2025. The structur e of the con call shall include a brief opening statement by respect ed MD and CEO madam, and the n the floor will be open for interaction.

Before getting into the concall, I will read out the usual disclaimer statement. I would like to submit that certain s tatements that may be discussed during the investor in teract ion, may be forward -looking statements based on the current expectations. These statements involve a number of risks, uncertainty and other factors that cause the actual results to differ from the statement. Investors are therefore, requested to check the information independently before making any investment or other decisions.

With this, I now request our respected MD and CEO Madam for her opening remarks . Thank you, and over to you madam.

A. Manimekhalai: Thank you, Bansal. Good morning to everyone present. I extend a warm welcome and sincere thanks to all of you for joining us today. Your continued interest, trust and engagement with Union Bank of India is truly appreciated. Let me begin by g iving you a ma croeconomic environmental view.

Global economic conditions remain uncertain evolving trade dynamics and tariff -related developments across major economies adding to volatility in financial markets. These factors are likely to weigh on global growth prospects in the near term. On the domestic front, while a slight moderation in the GDP growth trajectory is anticipated for FY 26, macroeconomic indicators supported by policy interventions continue to underpin a cautious optimistic outlook.

The R BI's recent decision to reduce policy rates and shift its stance from neutral to accommodative is both timely and growth supported. In this context, I would now like to share highlights of our bank's financial and operational performance. Despite the chall enges, the bank has demonstrated strong resilience entered by solid fundamentals, he althy profitability, robust capital adequacy and asset quality. Our strategic focus remains on pursuing sustainable growth with a calibrated ba lance between top line expans ion and bottom line growth.



So let me just come to a few of the key financial highlights for FY '25. Net profit, we have recorded the highest ever annual Net profit of INR 17,987 crores for FY '25, reflecting a Y-o-Y growth of 32%. Net profit for Q4 FY '2 5 stood at INR 4,985 crores, marking a Y -o-Y increase of 51%. Operating profit for Q4 FY '25 stood at INR 7,700 crores, a Y -o-Y growth of 18%. For the full year, FY '25 Operating profit reached INR 31,090 crores, registering 10% Y -o-Y growth. With regard to the profitability ratios, return on assets improved to 1.35% in Q4 FY '25 compared to 0.97% in the same quarter last year and better than 1.3% posted in December quarter. Return on equity i

ncreased to 19.07 %, up from 15.12% in the same quart er last year . With regard to Capital adequacy, which is one of the best in the industry at 18.02% with CET1 ratio at 14.98%, comfortably above the regulatory minimum requirement providing ample headroom for growth. So, with regard to asset quality, our su stained efforts in strengthening underwriting standards through centralization , verticalization and digitization has yielded consistent improvement in our asset quality. Gross NPA reduced 116 bps Y -o-Y to 3.6%, also conforming our guidance of 4%. Net NPA d eclined by 40 bps Y -o-Y to 0.63%. Provisiona l coverage ratio stood at 94.61%, reflecting a well -provision ing balance sheet.

Credit cost stood at 69 bps for Q4 FY '25. Slippage ratio was contained at 1.13% in Q4 FY '25 compared to 1.56% in Q4 FY '24. Gross slippages for FY '25 stood at INR 12,073 crores. Net slippages were INR 10,478 crores. Excluding one large account Gross slipp ages would have been INR 8,731 crores well within o ur guidance of INR 11,500 crores . Gross recovery stood at INR 14,995 crores, cl osely aligned with our full year guidance of INR 16,000 crores. During FY '25, Gross recovery has surpassed the Gross slippage by more than INR 3,000 crores.

Let's talk about the income and margins. NIM was at 2.91% for FY '25, within our guided range of 2.8 % to 3 % Net interest income registered a Y -o-Y growth of 1.76%, while a ro bust 23% growth in Non-interest income helped offset the moderate NII growth. As far as the business growth is concerned, Credit growth of the banking industry moderated from over 20% in FY '24 to 11% in FY '25.

Similarly, Deposit growth decelerated from 13.5% in FY '24 to 10. 3% in FY '25. In our Q3 post result interaction, we have guided towards the lower end of the business growth rate. This is a concept strategy. We curtailed high -cost Bulk deposit mobilization . We limited it to 5% Y-o-Y growth in FY '25 as against 32% last year.

Because we select ively deprioritized low -income credit advances. As a result, Total deposits grew by 7.2% Y-o-Y as against t he guidance of 9% to 11%, Advances registered 8.6% growth versus the guidance of 11% to 13%. However, on the segmental performance, we have done better. Current account deposits have grown by 17% Y -o-Y. Retail deposits have grown by 8.6% . Retail lending ha s grown by 22% and MSME has grown by 12.5%.

Our internal target mix remains as Retail to Bulk deposits at 75 % to 25 % and RAM to Corporate lending at 55 % to 45 % with adjustment aligned to evolving market dynamics. The Board of Directors has recommended a d ividend of 47.5% for the year ended March 31, 2025, subject to the requisite approvals, reflecting our commitment to delivering value to shareholders.



Effective May 01, 2025 , Union Bank has been entrusted with sponsoring the newly amalgamated Andhra Prades h Grameena Bank , reflecting trust in our capability to lead ru ral transformation. The recent policy rate cut by the R eserve Bank of India is anticipated to exert downward pressure on the bank's net interest margin in the near -term.

Reductions in the policy rate are typically transmitted more quickly to Repo rate linked loans. Whereas adjustments on the deposit side and the MCLR -linked loans tend to occur with a lag. Looking ahead, it remains challenging to accurately assess the future rate acti ons by the RBI given the prevailing market volatility and evolving macroeconomic conditions.

In view of the above, we believe it is prudent to closely monitor developments in the immediate term and provide calibrated guidance on business performance and pr ofitability at an appropriate juncture.

In conclusion, I would like to tell you that Union Bank remains firmly committed to building a resilient balance sheet and delivering sustainable growth across core verticals. Our focus ed

strategy anchor on Centrali zation , Vertical ization and Digital Transformation are aiding results.

As always, we continue to prioritize profitability and prudent growth rather than chasing top line expansion at the cost of the bottom line. Thank you, and now we are open to questions .
Moderator: We'll take our first question from the line of Ashok Ajmera from Ajcon Global.
Ashok Ajmera: So, my compliments to you, ma'am and the entire team, for a good Operating profit as well as the Net profit . I will not say muted, but despite subdued growth , we performed well on the profitability front. So, my first question is on that only , that we have fallen or faltered on business growth, credit growth and the deposit growth th en the target numbers given.
So especially, my concern is mainly on th e credit growth which meant 8.6% for the whole year as against the target or given of 11% to 13%. So going forward, what do you think? I mean, the Union Bank will remain in the territory of 8%, 9% only or would perform well at the 13% to 14% or 15% on the business front, I mean on the credit front. This is my first question, ma'am.
And second is there are some of the data point, this NARCL, SR s valuation as per the decision of the RBI. We have taken a profit of INR 787 crores. I think , the revaluation of th ese SRs are issued by NAR CL. So, my question is that whether the entire INR 787 crores has gone into the profit of this quarter or against which some mark -to-market on other SRs has been taken and the Net profit only has been taken. So what is that profit number, which has gone to the P&L account?
And the third is , I would like to have some more color on the Treasury operation si de.
Avinash Prabhu: Yes, So Ajmera ji , as far as the business growth is concerned, yes, we agree that growth has been a bit muted as far as this year is concerned. We have taken a call that we will not give guidance currently, and we will vary the situation as the year goes by and then look at giving our guidance. But we a re obviously focused on growth but at the right metrics. So if we are not getting the right yield on our advances, we would not be chasing those kind of advances.


In fact, in the last two quarters, we've given up on certain advances where we felt that the yield on those advances did not justify retaining those advan ces, so that's as far as business growth is concerned. As far as NARCL is concerned, yes, we have recognized about INR 787 crores in this quarter, and that has contributed to our results. As far as Treasury is concerned, we have had a very good year. And w e are hopeful that this performance will continue in the current year as well.
Ashok Ajmera: Sir, on advances, y ou said that you've gone more on the maintaining your margins. But then going forward, what is our sanctioned book and the proposal s under process, especially in the Corporate book, so that we can get some idea of your April -June quarter or maybe first two quarters of year FY26 , but are you going in the same direction or the performance on the credit front will be a little better than what we have achieved?
SV Biju : Yes. Ajmera ji, we have already sanctioned book of around INR 37,000 crores and another in pipeline of INR 30,000 crores . So we already have things in the pipeline. And I think in the Q4, what we have seen , the similar kind of growth we are expecting in the coming quarters also. So, it is going to happen in the same trend .
Ashok Ajmera: So that was 3.55%. So, do you mean to say that we are going to, on an average, maintain now our credit growth, 3 .55% or 3.5% in the quarter now?
Sanjay Rudra : Yes Mr. Ajmera, I will tell you something on the gro wth, what is happening actually? If you see our credit growth , the Retail is up 22% okay. And in MSME it is 12% and overall RAM advances growth is around 10%. Large

corporates, which we have not grown , we have not grown sincerely. We thought that we will restructure our portfolio , we will allow low-ending advances to repay and we'll go for the balancing of the port folio, that we have done well in the last year . This year, though we have not given any guidance, but if you see this year, what we are expecting that in line with our GDP growth, which we are expecting it will be around 6% if GDP growth happen s and the in flation will be around 3.5 to 4 , it will be between that only. So we will try to move with the GDP, whatever the GDP is happening because the growth in this year is not just a very high GDP growth for the current year. So it will be in line with the GDP gr owth only. And last year, we have grown by 8.62% on a year -on-year basis .
Ashok Ajmera: No. I think that is the situation even maintaining margin of even a NIM of 3% or 2 .95%, but that is the situation with al most every bank. I think on this front, they pe rformed better than us.
Sanjay Rudra : Some of the bank s have performed better than us. There is no doubt about that. But consciously , we decided not to grow on the large corporate without having a proper profit. So if you compare the top line with the bott om line, you will find that our performance is far better than if you compare it to others.
Ashok Ajmera: Okay, sir. On this SMA -2 numbers , in the last quarter this was very high, INR 5,498 crores, which has come down to INR 1,235 crore s. But if you look at both SMA -1 and SMA -2, SMA - 1 has gone up almost doubled than the last quarter. So overall situation on the SM A front, where do we stand and out of this SMA -2 of INR 1,235 whether in April, we could improve the

numbers or some recovery, which has taken pl ace?


Avinash Prabhu: No, no. Ajmera ji, as SM A is concerned, you can see that the overall SM A position has gone down from INR 7,600 crores to INR 3,800 crores.
Ashok Ajmera: That was in the last quarter that was because of that one -off account in the last quarter basically it went to Rs. 5,495 Cr. But anyway, it has come down , definitely. So, my point is out of this Rs.1,235 SMA -2, whether any major recovery has taken place in Apri l and it has come down to SMA -1 or SMA -0?
Avinash Prabhu: No, that isn't much. So, there are no major names that we want to mention out here . So, there's nothing specific that we want to comment as far as the SMA book movement is concerned .
Moderator: Next question is from the line of Mahrukh Adajania from Nuvama .
Mahrukh Adajania: I had a couple of questions. Firstly, on MSME slippage and even on Agri slippage, we have seen a sharp jump sequentially. And some other banks have also seen a jump. So what exactly happened in the fourth quarter that slippages in these 2 segments have risen for everyone, right? So on a year -on-year basis, they are still okay, but on a sequential basis .
And does that seasonality also continue in the first quarter? Because I think last year first quarter also had similar seasonality for e veryo ne. So that's my first question?
Pankaj Dwivedi : So, the higher slippages on the Agri and MSME, this quarter, what we have done is there were a large number of repeated restructured account in the agriculture , we have taken a call . And this is for thi s quarter only . The trend is not going to continue for the coming quarters. Similar was in case of MSME also, and then we have now fully automated our asset classification also.
There is no manual intervention. So they are also from 1 or 2 logics, a little higher slippages has come. So this is for this quarter only. And the trend is not going to continue.
Mahrukh Adajania: Okay. For both MSME and agri or just MSME?
Pankaj Dwivedi : Yes. Both Agri and MSME.
Mahrukh Adajania: So even in Agri, there were repeated restructure like that?
Pankaj Dwivedi : Mainly r

epeated restructured was in agriculture only. And SME, as I said, we have implemented fully automated structure for our asset classification. So 1 or 2 logics, which we re not there earlier, that has a lso been implemented. So that is how a little higher slippages has come from MSME.
Mahrukh Adajania: Got it. Okay. Makes sense. And my next question is on margins. I know you have refrained from giving guidance and you're waiting for a better time. But given that there's already been a Repo Rate cut in April and Deposit cost movement is sticky, are the ma rgins h eaded lower for the next 2 to 3 quarters? Or how do we model that?
Ramasubramanian S. : Madam, regarding NIM, if you're looking at it, though we have achieve d the guidance, which we have told about 2.8% to 3%. As you know , because of the present mark et situation s, we are able to try to minimize the effect of the margin squeeze within our bank. That's what we have been telling that we have been letting go some of the low -yielding advances .


So that our margin will be maintained. We try to do the same th ing madam , we'll try to manage the margins in the coming days also because the Cost of deposit has not much come down until now.
Mahrukh Adajania: Okay. So even with the full 50 bps REPO cut that has happened so far, margins can be maintained even with the Deposit cost remaining sticky?
Ramasubramanian S.: Yes. That's right. Because , if you look at it, the 50-bps rate cut with in the REPO , which has happened, this is only because we have around 28% of our credits are under the REPO linked rates of RB I, which immediately has been passed on to customers.
But deposit takes time to re price it, which is happening slowly . We have also recalibrated our deposit rate s and we are trying to bring down our Cost of deposits. But it will take time, that's the reaso n why we are trying to manage the NIM s at the overall level.
Mahrukh Adajania: Got it. I have a last question. There ’s a sharp increase in employee and Other Opex in the fourth quarter. Any lumpy thing or any big PLI provision s made?
Avinash Prabhu: So Mahrukh, as far as the opex is concerned, yes, you're right, there is a jump on an annual basis, we are up only 6% . This is some staff -related provisions which have been made, plus we also did some PSLC purchases in the last quarter. That has added to the cost. In addition, now the CSR spend had to be accounted for. So that is why we can see an increase in the last quarter.
But if you see on a year -on- year basis, we are up about 6%.
Mahrukh Adajania: Got it. And the PLI component would be how much in emplo yee expenses?
Avinash Prabhu: Can you repeat?

Mahrukh Adajania: The PLI provision, you said now you made some provisions for employees. So that 's inside of PLI?
Avinash Prabhu: Yes. it's roughly in the range of about INR 250 crores.
Mahrukh Adajania: The P LI?
Avinash Prabhu: Yes. The provision .
Moderator: The next question is from the line of Rakesh Kumar from Valentis Advisors .
Rakesh Kumar: So just coming back on the employee expenses again. So, I remember that in March '24, we had kind of highest discount rate among the PSU banks. So where do we stand now on March '25 in terms of discount rate for pension and gratuity?
Avinash Prabhu: Yes. So on that, we've had discussions with actuary and we ha ve recalculated the numbers. We can come back to you on the exact discount rates, but the actuary , who is a reputed actuary , has reworked the numbers. We've taken some additional provisions in that respect. And now we are quite comfortable as far as the am ounts provided for our concern. But we can come back to you in terms of the changes which have been made on the discount.


Rakesh Kumar: Sure, sir. Additionally, what is the total provision that we have mad

e in the entire year on employees.
Avinash Prabhu: It is on the actuary .
Rakesh Kumar: Yes. On the AS -15, what is the total provision we have made, especially for the defined benefit?
Avinash Prabhu: Yes. So, for gratuity and pension is roughly in the range of about INR 2,500 crores.
Rakesh Kumar: As compa red to FY '24 number of?
Avinash Prabhu: About INR 2,850 crores.
Rakesh Kumar: Got it.
Avinash Prabhu: So, number is INR 2,850 crores . We had a catch -up in the provisioning last year because of the bipartite settlement but this year it is a normal kind of provisioning.
Rakesh Kumar: Sure. We will connect again on this.
Moderator: Thank you. We will take the next question from the line of Ashlesh Sonje from Kotak Securities.
Ashlesh Sonje : Hi, team. F irstly, one clarification. The implied tax rate seems a bi t lower in this quarter. What is the reason there ?
Avinash Prabhu: Yes. See, firstly as far as the tax provisions are concerned, as you are aware we move to the new tax regime last year and therefore there was a higher effective tax rate last year, which was about 36%. This year, we are at about roughly annualized at about 22%.
So yes, there were some additional provisions which had been made in the i nitial three quarters, we just recalibrated the provisions for the full year. And that's why you can see some dip as far as the effective tax shares concerned in this quarter. But if you see on a full year basis, it is very close to the effective tax rate of 25%.
Ashlesh Sonje : Understood. Okay. Secondly, on the loan pricing front, if you want to offset some of the impact which is coming from the Repo rate cuts , do you have any flexibility whatsoever available to modify the spread or cancel any special disc ounts which are there on either existing or new loans?
Ashwini K r Choudhary: No, loan side, we can't do for any existing loan. We'll have to take that decision on the deposit side to reduce the impact of any adverse impact. For new loans, definitely, y es, we can take.
Ashwini K r Choudhary : But t his is only pertaining to repo link rate only.
Ashwini K r Choudhary : Yes only repo link rates only we cannot do anything on that.
Ashwini K r Choudhary : Spread has to be remain ed fixed as demand by the bank and re po link w e can't make any changes.
Sanjay Rudra : The rate will continue to be the same, unless until there is a change in the risk profile of the customer.
Ashlesh Sonje: Correct.


Sanjay Rudra: If there is any change in the risk profile, the rate will undergo change.
Ashlesh Sonje : Okay. So just a follow -up on that one. When you say change in risk profile can change the spread, would that cha nge of sprea d even on an existing retail loan ?
Sanjay Rudra: Yes. You see if MSME borrower, it is linked to the r epo and the risk profile deteriorates then we can change the spread also because the spread is a risk premium basically. So that undergo with the ch ange in the risk profile.
Ashlesh Sonje : Okay. And that holds true for retail loan as well?
Sanjay Rudra: Retail loans usually the risk profile is not reassessed on a yearly basis, so it does not undergo any change.

Ashlesh Sonje : Understood. Got it. And just lastly, what is the outlook you have for recoveries on bad loans for FY '26?
Sanjay Rudra: Last year, w e have achieved almost INR 15,000 crores of recoveries. This year, the overall portfolio has come down to INR 1,10,000 crores. So, this year also, we are expecting better recovery, but some of the cases whic h were pending at the NCLT has not concluded.
So, this year, most likely, our recovery will be better , we have to see , since we have not given any specific guidance on t he recovery because of the macro economic condition. So we will come out with the numbers subsequently.
Ashlesh Sonje : Okay, understood. Thanks a lot.

Moderator: Thank you. W e'll take our next question from the line of Jai Mundhra from ICICI Securities. Please go ahead.
Jai Mundhra: Hi, good afternoon everyone. Sir, few questions. Ma'am, first your current term is now ending on May 31 st. Anything that you would like to highlight if you have up for renewal or when should we be hearing from competitive authorities?
Avinash Prabhu: So, Jai, today's interaction we are focusing on the bank's quarterly results. So any queries g et in touch with us and we will address those appropriately.
Jai Mundhra: Okay. Sure. Secondly, sir, the interest on RBI. So, the interest on a dvances, interest on investment, interest on RBI. What is the reason for a decent increas e even on Y -o-Y or Q -o-Q basis a nd how should one see this number?
Avinash Prabhu: So, Jai this is basically , a part of o ur fund management book. So, to the extent , excess liquidity it would either be with th e RBI or it will be pa rked in GSEC. So, i t is more a question of how we manage our funds and therefore that would move from quarter -to-quarter and year -to-year.
Jai Mundhra: Okay. Sure. And then, sir, I can understand that you have not given the NIM guidance, but fair to say that if you look at full year basis, this year let us say t he NIM s are down by 20 basis points. And on a full year basis, yield on advances are exactly flat. The cost has moved up by 30 basis points or maybe cost of funds have moved up by 20 basis points and 20 basis points NIM reduction.


Now you said that incre mental Cost of deposit is still on higher side. But at some point of time, it will start to moderate. But the Yield on advances, you have 28% linked to repo , so Yields on advances should ideally fall and then the NIM should ideally fall, right? That is how one should look at it, even if t he Cost of funds stays flattish?
Avinash Prabhu: Yes. So Jai, in a sense, you're right. But if you look at even our term deposits, right, about 50% of them come up for maturity in the next 6 months. So it will primarily dep end on how we re - price our deposits. But yes, broadly, what you say is correct. So, you're looking at it, we are not so much far away from the market . We're trying to reduce it to a larger extent.
Jai Mundhra: Sorry, so I missed that, sir. So, 25% is Wholesale deposit of the total deposits. And you said that , Retail bulk deposit is 27% of the total deposit. And you said tha t the average maturity of all TD put together is around 6 months. 50% of the TD has 6 months maturity ?
Avinash Prabhu: No, no. Yes. That's correct 50% . Bulk is 27%, remaining Retail and CASA is 73 %. Yes, I said before that across the entire term deposit book, whether Retail or Bulk about 50% comes up for re-pricing over the next 6 months. About 20%, 25% every quarter.
Jai Mundhra: Righ t. Sure. That 's helps. And lastly, sir, there is a rise in SME slippages. I think you had answered in your comment also, but it would be very helpful if you can give maybe the SM A-1 and SMA -2 book in MSME at least that total below INR 5 crores book also, just to get a s ense and maybe the last quarter?
Avinash Prabhu: Yes, that's fine. So, we will connect with you Jai, separately on th e query on the SM E.
Jai Mundhra: Sure. Thank you and all the very best. Thank you .
Avinash Prabhu: So then let's move to the concluding remarks.
Moderator: Sure, sir. Any closing comments?
Nitesh Ranjan : Yes. Thank you, everyone, for joining on this call. As you have seen, Bank has reported a good set of numbers. Particularly on the profitability and the financials. Yes, on the business front, it has been a little muted than our guidance, but that is also because of our c onscious call on both on the liability and asset sid e because of the interest rate.
And while we are not giving the guidance for the current year, but I think you'll appr

eciate that given the current operating environment where there's a lot of uncertainty. We are also looking at some more clarity, and then definitely, we will come back to you and share our guidance on various parameters. It has been our practice every y ear that we share the guidance.
And we have also been performing in line with the guidance over the years. I'd just add that today , bank is very strongly placed in terms of every aspect of the business, right, from sourcing

and underwriting collections and monitoring and also on the technology and digital , bank has made a lot of investment.
And therefore, given the operating environment to improve, bank is well positioned to leverage the business opportunity and continue to perform. We have continuously been striving hard to add to the stakeholder value, shareholder value. Current year also, Board has already approved


the dividend of 47.5% and we hope to look forward to even better performance in the current financial year. Thank you once again for joining on the call.
Moderator: Thank you, members of the management team. On behalf of Union Ba nk of India , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Jul 2025

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Classification: Internal
■■■■■■ Ref.:■■.■■.■■.ISD/157/2025-26 ■■■ ■■ Date : 25-07-2025

■■■■■■ Madam/■■■■■ Sir,

■■■■ Subject: ■■■■■ ■■■■■■■■ ■■■ ■ ■ ■■■■■■■■ Transcript of Post Earnings Call

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This is to inform that transcript of Post Earnings call held on July 19, 202 5 for Reviewed Unaudited (Standalone and Consolidated) Financial Results of the Bank for the quarter ended on June 30, 2025 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindia.co.in/en/comm on/financial -results
This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

■■■■■ Yours faithfully,

(Mangesh Mandrekar )
Company Secretary

Encl.: As above ■■■■■ ■■■■■■■ BSE Ltd.
■■■■■ ■■■■■■■■■ ■■■■■ BSE Listing Centre
■■■ ■■■ Scrip Code - 532 477 ■■■■■ ■■■■■ ■■■■■■■■■ ■■ ■■■■■■■ ■■■■■■■
National Stock Exchange of India Ltd.
■■■■■ NEAPS

■■■ ■■■ Scrip Symbol -UNIONBANK -EQ
■■■■■■■■■■ Security – UBI-AT/BB



“Union Bank of India Earnings Conference Call for the
Period Ended June 30th 2025 ”

July 19 , 2025

MANAGEMENT : SHRI NITESH RANJAN – EXECUTIVE DIRECTOR
SHRI RAMASUBRAMANIAN S. – EXECUTIVE DIRECTOR
SHRI SANJAY RUDRA – EXECUTIVE DIRECTOR
SHRI. AVINASH PRABHU – CHIEF FINANCIAL OFFICER


Moderator: Ladies and gentlemen, good day, and welcome to the Union Bank of India Earnings Conference Call for the period June 30th, 2025.
The Bank is represented by the Executive Directors ; Shri Nitesh Ranjan, Shri Rama subramanian S, Shri Sanjay Rudra, and othe r members of the top management.
As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touch tone phone. Please note that this c onference is being recorded.
I now hand the conference over to Mr. Ajay Bansal, Deputy General Manager. Thank you and over to you, sir.
Ajay Bansal: Thanks ma'am. Good afternoon, ladies, and gentlemen. I, Ajay Bansal, Head of Investor Relations, welcome yo u all to the Union Bank of India earnings conference call for the period ending June 30, 2025. The structure of conference shall include a brief opening statement by respected ED sir and then the floo r will be open for interaction.
Before getting into the conference call, I will read out the usual disclaimer statements. I would like to submit that certain statements that may be discussed during the investor interaction may be forward looking statements based on the current expectations. These statements inv olve a number of risks, uncertainties and other factors that cause the actual results to differ from the statements. Investors are therefore requested to check this information independently before making an y investment or other decision.
With this, I now request our respected ED sir for his ‘Opening Remarks .’ Thank you and over to you.
Nitesh Ranjan: Good evening , everyone. Thank you for joining this con-call for Union Bank's Q1 FY '26 Results .
To begin with, let me just give a backdrop of the operating environment for the quarter - ended June 2025 :
As you are aware, on the global front, there were significant economic uncertainties coming from geopolitical tensions as well as trade dynamics and wh ich is posing risks to the global growth. While at the same time, the macroeconomic fundamentals of the country remain quite strong, and India is expected to remain among the highest growing economy in the world during the current year also.
On the monetar y policy front, RBI front loaded policy repo rate and also in the last policy we

have announced the roadmap for further reduction in cash reserve ratio by 100 basis point s which will kick in during the current quarter.



With this backdrop, let me also share some of the key highlights of the performance for quarter -ended June 2025 :

As of June, Bank 's overall credit grew by 6.8% and within that the RAM segment reg istered a growth rate of 10.3%, Retail loan book grew at 26% and MSME at 18% reflecting a strong momentum in our focus in the priority area s. On the deposit front, growth was a bit moderated and that was our strategic call for reducing the bulk deposits. You will notic e that from March to June 2025, we have reduced our bulk deposits by close to 7% while we continue to operate at a comfortable CD ratio of around 76%. Within deposits, retail term deposits showed very good growth rate of around 12% Y OY for 30th June 2025. CASA ratio remains stable at 32.5% and CASA plus retail term deposits share in the overall deposits again remained steady at 74% and on the asset side, the RAM portfolio contribution stood at 56% in line with our guided range.

For the financials :

Net profi t for Q1 FY '26 grew at a rate of 12% amounting to Rs. 4,116 crores. On the return on assets, we have continued to perform more than 1% i.e. 1.11% for Q1 which is again better than 1.06% in the same quarter last year and return on equity also stood ov

er 15%. There has been some moderation in the net interest margin which we also guided through in the last earnings call.

For Q1, the net interest margin has been 2.76% which is about 11 basi s point moderation from Q4 FY '25. Capital adequacy ratio remains quite strong at 18.3% with common equity at 15.3%. We have also seen marginal reduction in gross NPA ratio and net NPA ratio and it's moving towards our guided range. At the same time, provis ion cover ratio improved by 116 basis points to close to 95%. There has been reduction in the credit cost. Now it was 47 basis points for Q1. Also, the slippage ratio was less than 1% for Q1 FY '26 which is a continuing downward trend over the last many qua rters.

Gross recoveries again outpaced the total slippages in Q1 FY '26 and we expect the same trend to continue. At the same time, Bank has been taking several initiatives in the area of digital banking, HR initiatives as well as participating in the overa ll PSB reform agenda. As we have said earlier, there is an EASE program running for all the 12 PSBs and for the EASE of last year that is full year ended March 2025, Union Bank stood at third rank amongst all the public sector banks and we continue to rema in top 3 amongst many of the sub-segment of the EASE.

With this, I will just take a pause, and we will open for the Q&A. Thank you.

Moderator: Thank you very much, sir. We w ill now begin with the question -and-answer session. The first question is from the line of Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Thank you for this opportunity. Thanks for your opening remarks, sir. In the opening remark, you yourself said that Indian economy is the highest growing economy and we are doing well on the economic front. But if you look at the performance of the Bank , we are contradicting the



positive statement as the Bank is continuously going in the negative zone . There is total de - growth everywhere. If you see, even yearly numbers have come down to 6.83 % in the credit growth. And when you look at quarterly, you have degrown , actually. Either we have become too risk -averse, our credit appraisal and everything has become too risky because in spite of having a good pipeline of the disbursement and sanctions, still we are not growing. This is a major concern of the Bank that we need to do banking. Similarly, on the recovery front also, this quarter has been very dismal. Sir, whether you talk about the cash r ecovery, which has gone down substantially from last quarter of Rs. 1,600 crores to only Rs. 790 crores . Even the upgradation, Rs. 519 crores again Rs, 924 crores . And even if you take the recovery from written off account, it has also gone down tremendously than the last quarter. Many other banks are taking comfort at least from the treasury profits if the real profits are not there. But here on the treasury also, if you look at the segment -wise, our profits are les s than even the last quarter . So, I would just like to know sir where are we heading? Are we still maintaining those targets or we are lowering them down towards de -growth? And somehow the profitability is a little bit maintained, though it is lower than t he last quarter by almost about Rs. 900 crores . Really, in a realistic way, I would like to know what is actually wrong wi th Union Bank now for some time?

Ramasubramanian S : Yes, thank you, Ajmeraji . I have to assure you that there is nothing wrong with Un ion Bank of India. If you are looking at it, as the initial remarks Mr. Nitesh has told, it is about the margin, protecting the margin also has to be looked into. So, as we are seeing that there was a large rate cut that has been given and which has been i mmediately passed on to around 46% of our loan book, which we have covered under the EBLR. So, certainly, also to protect the margin of the Bank to

an extent, we have to see that our low -cost advances , we are not renewing or again replenishing them with low -cost advances. We are not doing it. If you look at our RAM growth, RAM growth is quite healthy. If you see that our MSME has grown by around more than 17%. Our retail has grown, though it is aided by the gold loans, which is around 25%. So, we are growing in that area. Only thing is, as you are correctly told, the rate of interest is very competitive. Because of that, we have to see that what best we will be able to do. We have to trade -off between the margin and your growth. We are trying to manag e both the things. So, we are in the same position, sir, actually speaking. When the things have been settled and when the rate cuts have been passed and we are able to reduce our cost of deposit to a large extent, certainly we will be back in the market o f corporate credit where we will be able to show a good growth, sir.

Nitesh Ranjan: Yes, Ajmera ji, one thing which I would like to tell you about, which you said about the treasury income , has declined. Basically, if you see the real treasury income is on e of the best in the last many quarters. The treasury has booked a profit of Rs. 1,418 crores in June '25 as compared to Rs. 1,646 crores of March '25. And June '24, it was Rs. 1,026 crores . Basically, March '25, if you remember, there was a SR provisions was there to the extent of Rs. 793 crores as per the RBI guidelines, write back was taken. So, the profit was Rs. 1,646 crores. So, if I exclude that Rs. 793 crores of SR provisions, then the profit was actually Rs. 853 crores. That's a substantial improv ement in the treasury. But again, as you know, this treasury profit is basically dependent on the market, how the market behaves, accordingly the profit is good. Second thing about the



overall, you said about the operating profit that has gone down by Rs. 950 crores. Basically, last June '24, we had a PSLC income to the extent of Rs. 950 crores. So, that was a major income, one of the incomes which has happened in the last year. And this year, since the opportunity was not available, so that profit is not a dded here. That is why the operating profit is slightly lower than the June '24 quarter. Otherwise, on the profit front, I feel that the Bank has done very well. And as Ram sir was saying about the protecting the income, because you know that the rate war is going on in the market. And what sort of portfolio we should take, at what pricing we should take, that's a challeng e and is always a challenge. And we have taken a conscious call on the portfolio also. And we don't want to take any advances where the Bank may incur a loss in future . That is why the growth is slightly muted.

Ashok Ajmera: From the recovery front, and if you look our SMA numbers also, SMA -2 has gone up from Rs. 1,200 crores to Rs. 2,600 crores. That is SMA -2, which might slip to NPA also. Our overall SMA in this quarter has gone to Rs. 4,917 crores as against Rs. 3,835 crores. And even on the recovery front, the cash recovery is half than the last quarter. So, I can understand on the treasury what explanation you have given. But what is about SMA and recovery?

Nitesh Ranjan: In SMA also, there are a few accounts where the impact is there. But the past trend also say that these accounts repayments are coming, though due to certain reasons, these accounts are appearing under the SMA -1 and 2. But then again, the recovery is coming because these are having a good support of the government also. So, I don't think there is any problem as far as the SMA numbers. I understand that there is a marginal increase in the SM A. The first quarter is always of the muted r ecovery, but Bank is making all -out effort a nd some of the recovery which was supposed to come in the quarter of June because of some of the NCLT decisio

ns were pending, and that has not materialized in the June . And most likely it will come, that will materialize in September. So, on recovery front also, the Bank is very active and doing well. Some of the results which was not seen in June quarter will definitely be seen in the September quarter. Thank you.

Moderator: Thank you. We will take the next question from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: I had a couple of questions. First ly, how much of your deposit, r etail deposits would have already repriced ? I know it's over a year of repricing, I mean the repricing cycle, but how much? 15%, 16%? How much of your term deposits would have already repriced? That's my first question. And r elated to that, where do you see the bottom of your margin? I know that you may have a full year margin guidance, but they may fall and then they may rise. So, where will the fall settle? That's the second question in your assessment. And then again relate d to that, so the current account deposits have declined very sharply. I know there has been some reclassification as was evident by the business update you gave a few days ago. So, is it fair to assume that it was these deposits which caused the March '25 numbers to change in the Quarterly business update? So, were the current account deposits reclassified as borrowing? So, that's the spread related question. And then I have one PSLC question. If you could explain why the PSLC income fully



disappeared and then with the new clarification on the gold loan circular, in what quantum do you see it coming back and when? So, these were my questions.

Sanjay Rudra : Yes, so I think roughly if I take on the base of March 25, close to 20% of the retail term deposits would have got repriced as of now, because roughly 80 % to 85% of repricing is happening during the year given the average duration of the retail term deposit is around 1.2, 1.25 years. That is number one. On the reclassification, it is more on the deposits i n the foreign branches and which was disclosed also while we disclosed the provisional numbers. So, far as the current deposit is concerned, while you are comparing with the March numbers, in March, there is some flow also into corporate and government acc ounts. Because of that, the number is high, which is not with a similar extent during the June quarter. So, that is the usual thing. March numbers are genera lly high in the current account. Yes , as I said, on the margins for the full year, we are expecting 20 to 25 basis point impact on the margins. 11 basis point we have already witnessed in Q1. And in the roadmap wise, if I look at what could be the minimum that we can hit, maybe somewhere between 260 to 265 is the range where we can hit at the m inimum level. And from there, we should be able to bounce back effectively around 20 -25 basis point for the year. And on the PSLC, this quarter, we have not done any PSLC. We are aware of the guidelines of Reserve Bank of India, and we are evaluating it as a part of our business strategy. And going forward, if the opportunity comes and we feel is good income to book, we will be doing that.

Moderator: Thank you. The next question is from the line of Jay Mundra from ICICI Securities. Please go ahead.

Jay Mundra: Yes. Hi. Good evening, sir. Two questions. First is, there is a standard assets provisioning of Rs. 446 crores, while the loan book growth has not been that high. If you have any, is there any chunky loan or is this something specific, if you can e laborate this?

Nitesh Ranjan: Good evening, Jay Mundra. This p articularly because some of the assets which we felt that where the ECL was not implemented, there is no overdue as on date, but we were required to maintain a higher provision. So, these accoun ts where we have made some provisions as per the ECL g

uidelines. So, that is why our standard provision has gone up.

Jay Mundra: Okay. And sir, these are private accounts, right? Not the state go vernment or quasi -PSU accounts?

Nitesh Ranjan: These are not private companies.

Jay Mundra: Sir, I was asking about these specific accounts, these are private entity or these are PSU, state government, just to assess the riskiness?

Nitesh Ranjan: So, these are not private entities.

Jay Mundra: Okay. And sir, rel ated to this, I mean, on standard account, in the last, have you done any OTS or can we do an OTS in the standard account?



Nitesh Ranjan: Which accounts you are talking about?

Jay Mundra: OTS in a standard account.

Nitesh Ranjan: Yes, as per the present po licy, we don't go for any settlement with the standard account.

Jay Mundra: This was not very clear. You said, as per your policy, you don't do ?

Nitesh Ranjan: Yes.

Jay Mundra: And lastly, Rudra sir, I think you mentioned about this PSL and now that the no rms have been changed, whatever issues that you had, you can resume the PSL fee transaction or it could still be some time away bef ore you resume the PSLC income?

Sanjay Rudra : Yes. We can definitely book some, i n days to come, we can book some profit, but major income of PSLC comes if we do it on the first quarter of the year, because at that time, the commissions and premiums are highest. In the subsequent quarter, it comes down slowly and second quarter, third quarter onwards there. So, if there is some further improvement happens in our portfolio, then definitely we will be able to book some profit on account of the PSLC.

Jay Mundra: And sir, lastly, on the yield , if you can share the mix of MCL R, EBLR and TD Link ed portfolios and in you r assessment, how should one look at the residual impact of June rate cut on the yields on advances? So, this quarter yields on advances are down by 22 basis points, should this decline by similar quantum or h igher quantum or lower quantum?

Nitesh Ranjan: We have almost 48% of our portfolio is under EBLR. So, their complete rate transmission has already happened and remaining 42% we have our MCLR linked rate and 10% other rates are there. So, in the case of the EBLR, transmission has already happened and th at has given the impact of around 11 basis points. We have already reduced our MCLR by 15 plus 10 basis points. So, total reduction in the MCLR also has happened to the extent of 25 basis points. Subsequently, I don't think there will be much reduction on the MCLR side. Even if the MCLR happens, then also our maximum impact on the NIM will be to the extent of not more than 20 basis points for the September quarter. But as you know that there is 100 basis points CRR cut is already announced by RBI in the sec ond half. So, that will compensate our interest loss and most likely you will be able to manage between 10 to 15 basis points of reduced NIM as compared to our March '25.

Jay Mundra: Thank y ou so much.

Nitesh Ranjan: Thank you.

Moderator: Thank you. We will take the next question from the line of Rakesh Kumar from Valentis Advisors. Please go ahead.





Rakesh Kumar : Yes, hi. Thank you, sir. So, firstly, sir, from PSLC, just clarification that last year we had sold around Rs. 50,000 crore of small and margi nal farmer PSLC and we could get the income of Rs. 1,100 crore kind of number. And it was kind of in the first quarter itself I think. So, one thing is that because of Agri Gold, does it really impact your SMF PSLC thing?

Nitesh Ranjan: Most of the Agri loans are below Rs. 2 lakh actually and given to small and marginal farmer , but subsequently the RBI came out with a guideline that up to Rs. 2 lakh loan cannot have any collateral security and Gold is also, considered to be the collateral security in that case. T

his
guideline has been revised by the RBI just recently and that is why that small and marginal farmer s in Agri was reduced and overall portfolio of the Agri has come down by 9%. Because of that we were not able to sell any PSLC in the 1st quarter.

Rakesh Kumar : Probably , looking at Indian Bank, Can ara Bank, they also, do a lot of PSLC income and generally in the 1st quarter and sometime in the 4th quarter also. So, considering what peers are doing on the PSLC front and yourself, it gives us a feeling that kind of income might not come in this full entire year ?

Nitesh Ranjan: Yes, if you say whether we will be a ble to get the Rs. 950 crores of income through PSLC, considering the present situation and the available portfolio, we don't foresee the same type of income , but definitely going forward there may be some income that will be generated on PSLC itself. What will be the exact amount and all, these are again the market determined rates and these rates are not fixed at any point of time. So, based on the market, we will be able to book some profit.

Rakesh Kumar : Very good. And s ir, this interest income on tax r efund which was not there in the 1st quarter previous year, this quarter also, we have very small number and full year we had around again Rs. 1,000 crore kind of a number in the previous fiscal year. So, c ould we achieve that kind of number in the rest of the fiscal year FY '26? Is it possible or that number would also, remain kind of weak or absent in the remaining quarters?

Nitesh Ranjan: Yes, our CFO will reply to this.

Avinash Prabhu : So, as far as that is concerned, we do have estimation that there will be in terest on income tax refund during this year and we are quite comfortable in terms of being close to Rs. 500-Rs. 1,000 crores mark. So, that is fine and as far as your early question on PSLC is concerned, while that may not materialize , but we have looked at alternatives available. So, we will be able to make up that fee income from other streams , So, we do have a plan in place for that.

Rakesh Kumar : So, from PSLC itself you will make up because you are ?

Avinash Prabhu : Not from PSLC. We wi ll be able to make it up through other avenues of non -interest income.

Rakesh Kumar : Got it. And one thing like when we do the recovery of written -off accounts and whatever the interest income we get from, that proportion has been coming down as the number of total





recovery being do ne on the written -off book , So, that number progressively has been coming down. So, what is the structural change that is happening in interest income on the written -off recovery number? Why that ratio is falling?

Sanjay Rudra : That is not the interest on written -off account. Basically, that is the interest on the NPA account as per which is recovered. So, whenever the settlement is happening towards the principal amount and if the recovery is coming through settlement, then inter est recovery will be less. And if recovery is through without settlement, in the sense if part amount is paid by the borrower, then that will be adjusted towards the interest and if the recovery is coming through the SARFAESI actions, then again it will go towards the interest. But since in that case what is happening actually if you see, the recovery is getting delayed. So, what bank also, decided to go for some OT S settlement , it is the best recovery mechanism where the percentage of recovery is also, good. So, instead of waiting f or a long period, we are going for the settlement and where the recoverability is better. So, that is where the interest income on NPA is coming down. However, bank is still working on that for improving that income also.

Rakesh Kumar : But just correct me if I am wrong, whether interest income recognition from the recovery would include the written -off as well as the NPA. It will not

be only the NPA?

Nitesh Ranjan: See there is a difference . If you recover interest from a written -off account, it will go to other income. If you recover interest from NPA account, it will go to interest income.

Rakesh Kumar : Correct. Because why I am asking because in absence of all these non -recurring numbers, the ROA is looking quite weak , So, as compared to 1.25% RO A number last fiscal year, how do we see that number now in this FY '2 6?

Nitesh Ranjan: No, So, even last year which is for '24-25, we have given guidance that our RO A will be above 1% and this year also, we will aim to have an RO A which is above 1%. That is something that we have also, conveyed to our investors and analysts in the 1st quarter.

Rakesh Kumar : Got it, sir. Thank you So, much, sir.

Moderator : Thank you. The next question is from the line of Ashlesh Sonj e from Kotak Sec urities. Please go ahead.

Ashlesh Sonje : Hi team, good afternoon. Sir, firstly you have taken savings account rate cuts in the month of July. Can you tell us what is the effective cut in your overall SA deposits because of this cut?

Nitesh Ranjan: In SA , we have reduced by 25 basis points.

Ashlesh Sonje : Sorry, sir, you are saying the overall SA rate would be down by about 45 basis points?

Nitesh Ranjan: 25 basis points.





Ashlesh Sonje : 25. Understood. And secondly, if I look at your slippages in the MSME segment, they have remained elevated this quarter as well ? Last quarter , you had indicated that they were high because of some logic changes , but they have not declined in this quarter either. Can you give more details?

Nitesh Ranjan: This quarter , overall slippages number has come down as compared to the previous quarter. But yes, as you say, there is a marginal increase in the MSME NPA percentage has increased from 4.14 to 4.39. But overall slippages has come down and we are able to manage the large corporate also, there is a decline and the retail also, there is a decline. But in MSME also , large slippages are not there, nominal slippages have happened only.

Ashlesh Sonje : Understood. And sir, on your MCLR link ed loan book, I understand that you have taken cuts in the MCLR rate now , but would there be any part of the book which would still be repricing upward in the June quarter?

Nitesh Ranjan: No.

Ashlesh Sonje : Thank you.

Moderator : Thank you. The next question is from the line of Gaurav Jani from P rabhudas L illadher. Please go ahead.

Gaurav Jani : Thank you for taking my question. I just had a question on the yields and related to the kind of sequential loan growth that you guys have seen. So, on a sequential basis , we have seen a sharp decline in corporate while retail has grown well. Having said that the yields have come up to about 25% quarter , So, what would explain this sharp reduction of yields despite of a decent growth in retail? And corresponding to that, there is another component of retail which has been growing pretty sharply, So, what would constitute that? That is my fi rst question.

Nitesh Ranjan: The second question I could not get if you can repeat. But let me first respond to the first one. See, that 20 odd basis point s reduction in yield that you are talking about is basically reflective of EBLR change which is by th e 100 -basis point a nd as we shared that close to 50% of the loan portfolio is on EBLR where the pass -through has been immediate. And in fact, also, on the MCLR loan book in phases, till now we have already done 25 basis point of reduction. That is the key reason of fall in the yield on advances. And you are very much aware that in the declining rate scenario, the first impact is on the asset side and then with the lag it comes on the deposit side. Second one, can you please repeat?

Gaurav Jani : Yes, sir, just to hop back on the previous one. So, my sense is, I agree with you

that there will

be a yield reduction because of EBLR rep ricing that will be cushioned by the mix change, right?

Nitesh Ranjan: Cushioned by?

Gaurav Jani : The loan mix change.

Nitesh Ranjan: Yes. There has not been a significant loan mix change. That does not happen within a quarter . So, if you look at our retail book, RAM book total, it continues to be around 55 %-56% of the total portfolio. We are trying to introduce some loan mix cha nge, but that will take some time.
Gaurav Jani : Sure. And sir, your second question was, the average part of retail has been growing pretty strongly. A yea r ago it was almost half, right, Rs. 32,000 crores -Rs. 76,000 crores. So, what contributes to this gr owth?
Nitesh Ranjan: No, see, some of the gold loan is also, happening in the retail loan portfolio. That is what is reflective in the other segment of the retail loans.
Gaurav Jani : Can you quantify the gold book, sir, right now versus a year ago?
Nitesh Ranjan: Today , we have around Rs. 83,700 crores in the gold loan book as of 30th June.
Gaurav Jani : And what would that number be a year ago?
Nitesh Ranjan: June 24 it was around Rs. 78,000 crores and now it is Rs. 83,700 crores.
Gaurav Jani : Unders tood. Last question, sir, on the EBLR side, right , So, we have an immediate reprice, that is T plus 1 or is it T plus 30 or T plus 90 , how does it happen, sir?
Nitesh Ranjan: No, sir, you can say it is immediate. It is a matter of 2 -3 days kind of thing because there is an internal ALCO date and the policy date. That differential could be 2 -3 days. That is the only thing.
Gaurav Jani : Understood. That is it from us. Thank you So, much.
Moderator : Thank you. The next question is from the line of Vansh Solank i from RSP N Ventures. Please go ahead.
Vansh Solanki : Hello, sir. I have 2 questions mainly. The first one is on the income side that w hat is the recovery target from the write -off for the full year 2026? Can you guide us?
Nitesh Ranjan: Total recovery target for this year is , see, we have not given guidance. But as I said in my opening remarks also, that the gross recovery for the quar ter has been higher than the slipp ages and this is a continuing trend, and we expect to maintain this trend. I also, said that the delinquency ratio has come down below 1% and it is again on a downward trend for past many quarters. So, I think without giving guidance, you can make out the direction where we are moving.
Vansh Solanki : And another one is that if we s ee the cost -to-income ratio, it is increasing from the last 2 quarters. So, is there any change? Is it the same as Quarter 4, it should be declined because Quarter 4 has some one -off expenses. So, it should be declined , but it is still the same and still i ncreasing ?



Nitesh Ranjan: The cost -to-income ratio is also, influenced by the net interest income. And since we are already telling that there is an impact on NIM and the net interest income because of the changing interest rate scenario, because of that, cost-to-income ratio has little increased to around 49%. But given the rebalancing which will happen over the period of a year or so, I think we should move back to a lower level. But this is greatly affected by the current interest rate scenario and its p ass-through.
Vansh Solanki : And the last one that you have mentioned, the MCLR rate is cut by 25 bps, right?
Nitesh Ranjan: Yes.
Vansh Solanki : So, is there any future in Quarter 2 or Quarter 3 ? How much do you expect that MCLR will fall down? Is there any future expectation by management?
Nitesh Ranjan: MCLR is based on the changes in the marginal cost of funds , So, expecting that there will be further reduction in the deposit rate if the market scenario permits that. We can ex pect it, maybe over the next 6 mont

hs, 25 -35 basis points, further reduction in MCLR is possible. But it all depends on how the competitive interest rate moves in the system.
Vansh Solanki : Thank you, sir.
Moderator : Thank you. The next question is from the line of Rohan from Equirus Securities. Please go ahead.
Rohan : Good evening, sir. Thanks for the opportunity. Sir, I am not sure if this was given, but if you could share your loan and deposit growt h guidance for the current year? And also, the NIM guidance that you have mentioned for 2026, you indicated around 20 -25 basis points decline whereas for 2Q, you are guiding for around 10 -12 bps sequential decline and then improvement in NIM s. So, was not able to correlate th ese two guidance ?
Nitesh Ranjan: Yes, the interest rat e, as I said in my opening remarks, that Q1 operating environment was more characterized by the sharp reduction in the policy repo rate and now that pass -through is happening. So, at this point of time, giving any guidance will be a little difficult. For t his year, we have not given the guidance . Our Loan growth rate is around 6.8% in this quarter . But within that, RAM growth is in double digits. And directionally, we expect that this double digit RAM growth rate should be possible over the next few quarter s also.
Rohan : And on NIM s?
Nitesh Ranjan: NIM s also, I said that around 20 -25 basis points moderation in NIM over March 25 is expected during the current year.

Rohan : Sure. And sir, look at the HTM portfolio. That thing has declined by 9 %-10% sequentially. And if I understand it right, after the change that happened on the regulations last year, one can sell



up to 5% of HTM. So, is that understanding correct? Or if you can explain what is that and what is the outstanding area of reserve as of J une end?

Nitesh Ranjan: That is true what you are saying 5%. But this may be also, possible because of the OMOs. Let the Treasury Head explain.

Abhijit Basak : So, I think HTM, you are right in saying that in the HTM book, because of the OMOs, we have participated, and you have seen that that profit was there in our book. So, this is because of OMO, t here is a reduction in the HTM book.

Rohan : Sure. And sir, outstanding AFS reserve?

Abhijit Basak : So, today by outstanding in , I have to make sure it is , one minute , 228 crores .

Rohan : No, sir. Outstanding AFS reserve. The MTM gains which is unbooked.

Abhijit Basak : It will be around Rs. 1,500 crores.

Rohan : Sure, sir. Thanks.

Moderator : Thank you. The next question is from the line of Sushil Choks ey from Indus Equity Advisors. Please go ahead.

Sushil Choksey : Good evening. Good luck for the year. My first question is to defend the NIM guidance , besides RAM, how do you see you will protect the margin? Because I am sure that low -yielding advances you h ave shredded, which means government accounts like NABAR D, NA BFID, SIDBI, PFC, REC is not of our interest.

Nitesh Ranjan: Yes, Choks eyji, if you are looking at it, other than RAM also, if you are looking at, we are already having proposals sanctioned under disbursement stages, projects to the extent of around Rs. 51,000 crores are there, where the projects are going up and the disbursements are happening, which this all will be under the MCLR, which will be giving a better yield for the ban k. Number two is we also, are in the pipeline where around Rs. 20,000 crores are there, which are in the various stages of sanction. So, we find that this will be always giving a stable income. And that is what I am saying , whatever, even if it comes also, this is what we are doing it. We are only substituting that with the lower advances actually. Whenever any opportunity comes, we try to run down the lower yield advance.

Sushil Choksey : Sir, o ur biggest concern in the balance sheet, where profit margin or credibility of Union Bank can rise, is by strengthening our CASA franchise. And that is a problem which we are trying to address over the last 2 -3 years post -merger. How do you see this will shape up over the period of 2-3 years? I am not saying that this year CASA will increase or not increase, but if I take a outlook for FY '27-‘28, how do you see that will strengthen our measures that we substantially gain in the market?



Nitesh Ranjan: As you know, in CASA, not only now, not today, we have been last 1-1/2 years, we have been working on the CASA front with So, many new initiatives have been taken. We are connecting to the customers who have reduced their balance. We try to recover that. It is on an ongoing basis. There are many initiatives which have been taken by the bank and are going on. We also, have 1,500 Relationship Managers in various places, where around each one of them has been mapped with around 400 high -value clients. We are trying to see that this CASA, whatever it is going to be there, growt h for the bank, it should be on a consistent basis, and the bank should be able to, in the coming days get more CASA. But the problem when we started all these things, the CASA market itself became a little tough and competitive for the bank. But despite t hat, we are continuing those initiatives, and we hope to get many more benefits out of th at.

Sushil Choksey : Sir, what is our digital spend likely to be this year? Second is our treasury income and how are you seeing the FX income, which we have shown in the previous 24 months, l ikely to shape up for this year a nd what are we doing to strengthen our HR?

Nitesh Ranjan: Yes, on the digital and tech expend, this year’s budget is close to Rs. 1,500 crores. Last year, we have utilized around Rs. 1,000 crores. A nd on the HR side, multiple initiatives are underway, in terms of employee re -skilling, training, performance management, grooming , all these things are being taken care of.

Sushil Choksey : And on the treasury and FX?

Nitesh Ranjan: Treasury part particula rly, Q1 was very different because of the RBI actions and initiatives. That trend, I don't think we will be able to see in the remaining part of the year. So, the treasury income should moderate significantly going forward.

Sushil Choksey : And the FX incom e, which we used to make in the arbitrage?

Nitesh Ranjan: FX should remain stable around this level.
Sushil Choksey : Do you see that Rs. 1,250 -Rs. 1,500 crores of run rate still visible over a period of time? I am not saying from this quarter, but historic ally, we have seen that number ?
Nitesh Ranjan: Yes, as of now, I think Rs. 1,500 crores run rate quarterly would be difficult. Let us see. We expect more from RBI, then it is possible.
Sushil Choksey : Good luck to the team and best for the year to come.
Nitesh Ranjan: Thank you. Thank you So, much.
Moderator : Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

Nitesh Ranjan: Yes, thank you very much. We appreciate the feedback from all the investors and analysts . In a very evolving scenario, we continue to monitor it and take corrective actions. We are focused on having a good tradeoff between the top -line grow th and the bottom -line. And we will continue to ensure that the overall return on assets and return on equity remains as strong as we have done in the past. Thank you very much once again.
Moderator : Thank you. Ladies and gentlemen, on behalf of Union Bank of India, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

# Call: Nov 2025

[illegible], [illegible], [illegible], 239, [illegible],
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Classification: Internal
[illegible] Ref.:[illegible].ISD/269/2025-26 [illegible] Date : 06.11.2025

[illegible] Madam/[illegible] Sir,

[illegible] Subject: [illegible] Transcript of Post Earnings Call

[illegible] 30 , 2025 [illegible] ([illegible]) [illegible] 30 [illegible] 2025, [illegible].

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https://www.unionbankofindia.co.in/en/co
mmon/financial -results

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The same is also being made available in the Bank’s website under the following web link:

https://www.unionbankofindia.co.in/en/co
mmon/financial -results

This information is furnished in terms of Regulation 46(2)(oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

[illegible] Yours faithfully,

(Mangesh Mandrekar )
Company Secretary

Encl.: As above [illegible] BSE Ltd.
[illegible] BSE Listing Centre

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■■■■■■■■■■■ Security – UBI-AT/BB



“Union Bank of India Earnings Conference Call for the
Period Ended September 30, 2025 ”

October 30 , 2025

MANAGEMENT : SHRI ASHEESH PANDEY – MANAGING DIRECTOR AND
CEO
SHRI NITESH RANJAN – EXECUTIVE DIRECTOR
SHRI RAMASUBRAMANIAN S. – EXECUTIVE DIRECTOR
SHRI SANJAY RUDRA – EXECUTIVE DIRECTOR
SHRI. AVINASH PRABHU – CHIEF FINANCIAL OFFICER

 Moderator: Ladies and gentlemen, good day and welcome to the Union Bank of India Earnings Conference
Call for the period ended September 30 , 2025.
The Bank is represented by the Managing Director and CEO, Shri Asheesh Pandey ; Executive Directors ; Shri Nitesh Ranjan, Shri Rama subramanian S, Shri Sanjay Rudra and othe r members of the top management.
As a reminder, all participant s’ lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’then ‘0’ on your touch tone phone. Please note that this conference is being recorded.
Now, I hand over the call to Mr. Ajay Bansal, Deputy General Manager. Thank you , and over to you, sir.
Ajay Bansal: Thanks , madam. Good afternoon, ladies and gentlemen. I, Ajay Bansal, Head of Investor Relations, welcome you all for the Union Bank of India Earning Con ference Call for the period ending September 30 , 2025. The structure of con ference call shall include a brief opening statement by respected MD and CEO Sir and then the floo r will be open for interaction.
Before getting into the con ference call, I will read out the usual disclaimer statements. I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statements based on the current expectations. These statements involve a number of risks, uncertainties and other factors that cause the actual results to differ from the statements. Investors are therefore requested to check this information independently before making an y investment or other decision.
With this, I now request our respected MD and CEO Sir for his ‘Opening Remarks .’ Thank you , and over to you , Sir.
Asheesh Pandey : Thank you so much for this. Good afternoon to everyone. I extend a warm welcome and sincere thanks to all of you for joining us today for this earning s conference call . Actually, your continued interest , trust and engagement with Union Bank of India is truly appreciated.
We have already uploaded the presentation on our website and also as per the required regulation to the NS E & BSE. So, I am very sure it is available to all of you. But in brief, I would like to give you the macroeconomic environment in which the banking industry is working upon.
So, the first is, as we know, the global economic conditions are facing uncertaint y due to evolving trade dynamics, tariff -related developments or geopolitical situations, etc. However, if

we see on the domestic front, the key macroeconomic indicators are well supported by the policy interventions of Government of India as well as the monetary policy by the regulator.


 So, I think the total outlook is very optimistic. And as per IMF data, the GDP growth is projected around say 6.7 % to 6.8 %. We are one of the fastest developing economies across the world driven by government capital spending on infrastructure and rural India.

Similarly, our projection for India's real GDP growth for FY 2026 is around 6.7%. It is actually higher than our real GDP expectation of 6.5 % of last year . At the same time, I appreciate and acknowledge our customers , their lineage with us and the v intage which Bank enjoys with the customers across the country. And I believe that these are the core values of the Bank and also the staff members which support the sourcing & servicing of the customers.

So, as far as our Bank performance is considered , the strategic focus remains to pursue sustainable growth and keep real calibrated balance between top line expansion as well as bottom line streng

th. So , Bank is working on the business side i.e. the growth in the business, but at the same time , the bottom line is also given consideration .

With this background , the key financial highlights, I would say the net profit for Q2 FY '26 stood at Rs. 4,249 crores , making a Q-o-Q increase of 3.25%. For the first half of FY '26, the net profit reached Rs. 8,365 crores. The OP for Quarter 2 '26 is 6,814 crores , and for the first half it is Rs. 13,723 crores.

The profitability ratios, RO A is comfortably at 1.16 %. The return on equity stood at 15.08 %. The capital adequacy is one of the best in the industry at 17.07 % with CET -1 ratio at 14.37% .

Similarly, there is an improvement in the asset quality, which is an important parameter for any of the Bank in the industry. The gross NPA reduced by 107 bps Y-o-Y to 3.29%. The net NPA declined by 43 bps Y-o-Y to 0.55 %. The PCR stood a t 95.13 , reflecting a well -provisioned balance sheet of the Bank .

The credit cost and slippages are reflecting the asset quality of the Bank . The credit cost stood at 22 bps for Quarter 2 FY '26 as compared to 109 bps in Quarter 2 FY '25. The slippage ratio was contained at 0.91 % in Quarter 2 FY '26 compared to 2.40 % in Q2 FY '25.

The gross slippages for half -year '26 stood at Rs. 4, 496 crores. The recoveries of half -year FY '26 stood at Rs. 6,284 crores. And during the first half -year FY '26 gross recovery has surpassed the gross slippages by Rs. 1,800 crores. I think this is a very important parameter.

While NIM was maintained at 2.67%, the net interest income registered a Q-o-Q de -growth, but the non -interest income had a robust growth of 11.37%.

Coming to the business growth and strategic priorities, we have actually cautiously curtailed high-cost bulk deposit mobilization . So, curtailed high-cost bulk deposit by around 21.85% Y-o-Y in September '25. This reduction is giving good support about our cautious stand about the NIM s or maintaining margins.


 Due to this, total deposit has grown by 1.9 8% Y-o-Y and advances register ed almost 5% growth , precisely 4.99 % Y-o-Y basis. While we have shelled out the bulk deposit, to maintain margins, but the retail term deposits plus CASA grew by Rs. 1,03,000 crores Y-o-Y basis. The retail lending growth is around 23.98 %. The MSME lending growth is 14.88 % for the period.

So, strategic mix, there are two important things. One is the retail to bulk deposit, which is 75 /25. So, we are striving for that and the RAM to corporate lending at 55 is to 45. So , in the same way , when we say RAM as 55%, we tend to increase it to 58% going forward so that the portfolio is diversified and retail also comes with the CASA and the other cross -selling, the ancillary business besides other benefits.

So, while the corporate credit is 45%, we would like to reduce because there are certain ST Ls which are below like benchmarks. So , we are shifting from lower to higher yielding assets while maintaining the same asset quality.

So, with this , I conclude my opening remarks . And the entire senior management team of the Bank is with you and you can have the question -and-answer session with us , please .

Moderator: Thank you very much , sir. We will now begin with the question -and-answer session . The first question is from the line of Jai Prakash Mundhra from ICICI Securities. Please go ahead.

Jai Prakash Mundhra: Hi, Ashish sir. Good afternoon , and thanks for the opportunity. Sir, first congratulations on your new assignment here at Union Bank. Sir, I wanted to check if you have had time to review the Bank 's portfolio, to provide some insights about the Bank 's growth trajectory . Union Bank has been behind the system loan growth for one , two quarters , if not more . If you can diagnose , we have ch

arted a trajectory wherein we are focusing more on profitability but sacrificing loan growth , may be corporate loan growth . So, where are we ? And how soon can we reach system level growth? That is my question number one, sir.

Asheesh Pandey: Yes, I think, if you have seen the team before even, I have taken charge, has worked well on the entire issues. So, though if we see that the growth is muted somewhere, I will agree with that on the deposit, but then it is very clear in the open ing remarks that almost 21.8 5% of the bulk deposit we have cautiously shelled out. So , it was a basically trade -off between the margins and the profitability and the business and the team has done well.

Now coming to the going forward, so let me share with you that on the basis of CASA, the team which we are looking at to increase by 1%, 1.5% somewhere going forward and coupled with the retail term deposit rather than the bulk deposit. So, we would like to maintain the CD ratio between 78.5 % to 80 % levels. And we have analyzed the book as well.

Whenever, we speak of the large corporate book or a mid-corporate or MSME or retail or agriculture , so on all side, that is the retail , agriculture , MSME , so that is the reason we are saying that we would like to move from 55 % to 58 % around going forward. And also on the large corporate or the private spending certainly, so we are having the concrete plan s with us.



So, fine, the past 6 months it was a bit sort of a muted growth , but going forward you will see on both we would , as we are cautious about the margins , will continue and defend and continue for that sort of a NIM. And also we will like to , you know , the growth if we say the GDP is moving around 6.7 to 6.8 , so certainly we would like to have around 9 % to 10% of the growth on both the asset and liability side. So , we have that aspiration and we will continue for moving towards that as we go forward from quarter -to-quarter.

Jai Prakash Mundhra: Sir, I wanted to check by when Union Bank can be similar to system loan growth , if you have had the opportunity to review the Bank 's portfolio and strategic priorities ? Of course , there is a trade -off as of now between growth and margins , but if you can provide some insights as to by when Union Bank can be similar to system loan growth ?

Asheesh Pandey: See, going forward you will see that the system level , we will be at par with the industry. But now since past 6 months has gone, what I am saying is on a cumulative basis. So , going forward you will see that we will be at the system level growth, you will see similar in Bank .

So, we have gone actually in the opening remarks and also in reply to your queries at a granular level , that we are seeking the sustainable growth and from which sectors it is going to come . But on a broader basis , so quarter -to-quarter we will be moving with the same as in the industry . So, only we were s aying cumulative basis for March '26.

Jai Prakash Mundhra: So, just to clarify , sir, you are saying that right now we are 6% loan growth. System is 11 %. By March, 2026, you would be able to catch up with system or every quarter you will be growing more or less similar with system on a Q-o-Q basis and hence the convergence will happen at some point of time.

Asheesh Pandey: Very true.

Jai Prakash Mundhra: I am sorry I couldn't.

Asheesh Pandey: Very true. As you said, but we are aspiring even better than the system level for quarter -to-quarter here onwards .

Jai Prakash Mundhra: So, the March '26, what was that number ? So, you said by March '26, every quarter you will be similar or higher than system and the convergence may happen as and when it comes, right? There is no hard and fast deadline for March '26. Or you think by March '26, you can become like 10 %, 12

%, 11 %, 12% loan growth Bank ?

Asheesh Pandey: I would say because if you take, that is why I used that annual cumulative basis if you take, then it would require a much, much higher growth to build that to maintain the 11 % to 12 % for the whole year. But here onwards you will see the system level growth which is happening in the Bank also, that is we will be going ahead. But we are aspiring better than that so that it is not converging as usual , but we would like to expedite it s convergence a bit earlier.



Sanjay Rudra : Sir, he is talking about the sequential growth Q -on-Q. And gradually we will try to achieve the

year-on-year also.
Jai Prakash Mundhra: And secondly, sir, on your cost of deposit s and yield on advances, it looks like there is a high mismatch in the sense that your strategy says that you are cutting down bulk, but your cost of deposit is only down by 5 basis points, which is the lowest. It was even higher in Q1. You are saying that we are focusing on RAM, but your yield on advances has gone down 16 basis point quarter -on-quarter. So , somehow your strategies and the actual numbers are very different.
Asheesh Pandey: Yes, I think you have said perfectly. So, when I said that strategy and if you see that 21.85 % bulk deposit we have shelled off or reduced, it doesn't happen in the month of, July. It would have happened in the month of August and September. Impact is yet to come. So, generally, whenever you adopt any strategy, I think you will see the full impact in this quarter, point number one. Point number two, when we have taken a strategy and shifting from bulk deposit to the CASA as well as to retail term deposit, then again it will continue to some quarters till it is a balancing between the both. Now, coming to the loan book, there are two things. One is the loan book, I will be seeing on the asset side, deployment side of the fund. So, one is on the treasury side, another is on the loan book side. So, then, similarly, loan book, you will see there are certain portions which are at very low yielding. That is why y ou are seeing that steep, reduction in the yield of advances. And the second is if you take a yield on funds also, which is on the treasury side, we have a plan to move a certain portion from the treasury to the loan book. So, certainly, the yield which is there in treasury and the yield which is there in the advances side has a good difference and that is why we are very much confident that our NIM will be protected and we will be trying to take it forward from here, keeping in view what the scenario emerg es as far as the repo is concerned.
Jai Prakash Mundhra : Understood, sir. And last question, sir, is on provisioning. So, there is a Rs. 880 crores of standard assets provisioning and I think in the BS E notes to account, it says some Rs. 130 crores of prudent provisioning. If you can elaborate a bit more here, is this ECL provisioning ? Is this SMA provisioning ? I mean, what is the nature of this standard assets provisioning?
Avinash Prabhu: Yes, in the notes to account , its mentioning, Rs 133 crores which is on a six -monthly basis because last year also, if you recollect, we had taken some standard assets provisioning. As far as the Rs. 800 crores that you are referring to, we have taken some standard assets provisioning on two counts. One is moving towards reducing further impact of ECL and two is on some names, we felt that it is prudential to take some provisions at this stage on a conservative basis. So, that is the reason why, you know, you see a provision for standard assets in this quarter.
Jai Prakash Mundhra : Understood, sir. Thank you. I will come back in the queue sir .
Moderator: Thank you. We will take the next question from the line of Ma hrukh Adajania from Nu vama. Please go ahead.


 Mahrukh Adajania: Hello, sir. Congratulations on your appointment. So, I have a couple of questions. My first question is on the upgradation. So, there is a bulky upgrade this quarter. Is it from any lumpy account and is there a provisioning reversal associated with it? That was my first question, sir. And then I have a few more questions.
M Ravindra Babu : Good afternoon, ma'am. There is one account where upgradation has happened. That is a reasonably sizable amount and remaining is the overall upgradation that has happened in small ticket. But overall recovery, we are almost in line with the guidance.
Mahrukh Adajania: Okay. But could you quantify the amount of the account?
Ravindra Babu : It is close to Rs. 600 crores.
Mahrukh Adajania: Okay. And an equal amount of provisioning would have been reversed?
M Ravindra Babu : Yes, that is right.
Mahrukh Adajania: Okay. So, that is the reversal in the provisioning. Alright. And, sir, could you at all quantify how much is the recovery interest in the total interest income like you always do? Is there anything more or less compared to the previous quarter?
M Ravindra Babu : Similar trend is being maintained. Similar trend as it was happening in the previous quarter.
Avinash Prabhu : Yes, it is in line with the previous quarter. So, roughly it is about Rs. 400 crores to Rs. 500 crores every quarter. So, that is the number in this quarter as well.
Mahrukh Adajania: Got it. Makes sense. And just my last question, probably Jai also asked that. So, a lot of banks are seeing 20 %-30% deposit repricing benefits every quarter. But for you, the deposit repricing benefit is lower in Q2 also compared to Q1. So, will there be an acceleration in the second half? Is that the way your deposits are structured or do we assume that the bulk of the repricing is already over?
Asheesh Pandey : Yes, I think Mr. Ja i had a similar query on that. So, the deposit which you are asking, which we have done 21.85 % shelled off. So, basically it is spread over from July to September. Moreover, in August and September, its full impact is yet to come. So, that is the reason you are seeing that

our cost of deposit reduction is not that much. But yield on advances, the reduction is pretty
steep. So, I think that was the reason. Now, you will see more impact and it will be more sort of
wherever w e will be reducing the bulk deposit.
Sanjay Rudra : What sir has said, I will add to that. Actually, if you see the absolute number of the interest on
deposit, it has come down by Rs 430 crores . So, slightly there is a denominator effect also
because we have not taken an additional deposit. Deposit has come down. That is why you are
finding only three basis point reduction in or six basis point reduction in cost of deposit. But
actually, it is slightly more.
 Mahrukh Adajania: Got it. And sir, if at all you can quantify anything or give us any color on the transition to ECL,
I know it is a draft right now, but any impact on the back or the existing book, but more
importantly, any rough estimate on what the run rate of credit cos t will be post implementation
of ECL. Because that is important, you will have a bigger SMA book and that will need stage 2
provisions. So, what will be the run rate of credit cost post ECL implementation?
Asheesh Pandey : Yes. So, ECL is not new. In fact, we have been doing ECL calculation for last almost 2.5 years.
Every half year we have been reporting to RBI also. We have also seen impact of new guidelines
and it is a little bit of changes are there compared to what we have been doing. In terms of system
capability and all other things, it is already in place. Numbers, we are aware of the numbers and
num

bers are not very significant. If you look at the draft guideline, it allows us to spread this
impact in next five years. But we are in a position to spread the impact in much lower number
of years. So, we will take a call and this is in the draft guideline. So, we have not disclosed the
number as such, but numbers we have been calculating on a regular basis and we have been
making plans to take additional provision as and when required.
Mahrukh Adajania: Got it. But just in terms of run rate, so say if ECL was already on right now, would your credit
cost for the quarter be substantially different?
Asheesh Pandey : Yes, it is almost at similar level, not substantially different.
Mahrukh Adajania: Okay, sir. Thank you. Thanks a lot.
Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial
Advisors Private Limited. Please go ahead.
Dixit Doshi: Thanks for the opportunity. So, if you can elaborate on the NIM, so we are at 2.67% now. So,
how do you see it from Q3 onwards with already, the rate cut must have been passed on? So, by
year-end, what kind of improvement we are expecting?
Nitesh Ranjan : See, I think, there is 9 basis point decrease on the sequential basis in the NIM . But if you observe
from March to June quarter and June to September quarter, the sequential decline is now coming
down. And if you recall, we had also guided that given the 100 basis point rate cut, may be up
to September quarter, there will be decline in the NIM. And post that perhaps, we should be able
to recover. So, at this stage, if you assume that there is no further rate cut, then perhaps we are
close to the bottom. And may be Q3 onwards, we w ill be able to see the NIM kind of remaining
stable to improving.
Avinash Prabhu : The impact of the CRR, rate cut will also start playing out because that has started towards the
end of September. So, you will see the NIM gradually increasing. So, kind of stabilizing in the
December quarter and then improving further. This is, of course, subject to no further rate cuts
by the RBI. We will obviously have to re -evaluate the numbers in case there is a rate cut.
 Dixit Doshi: Okay. And my second question is regarding the PSLC. So, I think this year, we won't be having
any PSLC income. But will it come back from next year onwards or it will not?
Nitesh Ranjan : So, this year we have not done any PSLC sale. But as of now, we are meeting the priority sector
targets and sub -targets. And the objective is to build on good buffers so that may be towards the
third or fourth quarter of this year or may be definitely the next year, we should be able to have
sufficient buffer in the priority sector to kind of gain from the PSLC sale.
Dixit Doshi: Okay. So, from next year onwards, something can come, may be not at the magnitude what we
used to do.
Nitesh Ranjan : Yes. I think whatever we have done in the last financial year, at least that kind of quantum would
be possible from the next year.
Dixit Doshi: Okay. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from K otak Securities. Please go ahead.
Ashlesh Sonje: Hi, team. Good afternoon. A few questions from my side. Firstly, I missed your response to the question around creation of standard asset provisions. If you can elaborate the reason for adding those provisions further in this quarter as well. Secondly, if you can elaborate on the composition of the incremental loan growth that you intend to build, whether Retail, Agri, MSME, what is the expected growth in those segments? And if you can also share for us to understand the trajectory of cost of deposits better, if you can share what was the cost of term deposits this quarter and last quarter?
Ramasubram

anian S : Ashlesh, what is the thing is that, normally you can understand that standard asset provisioning we used to do. The accounts are still standard and doing very well also. But because of certain regulatory guidelines and prudent measure, like last time also we have done it. This time also, we have been doing it on a very sensitive basis. We have already done that. This is on a continuous basis. After watching the account performance, again we may take a call on that. But presently, we feel that it can be these accounts where we can make a standard account provisioning, which has been done on that. And actually, this will also help us in terms of building up towards ECL. So, that's the reasoning behind taking that provision in the current quarter. And the next question is?
Ashlesh Sonje: On the loan growth composition that you expect going forward?
Ramasubramanian S : As MD sir has in the opening remark also told, that presently, because of the margin pressure, we will be tilted more towards RAM sector, which will be going now, it is around 57. We will be even crossing 58, 59. If at all, in corporate sector, if there is a good asset, at a good pricing comes, certainly, we are there to take that.
 Ashlesh Sonje: Understood, sir. And lastly, if you can share the cost of term deposits this quarter and previous quarter for us to understand the trend over there .
Ramasubramanian S : Yes, definitely I think we have to provide. We will communicate to you one -to-one basis.
Ashlesh Sonje: Okay, sir. Thank you. I will come back in the q ueue, if I have more questions.
Ramasubramanian S : Yes.
Moderator: Thank you. The next question is from the line of Sushil Choks ey from Indus Equity Advisors. Please go ahead.
Sushil Choksey: Sir, congratulations on your appointment and good luck for the year to come. Sir, your rich experience, be it Union Bank for over two decades, Bank of Maharashtra, along with your ex - colleagues and current colleagues, how would you re -energize the bank fro m a perspective, which is the most key essential part is deposit franchisee and the touch points of all the Unionites and the Union Bank future business where RAM is concerned or corporate is concerned?
Asheesh Pandey : Yes, I think a very valid point at the very valid time you have raised this. So, thank you for your best wishes. Now, there are two things which you have raised. One is on the energizing, may be on the staff side of the organization. And the another one which you have rais ed is on the deposit franchisee , which the bank typically have in the touch points. So, on the first, let me share with you because in my entire career of banking that has seen certainly these two banks, but then the others also in being in industry for so long, I always believed that t he Unionites, which is the staff of the Union Bank around 78,000 are really one of the best in the industry. The s econd one I have seen , why I am saying this , whether on the skill set or the patience or the resilience and comeback and responsive to the, I would say, the demand of the time. I would not say any corporate call or I would not say any specific, but then the way in which for ages now you must be seei ng we will be very soon celebrating 107th Foundation Day. So, this is what my tenure is not that long, 107, but then the history says that the staff of the bank are really wonderful. And that is the reason if you see in the month of October as well, and even in September. So, I think they have done , the growth is muted only because of the conscious decision of shelving out the high-cost deposit of 21.85 percentage points . And similarly, there is certain portfolio which is moved away such as low yielding advances, that is short term loans to slightly better ones. So, I think the team which I have

seen from the day one, and my earlier also for me, since you have asked that side that basically from this bank and I am back to the bank. So, for me, it is like the homecoming, it is mayka for any lady like that. So, I do feel that it is a strength and asset for the bank of this staff. And coming to the deposit franchise, yes, there are certain pockets, which are actually the good yielding sort of the deposit base for the bank. And that is the reason that if we see the last 3 to 6 months, though the 21.85% of the bulk deposit is reduced, but then the CASA as well as the retail term deposit has replaced it well. So, it is not like a s such any degrowth or very substantial reduction, but the bank has poised. So, I am very sure that going forward, you will see, like , the first qu ery when Mr. Jai Prakash Mund hra asked on the business growth. So, he was very, like, very keen in detail on the first half and the second half and we all as a team

 have replied to it. So, I think yo ur both the points which you have taken is going to certainly yield as a system level growth in this bank also and you will see, because the things are very much in place. And IT is one of the things which enables the bank. So, in IT also, you must be seeing the bank is getting so many awards and acknowledgments across industry. And the only thing is that we are going to capitalize it hugely on customer service and the staff ease of doing business. So, certainly anything wh ich culminates into business is all these things only.

Sushil Choksey : No Doubts on the rich exper ience led by you along with Nite sh Ranjan, Mr. Rudra and Ram Subramaniam cumulatively for the top management team to drive the entire bank to a better end. Knowing the bank from listing day in the capital markets, the vibrant visibility and how viable franchise compared to peers where yo u go that is the only question which I was asking on an accelerated basis. You have answered most of my questions and Jai and Ma hruk have questioned you. I am happy to hear all the positivit y. Let us look for betterment. Congratulations and best wishes.

Asheesh Pandey : Thank you.

Moderator : Thank you. The next question is from the line of CA Dr. Ashok Ajmera from A jcon Global. Please go ahead.

Ashok Ajmera : Thanks for giving this opportunity to me. And Ash eesh sir, very rich compliments and congratulations to you, sir, for having come back to Union Bank as the MD and CEO. And basically , most of these questions have already been answered in the detailed discussion right from Jai to Sushil. But I would also emphasize on that only, sir. Your rich experience of this bank as well as the wonders which you have done in Bank of Maharashtra. Now, looking at our condition today, what we were 6 quarters back in this bank , we are only 3% or 4% for last 6 quarters growth if you take right from Q1 of 25 of Rs. 21.08 lakh crore s business to Rs. 22.09 lakh crore s. That is only 4.8% in last 6 quarters. So, sir, now with you having come back to Union Bank and now as the MD and CEO, do we expect that in your tenure of 3 years, we will be a Rs. 31-Rs. 32 lakh crores business bank? Number one, which you already shared that accelerated growth. But to be more specific, for reaching this kind of growth again to the system growth of 12 %-14%, 13 %-14%, we will have to look at not only retail, sir, which is already 23% growing, this thing MSME is also reasonably. I think the time has come when we will have to start with mid-corporate and large corporate also to accelerate this credit. And I want to hear your plans for that to overall, how do we increase the total credit growth because for the bank to remain in good profits, ultimately the credit is the main business of t he bank. What do we expect now? How do we go about it, sir?

Asheesh Pandey

: Thank you. Thank you so much for your compliments and wishes. So, let me tell you coming to the bank , the important thing, to when you think of a business at a system level or may be better than system level, see 2-3 things are very much required. The one is the people and another is the technology and third is the required structures. So, I am very confident and happy to share that these 3 things are already there as there was a question from Mr. Sushilji and the earlier officials. So, this structure is already there, so the base is ready. Now , coming to the third point

 that when Mr. Mund hra and Ma ’am Mahr uk, they asked about the growth. So, we clearly told that the system level growth and at least better than that we are aspiring. So, certainly , we will go by it and we are going for that. Now , coming to the strategy or may be the past experiences as you have pointed out , so I believe that yes, the bank has already discussed, I think last 20 -25 days. Internally , we have done the root cause, you say, or may be a top -down approach, may be a bottom -up approach, all sort of, because we had a field conference also for almost 2 days, wherein all our regional offices, zonal offices, verticals, we all have discussed about the same. So, I believe everything is in place and we are going to do it, but then specifically as you said, what would be the key differentiators? So, certainly we are working upon some of the products which can be niche for the bank. The second one is that we are poised for our foundation day, which is going to be held soon an d we are again thinking of launching some of the digital initiatives and in that one will be like related to the mobile banking for business people. So, like that some versions of products related to the CASA. So, these are the things and then fourth is most importantly you can have product, but then strategy to implement. So, internally , last 20 days, the thought process which has evolved is back to basics and the core to implementation, core to execution. So, certainly , we will be having the geography lev el thought process strategy and then whether it is in retail, which sector, which specific area, which geography, which part of a salaried people. So, already that is almo st final. As you said, for 3 years, so I am not going to the figures which you have said, but yes, that we are working upon a document right now. We are taking 2-3 months ' time and 1 year, 3-year, 5 years along with our subsidiaries, along with our joint ventures. We are building the strategy document, which will be the rolling one, which will be like the reviewed and mid -course correction taken every quarter or every half year. So, certainly , the bank is poised with a lot of positivity going forward and I am very sure that you will see the same sort of, as you said, which w as some 6-8 quarter s before. So, I think it will be in the same range and may be better than that. This is, I think, we expect on those lines.

Ashok Ajmera : Thanks for such a reassuring statement, sir. Sir, my second one is something, some color on the treasury because the treasuries generally are under pressure in every bank because of the rate movement. But still, in our case, in the other income, our treasu ry profit has gone down to Rs. 192 crores from Rs. 961 crores in the last quarter. Similarly, there is a depreciation also, which has also gone up by almost Rs. 192 crores. So, going forward, how do we see the treasury movement, like apart from the changes due to the rates? Now, since the better time will be there in this second half for the treasury with further 125 basis rates cut expected, can you throw some light on the treasury going forward for the income as well as the income which comes in the other income?

Abhijit Basak : Ajmera sir, Abhij

it here. So, as you have mentioned that, it all depends upon how and what kind of comfort regulator gives to us ? But as you have seen that, last, what, RBI has said in the last MPC also, there is a double do vish lookout . So, there is always a scope that there would be an expectation of rate cuts, that we are also believing in that. So, these things are there, see, the CRR cuts, the fully CRR cuts benefit will be available in the current month and this quarter. So, these are the good aspects which will be improving the liquidity in the system. And also, what we feel that the public spending will also improve in the current quarter, which will also improve


 the liquidity in the system. So, all this put together, we feel that there would be a good market condition in the current quarter and in the coming quarter. So, the interest rate is benign. So, there is no issue on the interest rate part. So, there would be a better quarter coming in December and March. So, the profit that we have shown now, may not be, the profit that we have seen last quarter, June being there, is OMO and switch auction, where we have got a very good income. But the level of profits will maintain from another 2 quarters.

Ashok Ajmera : Sir, there is a lot of opportunities in the IPOs and the equity also nowadays , I think you must be making some good money on that also ?

Abhijit Basak : So, we are actually putting up in most of the IPOs where we feel that this company is going to do well and we can get a good listing gain in this company. So, we are there, sir.

Ashok Ajmera : Sir, one specific question on some data, the thing that other operating expenses in this quarter have gone up by Rs. 342 crores from Rs 2743 - Rs 3085. I couldn't find time to get into detail. So, what could be this Rs. 342 crores extra in the other operating expenses, sir?

Avinash Pra bhu: Generally, I think, if you just look at it on a full year basis, our total operating expenses last year were about Rs. 26,000 crores. And if you look at, just extrapolate the 6 -month total operating expenses on a full year basis, you will see that the increase is only about 5.5%. So, it is in line with the trend. It is just that the expenses booked in the second half of last year were on the higher side as compared to the first half. So, I think we are trending in line with our plans. And so therefore, we are comfortable in terms of where operating expenses are currently panning out.

Ashok Ajmera : Point well taken, sir. Thank you, sir. If I am permitted, can I ask something on SMA 0 numbers which have gone up substantially from the last quarter, is there any specific region or they have been regularized on time? Because there is not much pressure on the SMA 1 and SMA 2 as compared to th e last quarter except the SMA 0? So, is there any particular r eason or particular account which was off for a few days?

Avinash Prabhu : No, these are getting regularized. So, it is not a matter of concern. We are very comfortable with that number. Yes, there has been an increase in the current quarter, but it is under control.

Ashok Ajmera : All right, sir. Thank you very much, sir. And all the best to you. And we will see the bank again reaching to the past glories. Thank you.

Avinash Prabhu : Thank you. Thank you so much.

Moderator : Thank you. Ladies and gentlemen, due to time constraint, we will take one last question for today, which is from the line of Rakesh Kumar from Val entis Advisors. Please go ahead

Rakesh Kumar : Yes, thank you, sir. And congratulations on the appointment. S ir, just one question and related to that also there is one question. So, just on this investment depreciation reversal that we have , so has it come from HTM book?
 Abhijit Basak : It is from a trading book.
Rakesh Kumar : So, the number is quite sizable. So, that is what I was?
Abhijit Basak : This includes the gains that we had from NSDL. As you are aware, we had a holding there.
Rakesh Kumar : And in the HTM book, like there is a, drop in the duration . So, have we sold anything from there apart from NSDL or ?
Abhijit Basak : No. So, HTM, we have not sold anything. So, means that it is mostly because of the one stock that we have sold, some part we have sold. So, there is no much selling may be because of the redemption that might have happened in between.
Rakesh Kumar : The duration change is quite sizable in such a large book. So, it was a bit puzzling. I was not able to understand ?
Abhijit Basak : Still there was some redemption.
Rakesh Kumar : And the SAAR price in this risk fitted asset, is it coming from the credit risk rate or market risk rate?
Abhijit Basak : It is coming from credit risk .
Rakesh Kumar : Credit risk. So, like in which book, like in which kind, what kind of portfolio that we have added which led to such a S AAR price as compared to credit growth number on a sequential basis, sir?
Abhijit Basak : Some of the entities which are otherwise rated, but for our own exposure, those are not rated. In rating, listed is not disclosed. So, at those places, we need to keep it unrated.
Rakesh Kumar : Got it. Thank you, sir. Thank you. Thank you so much and all the best.
Moderator : Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.
Asheesh Pandey : So, thank you, ma 'am and thanks to all the officials of the investor community. Thanks for being with us and posing the queries you have. But then, this is as per the ritual, after the board, we had a press meet and we uploaded the result and we had investor meet, but then, going forward, there will be a lot of engagement with each one of you. We will have physical one -to-one meetings and as we move forward and the thing which we have assured and discussed with you today and we do have certa in plans and here also, when we are talking to you, the entire senior management team of the bank is sitting. So, we already had a discussion and we are moving to our strategy document. We will be finalizing may be in the next 2 months' time, but then, the implementation is already in the stages. So, you will be seeing going forward, like, the industry
 level sort of the growth and may be a better sort of and going forward, since we are very cautious and actually, if you see, as I said, 107 th Foundation Day, we will be celebrating on 11th of November. So, typically, this bank has been a conservative side and on the expenditure side also, as far as the concern other than business and the second one is on the margin side. So, we will continue on both side and going forward, you will see much contained the cost to income and the other parameters and certainly , the bank is poised and the team is poised for a good growth and we will be requiring your help and support and certainly, we will have more engagement with you. Thanks to all of you for being connected to us for this investor meet and this presentation. Thank you. Thank you so much.
Moderator : Thank you, Members of the Management. On behalf of Union Bank of India, that concludes this conference. We thank you for joining us and yo u may now disconnect your lines.

# Call: Jan 2026

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: Internal
[redacted] Ref.:[redacted].ISD/381/2025-26 [redacted] Date : 20.01.2026

[redacted] Madam/[redacted] Sir,

[redacted] Subject: [redacted] Transcript of Post Earnings Call

[redacted] 31 , 2025 [redacted] ([redacted]) [redacted] 14 [redacted] 2026, [redacted].

[redacted]:
https://www.unionbankofindia.co.in/en/common/financial -results

[redacted] ([redacted] ) [redacted] , 2015 [redacted] III, [redacted] , [redacted], 15 ( [redacted]) [redacted] 46(2)( [redacted]) [redacted] 30 [redacted]. This is to inform that transcript of Post Earnings call held on January 14, 2026, for Reviewed Unaudited (Standalone and Consolidated) Financial Results of the Bank for the quarter ended on December 31,2025 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindia.co.in/en/common/financial -results

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[redacted] Yours faithfully,

(Mangesh Mandrekar )
Company Secretary

Encl.: As above [redacted] BSE Ltd.
[redacted] BSE Listing Centre

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“Union Bank of India Earnings Conference Call for the
Period Ended December 31, 202 5”

January 14, 202 6

MANAGEMENT : SHRI ASHEESH PANDEY – MANAGING DIRECTOR & CEO
SHRI NITESH RANJAN – EXECUTIVE DIRECTOR
SHRI RAMASUBRAMANIAN S. – EXECUTIVE DIRECTOR
SHRI SANJAY RUDRA – EXECUTIVE DIRECTOR
SHRI AMRESH PRASAD – EXECUTIVE DIRECTOR
SHRI AVINASH PRABHU - CHIEF FINANCIAL OFFICER



Moderator: Ladies and gentlemen , good day and welcome to the Union Bank of India Earnings Conference Call for the period ended December 31st, 202 5.

The Bank is represented by the Managing Director and CEO – Shri Asheesh Pandey ; Executive Directors – Shri Nitesh Ranjan ; Shri Ramasubramanian S. ; Shri Sanjay Rudra ; Shri Amresh Prasad ; and other members of the Top Management.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you ne ed assistance during th is conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajay Bansal – Deputy General Manager. Thank you , and over to you, Mr. Bansal .

Ajay Bansal: Thanks sir. Good afternoon, ladies and gentlemen. I, Ajay Bansal – Head of Investor Relations, welcome you all for the Union Bank of India Earnings Con-Call for the period ended December 31, 2025. The structure of the con -call shall include a brief opening statement by respect ed M.D. and CEO , sir, and then the floor will be open for interaction.

Before getting into the con -call, I will read out the usual disclaimer statement . I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statements , based on current expectations. These statements involve a number of risks, uncertainties and other factors that cause th e actual result to differ from the statement. Investors are therefore requested to check this information independently before making any investment or other decision.

With this, I now request our respect ed M.D. & CEO sir for his o pening remarks. Thank you , and over to you , sir.

Asheesh Pandey : Thank you so much , Mr. Ajay Bansal ji. Good afternoon, everyone . With great pleasure, I welcome all of you to Union Bank of India Financial Result for Quarter End ed 31st of December 2025 .

Actually, we are meeting the first time in this calendar year , and the third time in the financial year. So, on behalf of Union Bank family, I wish you and your family a very, very happy new

year.
Also, today being a good day. As it is Sankranti , Lohri and Pongal. So, on behalf of entire Union Bank family, I wish you and your family Happy Festivities.
Before we go to the figures, let me just set the tone, the context. The first is the economy of the country. Previously , it was 6.5 to 6.7 and other things , and now we expect around 7.4 in this year. So, I think we are in the Goldilocks phase, which is a high growth , combined with low



inflation. And if we take the few initiatives, like various reforms that are taken by various regulators, various reforms that are built in by the gover nment.
So, a few of that related to the government, the GST, which came as a big enabler for various industries, various participants , and the government CAPEX , which is supplementing to the private CAPEX as well.
As far as banking is concerned, our regulator since last one year, I think 125 basis points is the repo cut. Then CRR almost 100 points cut. The liquidity easing through OMO, assets and everything has happened. So, I think these are giving the positive environment , conducive to the growth , and the same is happening.
Coming to our bank , Union Bank of India, just as a part of initial brief, in the EASE agenda, which is run by IBA and monitored, supervised by DFS . It is across all public sector banks, majorly with an objective of creating a good ecosystem , facilitating to the growth, to the digital , and to the customer service. We stand at 2nd rank recently to a few days back, we had an IBA Tech Award and our bank has rec

eived 4 Technology Awards , also the Best Bank Tech Award .
So, I think with this brief, we had our Audit Committee and the Board today . The Board has approved the financial statements , and the same in the form of a presentation. It has been uploaded to Stock Exchanges as per the regulations , and you will see that as far as the business figures are there, mostly, the questions asked, we have tried to inbuilt within the presentation itself.
Meanwhile, the important point is related to the staff members. So, that is why you will see 1 or 2 slides pertaining to our staff, because I am from this bank and when I came back, I always say the Union Bank staff, Unionites are the best. Everybody will say, but then yes, it is a pet sentence for me.
So, that also gives a color on out of 74,000 staff, 32,000 approximately are like FRM, Engineers, CA's, and other streams. So, that is also a good composition, which gives about training and other things.
Similarly, the bank has started a Project, MUSKAAN , which is also related to ease of doing business actually. We have actually done some bottom -up approach survey, we have done a lot of groundwork , and within that we are trying to sort out and streamline the thing s, so that there is a MUSKAAN . Project MUSKAAN is nothing but a very small thing, like the MUSKAAN on the face of our s taff members and the customers. So, actually the purpose and objective of the project is , to streamline, smoothen , and at the same time, strengthen your risk mitigation across the bank.
And certainly, when you do all these things, there is a cost -cutting f or sure. And there is a technology as I briefed initially, is already inbuilt in the bank, whether AI sort of thing or whether the robotic process automation . Even I would say that, the bank is one of the banks where two



DC and two DR sites are there . So, I think that is one thing on technology, our ED sir will also brief , whenever you are having any questions.
But at the same time, coming to the financial performance, net profit of your bank stood at INR 5,017 crores for this quarter ended December '25. Interest income stood at INR 26,443 crores . The business growth, certainly, you will see the figure like 5.04%, and the gross advances increased by 7.13 %, and the total deposit grew by 3.36 %. But here, before going further detail in the financials, I w ould like to just inform you that very carefully we actually scrutinized, worked upon, thought and actually brainstormed on each of our portfolio.
And in a very nutshell, the 4 pillars we worked :

• The first thing is that we already had the funds inside. So, around INR 38,000 crores to INR 40,000 crores, we have shed off the bulk deposits, which was at the higher cost. So, that is point number one on the first pillar.
• The second thing is the treasuries contracted by INR 15,000 crores. So, that has moved to the credit side.
• The third thing is that we had an IBPC , which we discussed in the last con-call as well.

So, that is now 20,000 is not there. So, I think that has become 0.
• Then around 10,000, we had some portfolio on a very low yielding that actually we moved to long term loans. So, there again we could gain something.
Now coming to the point, in December '24, our NIM was around 2.91 %. And though there is a rate cut of 125 basis point , since then, till 31st of December '25. But then, if you see from 2.9 1%, we stand at 2.76 %. So, I think that is where we could shield , right .
And from September quarter, if you see, there is an increase in the NIM , opposite way. So, I think that is the key point, which justifies that the work which has been done on the 4 pillars, how it has been worked or impacted upon.
So, with this, the capital ratios are all good. The liquidity ratios are good, we have given in the presentation. And the growth in the RAM sector ce

rtainly increased by 11.50 %, 21.67 % growth
in Retail and 19.75% in Agri, so the robust growth is coming into the RAM segment.
Even I would say, there is a growth in the Corporate also, but it would not be visible because INR 20,000 crores plus INR 1 0,000 crores , Total INR 30,000 crore s we have churned within the portfolio. And certainly, it is an inflow from new proposals, good proposals. And if you see the portfolio, the A AA to A, it is almost, I think, how much?
Management : 95%.
Asheesh Pandey : 95%. So, I think that is the level of the book which the bank is carrying. And while coming to the stress side, the GNP A and NPA both have reduced, both are at a comfortable range.

And coming to SMA2 , we are again at the very lowest level of INR 4,285 crores, above INR 5 crores. I think this also gives a g ood color that the first time bank has crossed INR 10 lakh crores of advances as a bank.
The Return on Assets is exactly 1.35 %, which is again the highest one. The R oE is again the highest one. CASA, certainly, it is point to be noted, 140 basis point is increased from quarter -to-quarter. So, I think this is one of the good things which has happened. And you can see within the 3 months, the reduction in the cost of funds and deposit is really very steep.
And with this all, certainly, the quality of assets is being maintained very well. The SM A is maintained very well. The PCR is almost more than 95%. We are comfortable. Credit cost is again too low. Slippage ratio is again low.
Keeping in view all this, we have not actually put our money into the provision, but we have put into the growth. I think this is one of the main points of working of the entire senior management, which are sitting in there in this boardroom, including our vertical heads, GMs, CGMs and all.
And with this, I hand over to you, Mr. Bansa l, and to all our esteemed investors for any query which they have.
Along with me, I am accompanied with my Executive Directors, Shri Nitesh Ranjan ji, Shri Rama ji, Shri Sanjay Rudra ji, Shri Amresh ji, along with my all CGMs and vertical heads. You may please start the query.
Ajay Bansal: Thank you, sir, for your opening remarks. Now, you can start , sir.
Moderator: Thank you. We will now begin the question -and-answer session. (Operator Instructions) Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question comes to the line of Marukh Adajania with Nuvama . Please go ahead.
Marukh Adajania: Yes. Hello. Congratulations, sir, to you and your team. Sir, I had a couple of questions. Firstly, if you see your interest income breakdown, then the other interest is high, it's around INR 206 crores. And it's been in the range of around INR 100 crores in the last few quarters. So, what is the breakdown of this other interest income?
That's my first question. And then I have one more.
Nitesh Ranjan : I think, Marukh , we will come back to you on the exact breakdown , but it also includes our income that we get from the PSL deposits that we place. That's the component. So, we will give you the exact breakdown. But it includes the RID F.
Asheesh Pandey: You can brief.

Ramasubramanian S. : See RIDF, we have invested some funds. That interest is being recovered. That is being shown as the other income, actually.
Marukh Adajania: Other interest income. Okay.
Ramasubramanian S. : Yes.
Marukh Adajania: But how much is that? It's INR 100 crores or what?
Asheesh Pandey: See other income consists of some more parameters, which we will send you across , full details.

Now, coming to NII, madam, let me brief you. There were 2 rate cuts in between. Our book MCLR is around 38 %. The other remaining is the EBLR, that is

repo linked rate, benchmark rate.

So, I think the work was done extensively. So, the NII, which we kept, because there is a good growth in the RAM sector , and also the Corporate book, which we actually worked a lot upon. So, I think that is why, even though there is a good amount of rate cut , and it was conveyed further, but then we could have a more sort o f income, even then compared to --RIDF is INR 198 crores . Actually, that is the only thing , yes. So, I think that was the case of NII, which you asked. And also, when you look at sanction s, we still have around INR 24,000 crores to 26,000 crores of disbursement. So, generally, you will see that most of the quarter you will not get to use that interest income , because once you start sanctioning, then it takes 10 to 15 days, 20 days ' time for the disbursement. So, then something ha s been sanctioned in October, November, then most of the things in December. So, certainly, the continuous and the regular, the book which was sanctioned and disbursed I think that has given good results.

Over to you, madam.

Marukh Adajania: So, yes, sir. Sir, m y other question is that, based on the draft ECL norms, what would be the run rate impact? As in, what will be on an ongoing basis, the increase in your credit cost if ECL were to be implemented , as it is , in the draft form?

Asheesh Pandey: We have worked upon it, madam. And if we take the total requirement for the ECL , keeping in view our book, and the provisions which we are already holding, if we come to the netting position, it is hardly 4200 to 4300 range. It is not more than that requir ed.

Marukh Adajania: Right, t hat is the transition impact . I am talking about on a run rate basis. So, say…

Avinash Prabhu : Yes, Mahrukh, even on a run rate basis, you can see that our credit cost has generally been varying between the 20 to 40 bps mark. So, while these are still draft, and we await the final guidelines , because we have made certain recommendations in terms of some changes that we prefer . Let us discuss it once the final guideline comes, because that will actually be the right way to look at it. We are not expecting too much of a change in terms of our current credit cost versus the expected on ECL.



Asheesh Pandey: Yes, even if we see the SMA 2, hardly INR 4285 crores i s the entire book. So, at the credit cost, it is well, well, within control level.

And now I am coming to, which is not an SMA. So, 95% of the Corporate book is A and above, rated one .

Nitesh Ranjan : BBB.

Asheesh Pandey: BBB and above. So, I think that is the inference which you can draw. The loan book is quite strong enough. Meanwhile, the bank has implemented various early warning signals. And now that Fin-Techs, there is a software, there is a Feet on Street, and the entire system is working. So, bank has strengthened the credit collection systems. So, I think th e robustness is there. So, we do not much worr ied about , but t he transition, as you said, migration is not much right now. But the run rate, as you said, let us see how it happens. But then we are on a safer side.

Marukh Adajania: Sure. And what would be your SMA2 below INR 5 crores?

Asheesh Pandey: Below 5 crores, I think it will be hardly in the range of INR 24,000, something like that.

Marukh Adajania: Sorry, how much?

Asheesh Pandey: INR 24,000 crores - INR 25,000 crores . Because generally, when you apply the interest, and many of the companies, it comes really next day in the morning.

Avinash Prabhu : Marukh , we will give you the exact number, because we do not disclose that in our presentation. We only discl ose above INR 5 crores. So, we will come back to you on the below INR 5 crores.

Marukh Adajania: Thank you.

Moderator: Thank you. Next question comes on the line of Jai Mundhra with ICICI Securities. Please go ahead.

Jai Mun

dhra: Hi, good afternoon, sir, and congratulations on a good number and revival of the loan growth . Sir, my first question is on the loan growth, y ou also talked about that there are ongoing mixed changes within Corporate and some of the lower yielding loan book getting transferred. Amidst all this, how should one look at the loan growth going ahead? Is this mixed change is broadly over? And can you like sustain this 4% or maybe higher Q -o-Q loan growth? And how soon can you reach industry level loan growth on a Y-o-Y basis?

Asheesh Pandey: Yes, see, you have actually grabbed it. You know, around INR 30,000 crore s in the Corporate itself, which we have churned out. So, that is explicitly actually, it is visible, like, you know, how it is, and what would be the actual growth. Now, this is a very big bank, it is an exercise which we have taken very cautiously.

There will be something going forward in this quarter as well. But the thing is that the way in which we have grown in this quarter, certainly the growth in this last quarter will be more than that. Because when you galvanize the entire machinery, and you move into , even right now in the Corporate only , I am saying, around INR 24,000 crores to INR 26,000 crore s is sanctioned and disbursement pending. And we further have a good pipeline in various stages of sanction.
So, I think this is what we start with. So, we expect better than this in this quarter.
And yes, the ma rket which is having the growth is certainly is our aspiration , and we will be moving in that line only.
Jai Mundhra: Sure. So, to conclude, what you are saying is that this kind of a run rate growth on a Q -o-Q basis can be sustained, and you would be hopeful of achieving industry level growth Y -o-Y basis soon, right?
Asheesh Pandey: Yes, it is better than this one we expect. Better than this one we expect in the coming quarter.
Jai Mundhra: Thank you, sir. And secondly, sir, if you can highlight, was there any provision carved out for gratuity , leave encashment under the new labor code? Because I believe that was like mandatory, right? At least the gratuity part was mandatory. Have we done, have we provided, if you can quantify that number?
Asheesh Pan dey: Yes, see, there are 2 things in the labor code broadly. The one is on the welfare benefit side. So, certainly, what is there in the code and what is given in the banking industry , and the bipartite is much better. So, that is out of question.
Now coming to the second one, like the leave encashment, gratuity and other things. You see, this is bank which is there for a long time, like, we are 107 years old. Now, this impact is more on younger age banks, because moving from 5 years to 1 year and other things , now up till now, they were not in that group, because 5 years was the minimum.
But in case of the banks like, our s and other public sector banks, the impact may not be much.
But at the same time, as per our calculation, maximum it will be in the r ange of INR 10 crores , because some of the code, some of the rules yet to be received. So, that is what we are waiting even right now.
As per the bipartite , there is a basic pay and then there is a special pay also. So, there is some even clarification and other things, which is under discussion. But then maximum, I think, as per our calculation, it is coming in the range of INR 10 crores to INR 15 crore s, not much.
Jai Mundhra: Okay. And this is what you have done already in this quarter or this is the only impact, right, INR 10 crores to INR 15 crore s, nothing material ?
Asheesh Pandey: It will not be, because gratuity actually we are already doing, right?

Jai Mundhra : Okay, understood. And, sir, another thing is on trade release measure, right? So, during the quarter, RBI had given a dispensati

on for moratorium for exporters. If you can quantify what was the request in rupees crore for our bank?
Asheesh Pandey: Yes, actually, the total, till date we have sanctioned around 78 of th e proposals around INR 500 crores. And within which 61 proposals of INR 216.64 crores have already been disbursed. So, actually, we have already met with various clients in last three months and there were some specific pockets as well. So, we understood t he requirement and as the conduit for the economy and the measures which are taken by the Government of India and all these are very good companies, actually. So, various rated also in the good standing. So, there are a few more proposals actually are ther e, but these are in pipeline. But this one figure I am giving you is the sanction ed and disbursed.
Moderator: Thank you. Next question comes from the line of C A Dr. Ashok Ajmera Chairman with A jcon Global . Please go ahead.
Ashok Ajmera: Thank you for givin g this opportunity. Good afternoon, sir. Ashish sir and the entire team of the Union Bank, compliments to you for, especially for the net profit going beyond INR 5,017 crore in this quarter, which is very heartening to note. The bank has been in the range, it has come, I think, in the fourth quarter of 2025 at around INR 4,985 crores, but crossing INR 5,000 crore and coming to INR 5,017 is really commendable job as far as the profitability of the bank is concerned. Having said that, sir, I echo the same sentiments of one of my other colleagues also about the growth in the business, that is, overall , the advances in the deposits. While in this quarter we have addressed the credit growth, at least in this quarter, we are a positive 4%. And going forward, yo u already assured that the coming quarter will be better. But still, if you look at the, I mean, the deposit growth, that is just 0.95%, and the overall, if you take nine months also, it is only 3.88%. So, unless we match that, like, how are you going to i ncrease your

advances when your CD ratio is already 83.89%, your CRR has come down to 16.49%. So, how do we, with this kind of deposit, in spite of all the churning, because if you look at even last seven quarters also, the deposit growth is only 2.19% ove r the seven quarters, right from the Q1 of FY '25. So, what is going to be drastically done by you so as to bring the deposit also up to match with your credit growth targets?

Asheesh Pandey: See, Ajmera sir, thank you so much for the appreciation to the ba nk, your bank and the staff members. I would put it in one very clear way that, the raising of deposits is not an issue and it was not an issue. Actually, we knew where the money is and where to deploy. This is what exactly we have done last three months. Now, if you see 3-4 things, then probably you will understand that otherwise excess money has cost more rather than creating a more value. The first thing was the treasury, because we have shed off INR 40,000 crores of our bulk deposit and which actually h elped us in reducing the LCR requirement and we had a huge excess of SLR and other securities as well, non -SLR. So, 15,000 crores of treasury book is contracted and we have shifted. There was a gap of 3 %-4% because our domestic CD ratio is below 81. So, in that case, we had 3 %-4% of the range to go about it, second point. Third point is, first time, the





CASA of the bank is increased by 140 basis point. Now, if you take the CASA, around INR 9,000 crore CASA is increased. Meanwhile, the Retail term deposit, actually, there the question comes. So, they are put together both, around 15 ,000 crores -16,000 crores there is an increase. Now, that portion, 15 ,000-16,000 plus, further if you take 15,000 crores of my treasury book, so, straight away you are getting 31,000 crores, which is a resource for me for the, and even if I am not taking the CD r

atio increased by 3% point. And that is the reason, outcome if you will see, the CD ratio is within range, the LCR is within range, the NSFR is within range, and all the ratios which are required or the Board approved are well within range. So, there is absolutely no issues. Now, coming to the coming quarters. Now, coming quarters, every bank is having, the asset level, the buckets and certainly we are working upon that. But more so, we are working more on increasing the CASA. So, last quarter itself, we could get 140 basis point, that is a good increase, and which has resulted, even though the two rate cuts, from September the other onwards. So, I think, even in that scenario, if the mean is increasing, that gives a good sort of a color and influence. So, now, coming forward to this, and also, when we talk about deposit, it is not the only resource. There is a resource of refinance, there is a resource of MSME refinance , also we have done to an extent of INR 5,000 crores. As a bank, when you manage changes , you have various resources. So, keeping in new resources, and that's the reason that all the ratios, there is no abnormality or aberration. And actually, thi s is the reason why this time, at least five efficiency parameters are touching the highest ones. Now, coming to this quarter, we already have a strategy in place. There are three, four new structures are created. One is the ecosystem banking, and the team is working really hard, and it is a very, very structural, some change which the bank has done. Probably, the next time we meet, somewhere in April, certainly we will be in a position to speak more about it.

Ashok Ajmera: No, point well taken, sir. Only thing that now, at least, a time should come when we are at par with the industry or even better, which used to be some time back also. And that will ultimately be requiring the deposit by whatever means it comes, so as to match the growth. There are other means available. I mean, liquidity is there with you, but this mismatch has to be answered, sir. So, point well taken, sir. Sir, one of my other small observation is, while the operating profit has gone up by about INR 100 crore in this quarter, INR 120 c rore something, our net profit has gone up substantially, and the main reason is that the provision on standard asset has come down to INR 176 crore as compared to INR 882 crore in the last quarter. So, going forward, and that is the reason our credit cost is also very, very minimal. So, going forward, can we take it as if the provisioning will be less only and the more profit will remain coming in the books only?

Asheesh Pandey: Coming to your provision, certainly we need to look into 3-4-5 ratios or param eters. One is the SMA, one is the loan book, one is the PCR, and one is the GNP A and NNPA. So, I think these 4-5 things very clearly tell credit cost increasing. I think the seven parameters. This gives a very good inference that what could be the provision requirement going forward, number one. Number two, coming to the OP, when you are seeing this group, you are always there because, in all the con -calls and pres s meet in the month of June, September, all this quarter, and you have seen, whatever credit growth you are seeing, you say even if I add INR 30,000 crore fund, it is 9%. See, it doesn't happen on the 1st of October. It happens during the 90 days ' time. No w,





that something would have been done because if you start working, then something happens in

November, something happens in December. So, that is why the important thing is what is your average advances, growth, deposit, and CASA growth. Actually, in our way, we are totally working upon these three figures. Now, the thing is that once you have achieved the growth, in the next quarter, certainly you will be in a position to get the interest income out of that. So, y

ou
cannot eventually spread out for 90 days. So, probably, in the month of December, so sanctioning itself, I will tell you, it takes a minimum 20, 25 days, but then the disbursement further takes 10 days to 15 days. So, I think this also gives an example of how it would have been spread over the 90 days. So, I think, you asked OP , though I will tell yo u again OP is the net interest income and, you see, again, the factor of reducing rate of interest, but then we have shielded, maybe even in the 90 days period, with that given circumstances, which we gave you, but then not even we have shielded, we have made it better . So, I think we actually expect better than this performance in the coming quarters.
Ashok Ajmera: Sir, can you give some color on our technology upgradation and the technology budget, IT budget, and where are we placed, and is there any major ease of doing business, something major is being done in the technology front?
Asheesh Pandey: Yes, I think, initially itself I told about EASE , and I told about the IBA Technology Award and project Muskan. Since our ED Sahab is running this project and so many th ings in the bank, and actually when we get Best Tech Award , I would like him to address this to all the investors.
Nitesh Ranjan : Yes, thank you. So, Ajmer aji, as you heard MD & CEO in the beginning, that the current focus of leveraging technology is also to create convenience for our employees, which will ultimately get converted into convenience for our customers. So, under project Muskan, we have currently identified around 300 odd processes, which we are trying to simplify, so that our employees can serve their customers in a better way. And as we progress, more and more processes will be covered under this project for the simplification. But otherwise, as you asked about the budget, we have for this year around 1,600 crores of capital budget for the tec hnology, and it is higher than the previous year's level also. And that is going on the strengthening the infrastructure network, as well as strengthening our cybersecurity framework. So, currently, we are in the process of implementing Phase -II of the res ilient center of excellence, which is more of proactive approach for responding to the trades and the disruptions. The next year's cybersecurity center of excellence that we have established, that is also almost at the kind closure stage , maybe a couple of months we will be doing. And that is, again, the most advanced technology so far as the security operations center and the cybersecurity management is concerned. You'll also be happy, the investor community will be happy to note that bank , as MD&CEO touch ed in the beginning, that we are already running on the not only the DCDR, but near DC and near DR also. On top of that, the digital banking platform that we have established, it is actually having a four side architecture, which is always active, active a uto load balancing. And in terms of the usage, if you look at and I think we have given the numbers also somewhere, that today, almost 80% of the liabilities had relationship, liabilities and accounts are getting open using the digital means. Similarly, on the lending side, some of the low -ticket loans on the Retail agree and

MSME are already doing on this. And you will have also noticed our presentation, we have touched a bit on what we are going to do in the next for the digital and technology, because no w we have the right setup infrastructure and we have to leverage in terms of business. So, we are setting up a digital business vertical, which will ensure that we are approaching our customer and serving them digitally through the three approaches. One is the do it yourself , for the customers who are very tech and digital savvy, who can get the banking services on their own through the links and the icons avai

lable on the website, apps and the social media channels.
Second is the assist channel, which thro ugh our call center will be assisting the customer in completing the journey. And third is that doing the digital approach of business at the branch level. So, that is what the approach is. Now I think today we are all set to kind of ramp up the business c ontribution, profitability contribution from digital . Thank you.
Moderator: Thank you. Next question comes to the line of Dixit Doshi with the Whitestone Financial Advisors Private Limited. Please go ahead.
Dixit Doshi: Yes, thanks for the opportunity. A couple of questions. Firstly, in terms of provisions, you did mention that it has come down, but going forward to meet the EPL provision, do you expect that we will increase the standard asset provision or it will or it will remain at lower end only? And my second question is, so in H1 FY26 , we did not had any PSLC income, but a small amount of 100 crore has come in this quarter. So, going forward from next year onwards, can we go back to the level of FY ’25 what we have done?
Asheesh Pandey: Yes, Doshiji, a very good question. And I am thankful to you. We have noticed very keenly. So,

the first part related to ECL, I would request my ED, Rudra Ji. And for PSLC, I would request my ED, Mr. Rama Ji to answer.

Sanjay Rudra: Yes, good afternoon. I am Sanjay Rudra here. Regarding the provision part, which you said has come down. Basically, if you see our total slippage for the quarter, December quarter is around INR 1,800 crore. And almost the recovery and upgradation is also to the extent of the similar amount. So, there is a and we have we are standing at a PCR of 95%. So, whatever the provision was required for the fresh slippage accounts, we already had an adequate release from the recovery and upgradation which has happened. So, there was limited requirements for provisions. That is why our credit cost and provisions requirement has come down. Going forward, whether it is a sustainable or not, yes, we are working very hard on the containing the slippage. And, if you see there is no corporate slippage has happened and going forward, it should be also be well managed. So, we are confident that our provision requirement going forward will also be on a lower side. Regarding ECL part, see we have already made adequate provision as you know, IG AAP we have made a 95% provision and on a half yearly basis, we are making the assessment on the IndAS also. And what we observed that there is a gap between, earlier the gap was high, but gradually over a period of time in the 2 -3 years, as we rea ched to a 95% provision, our ECL provision requirement has come down. And there is not much gap between the existing provisions and the required provision under the ECL guidelines. And bank is well placed, bank is having the adequate profit to take care of the provision requirements under





the ECL. In fact, in the guidelines that 5 years dispensation is given to meet the requirement on the provisions requirement, but most likely bank may not go for that type of facility. Bank is well capitalized and profit i s adequate to take care of ECL provision requirement in the first year itself. And that is as far as the ECL is concerned. And regarding PSLC profit, yes, we tried, but in the first half of the financial year, we were not having any opportunity to sell the PSLC certificates, which we did in the last year. Last year we did a very good business on the PSLC sales. It was around 950 crores of the profit we booked in the first half year. But this year, that opportunity was not available. And gradually the portfo lio was built. In third quarter, we were able to sell a small amount and we booked a profit of INR 108 crores.

Moving forward also, the department is working very hard on the priority sector lending. And we are h

oping that next quarter also, if possible, we will try to sell some PSLC to have an additional profit. But definitely going forward in the next year onward s, we think we will be able to leverage the PSLC book and we will be able to book a good amount of profit going forward.

Dixit Doshi: Yes, thanks for the opportunity.

Moderator: Thank you. Next question comes from the line of Bhavik Shah with In Cred Resear ch. Please go ahead.

Bhavik Shah: Hey, hi, thanks for the opportunity and congrats on very good results. Sir, two things. First, I think if I look at your investments book, I understand we have sold a lot of mutual fund investments, around INR 10,000 crore s. And overall also, we have sold some SLR securities. And your income on investments in the interest income earned line has gone up by 4%. I just wanted to understand what's happening here, if you can kind of help explain ? And also, is your treasury gain mainly because of the mutual fund sale income or , yes?

Asheesh Pandey: No, it is I think the normal treasury operations. I n last quarter also the NSDL if you decrease, that was around 500 crores, that is in the same range. Now coming to the treasury, the banking job is to lend first and on the quality assets and create a long term asset. So, even if now if you see what is the yield in the SLR or non -SLR, and if you see the what the option you have when you lend it to Retail , MSME and corporate and the mid -corporate. So, probably, certainly the option number two is much better. So, that's the reason we contracted our treasury by INR 15,000 crores and shifted it to better yielding and better quality assets.

Bhavik Shah: Okay. And sir, is your treasury gain of INR 580 crores mainly because of sale of mutual funds or no t? That is not the way to look at it. It is like foreign exchange income will be there, then certainly when you sell it from the HTM and certainly sometimes maybe you play with the arbitrage also you do it, some swaps are there. This includes mutual fund income also. There is a part that is HTM sale also is there. Then exchange income also, because of this fluctuation, we could garner more exchange income. All these have led to this INR 900 crores treasury income. If you compare it with the Q3 of '24, it has grown substantially above that number.

Moderator: Thank you. Next question comes from the line of Kunal Shah with Citi Group. Please go ahead.





Kunal Shah: So, a couple of questions. Firstly, on the recovery path. So, when we look at the recoveries from

written off account s compared to the run rate over the past 5-6 quarters, it has come down a bit and overall recovery as well. So, where should we see it settling over next 3 to 4 odd q uarters?
Ramasubramanian S : Kunal, if you are looking at it, the recovery, actually what we are having earlier, you cannot be comparing because the portfolio of which we are , the new slippages are very much less, actually and the bank is also trying to see that what are the left out recovery we have been getting with various types like OTS, NCLT everything. You look at it in the last quarter, whatever the recovery around INR 3,000 crores or INR 2,800 crores which we have recovered, if you look at it, the maximum recovery we have in a single account is only INR 130 crores and that is the only account above INR 100 crores. So, we are concentrating on the mid -accounts and small accounts and then try to get the recovery for the maximum extent possible. Going forward, yes, we will be expecting this quarter there will be some recoveries are expected. But I think it will be based on whatever the left outside portfolio which we will be able to do that.
Asheesh Pandey: There are 3 levels. One is through NCL T or the other group. Another one is the, you go with the OTS and with the party by -party. Another is the smaller amounts thro

ugh Lo k Adalat or maybe
the propert y sale and other things, taking SARFAESI action and all. So, the normal one is always there and we are actually better than the earlier quarter. Actually, we expected, as you said, we were doing good. Actually, we were expecting some 3-4 accounts. We cannot name them. It was very close, but then p robably we may see these rules in this quarter, probably.
Kunal Shah : Sure. And just a clarification on provisioning. So, last quarter, you indicated some prudent provisioning done towards ECL and that is why Standard Asset Provisioning was higher. This quarter, I believe, from your explanation, there doesn't seem to be any provisioning towards the ECL in this quarter. And second is on the fraud cases, maybe what the provisioning was done. So, was it like 100% provided earlier and there was nothing w hich was provided during the quarter for the fraud which were reported this quarter?
Asheesh Pandey: Yes. So, Kunal, yo u are right. We did mention i n the last analyst call that we ha ve taken some additional Standard Asset Provisioning to reduce the buffer that is required to meet ECL provisions. You will see that we have done that in Q1 as well as in Q2. So, given the low slippages in this quarter as well as the PCR of 95%, we did not feel the need to make any Standard Asset Provisioning in this quarter. So, that explains why you are not seeing a big Standard Asset Provisioning in the current quarter.
Moderator : Thank you. Mr. Shah, please rejoin the queue for more questions. Next question comes on the line of Jainam with Jayan Wealth . Please go ahead.
Jaina m: Hello. Congratulations on the great set of numbers. I would like to ask you two basic questions which are, do you expect NIM s in FY '27 to improve, stay stable, or moderate and what will influence this? And the other question is, what kind of revenue mix are you expecting from Retail book and MSME book and Agri book?

Asheesh Pandey: I could not understand.
Asheesh Pandey: We could not get it, can you repeat?
Jainam : Do you expect the NIM s in FY 2027 to improve or stay stable or moderate? And what is going to influence this?
Asheesh Pandey: What is going to influence it? You would like to take Amresh ?
Amresh Prasad : Actually, what we see that the NIM s will further impr ove because whatever the deposit was taken, that is going to be repriced in this quarter or next financial year. And the impact, you have already seen our book that our MCLR related books are only 32% and the balance are in the shape of, they are linked wi th the external rate of interest. So, when the rate cut happens, the impact of the rate cut automatically passed on to that team. But the deposit side cost is being repriced after the maturity period. So, definitely, if that happens in this quarter and next quarter onwards, definitely NIM is going to improve. That is our expectation.
Asheesh Pandey: So, I think what you asked, like just to support ED Amresh sir , actually last time also same thing was asked, we only said one thing, we would like to defend , but then we have come better. Again, we would like to say to you, we will defend. Let us see how it happens in the month of April. Now, coming to the parameters, which is going to influence it. See, the one thing is that in the downward division scenario , when the repo rate is being cut, suddenly you will see, because there is a lag, the deposit lag behind by few months or quarters, but then there is an immediate impact on the loan part, asset part. So, I think that is one thing, but even then, we have de fended. So, that is one part. Second one is, how you place yourself with the CASA and how you place yourself with the Retail term deposit and how you place with your total field deposits. And I think the more important thing for the NIM is that how you man age your average
a

dvances during the quarter, because the last moment will probably not make it more. So, I think we all are working in the same line. Just I wanted to supplement the first part, which our Amr esh sir ED has already told, the parameters whic h you have asked, I think this one. The second part of your question was that how you foresee the RAM, that Retail and MSME and growth and all and corporate. So, what I would like to suggest, my ED Rama sir will tell you on the RAM side and from the corpor ate book side, our ED Shri Amr esh sir will brief you.

Ramasubramanian S : Yes. So, if you are looking at the Retail and MSME, consistently this year we have been showing a good growth year-on-year. It is around 22% and 20%. Agri, yes, we had some issues, but if you look at it, in the last quarter we have picked up and we have shown a good growth on the Agriculture. Going forward, we will be driving it because all have to be done by the field at the branch level. So, we will be driving this business and try to maintain the same 68 -42 or 60 -40 ratio between RAM and the corporate.

Amresh Prasad : Regarding growth of the corporate books, MD has already said we are having some pipelines, already sanctions are there and so me good number of proposals are also in hand, which is going



to be sanctioned this quarter or year. So, we do not see any challenge in growing the corporate book also, sir. Thank you.

Moderator : Thank you. Mr. Jainam , please rejoin the queue for more quest ions. Next question comes on the line of Parth M.Gutka with 36 0 One Capital. Please go ahead.

Parth M.Gutka : Yes. Hi, sir. Thanks a lot for the opportunity. What is your NIM guidance for FY '26?

Asheesh Pandey: Yes, NIM, I think we have already discussed . In the last quarter, also when we met on 28th or 29th of October, one stand which we communicated that we would like to defend it and let us see. So, actually, we moved better though the condition or maybe the scenario was towards the downside. So, still we will say that we would like to defend to 2.76, but then we hope for a better, I think. Though you may be finding a different scenario, but then there was some opportunity in our shuffling from the book which we have done.

Parth M Gudka : Fair enough. And second question, how much of the deposits are yet to reprice in terms of Retail term deposits and certificate of deposits in quarter 4?

Asheesh Pandey: Yes. See, the deposits which are going to mature in this quarter are in the range of 1 plus around 50 lakhs. So, that are under different rates. So, it consists of even the bulk side and it also consists on the Retail side. But how we are looking at it, the c omposition should be in such a fashion that doesn't impact my LCR much, number one. Number two, the high cost, we are very keen. Actually, even when we are quoting, we are very specific to the quote. If it is a financial institution, we are actually not qu oting at a higher rate, because the runoff factor is 100 % on that. But meanwhile, we have created a different structure. Probably , the only bank which we have created is ecosystem banking, which is headed by a very senior official at the general manager le vel. And he is having almost 1600 people under him acros s India, and he is having units at various locations. So, that is the effort which, if you want to know, the initial sort of results that our CASA has been improved with 140 basis points. So, we are a ctually thinking more of adding RTB, adding CASA, and then to an extent left out, we will be taking the deposit, but certainly in a range which is acceptable to us.

Moderator : Thank you. Mr. Gu dka, please rejoin the queue for more questions. Next question comes on the line of Antariksha with ICICI Prudential. Please go ahead.

Antariksha : Yes, good afternoon, sir. Just wanted to ask, what is the size of the gold lo

an book that we have,
both in Retail and Agri?

Asheesh Pandey: Our gold loan portfolio is aroun d INR 84,000 crores total. Actually, let me share with you, we were hovering at the same level for past 2 quarters, but now this quarter there is an increase of around INR 2,200 crores. But at the same time, it is not like the avenue is not there, it is not like, we wanted, but we wanted to strengthen the system ic procedure in that. And actually we have done it somewhere in the month of October and November. And now we are poised for taking it forward. So, I think that we will move forward and our yield i s also good. Actually, it is coming



around, up till now, I can take, not exactly with the quarter, but the 9 months, it is coming around 8.85%-9% levels.

Antariksha : This you are saying Agri?

Asheesh Pandey: I am saying about gold loan, all the three, tota l. Agri is about INR 48,000 crores.

Antariksha : And just wanted to check incrementally, what LTV are you doing these loans at in Agri as well?

Ramasubramanian S. : Yes, 75% in non -Agri actually, LTV and 85% in Agri.

Moderator : Thank you. Mr. Antar iksha, please rejoin the queue for more questions. Next question comes on the line of Akshay Badlani with HDFC Securities. Please go ahead.

Akshay Badlani : Yes. Hi, thank you for taking my question. So, on the credit cost, just wanted to understand, so why, like we used to be around 65 -75 bps kind of an average run date. We have come down to 10 bps as of now. So, is it largely because of slippages coming down or is there some one -off in terms of write backs or recoveries that we are getting that the credit cost is at this range? And what would be your steady state credit cost that you would guide for, going forward sustainably?
Asheesh Pandey: I think if you see the movement of the provision, probably it gives some color out of it. Coming to the second point, there are 6 -7 parameters with the earlier questions, which I replied. The one is the corporate book, what is the rating? So, around 95% of the total loan book is BBB and above, and mostly it is in A and above. So, that is the first part. The second part is that the SMA position, which we have already given in the presentation, is almost lowest right now in the absolute terms, which is more to INR 85 crores. So, this is the second point. The third point is that the s lippage ratio is also well within control. Actually, the bank has taken, why you have strengthened the credit book on the one side. The other side is you have developed the better collection efficiency mechanism using the software apps and feet on the stre et. So, now actually that has given you the results. So, going forward, we do not expect much of the things, we think in the same fashion to go going forward as well.
Akshay Badlani : Understood.
Asheesh Pandey: Probably, if you see my restructured book, because there is one more portfolio from where this the credit cost slippage has come. So, if you take my restructured book also, even 50% of that is we have realized, already realized as an NPA. So, the question is that when already you have taken care of the things, probably we do not foresee until and unless the situation goes something very heavier, like COVID or something like that, we foresee in a similar fashion to go forward.
Akshay Badlani : So, any guidance around credit costs, like what we could g ive?
Asheesh Pandey: Yes, in a similar way, like 1 or 2 quarters, which you are saying in the same range.

Avinash Prabhu : Yes, if you look at our 9-month credit cost is about 26 b ps, right, so what sir is indicating is, we would like to try and achieve that kind of a number going forward, including, because we have also evaluated, as in when ECL comes in, right? So, it will be a number which will move, but hopefully around that.
Moderator : Thank you. Mr. Badlani, please rejoin the queue for more question s. Next question comes on the line of Ashlesh Sonje with Kot ak Securities. Please go ahead.
Ashlesh Sonje : Hi, team. Good afternoon. Two questions from my side. Firstly, if I look at the recoveries, which you report in your presentation on slide number 15, in FY '25, you did upwards of INR 15,000 crores in total recovery, going by the new presentation which you are sharing. So, far in FY '26, you have done some INR 9,200 crores. So, what do you think about the outlook for FY '26 and FY '2 7 on this number?
Asheesh Pandey: On the recovery, you are asking me that it will be moving forward, correct?
Ashlesh Sonje : Yes, sir.
Ramasubramanian S. : That is what I already told. Just comparing to last year, the portfolio is different now. The slippages are coming down, actually. So, whatever is available, we have already done for 9,200. As sir has already told , we expect that, there are some recoveries which we expected in the last quarter, which we wi ll be realizing it. Because we are not given any guidance this year we will be ending up around, not exactly the same number , But you can expect more or less the same average, what we have done in the last 3 quarters, it will be there.
Ashlesh Sonje : Understood, sir. And going forward, is it fair to assume a decline of, let us say, about somewhere around 10 %-20% every year, going forward in that number?
Asheesh Pandey: In which one?
Ramasubramanian S. : In the recovery.
Asheesh Pandey: See, recovery, I will put it differently, not per se about our bank or something like that. It is the efforts you have put in and the structure you have put in for the recoveries. Still, the book is always there, but you know, some windfall happens when there is an uncerta inty resolution. So, the thing is that if you are talking about the regular recoveries, you may expect better than that, because there are three baselines. One is the regular recovery. Another one is, when you get through NCLT or some, bigger resolutions. So, bigger resolutions, we expected actually last week of, last 15 days of the last quarter, but that has not materialized but will be materializing in this quarter. But at the same time, we do not consider in our forecast, because the thing is that we hav e to concentrate upon the cases which are in NCLT or maybe the SARFAESI actions and taking even the smaller loans are th ere, where recovery agents deploy and take the position of the cars or maybe the house, and then you try to put into auctions and all. Actually, we have strengthened those systems, and that is why we are confident that this portion of the recovery,

you will see better than expected. And that related to the bigger ones, we still have there. I think that will be ending, going forward as well for maybe a few quarters and years.

Moderator : Thank you. Mr. Sonj e, please rejoin the queue for more questions. Next question comes on the line o f Gaurav Jani with Prabhudas Lilla dher. Please go ahead.

Gaurav Jani : Thank you for taking my question. Congratulations. Just, firstly on the LDRs, right , while we have had a liquidity benefit due to the CRR cuts, the LDR is kind of shot up by about 4.5% sequentially. So, what kind of LDR levels are we looking for? Given the fact that capital, we are pretty comfortable about 14 %-15% as well. Yes, that is the first question ?

Asheesh Pandey: Yes. See, there are two types of LDR. One is domestic and the other one is as a global consolidated. Typically, let us discuss first with the domestic one. Compared to the domestic one, we are below 81. And if you see the banks today and the efficiency parameter wise, I think 80-81 is a very good, comfortable range for eve rybody, all the stakeholders. So, absolutely that is what we have achieved it

. The second one is, compared to, because the foreign you will be knowing, that including the Gift city , generally you will see more CD ratios with them, LDR. So, then that is the reason it is globally, if you see it is somewhere 80 -83 range. But otherwise, we are in a comfortable range. We do not foresee any issue in that. That gives a good efficiency with that range. Subject to that, you deploy the assets qualitatively and quanti tatively in the right direction. So, I think that LDR, we do not want to go beyond certain limit, maybe 0.5 %-0.75% here and there.

Gaurav Jani : Understood. Thank you so much. Se condly, on the OPEX side, right , last 2 years OPEX growth has been kind of low. So, for the next 2 financial years, what kind of an OPEX growth do we expect? Should it be in tandem with the loan growth?

Asheesh Pandey: OPEX growth, operating expenditure. Ye s, actually, we have taken a few steps here. That is actually we cannot say, b ut then probably you will be seeing, like, one is the project Musk aan itself, where we are moving towards the efficiency, point number one. Point number two, there are a few more, which we have taken on the ATMs and similar some sort of an equipment and other thing, where we see that certainly, because when you are in an economy where GDP is going everything, so the cost of your people, cost of your physical infrastructure increases, but then what we are looking at it, we actually have identified and identi fying further that what are the parameters where we can have a control. So, specifically those parameters, the entire team is working upon, but going forward on an operational expenditure, once we move towards more , like our ED, S hri Nitesh sir was telling you on the digital push and the digital infrastructure platform, which the bank has built. Once it is put to use to a good capacity, I would even not say 90%-100%, but even if it is put to 60 %-70%, you will see good cost cutting along with the risk mitiga tion. So, I think we do have a plan. Now, I will come back to one more point, because being an investor, you will have a noting of it. So, we have a plan of opening some 75 branches this year itself, and going forward, we want to further open 200 branches. So, that is also a cost, but even then we would like to come down and bring it into the control.




Moderator : Thank you. Mr. Jani, please re join the queue for more questions. The last question comes from the line of Siddh arth Rajpurohit with Systematix Group. Please go ahead.

Siddharth Rajpurohit : Yes, congratulations to the team for a good quarter and thank you for the oppor tunity. I have two questions, sir, one is, what is our excess standard asset provision that we hold? And second is, this project finance provision rules have taken. So, how do you see that impacting the provisions? And are you seeing an incremental increase in the private CAPEX that is coming out? Or when do you see it will pick up?

Avinash Prabhu : So, I will take the first one, which is on the excess standard asset provisioning. So, I don't think it's fair to look at it from the point of view of an excess standard asset provision, because what you are trying to do is bridge the gap between ECL and the current level of provisioning. So, that is something that, even in the last couple of quarters, we have been saying that we will make standard asset provisioning and giving you the excess standard asset provisioning will also give you an indication of what could be the pot ential ECL -related provisioning which we have not directly put in the public domain. So, we are comfortable in terms of the excess, in terms of the standard assets provisioning that we hold and we will continue to look at it as and when the RBI releases the final ECL guidelines to see, whether we need to increase or whether we need to maintain at the

same level.

Siddharth Rajpurohit : Second on the pro ject finance thing?

Asheesh Pandey: Project finance, I don't think we are expecting much of anything.

Ramasubramanian S. : So, in project finance, there is not much provision that has been made during this quarter. So, of course, there are some project fina nce where recently we have done it. So, accordingly, the provisions have been made as per the norms. But that is not making much of a provision on the provision side.
Asheesh Pandey: In fact, you are trying to understand that what is the impact of this new project finance guideline and provisioning. So, for existing portfolio, there won't be any additional impact because either COD has been achieved or COD has been extended. For only new cases where COD is getting extended, this will have some impact. So, this will have incremental impact on it. So, that will keep on moving based on new project which comes to us in our portfolio and then the extension is required to get it. This is not very significant.
Siddharth Rajpurohit : Yes, thank you. All the best to the team.
Asheesh Pandey: Thank you. So, thank y ou so much to all our investors, analyst . And we are always thankful to you for being along with us and we always appreciate, whenever you tell some lacking from our side and something where we have to improv e. So, we always welcome those suggestions from you and you have all our mail IDs and everything and certainly , we can have a meeting as well. But then as from the Union Bank and we all senior management sitting here, we welcome those and anywhere we would like to take further improvements because you will have some critical

eye to make the analysis of the bank and tell us where we can a bit more improve upon. We are in that process , but certainly we value your suggestion , we value your proposition. And tha nks to you for along with us today. Thank you so much.
Moderator : Thank you. On behalf of Union Bank of India, that concludes this conference. Thank you for joining us. You may now disconnect your line s.

## Call: Apr 2026

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■■■■■■ Ref.:■■.■■.■■.ISD/31/2026-27 ■■■ ■■ Date : 29.04.2026

■■■■■■ Madam/■■■■■ Sir,

■■■■ Subject: ■■■■■ ■■■■■■■■ ■■■ ■ ■ ■■■■■■■■ Transcript of Post Earnings Call

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This is to inform that transcript of Post Earnings call held on April 23, 2026, for Audited (Standalone and Consolidated) Financial Results of the Bank for the Quarter /year ended on March 31,2026 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank’s website under the following web link:

https://www.unionbankofindia.bank.in/
en/common/financial -results
This information is furnished in terms of Regulation 46(2) (oa) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

■■■■■ Yours faithfully,

(■■■■ ■■■■■■ Ashish Mishra )
■ ■ ■■■ ■■■■ Company Secretary

Encl.: As above ■■■■■ ■■■■■■■ BSE Ltd.
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"Union Bank of India
Earnings Conference Call for the period ended March
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SHRI AMRE SH PRASAD – EXECUTIVE DIRECTOR
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Moderator: Ladies and gentlemen, good day and welcome to Union Bank of India Earnings Conference Call for the period ended March 31st, 2026. The bank is represented by the Managing Director and CEO, Shri Asheesh Pandey, Executive Directors Shri Nitesh Ranjan, Shri Ramasubramanian S, Shri Sanjay Rudra, Shri Amr esh Prasad, and other members of the top management.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ajay Bansal, Deputy General Manager. Thank you and over to you, Mr. Bansal.
Ajay Bansal: Thanks, sir. Good afternoon, ladies and gentlemen. I, Ajay Bansal, Head of Investor Relations, welcome you all for Union Bank of India earning con call for the period ended March 31st, 2026. The structure of the con call shall include a brief opening statement by respected MD and CEO sir, and then the floo r will be open for interaction.
Before getting into the con call, I will read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statements based on the current expectations. These statements involve a numbe r of risks, uncertainties, and other factors that cause the actual results to differ from the statements. Investors are therefore requested to check this information independently before making an y investment or other decision.
With this, I now request our respected MD and CEO sir for his opening remarks. Thank you and over to you, sir.
Asheesh Pandey: So thank you so much, Mr. Bansal. And good afternoon and welcome to all the analyst, investors, and to this analyst call, analyst meeting. And we had today board, audit committee and the board, and the results are adopted by the board and we had a press m eeting, and just now from press meeting, we have switched to analyst meeting.
Now as you know the current scenario, which was from January, February onwards, macroeconomic environment has been influenced by ongoing global conflicts and war -related disruptions and other things. But at the same time, the Government of India, RBI has come forward to put up a cushion so th at the impact is not much of that. So we have seen various measures the RBI has come and also various measures the Government of India has come, and which has well taken in the market.
Now similarly if we come to Union Bank of India, all of you are aware that initial in the last September when we had a con call on 28th or 29th of October, and 13th January we had for December quarter. And I think the third time we are meeting right now. So from there we have moved a lot.
We also placed our provisional numbers on 3rd of April to the stock exchanges. So initially yes, we had a muted . Not so many questions were also there from our analyst and press and investors on the growth side. So certainly this last six months we have made a good stint on the business

front, whether it is a CASA, whether it is even a deposit or a retail term deposit I should say, or maybe advances on all retail an d MSME and the large corporate.
And if you see the business of last six months, it has increased by INR 1,71,000 crores . So the growth was around 6.56%, if you analyse it comes about 25%. Sorry, it is almost 13%. So we could make it and even our strategy was very clearly that we wanted to be more on CASA. So yes, CASA is increased. You can see around if you see half and half year basis, it is around 2.7%, which has increased.
And the second one is t

hat when we talked about the retail term deposit because we were purposefully shifting from bulk deposit to retail term deposit. So put together it is INR 1,10,000 crores we could garner. And here if you see on the growth, the figures which I we will be giving to you, the global deposit certainly you may feel around 2.72%. But then around INR 46,000 crores we raised alternatively in which INR 25,000 crores odd amount which came we shrink the treasury book, so that it moved to lending book, number one. Number two, on the refinance and other things around INR 18,000 crores and INR 3,000 crores for infrastructure bond. So if we add that INR 46,000 crores with the actual increase in the deposit, so I believe there it give s a INR 1.29 lakh cro res, which is almost above 9%.
The thing is that we are very cautious about our cost, we are cautious about NIM, we are cautious very clearly about profitability, and that is why we are working on the efficiency parameter. So you may see that we are above 80% CD ratio, much comfortable. LCR 114%, much comfortable. And NSFR also much comfortable. So maintaining all regulatory and the liquidity and other guidelin es, we are on the good footing.
Now this six months we could have a very good increase in business. So if quarter -to-quarter only if you take, it is 6.5 2%, if we take global business. Then certainly in totality, putting together asset and liability side, it is into four if you analyse , I think it is coming around 13%. So I think we could make it the headway in the last six months.
So with this background, we will come to the figures. And first of all, the Board of Directors have recommended a dividend of INR 5 per equity share, 50% of the face value for year ended 31st March 2026 , subject to the requisite approvals. Net profit of the bank stood at INR 18,697 crores. And interest income of the bank stood at approximately INR 1.06 lakh crore s.
The business growth is around 5.78% Y -o-Y, wherein gross advances increased by 9.74%. And total deposit grew by 2.72% Y -o-Y, for which I have already told if we take INR 46,000 crores the additional one which we have raised alternatively . Then the total business grew to INR 23.85 lakh crores. So with this, the RAM segment which we were focusing on, it is 1 2.56% Y -o-Y, in which 16.75% growth in retail, 18.75% in MSME. And in domestic ad vances, RAM advances are 57.49%.
The gross NPA is reduced by 78 bps on Y -o-Y basis to 2.82%, and net NPA reduced by 15 bps on Y -o-Y to 0.48%. The strong capital ratios, the capital adequacy CRAR stood at 18.10%, increased from the earlier one, and the CET1 ratio which is important, its own money , is improved from 14.98% to 15.69%. And if we take the return on asset and the return on equity,


so return on asset is Y -o-Y is flat, 1.25% to same almost levels. But if you take the quarterly, the last quarter we were at 1.35%, this quarter we are at 1.36%.
And one more highlight which I would like to give to you that this time apart from this, we have kept INR 700 crores of an additional provision, general provision sort of, just you know as a when good time is there, it is always better to keep aside. But this INR 700 crores is not impacting either the net profit or the capital. So this we have kept and depending upon the situation whether ECL framework comes or whether West Asi a or anything, any eventuality. Last time our profit was INR 5,017 crores. And now it is better, much better than that. And secondly, the dividend also last time it was 4.75%, this time it is 5%, and if we take the payout ratio, it is 20.61% or 20.65% levels . So I think we have maintained all and with this I hand over to the coordinator for Q&A for all of us. Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of CA Dr. A

shok Ajmera, Chairman from Ajcon Global. Please go ahead.
Ashok Ajmera: Yes, thank you for giving me the opportunity. First, congratulations Mr. Pandey and the entire team, Asheesh sir, for a very good quarter. Because or rather I would say the last six months have been good for the bank comparatively as compared to the previous four quarters before that. And at least to a great extent we have covered as far as the credit growth is concerned, 6.07% only in one quarter and 9.74% for the whole year, respectable figure.

Having said that sir, but on deposit front, even though in this quarter we have performed very well, 6.87%, but the overall for the year the deposit is 2.72%. So now the going forward in order to, though presently we are good at CRAR, but going forward with the kind of the growth, I would like to know the credit growth target also, as well as how are we going to match the asset liability if our deposit growth do not match with the credit growth sir, going forward?

Asheesh Pandey: Okay . Thank you , Mr. Ajmera. Let us understand banking that we raise resources and we deploy resources to productive investments. And we invest it whether in the treasury or in the loan book. And then we earn the interest income and the fee -based income related to the transactions happ ening.

Now coming to that if you see we have raised INR 46,000 crores , in which the treasury, I am saying not raised but the resources which we have tried to build. So our treasury book was reduced by INR 25,000 -odd crores which we shifted. So if you see the last year , the March '25 levels, at that point of time the CD ratio was around 77% and now it is around 3.5% up. In CD ratio we are very , very comfortable ; comfortable in the sense very nicely regulatory but at the same time very efficient , above 80 levels, nu mber one.

Number two is that our LCR and NSFR, all liquidity ratios are very comfortable range. Comfortable in the sense again very efficient because last time our LCR was average 123, but this time it is around 114. So we could reduce by 10 basis points on the LCR which was on the excess side. So I think that what was the challenge, not the total deposit, but the challenge is on the CASA front and on the retail term deposit. Now if you see , these two figures as far as Union Bank is concerned, we have made a very goo d stride in that.



Now put together , I think more than INR 1,10,000 crores which we have increased during this period. Now the CASA, if you see Y -o-Y, then certainly at March '25 level, it was more and September it was only 32.51. From 32.51, we have come up to 35.21, so 32.51 to 35.21. So there is increase of 2.7 percentage points, I am not saying basis point. So that is the first key thing which is very clear from the working which has been done by the entire team of Union Bank that we have tried and focused a lot on the CASA and we could a chieve that. That is point number one.

Second is we were very cautious to increase our retail term deposit because that is stable, point number one. Point number two, it has an LCR impact also. And that is the reason during the entire year now if you see our bulk deposit, we have shed off by ~ INR 70,000 crores. So that is a very clear thing how we want to churn. So basically , exactly what we are doing is just churning a portfolio towards a better one.

And if you take the cost, so if I take this INR 70,000 crores , then certainly I can say that they must be having the weighted average above 7. But when we talk of converting this to retail term deposit and CASA, my average cost would be somewhere 4.5 or maybe 4.75 levels. And again , now I am just linking this with the February 2025, where from there and up till now the repo has been reduced by 1.25 percentage points.

But if you see , the NIM of our bank which was 2.91 is right now at 2.70, that is only 21 b

ps. So

I think this is the only thing which is helping us . And we always say that we want to defend our NIM, we want to defend, we continued saying that. And that is what we tried . But then I think the last moment when there was an increase in the G -sec yield and there was increase in the deposits as well, and that was the reason .

But then from here onwards, if you see the last cut which has happened in December, the entire 50 basis points was conveyed for the entire quarter. But then also if you see our NIM from 2.76 to 2.64, it is only 12 basis points . So this is the reason that cautiously we worked upon each parameter of the balance sheet, each parameter of our asset and liability.

And even on the credit side though you are saying 9% good, but then there is one thing which is not coming forth is on the large corporate we have INR 35,000 crores of IBPC which is zero now, number one. Number two is around INR 30,000 crores which we had at below 6% levels, which almost is not there.

Now somewhere it has churned up with the new business. When it has gone out, new business has come. Now if you add that, so the team has worked and team has worked well . And actually if you see these figures , we have worked better than the industry average.

But yes, the figure is figure . If you see the year -on-year basis , certainly you see somewhere this dip, but then we are working upon the average, whether it is CASA, whether it is deposit, whether it is advances, whether it is RAM. Now that's the reason our profitability has continued towards an upward trend, and that's the reason that even recovery we are trying hard to improve, and that's the reason that we are having the profit of more than INR 5,300 crores.

And even then, we have kept INR 700 crores aside for anything contingency or anything. It is not like any dent or any suspicion on the book. We have already given in our presentation that our more than 99% I think is more than 700 CIBIL score in retail and other portfolio. And more than 95% in BBB and above. So I think that gives a color of the business also last six months which we have done.

So I think with this background I think I could answer that going forward you can expect the industry trend, we will be meeting it, and we will like to be better than a bit more than that going forward in the coming years.

Ashok Ajmera: Can we expect it 13% -14% growth in the credit sir in FY27?

Asheesh Pandey: Yes, certainly , I think we are on that line. Yes.

Ashok Ajmera: Sir, now coming to the profit and loss account, I mean our profitability, you have clarified that the profitability would have been much higher but for this INR 700 crores other standard provision which you have done, which according to you is just to take care of any provisions or ECL or other things, and nothing is to take care of any known account , so that is good point well taken.

Sir, one other reason of the profit being a little high is there is a reduction in the employee cost in this quarter by almost about INR 600 crores. So the employee cost reduc ing in this quarter which is also actually a March quarter , what could be the reason ? And going forward , are we going to maintain that INR 3,700 crores -3,800 crores per quarter or is it going to be lower in the in the coming year?

So that because INR 586 crores our wage bill is , employee cost is lower in this quarter. This along with another point is that the operating expenses have gone up in this quarter by INR 522 crores , so offsetting each other to some extent. And another point is that income going up is there is a handsome recovery from the written -off account, very good recovery of INR 1,567 crores as against INR 667 crores in the last quarter. So can we have the individual explanation or some details on these 3-4 numbers on t he profit and loss account to have the

clear idea going
forward where do we stand?

Dhirendra Jain : Ajmera sir, Namaskar. This is Dhirendra Jain . Sir, as you observe d, there is a reduction in my operating expenditure, particularly establishment expenditure. So this is due to the discounting rate factor , sir. Last year , 31st March 2025 discounting rate was 7.07 and this year it was 7.87. So due to that , the overall liability we estimated earlier was provided higher in the earlier quarter and due to that , the final liability which was on a lower side. So this was the impact of establishment expenditure , sir.

Now as far as the TW recovery which is close to INR 1,600 crores in the quarter as compared to INR 666 crores in the last quarter, we have that Sterling Biotech group account sir, which was settled during this quarter and the income of INR 658 crores was booked during this particular quarter. So, these two factors . And what was the third one , sir, you asked?

Ashok Ajmera: Sir, employee cost has reduced, and op erating expenses have increased? Other ope rating expenses have increased?



Dhirendra Jain : Sir, in Q4 this trend is always there sir. Operating expenditure , the budget which was allocated and the provisions which are made in the year -end, there is a gap of INR 200 crores -300 crores, it is always there in Q4 sir. This is a normal trend if you look at quarter -wise analysis sir.

Ashok Ajmera: All right sir. Sir , now looking at the current geopolitical situation and the West Asia war situation, Pandey sir, is there any stress again already started building up or in this first quarter do you feel that there will be some stress? Because even in this quarter also the fresh slippages have increased to INR 2,023 as against INR 1,660 in the last quarter.

And secondly, even though SMA -2 numbers have come down, but SMA -1 numbers have almost doubled. So, do you see that any kind of this aberration , I mean this war effect may be there in this coming quarter or the running quarter?

Asheesh Pandey: Sir, actually you know we are very closely monitoring the entire West Asia crisis, all these things. And as such we have not seen anything very unusual up till now. And we are also monitoring what is the inward remittances flow last year and this year, we are also monitoring import numbers and remittances, total remittances, import remittances.

We are also monitoring where it is hedged, not hedged and other things. So what we have seen is that there are two things, two, three things are impacted like one is the energy sensitive sectors where gas, commercial gas and all.

So those particularly industries they suffered a bit like Morbi and all. And few more places are there which were actually based upon the energy, these energy sectors. The second one is that remittance overall also has come down. But up till now we have not seen anything and at the

same time when this all these things happening, the let me share with you the Gove rnment of India and Reserve Bank both have come forward and tried to put cushion with the initiatives which they have taken.
Now we are in that and even let me share with you we have a data also , which I can part with you on the scheme, JanSamarth Portal we got around 306, this I am saying that status of CGS E application, that is Credit Guarantee Scheme for Exporters to provide 100% credit guarantee coverage. In that 210 are sanctioned and 180 is disbursed, around INR 700 crores.
And on the other side where you know the RBI also came with the trade relief measures, extension of PC, extension of post -shipment, and conversion of accrued interest. So, 59 people only applied. 35 applications in PC extension, post -shipment only 3, and FITL which is only 14. So we have not seen anything. So, the preliminary figures what we are observing that as of now is not you know giving any very adverse or very critica

l signals to us.
Actually, SMA -2 we have moved a lot portfolio to SMA -1. So I think it is a better signal that from SMA -2 we have moved to quite a lot by recovering the installment and we have moved to a better proposition of the stage one, I think with the 30 to 60 days. So it is a better proposition and over to you.
Ashok Ajmera: Yes sir, thank you very much sir.
Moderator: Next question comes from the line of Maruk Adajania with Tara Capital . Please go ahead.


Maruk Adajania : Hello, good afternoon , sir. Sir, I had a couple of questions. Firstly, there our corporate loans have grown 9% Q -o-Q. And then if you see the sector corporate the certificate of deposit data which is available for all banks, then our CD mobilization was also very high compared to other banks during the quarter. And our LCR is now amongst the lowest. And margins have also fallen more than what we had guided for ?
So, what would be the strategy going ahead? Would you continue to pursue corporate growth even if it's low yielding? What about deposit mix? And given where LCR is, would you rather focus on margins or would you from now on focus on growth if you have to c hoose one of the two?
Asheesh Pandey: See, we are choosing growth with quality, number one, and with profitability. Now I think in my initial address and I think when Mr. Ajmera was asking I have made it very clear that though you cannot see those growth in these numbers, but INR 35,000 crores of IBPC at a very lower rate which we have shed off. Number one.
Then around INR 30,000 crores, so almost INR 60,000 -65,000 crores of such advances which were low yielding. Otherwise how we would have shielded the entire NIM which was 2.91% to 2.70%, which is only 21 b asis point reduction is there. It would not have been possible if in case what you are saying it would have been correct.
So, we have actually tried, now coming to the CD, the CD is almost in the same range which we had the earlier years. So you have seen like you know the CDs which are raised, but then there were maturities also. So which has to be replaced. For a bank we have an internal sort of a ceiling limit where we ke ep you know CDs and FDs and other things in a same fashion. So that is the reason we will we have gone with the CDs.
So, we have gone within that range and that was actually we were getting a better rate during those days. You know otherwise actually if you see we have mopped up most of our requirement during the January, February onwards . Not much in March. And there we could get, otherwise March was really heated up market if you take the deposit rate or CD rate.
So that is why we are very cautious about the NIM, about the profitability, and about the quality of the asset. And like going forward we would like to maintain around 13% to 14% credit growth and also one thing when you asked about the we have raised in b etween I am sure you must be aware around INR 3,000 crores of infra bond.
And that is also it is a part and parcel and actually the subscription was very huge, but then we were cost conscious. So, we have not gone beyond a certain acceptable range and we have cut off at INR 3,000 crores only.
So probably in the coming year once everything stabilizes, we will be finalizing internally going to the board and AGM and other things, and then we will be coming up with the entire capital and bond issuance and the plan with the market. So, I think it wa s like you know growth certainly we like to grow industry plus something, number one.
Profitability even in last six months, sorry, quality, you will see that we are continuing the same quality of the whether corporate book or a retail book, which we have given in our investor

presentation. On 700 and above, though the bureau says 680 and above is a prime custome

r, but
we have continued with 700 and above.
And the BBB and above also we have given the figures. So, we are continuing that. We also have around INR 50,000 -60,000 crore of a book pipeline with the us in the large corporate. So I think with that we are sure of going forward, but then we would not be compromising on the quality and also on the profitability.
Maruk Adajania : Got it sir. So sir, any margin outlook you would have for Q1 and for the full year?
Asheesh Pandey: Yes, see now we have seen the last MPC also and the stance has been continued in the in the same levels. Now keeping in view the macroeconomic scenario and and the stance which has taken if we continue like this, so last I think December midway somewhere this 0.25% cut was there. So, which has if you see has not been reflecting in our figures, though around 53% -58% is based on the T -bill and the repo rate benchmark.
But even then, if you see the NIM, it has been quarter -to-quarter I am saying, it has been from 2.76% to 2.64%, only 12 b asis points , not the entire. So I think from here keeping in view the same things, we expect that we will be moving positive from here and we will be defending this point of level.
Maruk Adajania : Okay, so you will be able to maintain margins at 2.64%?
Asheesh Pandey: Yes, we would like to even better it.
Maruk Adajania : Okay, and that would be driven by sir?
Asheesh Pandey: See, if you see very clearly that in the last quarter also CASA is increased from 32.51% which was our CASA percentage in the month of September, and which have increased to 35.21% as of March. So certainly when you shift bulk deposits to the CASA and you shift your bulk deposit to retail term deposit, and you can see the growth in both the fa ctors, both the parameters. So certainly , it will help you to build on the positive side on the NIM.
And then not only this, but there are other factors also you know when you better talk, negotiate, discuss and you make a relationship management, the quality of asset you write. So those things also help you.
And what we have underwritten the quality is there, but certainly the rate and other things which we were charging, I think that has also helped us. So going forward we will be banking upon this and the deployments of funds in most effective way. I think t hat is the main thing which we would like to tell.
Maruk Adajania : Got it sir, that's very useful. And also , if you could explain the increase in MSME slippage in the fourth quarter, and if that's just a one -off and nothing and you know how it will pan out in the next few quarters?
Asheesh Pandey: So I think if MSME you see the almost it is sort of a flat only I think to 4.2% something levels I think some 10 bps-15 bps only. So it is almost flat, but then there were like the few cases only which has impacted. Otherwise up till now whether it is a West Asia or in general our book, we


have not seen any much of the impact on our book and quality. So going forward we actually we would like to reduce with the recoveries which are already NPA in either of these four sectors .
And that is why we have built a centralized team, that even below INR 1 crores sort of in portfolio we will be monitoring from the central office level. So I think the core recovery I would talk about , we will be trying to improve it much ahead , much further from here onwards.
Moderator: Next question comes from the line of Jai Mundhra with ICICI Securities.
Jai Mundhra : Sir, my question is also broadly similar. I heard you that you said that we will focus more on growth along with quality and profitability. The profitability focus is clear . I mean we have defended elevated ROA, so that is well appreciated. But sir, what I wanted to know is when you assume d charge, Union Bank was one of the few banks which was not too much concerned on t

he loan growth, but they were defending NIM or consolidating liability franchise.
And hence NII growth was very minuscule because you were not growing as much also. Then you put a shift in the loan growth trajectory . But still the NII growth is similar , third quarter was a good quarter in the sense that NII increased 5% -6% Q -o-Q. But this quarter again while the growth has been 6%, but NII growth has been flat.
So is there any thought out strategy or this is just market force driven that you will keep going on the loan growth on quality and the NII outcomes will be dependent on the market competitiveness ? Or you have some visibility on the NII growth also sir? Thank you, that is the first question ?
Asheesh Pandey: Yes. Actually we would like to. So what has happened, a round 25 basis point, there was a cut I think in the midway of the December, which has conveyed along the entire benchmark rate

linked loans. So, that is what you have seen a bit d ip on from 2.76 % to 2.64 % on a quarter -to-quarter basis. And that is where you are seeing flat. But then we are doing 2-3 things.
One is the work upon the average advances and average figures on both asset and liability side. And that 's the reason we are reaching towards that. It has to be better than the earlier ones. So, I think there we are thinking that how to build the NII growth also and also to keep the quality as well as the profitability intact.
So, it is not like that we are maybe writing, underwriting -- maybe good quality . But maybe underwriting a very low margin loans or maybe the second one, if I would say that we are underwriting a bit lesser one and then charging more. No, that 's why I said that growth, yes, that is the first key thing. But at the same time, profitability and the quality . We would like to maintain and grow in this way.
But then, going forward we would like to have . Because as of now, everything is settled, like till we have a further scenario on inflation and further scenario on rate cut and other things. So from here again, we would like to defend and move it better that you will be seeing in the further quarters.


Jai Mundhra: Okay, sure, sir. And sir, you have given a decent disclosure on the bulk deposit. And s o in the December quarter or in the March quarter, there was a lot of -- there was a sharp spike in the bulk deposit rates. So, could you quantify, sir, what was your blended bulk deposit rate? A ballpark number will also do. And has that started to come off in a significant way?
Asheesh Pandey: Yes. See, like when we touched upon the last quarter then I said that treasury, we have shrunk by I think I told around INR 15,000 crore s or so. And now you see it is INR 25,000 crore s. So, what happens is that you start trying to reallocate the portfolio.
So it is shifting from one to another. And in between the portfolio also you try to build it from low to better yielding portfolio like I BPC which we have shared off and other things. So what we did that certainly when you are having a good growth in the advances side . So certainly you need to raise deposits.
So, we raised in between INR 3,000 crore s Infra Bond. And the other things which I shared with you. Along with that we needed deposits so that we are comfortable range . A good range on the LCR and NSFR and CD ratio. So, that was the key thing in mind. And that is why most of the deposit we raised during the January itself.
And so that we knew that probably going forward in the month of March, nobody was aware that how it will behave, market will behave, West Asia crisis, how it will deepen and not deepen and the other issues.
Omprakash Karwa : So on a bulk side, the blended rate for the quarter was a little less than 7, around 6 .9 or so.
Asheesh Pandey: So, around 7 we can say.
Jai Mundhra: And that has come down significantly sir as

we speak ?
Omprakash Karwa : So it is all depend ent upon the market. Currently the April month, there are not a lot of activities happening in the market on the CD front as such. So current levels are a little lower than the March that is there.
Jai Mundhra: Okay. So, sir, the reason why I was asking was this, if I tally . Let's say, a bulk deposit rate on an average at 690 . Our yield on advances is 7.98 which is the total . The corporate would be even lesser. So does it make sense to do this corporate lending when we have to raise bulk at 690 . And maybe lend at 750, 720, 730 . I do not know which, whatever the lower than 7.98 number, because that increases absolute amount of NII but decreases the margin. So, that is the question .
Asheesh Pandey: Yes. I think I would give you a very good scenario . Not scenario, the actual scenario. See you are thinking that the entire which is raised at 6.90. So if you ask what is your blended rate on the bulk deposit, you ask ed only the bulk deposit. So, we have told only on the bulk deposit, not entire. Now, there is a CASA and retail term deposit increase is huge. I think around INR 1,10,000 crore s.
And then if you see the blended cost to me on that must be around 4.7 levels. So this is I think, incremental. I am not saying it is total. Now, there is a total huge portfolio. So, my CASA itself stands around 35.21. Now, if you add the retail term deposit, my RTD and CASA is around 79%.
So, certainly I save the cost there.


But to maintain the growth and maintain everything, it has to be blended with the fixed deposit. And maybe sometimes in that there will be different scenarios. There may be between INR 3 crores to INR 10 crore s because retail term deposit we say only below RBI guidelines of below INR 3 crore s.

Now there will be various deposits which are LC margin, BG margin and all those for 3 months, 9 months, 10 months period, 1 year period which may be at 5 50 or around 6%. So I think how you correlate to the mean is on the total portfolio . And that is what I just wanted to put forward that this particular quarter, which we took from 1st of January to this .
This is somewhere coming the blended rate. But the deposit which we have shared off around 70,000, then again, it was a different rate. But the March particular piece, which we have to the maturity was around 7.70 levels as a blended rate.
Jai Mundhra: Right. Understood, sir. And if you can share sir, the few data points . If you can help with the loan mix by benchmark . EBLR, MCLR, T -bill, and AFS reserves . And how much is the change versus last quarter?
Asheesh Pandey: Which reserve s?
Jai Mundhra: AFS reserves sir.
Dhirendra Jain : Mund hra ji, 54% is my external benchmark linked portfolio sir.
Jai Mundhra: And the T-Bill and MCLR is how much sir?
Dhirendra Jain : 36% is MCLR.
Jai Mundhra: Okay. And sir AFS reserves, AFS reserves movement?
Asheesh Pandey: What is AFS reserve? Can you clarify AFS is what exactly you want?
Jai Mundhra: Sir, under this new investment classification, the MTM hit on AFS has to be adjusted in the AFS reserve.
Asheesh Pandey: Okay, okay got it.
Omprakash Karwa : So from December it was around INR 800 crores or so increase in AFS reserve in this quarter.
Jai Mundhra: Now you have seen an accretion sir, is it?
Omprakash Karwa : No, no it's a negative figure sir.
Jai Mundhra: Right. Alright sir.
Asheesh Pandey : It is a reduction of INR 800 crores , correct?
Omprakash Karwa : Yes.
Jai Mundhra: And how much is the outstanding amount now sir, it’s in the balance?
Omprakash Karwa : Outstanding is negative 1,008.



Jai Mundhra: Okay, sure. Sir I have few questions if you want I can ask them now or I can back in the queue.
Asheesh Pandey: You can s

end us.
Jai Mundhra : Sir, I wanted to check this LCR new guidelines, have you calculated the new LCR under the new guidelin es as in what would be your LCR, let's say, 1st April or what is your sense?
Asheesh Pandey: Yes, we have calculated, and the negative impact is around INR 14,000 crores and positive impact is around INR 21,000 crores. So, INR 7,000 crores is a positive impact.
Moderator: Thank you. Mr. Mund hra, sorry for interrupting, please re -join the queue for more questions.
Jai Mund hra: Thank you.
Moderator: Thank you. Next question comes from the line of Param Subramanian with Investec. Please go ahead.
Param Subramanian: Yes, hi sir. Thanks for taking my question. Firstly, I wanted to ask just to clarify once again on NIM. Is there any one -off or seasonality or any such thing in the margin quarter -on-quarter or you are just saying it is mainly the mix and the December rate cu t?
Asheesh Pandey: It is basically Dece mber rate cut, b ut then the impact is much lesser than the rate cut.
Param Subramanian: Okay. Sir, one thing I can see is the interest on Reserve Bank of India balances that is down, that is ma inly the decline in LCR, is it ? Just clarifying on that number. So that number is down INR 500 plus crores on a Y -o-Y basis.
Asheesh Pandey: I think I am not very sure on that sir.
Param Subramanian: Okay, I'll take that offline sir. So there is no impact of the RBI NOP circular at all for you either on interest or other income?
Asheesh Pandey: Yes, actually we had kept ourselves very cautious during this disruptive time. So we were not taking long range calls. So our exposure was only 30 million. So we were much below 100 million what that circular was.
Param Subramanian: Okay, great.
Asheesh Pandey: Zero impact on that.
Param Subramanian: Perfect. Okay. Sir, and then on the PSLC and also your credit cost. Since I am just clubbing two questions together. Sir, on the PSLC, see this year has been soft, PSLC fee income. But you used to accrue close to INR 1,000 crores, right, on an annualized basis. Should we get back to that run rate next year?
Asheesh Pandey: So, see that last time actually we had a complete period of that, that is why the amount is also INR 800 plus crores. This time we started PSLC in the month of Q3. So, we could book I think INR 130 crores something like that. And then this quarter it was very hardly any period left for 31st of March. So we already booked this time also, but then the total amount was less, so that is

the reason because number of days that functionality is there. So that's the reason, but then we would like to continue on that.
Param Subramanian: So, we should be able to do INR 1,000 crores plus which was your number say last year?
Asheesh Pandey: Right now it is not. W e will assess it because the entire portfolio has to be seen on SMF and other things and then we will take a call. But yes, we would like to deploy in this year also.
Param Subramanian: Okay sir, perfect. And lastly on credit cost, I think v ery good number there, so 23 basis point for the year. Do you think it is sustainable, right?
Asheesh Pandey: So right now coming to the credit cost, we are not seeing anything very adverse on because of disruptive situations. But if you see the credit quality, the SMA is same level at 3,800 levels, SMA 1 and 2 of the entire portfolio. And also, if you see INR 25 crores and above, almost more than 95% is the BBB and above.
And if you see the prime customer which is taken 680, but we have taken 700 and above CIBIL score, our TransUnion and other bureau score, which is around 99%. So I think the quality wise like this score matrix and the other way it is the quality is in front of you. So we a re not seeing anything go rise, but then we say for comfortably because we don't go aggressive, it is better to get

the better figures, but then we say around 1% we keep as a in general guidance for the year.
Param Subramanian: Okay sir. And this INR 700 crores has nothing to do with any pressure you are seeing that you have made this. It is primarily for ECL transition, is it?
Asheesh Pandey: Yes, maybe see always the regulator and everybody says that in good times you if you have money to you keep aside and save it. So simply we have kept aside not in profit, not in capital and see it may not be used for years together also absolutely. So, but then it is kept as a cushion, it is kept because we do have because other than that also our net profit is in comfortable range and we are giving dividend of 5%, that is INR 5 per share, 50%. Then I think that is the reason we have kept it aside for a better strengthening the balance sheet of the bank.
Param Subramanian: Perfect sir. Thank you so much and congrats on the quarter. Thank you.
Moderator: Thank you. Next question comes from the line of Jayant Kharote with Axis Capital. Please go ahead.
Jayant Kharote: Thank you for the opportunity, sir. Just one question what level of LCR are you comfortable with if it falls below 110 are you okay to offer at that level?
Asheesh Pandey: See actually what happens like the Reserve Bank guidelines is of 100 and then Board fixed guidelines are there for each and every bank. For us also there is Board fixed trigger. First is trigger and then the breach. See we would not like to breach these two figures. So we are above that 7% -8% levels and we actually on a rolling basis we can plate for next 1 or 2 months and then we take the deposits and raise the resources accordingly.
Jayant Kharote: How much INR 7,000 crores add to the LCR ?
Asheesh Pandey: So around 3% it works out for an LCR for our bank.



Jayant Kharote: So which means that the pace which you are consuming if you are not able to match deposit growth in a quarter or two you will have to slow down on loan growth?
Asheesh Pandey: No, there is no question of not matching the deposit growth. See what happens suppose if you have a money in your pocket why you will go to ATM and withdraw further. You will first use what you have in your wallet and what you have in your pocket. So the same thing we did, that is what actually since beginning we are sharing with all the press .
See, I w ill give you only four figures. Our March -25 CD ratio was around 7 4. Now we are at 80.4. So, it means 6.4 up, number one . And number two is that our LCR requirement was a bit more earlier because we have actually seen each of the items and then we could move from LCR, the items like financial institutions, runoff factor was straight away 100%. So, that we have moved from financial to non -financial, even if we have taken the bank deposit.
So, that has reduced our LCR , that has moved to loan side. Now, the th ird comes the treasury. We had now you can see in our presentation also, non-SLR portfolio has reduced. So, certainly we have moved on a better opportunity on the loan growth. This is the third point. Fourth point is, then again, you have a infrastructure bond and other revenues.
We have raised INR 3,000 crores. Then again, we have revenues of refinance wherever possible within our portfolio. So, the thing is that suppose now with this 2.67 growth, there is no breach in LCR, there is no breach in NSFR and then my CD ratio is very good. Now, suppose, listening to all, if we increase by 5% basis point and we take 50,000 crores, where it will go?
It will straight away impact my CD ratio to 74% -75%. So, the question is very, very simple, tha t when need be, take it. When need not be, so I think no need to, but now again you see in the

third quarter, we have not taken, we have shed off much more. But in fourth quarter, we needed, because of the growth happening in credit side.
Though

we have taken INR 3,000 crore s infra bond, because the growth was good, which is evident in our figures in the Q4. So, then we have generated. So, actually, there are three things. One is the offer the rate. So, people have offered even 8% , 7.90% and above also during the Q4. So, they have got it.
But then we tried to take the deposit d uring January, February itself a nd then we continued, because we were very confident on the retail term deposit growth and the CASA growth a nd we could achieve it. So, rather than going to bulk deposit, we could achieve this side of the story. So, now going forward, this cannot be every time.
So, certainly, you will see the growth in the total deposit. It may come from CASA, it may come from retail term deposit and it may come from the bulk deposit. So, I think in the going forward, every time you cannot manage the book a nd allocation and other things. So, the thing is that at least first are you aware of from where it is raised an d where it is deployed? So, now, with this, that is why the last March 26, you can see, we have raised the deposit, we have raised the CDs. So, we have raised the reso urces.
Jayant Kharote: Thank you, sir. And just to re-confirm, you have 7%-8% above your comfort level on LCR ?


Asheesh Pandey: Yes.
Jayant Kharote: Thank you very much and all the best.
Asheesh Pandey: Thank you.
Moderator: Thank you. Next question comes from the line of Ashlesh Sonje with Kotak Securities. Please go ahead.
Ashlesh Sonje: Hi, team. Good afternoon. Sir, firstly, on this prudent provision which you have created, can you just highlight that after the creation of these prudent provisions, where are you on the ECL shortfall number now? Last quarter, you had shared a number of about INR 4,200 crores roughly. That is one.
Asheesh Pandey: So, we are on the same INR 4,300 crores, and that last time also we said we will be comfortable on that. And what so our guidelines come at appropriate time, we will decide in the Board. And accordingly, we will go ahead with the approach. But then since this figure is with us, this amount was with us, we thought of keepi ng aside for maybe ECL, maybe any other circumstances, as per the regulatory guidelines and as per the Board decision, we would like to then use it. Otherwise, we would like to keep it as a strengthening of the balance sheet.
Ashlesh Sonje: Understood, sir. But after the creation of this INR 700 crores buffer, the ECL shortfall number should decline ideally, right?
Asheesh Pandey: It will not decline because this is separate . So, we have made it very clear, it is not impacting your Tier 1 or Tier 2 or capital or net profit. It is just simply kept. We have just kept it for any eventuality, any circumstances like that.
Ashlesh Sonje: Understood. Sir, just one follow -up on that. What is the total outstanding buffer of standard asset provision that you are carrying now? If you have it handy.
Dhirendra Jain : Total standard asset provision is close to INR 2,000 crores.
Ashlesh Sonje: Second question. Last one from my side.
Asheesh Pandey: Yes, please go ahead.
Ashlesh Sonje: Yes. Sir, second one on the, sorry to harp on the loan growth and margin side. If I look at the credit rating mix of your corporate advances, which you have shared on Slide number 8, it seems like the share of A and above advances has increased by 2% Q -o-Q. So, it is clear that you have not only grown the corporate advances, you have also grown in better quality corporate advances.
However, this seems to be different from the stance which you had conveyed last time that you are shedding lower yielding advances. How should we understand this change, this shift in stance?
Asheesh Pandey: No, I could not get it, actually. See, low yielding means, we had I BPC of around INR 35,000 crores, which is not there. So, tha

t is point number one. And then we had, when you sanction, you have STLs, you have long -term loans, you have short -term loans, then sometimes, like, you


will give for 7 days, 10 days, and it will range about 5.50, depending upon a corporate, and to 6.10, 6.25.

There we have reduced, these two we have reduced. So, we have now tried to convert short -term into long -term and other thing, and from that we have to build in, so that we become more profitable, but at the same time, not to compromise on the quality.
Ashlesh Sonje: Okay. Sir, to just ask the same question differently, would you look to shed some more of your low yielding advances going forward?
Asheesh Pandey: It is a regular phenomena and we are doing day in, day out, and wherever we are in a position to get the opportunity. So, that is the reason that actually we have sanctioned more, disbursed more, but in the portfolio since churning is happening, you will n ot see that much big growth there, but then the things are on good, and certainly, it is a normal, every bank will do, wherever possible.
Ashlesh Sonje: Understood, sir. And just one last clarification, do you deduct the dividend payout from the net worth in the March quarter itself?
Dhirendra Jain : Yes. The remaining portion is only taken in net worth.
Ashlesh Sonje: Sorry, come again, sir. I could not hear you.
Dhirendra Jain : So, the amount of dividend proposed was deducted around 3,800, we have deducted, and the remaining amount is only taken into my capital portion.
Ashlesh Sonje: Understood, sir. Thank you very much. Those were all the questions I had.
Moderator: Thank you. Next question comes on the line of Parth M. Gutka with 360 One Capital. Please go ahead.
Parth Gutka: Hi, sir. Thanks a lot for the opportunity. Sir, can you just let me know what is the portion of the MSME book which is covered under CGTMS E?
Dhirendra Jain : We will come back to you on this, sir.
Parth Gutka: Okay. Okay, sir. And my second question is, sir, while a large part of the growth within MSME would have happened in the second half of Feb ruary and March, what were the conversations with the borrowers because at that time the war had already started. So, what were the conversations in terms of order inflows or cash inflows at that point in time? Yes, that's my question.
Ramasubramanian S : See, always there will be some people who are asking for some extension of bills which has been sent because everybody was only -- the war was only developing actually. So, everybody was also waiting for that. So, essentially the discussions are going on. Wherever it is there, we are also handholding them. And we are trying to support those MSMEs with higher period for bills. Those things we are doing it.
Parth Gutka: Okay. Okay, sir. And this is my last question. Have you changed any of your risk filters in March for the MSME?


Ramasubramanian S : Which one?
Parth Gutka: Have you changed any of your risk filters?
Ramasubramanian S : No, no. We have not yet, sir .
Parth Gutka: Okay, okay, sir. Thanks. Thanks a lot.
Moderator: Thank you. We will take the last question that is from the line of Dixit Doshi with Whitestone Financial Advisors Private Limited. Please go ahead.
Dixit Doshi: Yes, thanks for the opportunity. Just couple of things. Firstly...
Moderator: Mr. Doshi, can you speak a little louder? We cannot hear you.
Dixit Doshi: Yes, so firstly, what is our written off pool now? And if we see this year, the recovery from written off account was INR 4,000 crores. So, what kind of recovery? Will this number sustain next year as well?
Ramasubramanian S: Written off pool, if you are looking at it, is around INR 71,000 crores actually. And most of them, around 45,000 to 46,000 are under in the NC LT. It is there pending.

As regards to recovery
in return of accounts, we are trying it. Whatever is available, we are just seeing that. And most probably, the same trend will be continuing in the current year.
Dixit Doshi: Okay, so whatever we have done this year is sustainable next year as well?
Ramasubramanian S : Yes.
Dixit Doshi: Okay. And one last thing, so whatever you have communicated throughout the call, is it fair to assume that kind of the NIM has bottomed out in this quarter and with 13% -14% loan book growth, what we are targeting for next year, the NII growth will be similar to the loan book growth?
Ramasubramanian S : Definitely, our endeavor is the same.
Dixit Doshi: Okay. So, we can grow our NII as well in line with the advances growth because this quarter, it was lagging?
Asheesh Pandey: Yes, it was lagging because of the rate cut .
Dixit Doshi: So ye s, so considering that as of now the rate, rate cycle is let's say, a status quo, our NII growth should be similar to the advances growth?

Asheesh Pandey: Yes.
Dixit Doshi: Okay. Okay, that's it from my side. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I now hand the conference over to the management for closing comments.


Asheesh Pandey: So thanks to all the analyst participants on this call and certainly we hear to you a lot, we work upon your questions and even if you can see what sort of things we are doing depending upon the queries and wherever you have a concern and we try to inform you what we have done and how. So that's the reason that we think of keep on improving day by day, week by week, month on month.
So that is the total endeavor and thanks to all of you for participating in this analyst call. And yes, going forward we would like to better it like we said in the earlier quarters and we continued so. And going forward also we'll continue to make it better. Thank you.
Moderator: Thank you. On behalf of Union Bank of India, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

## Call: Jul 2026

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■■■■■■ Ref.:■■.■■.■■.ISD/134/2026-27 ■■■ ■■■ Date: ■■■ ■ July 21, 2026

■■■■■■ Madam / ■■■■■ Sir,

■■■■ Subject: ■■■■■ ■■■■■■■■ ■■■ ■ ■ ■■■■■■■■ Transcript of Post Earnings Call

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This is to inform that transcript of Post Earnings call held on July 15, 2026, for Reviewed Unaudited (Standalone and Consolidate d) Financial Results of the Bank for the quarter ended on June 30,2026 is submitted herewith as a PDF searchable attachment.

The same is also being made available in the Bank's website under the following web link:

https://www.unionbankofindia.co.in/en/common/financial -results

This information is furnished in terms of Regulation 46(2)(oa) (iii) and Regulation 30 read with Schedule III, Part A, Para A, 15(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

■■■■■ Yours faithfully,

(■■■■ ■■■■■■ Ashish Mishra )
■■■■■ ■■■■ Company Secretary

Encl: As above.
■■■■■ ■■■■■■■ BSE Ltd.
■■■■■ ■■■■■■■■■ ■■■■■ BSE Listing Centre
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National Stock Exchange of India Ltd.
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■■■ ■■■ Scrip Symbol -UNIONBANK -EQ

“Union Bank of India
Earnings Conference Call for the period ended June 30,
2026”
July 15, 202 6

MANAGEMENT : SHRI ASHEESH PANDEY – MANAGING DIRECTOR AND
CEO
SHRI NITESH RANJAN – EXECUTIVE DIRECTOR
SHRI RAMASUBRAMANIAN S – EXECUTIVE DIRECTOR
SHRI AMRE SH PRASAD – EXECUTIVE DIRECTOR
SHRI DHIRENDRA JAIN – CHIEF FINANCIAL OFFICER

 Moderator: Ladies and gentlemen, good day and welcome to the Union Bank of India Earnings Conference
Call for the period ended June 30, 2026. The bank is represented by the Managing Director and CEO, Shri. Asheesh Pandey ; Executive Directors, Shri Nitesh Ranjan, Shri Ramasubramania n S, Shri Amresh Prasad, and other members of the top management .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand over the call to Mr. Ajay Bansal, Deputy General Manager. Thank you and over to you.

Ajay Bansal : Thanks, ma'am. Good afternoon, ladies and gentlemen. I, Ajay Bansal, Head of Investor Relations, welcome you all for Union Bank of India earning con call for the period ended June 30, 2026. The structure of the con call shall include a brief opening statement by respected MD and CEO sir and then the floor will be open for interaction. Before getting into the con call, I will read out the usual disclaimer statement. I would like to submit that certain statements that may be discussed during the investor interaction may be forward -looking statements bas ed on the current expectations.

These statements involve a number of risks, uncertainty, and other factors that cause the actual result to differ from the statement. Investors are therefore requested to check this information independently before making any investment or other decision. With this, I now request our respected MD and CEO sir for his opening remarks. Thank you and over to you, sir.

Ashee sh Pandey: So thank you, thank you Mr. Bansal, and with great pleasure, I welcome all our analysts and the investors on this con call to Union Bank of India, your bank, financial results announcement for the quarter ended 30th June 2026. So to have a more Q&A and understanding, I would not go much, but as of, you know, all of you know, so to just set a context that what the economy we are in and what are the disruptive situations happening across world and how it is impacte d, the Russia -Ukraine conflict.

So but at the same time, our country is well -poised with the various proactive efforts taken by the policymakers, the Government of India, all the regulators, Reserve Bank, and the various state governments as well. So, I think we are resilient, and we are in a position to navigate the impact of oil prices, trade linkages, logistics, currency, and rate movements.

So I think with this, the analyst or press meet for last three quarters. So we were very clear in communicating that your bank is working upon five pillars. The first is Efficiency, second is Robustness, third is Quality and Sustainable Growth, fourth is P rofitability, and fifth is Customer Centricity and ease of doing business for staff.

And equally, we are having weightage to all these five parameters. And I think the improvements which you must be observing quarter -to-quarter from December 2025 onwards, are aligning to these five pillars only.


 So we had also informed you that your bank has done like, you know, the bank is now various structural changes also taken place in some of the things like on technology, on operations.
Project Muska an we are running, we have which has now we are getting the real good green shoots of it. Meanwhile, we have created certain ve rticals like ecosystem banking.
So public sector banking, I think we could achieve within last six to seven months is now that entire sourcing of business is separate where we are

having 1,200 plus people as a ecosystem banking vertical headed by CGM and then he is having seven -eight GMs and then 14 DGMs and then around 1,200 people, 118 centers and 12 hubs.
So these people are neither related to administrative work or nor related to the branch work. They are totally in the relationship management and that is why the CASA we are in a position to sustain from June 2025 or March 2025 or September 2025 levels.
And if we speak certainly even for the June quarter very well that we when we talk about, you know, the low -cost deposit, we talk about CASA plus RTD. So CASA even in the June quarter, I can give you the average figures is around INR24,000 plus crores aver age CASA we have maintained during the quarter and RTD we have maintained average as a INR17,000 crore s, total put together INR41,000 crores.
Around we have shed off around INR18,000 to INR20,000 crore s of bulk deposit, but shed off doesn't mean that we are not taking the deposit. We are taking the deposit, but in the last —the first thing is that we have a capital base of 18.46%, a robust capital, and March 2025 somewhere in that we were at 74% level and today we are at 86% level, it means around 12% growth. So it gives a good sort of a leeway, that is why efficiency is maintained and we are in a position to come with some better figures as we promised to all our investors earlier.
So even now, I would not like to give figures, but even today our average CASA figures are better than the June 30th CASA figures because that is what I am saying about the about the vertical which we have created. The NACH registration which we were doing around 12,000 to 13,000 per day is increased to 18,000. So there you can think of because the fee -based income and other things are generated through all these activities.
And almost in a quarter more than 200, if I am not wrong, corporates we are integrating so that our stickiness, as in the press meet told by our CFO, he will again in brief he will tell, but it is around 95% somewhere to 99% stickiness in advances, in savi ng, and the current. So I think that is a good color which gives that we are the bank is now what they said is working upon the average figures.
Now in this quarter, we also got excellence some award, IIBF excellence in governance and compliance, TransUnion CIBIL award for best data quality bank, IBA award for cybersecurity team, and Economic Times Enterprise Security winner for data privacy. So I think these are the something because we believe that business first and compliance always.
If we plan to grow another INR5,00,000 -INR6,00,000 crore s from here, so we should have been on the various robust base rather than only on the superficial foundation. So that is the reason we are working a lot. Our presentation is very clear on the things which we have done last six -seven -eight -nine months , and we have told in each of our analyst and presentation call that what


 we have steps we have taken. And we also said that it may take nine months to one year time to get into it.
And the first thing is that this is the highest ever profit, even in March we told highest ever profit, highest ever dividend. And even the Q4 ROA was 1.36. So last three quarters we are maintaining the ROA of 1.36. This time, yes, cost -to-income we told w e are working hard on it and almost 500 basis points, 5 percentage points we have come down.
OP is almost high for the bank for this crossing INR8,000 crore s. Even the NIM is the highest level crossing INR10,000 crore s. And the other ratios certainly you have our presentation, the GNPA, NNPA levels are again one of the best. So now I can say that your bank has come to a real foundation where we are now in a position to take forward very nicely.
Coming to the growth in advances and other places,

you have seen we have clocked a good growth. First quarter is slightly sluggish for everybody, but the first quarter is also in banking

industry generally gives a negative color on the slippages and the SM A position. But then your bank is I think the best of the numbers, even INR1,000 crore s less than the March figures, around INR2,800 -odd in SMA 0, 1, 2 above INR5 crores.
I think that's also one of the good color which gives 99% around CIBIL score. So we are shifting from lower CIBIL score to upper CIBIL score. That is what you will see in the presentation.
Even INR25 crores and above when we talk about the external rating, so we are maintaining that. So we do not want to compromise on the quality at any of the cost.
But at the same time, the industry level growth plus 1% we aim forward and certainly we look for now up to now we said we would like to defend NIM, but then from here we would like to improve upon the NIM. So defending is for sure and improving is the aspi ration from here further more.
And coming to the deposit, it is not like deposit we are not taking because there are various maturities over the year, spread over the year. This time also we have taken INR30,000 crores - INR40,000 crore s of deposit, but our first choice is CASA and RTD. So this is where we are trying to build because -- actually because of this strategy only the deposit cost has reduced by 18 bps.
I think that is the notable feature for this quarter which has also helped the NIM and other important parameters. So I think with this, I would like to give the platform to all the investors, and you may ask the queries, your, and will like to answer that during the con call itself. So over to you, Mr. Bansal.
Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take our first question from the line of Mahrukh Adajania from Tara Capital. Please go ahead.
Mahrukh Adajania: Hello, sir. Congratulations. Sir, my first question is on deposit growth. So you explained very well on how you've been shedding bulk deposits, but the gap between deposit and loan growth is quite wide for us now. So when do you see a pickup in deposit gro wth? Because the gap has to be bridged, right, at least to the sector al level. So that's my first question. And my second

 question is on FCNR mobilization. How much do you think you can mobilize and what's been the mobilization so far?
Asheesh Pandey: Okay . So thank you so much because it is your bank, you are the investor. We are the custodians. So always I say to you, I know you for very long and I always say like that. See, the deposit growth is not at all an issue if we ask. The CASA and RTD is an issue. So, I think we are actually hitting on the grassroots level of the issue. And there itself, it is not like, if we talk about bulk deposit shedding, it may not give a good color.
The right set of colors is that first our own capital we are sitting at 18.46% levels today. And if you see the June '25 or March '25, the CD ratio was 74% and today 86%. So 12% and how much 1 percentage i t caters to? 10,000. So you can think of around 1,00,000 we could build straight away from our capital itself. So that is the first moot point. The second one is that we are also in my commentary or introductory brief, we have told we are working a lot hard on the CASA and RTD and stickiness, which we have answered. So that is also now not an issue. And the bulk deposit, it is not like we are not taking. So we are taking it, but the thing is that our first priority is very clearly the CASA and RTD. But yes, going forward, as we grow, we need to we will be taking.
So already we are taking, we will be taking, but then we'll be taking where our -- the CASA and RTD to an extent that supports over and above we will be taking bulk deposit.

And because the
bulk deposit to the total deposit ratio was around 27 %-odd which has come down to 19 %-odd something. So it means around 7.5% to 7.9% we have reduced and that's the reason the efficiency is coming on.
And going forward, it is not -- see, we have to see the total deposit. So , going forward our aspiration maybe it may take one year, two year, three year down the line , but to bring below bulk deposit to 1.15 percentage points. So that will give more stability to the bank on the funding part, on the pricing part, on the cost of deposit part.
And certainly, let us look the most important pillar madam, which is LCR and NSFR. LCR our stands at average 121 basis points and our board approved is 107, RBI thresh old is 100%. And 1 basis point means INR2,000 crores approximately, roughly. So 21% means around INR42,000 crore s we are in a liquidity position comfortably.
So we are sound enough on that. So certainly we have gone with the level where we required, we have taken the deposit. But going forward certainly because now CD ratio has also I think almost it has optimized. So going forward we will be taking the deposit and certainly it will be when we say the advances it will continue 12% to 13% or plus some levels because we would like to grow with industry plus something on the credit growth.

So certainly in the similar range minus 2% somewhere deposit growth will continue. Coming to FCNR, I think this is also core related question to the first one. The FCNR we have already done 106 million up till now and we have not done any leveraging up till now, but we are in talk and we'll be going forward with that.

And we aspire to not aspire, but it is an achievable we will be in the position to garner 1.5 to 2 billion going forward till September. So this is the color on the FCNR and OFCB around 200 to



 300 million we plan on that route. So this is the total plan on the scheme given by the Reserve Bank of India and the government.

Mahrukh Adajania: Okay, sir. Thank you. Thanks a lot.

Moderator: Thank you. Next question is from the line of CA Dr. Ashok Ajmera from Ajcon Global. Please go ahead.

Ashok Ajmera: Yes, thank you for giving this opportunity and compliments to you, sir, A sheesh sir and the entire team for a good set of numbers, especially on the profitability front. Even in the first quarter also you have matched the profit, rather improved it by about INR100 crores, which is good, heartening to note.

And even the NIM is also is very healthy as compared to the last quarter and even otherwise also. So my compliments on them. Sir, having said that, I have got a again the same one major concern is about the business growth, overall business growth and espe cially which is linked with the deposit and the credit growth.

So the same question which Mahrukh had asked about deposit front. You said you are comfortable on capital adequacy wise, but sir if we compare with the even industry also, I think in the overall business growth as well as the credit, I think we are little bit lacking which was never used to be a phenomena 1.5 years 2 years, 3 years back in the Union Bank.

So having said that, what can I mean what can be done to increase the number because now you see even in the firs t quarter also some of the banks which have declared the results have given very healthy numbers of the credit and overall businesses also. So on this, little more elaboration, little more like kind of a foresight from you would help in understanding the future of this bank. So this is my first question, sir?

Asheesh Pandey : Okay, thank you so much Ajmera on both the things. We have already answered on the deposit growth to madam Mahrukh and to all the investors. And let me tell you when we talk about 1.5 to 2 billion on the FCNR front, how much it comes to Indi

an rupees approximately? Around
INR20,000 crore s.

So when certainly you have a roadmap for this quarter itself because this scheme is for September only. But then our main focus is the CASA and I think let us understand in total deposit there are three factors.

One is the CASA, another is the retail term deposit, then bulk deposit. So I think in CASA and retail, there is a huge growth in Union Bank of India. So I think that is one notable remarkable feature quarter -to-quarter. You can compare from the March to Jun e to September to December and to March and again to June.

So even in the average you can see there is a lot of improvement. So and stickiness in the press meet certainly our CFO has told stickiness in saving, that is stickiness means the average figures to terminal figures of the quarter end. And again I will req uest him to inform all the investors on that count.



 But let me tell you that all these things are to manage structurally manage efficiently our funds. But then it cannot be endless. So going forward we are taking deposit, we will take and certainly you will see like see this was actually the anomaly which w as there which we have tried to rectify and improve upon the efficiency.

Now when you talked about the other banks also or maybe the other organizations and we compare to Union Bank. So like the cost -to-income like the cost of deposit, like the NII now and ROA. So there we could build the efficiencies. But then certainly going forward as we grow move from quarter -to-quarter till this year end you will see the same beca use we are in the industry f rom somewhere money will not come.

Money will come in the market only and certainly we are there to cater it. And when we say and when you talked about credit growth and certainly the Q4 growth you have seen is one of the best. It was around 7%. So there is no doubt in the growth on the cred it front. And certainly t he

first quarter remains a bit.
But going forward, even we have almost more than INR1,00,000 crore s of a sanctioned, but not disbursed pipeline in the corporate itself. And RAM sector we have now come up with the cluster scheme, we have come with the Agri Unnati scheme. So we are come up with the various schemes in the MSME and agriculture and retail.
So, we are very sure that not only 11% to 12% or 14%, but we aim to move better than 18% to 20% in these three sectors going forward. And that's the reason we were surplus, earlier we were in deficit in Agri and all. But last quarter we have sold very good IB PC and we have booked good income. So certainly this all this shows that we are we are in a position to make a growth and we have good visibility on the growth. So certainly with that credit growth, the deposit will follow in line with that.
Ashok Ajmera: Sir, quite well taken, sir. We are well -wishers of the bank and would definitely like it to be in line with on every parameter as the other banking industry on the whole or rather do better.
Having said this, sir, there is a little concern on the recovery side because our recovery from the written -off account in this quarter is almost half of the March quarter, which generally the good quarter, I understand.
And secondly, the provision NPA provision has also gone up substantially, INR2,020 crore s from INR420 crore s in the March quarter. And similarly, if you see the SMA 2 numbers, overall SMA numbers have come down as you said and as we can see, but the SMA 2 has gone up by almost INR350 crore s.
So overall do you see some kind of little stress in the some of the MSME accounts or some other accounts? And something if you can give the information on the ECLGS, this new ECLGS, how much is the entitlement of your all the customers and how much money h as already been disbursed on that?
Ramasubramanian S : Yes, namaste

sir, Ajmera sir. Regarding the recovery, if you are looking at it, March quarter and this quarter if you are looking at, in March quarter there was one bulk was there, I think everybody knows it, the Supreme Court order for one of the accoun t where we got a good recovery.


 If you remove that, more or less we are in tune with that because as already also we have explained, the bigger cases are not coming out actually, there is nothing much in the NCLT has more or less dried up. Everything now we see being done through OTS, we also having a SARFAESI, Lok Adalat like that only there is new things only we are trying to see that the how to recover the remaining amounts.
So recovery the city itself has been coming down. The slippages is not happening to the large extent. Slippages also we have been controlling the slippages to the great extent and there was not much slippages. So the recovery whatever it is there, we our t here is a good team which is taking care of that. That is number one.
Regarding the stress in MSME, yes, it was there -- it is there and it's going to be there because the MSME are depending on mainly on our economy. When the economy is very, very in a very unstable condition, automatically there will be stress on the MSME portfolio. But one thing is it's been quite well man aged by the bank overall and government also has helped us with this ECLGS scheme where they will be able to get able to help the MSME sector to a large extent.
And if you look at it, our stress in MSME sector also it is on the low value ticket, not on a very medium or high value ticket there is not much stress. The low value ticket which is more of a state-sponsored or schemes only we have it, which are all quite covered with the guarantee cover from the government also.
And regarding ECLGS, if I can say that we are expected to disburse around INR14,000 crores to INR15,000 crores on the overall and already we have completed around INR10,000 crores disbursement in that.
Asheesh Pandey: So, I think when we are talking about SMA figures, see, we are INR1,000 crore s less than the March figure. Generally you will see heightened stress and slippages in the June quarter, Ajmera sir. But fortunately, and with all good hard work and strategically, managed this entire portfolio on asset quality, we are the actually lowest on the SMA, which INR2,800 crore s odd amount.
So that is point number one.
Point number two, our recovery is more than the slippages. I think that is also quite important point, second point, in the first quarter itself. The second is that even though if you, reduce that the major one which came and in the last quarter, last year and last quarter Q4, and straight away, not only that by putting our own money we have put INR700 crore s of the additional provision, which is nowhere part of Tier 2 or part of y our profit or part of your PCR.
And this time also again we have put INR100 crore s. So it means total INR800 crore s and I think

any shareholder, investor, or any stakeholder for that, whether regulator or Government of India, will feel good that when ECL guidelines are in place and we are going to move, now already four months are over, and the bank has kept INR800 cro res aside today itself. I think that is a very good sort of a clue to each one of the stakeholders.
Like, one more thing I would like to because the MSME is a very important part of the economy and we take this very seriously. And Ajmera s ir, what we have done this for information to all the investors here listening to us, because the government was also keen to know the impact of


 West Asia and other things happening on this MSME and also the Reserve Bank was also very, cautious.

So we have done all the 140 regional offices, we have conducted MSME customer meets. And for almost 1 to 2 hours, ranging from customers from 15 to around 30. And in all those meets, our people virtually has joined Chief Economist of the bank and GM MSME. And one -to-one as per their business we asked them that what heat they are facing, whether on the input co st or on the fuel cost or maybe on the logistics cost or orders or delayed what not.
And we have compiled that actually book and we are working upon each account, whether we have to make to give ad hoc to them, whether we have to do fast review renewal for them for delayed, where RBI relief measures has to be given immediately to them, ECL GS. So ECLGS when you asked INR12,000 crore s is our sanctioned book and disbursed is INR10,000 crores and certainly it is currently the time period , it is there, so we'll be in a position to cross going forward a good amount.
So that is the reason we did this study and this study we have done for two months and it was like our regional head, zonal head, MLP means that MSME loan point head and their team, all have we have set these people and then we have tried to get the clues. And we are trying t o handle those MSMEs with this.
So the thing is that if there is a maybe a stress it may come, but proactively we are engaging with our customers and ensuring that does not creep in into our Union Bank business. Over to you, Ajmera saab.
Ashok Ajmera: Yes, sir, no, this INR10,000 crore figure because I was in fact I am driving to that point only that out of the total about INR18,000 crore total credit growth, net credit growth in this quarter, I mean INR10,000 crore s according to you has gone in ECLGS disbursements only.
Asheesh Pandey: No, I think that is not correct , because ECLGS disbursement happens in the CC account. And it reduces your CC. So we have done a great analysis. Let me also tell you that not only MSME or small people, even the big corporates have taken ECLGS. And why they have taken that, you know, they want to sit on cash. It is not that they are in stress . It doesn't mean that this INR10,000 crore s or maybe any other bank who has sanctioned more or less than this amount, it means it is going to stressed amount.
But the thing is that today we are in a society which is much more informed, much more calculated, and they don't want to take risk which has happened during COVID and other period. Now when this scheme came and when they saw the heat on the input and other cost, they immediately took the benefit of this and took this disbursement in all the CCs. As per th e rule also it was to go in CC.
So it reduced the balance on the CCs rather than -- so that calculation probably mathematics would not work here that if 18,000 crore growth is h ere particularly, then ECLGS 8,000 crore or 9,000 crore has actually set off. It reduced our CC balances and most of them are sitting on it so that in case of any eventuality, they will be in a position to make good of themselves. And also, they don't want to leverage much, taking ECLGS on one hand and then utilizing that money for some other han d and then coming into problem.


 So, most of them, we also discussed independently when we did this exercise, means we did this exercise wholeheartedly across the customer base, across India. So I think 2,500 plus MSMEs we have done this exercise. So outcome is very clear, it is not that equation that as we are thinking it has gone to CC and it has reduced the CC. It is on the infra also there were some repayments because everybody, you know, that after M arch quarter it comes as a repayment from and it is a bigger balance sheet it comes.
So it is across, but yes, gold we have not grown and cautiously we have not grown and that dent has actually done around I

NR2,500 crores to INR3,000 crore s.
Ashok Ajmera: Yes.
Ashee sh Pandey: And now we are building because we wanted to abide by the regulatory guidelines, we don't want to do the business in in hurry and then become a non -compliant. So we have worked a lot last two months on the gold loan, agriculture, and what other prescriptio ns, regulatory prescription and how to go about it.
Moderator: Sorry, Mr. Ajmera, I request you to join back the queue please as we have participants wai ting for their turn. Thank you.
Ashok Ajmera: Okay. All right, thank you.
Moderator: Next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Yes, thank s for taking my question.
Moderator: Kunal, sorry your audio is not clear. Please use your handset.
Kunal Shah: Yes, is it better now?
Moderator: Yes, please go ahead.
Kunal Shah: Yes, so the question was on provisioning again, maybe almost like INR1,000 odd crores of NPA and coverage has also dropped and we see a much higher write -off as well. So is that number more to do with the write -off, maybe the provi sioning towards the write -off and then the account getting written off because that quantum appears to be slightly higher as slippages have just been flat, but still we have seen almost IN R1,000 crores of NPA provisions?
Dhirendra Jain : So slippages as you must be observing, the slippages are almost flat Q -o-Q, but the write -off is higher and to maintain th e gross NPA and to have the proper tax planning, we need to write off. If you look at my Q1 number of write -off, it is almost in this quarter Q1 previous quarter previous year Q1, the write -off amount is almost aligned.
Kunal Shah: So this is just a quarter phenomena, it will not continue .
Ashee sh Pandey: No, it will not continue, Kunal . I would put it differently. If you see all our ratios, it is all one of the best. And also the profit is the one of the highest levels. So now when everything is there and certainly, you know, we need to clean the balance sheet. So wherever possible, we take that stance of cleaning the balance sheet. Even that INR100 crore s we have put additional, so now it




 is earlier last quarter was INR700 crore and this time INR100 crore plus means INR800 crore s we have put set aside for the eventu ality of the ECL going forward.
So I think this gives a very good colour that you know, yes, if provisioning would have impacted the profit and the ratios, probably it would have been correct, that apprehension would have been correct. But the question here is that we are at 1.36 and the NIM has improved to 2.80, all the ratios are better and highest particularly for the Union Bank of India. So I think keeping those in view, we also n eed to clear the balance sheet.
And then certainly when we clear the balance sheet more and more and we become more stronger, I think. And when we do recoveries , so recovery if I take which is very bare minimum which we have done this time is INR750 crore . So 750 into 4 it comes 3,000. So certainly it will be more around INR4,500 crores to INR5,000 crore s in the entire year, which is again much more than the last year, though there was a TW O recovery I am saying. But as far as total recovery is concerned, it's much more than the slippages. Even our tax provision we have doing fully, so it is around INR1,691 crore s. So, it is INR1,69 1 crore s of tax provision also we have done on the operating profit because we are at highest operating profit of INR8,003 crore s. So on that basis around 21% we have taken and provided for.
Kunal Shah: Got it. And the second question was when we look at cost of deposits because of the run -down in the bulk which is down by almost like 20 ,000 odd crore s, there is some savings on cost of deposits, it's down by almost 18 odd

basis points. But cost of funds is still steady. So we don't have that borrowing number, so was there anything on the borrowing side wherein cost of funds are still remaining generally flat at 4.37 during the quarter?
Ashee sh Pandey: See, there are certain Tier 2 bonds which are of prior period which are at higher cost. One we have shed off during this quarter at INR850 crores. And in this quarter again I think we have INR2,500 crores and some of them are at even 9%. So, I think going forward you will see that, 8.7% is the blended rate and we are already sitting on 18.46 of capital. So certainly, we want to reduce and I think going forward you will see both, getting reduced.
Kunal Shah: So INR2,500 crores raised at the blended rate of 8.7 during the quarter ?
Asheesh Pandey: Yes, it is that call option we will exercise.
Kunal Shah: Okay, got it. Thank you.
Moderator: Thank you. Next question is from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.
Dixit Doshi: Yes, thanks for the opportunity. So, my first question is, last year we had zero PSLC income. This year there is a sharp increase in the fee -based income, so if you can mention how much we

have done in the PSLC this quarter? That's my first question. And can you give some estimate
about the ECL provisions requirement from next year?
Dhirendra Jain : So PSLC last year this quarter was zero, this year this quarter is INR217 crore s.


 Asheesh Pandey: Actually, we did PSLC in the last quarter, not corresponding. So, it was INR100 crore s, but then
in a year it will come. But this time we since we December quarter and March quarter we worked
a lot, so we had excess, so that is where agriculture, SMF we have sold it around INR217 crore s.
The second one, ECL is around INR6,000 crore s total, the total requirement is around
INR11,300 crore , but we are carrying INR5,500 crore s of additional provision. INR6,000 crore
is additionally required which I think which even if we take on one -- it will be decided in the
board and other things, but then one quarter I think, but then there is a regulatory, forbearance
for I think many quarters, so we can decide over there and go. INR800 crore s already we have
put in the balance sheet is an even today.
Dixit Doshi: Okay, so this INR11,500 crore s is total requirement, and you are saying that INR5,500 crore s
we have already done. So that INR5,500 crore s include this INR800 crore s, right?
Asheesh Pandey: So, around INR6,000 crore s is remaining.
Dixit Doshi: Around 6,000 crore . So, are we planning to do more in the remaining three quarters this year
itself? Because you are saying that, provision for NPA was a Q1 phenomena and maybe next
three quarters provisions for NPA would be slightly lesser ?
Asheesh Pandey: See, I would not go for it because now we require is only INR6,000 crore s approximately. And
INR800 crore s we already have. But we would like sustainable business growth, sustainable
profitability and sustainable all efficiency ratios, this is our first priority. And after that even if
we are remaining with something, we will keep on building, but now nothing is remaining, only
three quarters are there.
And not even three, two quarters are there because this has to be done somewhere in the 31st of
March before that, no? Because from 1st it is applicable. So, all the banks' board will decide upon
the approach they are adopting to handle this. So, I think we are very comfortable on that.
Moderator: Mr. Dixit, I request you to join back please. Thank you. Next question is from the line of Anand
Dama from Nuvama. Please go ahead.
Anand Dama: Sir, thank you for the opportunity and very good set of numbers. Sir, my first question is that, I
think you talked about the ECL impact of about INR11,500 crores, but what wo

uld be the annual
run rate that we should see once I think we have implemented on the 1st April 2027?
There will be an annual impact as well, whether that will be 5 basis points, 10 basis points, 15
basis points, how much have you assessed that's going to be the annual credit cost that you're
going to just see only because of ECL?
Asheesh Pandey: The thing is that what we are saying INR11,300 crore , this putting on both treasury and as well
as on the credit side, putting both, one -time. And then ongoing it will be like, the stages where
we can add each month. So, it will have both positive and negative depending upon your
portfolio. So, the thing is that we are actually right now we are working upon that and that is
why we could contain our stress level at this even June, INR2,800 crore .
Sowmya Sridhar : Even if we even if we absorb the entire thing in the year one, which is the 2027, from 18.10
which was our 31/3 CRAR, it would just go down to 17.54. So even then we would be very


 comfortable. And going forward of course we have a provision of adding back each year and we
can phase it out over the next four years. So, in any case we will not be not much bothered about
it.
Asheesh Pandey: That model we are configuring and we have taken EY and OFSA from Oracle. I think that figure
we are working, but that we are not finding very I think sizable and difficult for that. Anandji.
Anand Dama: Okay, sir, I think you can, ye s, certainly you can work around and let us know what is the final
amount because there was so much of disturbance I could not get if you said any figure what
will be the annual run rate of incremental credit cost that you should have because of ECL.
Nevertheless, sir, second, my question was that we have seen farm loan waiver in the state of
Maharashtra, we have sizable exposure on the Agri front in Maharashtra. Then there is an
ongoing stress which is there in MSME, I'm sure part of that ECLGS possib ly would have taken
some part of that stress out.
But still do you see some asset quality issues on the go and because of which you made some

additional provisions during the quarter? What is your broader sense on the asset quality outlook, particularly in MSME and the Agri sector?

Asheesh Pandey: See, one good thing is that as far as agriculture is concerned, in our bank it is totally spread -out Pan India. And because of the e -Andhra Bank and e -Corporation Bank, we also have a good sort of an exposure in Andhra Pradesh , Telangana and Karnataka and certainly for Union Bank in Bihar , UP and MP and those states which are more agriculture driven . So, I think, you know, Maharashtra we did not actually felt any impact up till now. But yes, the date is fixed and finalized, and the data is submitted.

So, I think it is going to give a positive sort of, you know, because whatsoever we wanted to we have already done it, provided for. So, it will give a positive impact going forward when it is being reimbursed. So, on agriculture front here in this case we are not worried.

Anand Dama: And on MSME front?

Asheesh Pandey: MSME I briefed, I think a too lengthy discussion that we have carried out, 140 MSME customer meets pan India and it's a very big report, huge report, and actual report. So , it has really given a very good insight, and we are dealing with now, actually many banks you will see that generally like, you know, the Paracetamol given to every patient.

But then we have discussed, we have done this exercise for two months and our Chief Economist herself has s at with GM MSME. So , we are giving wherever Ad-Hoc is required, wherever RBI relief measure is to be given, ECLGS to be given. So , we are actually deploying this course of action and we are monitoring centrally. So MSME also we have not seen anything negative up till no

w. Let us see going forward.

Moderator: Thank you. Next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes, hi, good afternoon, sir, and thanks for the opportunity. Sir, I wanted to check on the overall growth, right? So how do you see overall growth panning out and within which, you know,



 corporate do we still maintain the policy of zero IBPC or, you know, you see a bit of an opportunistic opportunities there? Overall growth and within which corporate.

Asheesh Pandey: So certainly , the industry whatsoever is going plus 1% is minimum what we are thinking and we'll grow with that. And we are in that line, already corporate book we have INR1,00,000 crore s plus sanctioned not yet disbursed. And in stages it has been happening. And so that is not an issue. We told we are at - domestically I am talking - 57 to 43 levels and we'll continue with that. IBPC, we do not want to even hear it.

So, there is no question of going for an IBPC. And we are self -sustained, let me tell you that I think last eight -nine months we would have underwritten more than INR70,000 crores of corporate book. I think you can give some color on the corporate.

Amresh Prasad : No, sir, IBPC is not we are not thinking, we are thinking not thinking of buying it, we are selling it. That is what I wanted to add and that is what has been done in the first quarter.

Jai Mundhra: Right. Sir, the industry is now growing at 18 %, 19%, right? So , we are currently at 13 %, 14%. So that would mean that you will you aim to grow faster, 100 basis point higher than industry, right? Did I understand correctly?

Asheesh Pandey: So certainly , in the entire credit growth, if you take, we'll like to grow with the industry whatsoever is going plus 1%.

Jai Mundhra: Sure. That is very helpful, sir. And secondly, sir, on ECL you have given the estimate. I also wanted to check, sir, what is your all -inclusive, all -ticket size bank -level SMA -0, 1, and 2 numbers in rupees crore? Yes, sir.

Asheesh Pandey: So, it is given in the above INR5 crores we have already given I think INR2, 382 crore amount which is the lowest as of now in our bank. And even it is lower than the 31st of March figures. And we have given both SMA -0, 1, and 2 in that.

Jai Mundhra: No, sir, I was checking at the bank -level number, so including below INR5 crore s loans also.

Asheesh Pandey: Okay, we'll ensure . Sure.

Moderator: Thank you. Next question is from the line of Antariksha Banerjee from ICICI Prudential AMC. Please go ahead.

Antariksha Banerjee : Yes, hello, sir. I'm audible, right?

Moderator: Your volume is very low.

Antariksha Banerjee: Is this better?

Moderator: A little better. Please go ahead.

Antariksha Banerjee: Yes, just two things to clarify. One is this income -on-income tax refund that you have booked about INR532 crores this quarter. Can you give us the quantum that you had in last quarter and Q1 of last year as well?

 Dhirendra Jain : It was INR562 crore s in the March 2026 , and you asked about June 2025?
Antariksha Banerjee: Yes.
Asheesh Pandey: It was INR14 crore s only. June 2025 INR14 crore s, March 2026 INR562 crore s, this quarter it is INR532 crore s. Yes, but one thing like June 2025 we had treasury income of INR1,439 crores which has actually come down to last two quarters which has come to 630, 640 level.
Antariksha Banerjee : Right, right. Sure. And the second point I wanted to ask is on PSLC. So, this INR217 crores of PSLC fee income that we have booked this quarter, how does the outlook look for the rest of the year? Do you think you'll be able to make that INR800 crores -INR900 crore s for the full year or this is going to b

e the lumpy quarter?
Asheesh Pandey : Depending upon, you know, how we grow in the agriculture, particularly SMF, because SMF is more lucrative than any other portfolio. So , there are not many givers on that. So, we are planning on that, we already have implemented certain things, we are waiting for offshoot. So, we will see as we go ahead during quarter , because initially itself booking good numbers is also, I think a positive approach we have taken.
Antariksha Banerjee: So, is SMF most likely linked to gold loans, Agri gold loans, and therefore it is dependent on where gold price moves or is that not the case?
Ashee sh Pandey: No, no, no. Actually, gold loan portfolio because we want to be very compliant, so we have done lot many changes in our portfolio. And if you see the gold loan portfolio March and this time, actually there is a de -growth of around INR2,500 crore s to INR3,000 crore s. So that is not. Actually, with real our growth in SMF and other parameters , we are going with that only.
Antariksha Banerjee: Correct.
Moderator: Antariksha, I request you to join back the queue please. Thank you. Next question is from the line o f Param Subramaniam from Investec. Please go ahead.
Param Subramaniam: Yes, hi, sir. Thanks for the opportunity and congrats on the quarter. Sir, a question on the NIM, I think you mentioned that the NIM will improve from here. Firstly, I wanted to understand why did the yield on advances decline in this quarter , because I thought the rate cut transmission had happened? And secondly, what is the driver for NIM to expand further from here? Will it mainly be funding cost declines? Ye s, that's my question.
Ashee sh Pandey: Yes, see, it is actually domestic our yield on advances is 8.01%. I think , and the global yield on advances is 7.90%. So, I think that is where you are coming from. So domestic actually , we are working in a fashion which we have told , that many of our portfolio which was lower yielding , we have converted to higher yielding. So that's the reason we are actually thinking to improve upon the domestic NIM.
Foreign branches as you know more are syndicated and the down -selling is there . It varies from sometimes 100 to 130 -140 levels. So there does not have come much. So, yield on advances going forward , certainly we think that it will bottom out going forward. And the NIM as we said because we were taken so many measures because NIM is the correspondingly parameter - related parameters are many . We have to act upon so many things.


 So that is where we were saying we will defend and then the last quarter when we saw 2.64, we said it is bottomed out and we have come with 2.80. So, I think going forward you will see better than this position. This is what we aspire for. So, I would not say only defend, but you may see the positivity again from here.
Param Subramaniam: Sir, this 8.01, what was it last quarter, domestic yield?
Ashee sh Pandey: That we'll provide. We'll get back on that.
Param Subramaniam: Sure, sir, if you could get back on that. Secondly, sir, very short question, your AFS reserve from -INR800 crore s I think as of last quarter, where is it now , broadly?
Omprakash Karwa : It is at around -INR345 crore s, so reduction of around INR438 crore s.
Param Subramaniam: Okay, thank you.
Moderator: Thank you. We'll take our next question from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.
Nitin Aggarwal: Yes, hi, thanks for the opportunity. So, first question is on the LCR ratio. There is good improvement that we have seen this quarter. So, is it possible for you to quantify how much of this benefit came from the new guidelines?
Ashee sh Pandey: Yes, if I remember correctly, there were three major things: one is through the internet , and means on the saving

bank and all. I think you made it. So, there was some benefit of I think
INR5,000 crore s around some benefit I remember because last time there was a question on this which we answered. I think it was around 3%, and if I recall correctly then the amount turns which was around INR4000 crores - INR5000 crore s. We will give you exact figure because there were three pillars which impacted. One pillar was negative, two pillars were positive and the net was positive to us. And there it also helped somewhere. Society , trust was one issue and another was decrease in run off facto r.

Sowmya Sridhar : On society , trust AOPs there was a reduction from 100% run -off to 40% run -off. So, net it was around INR4,500 -- 2.5% to 3%. That was the net.

Asheesh Pandey : Nitinji , we got 2.5% to 3% of the net gain from that.

Nitin Aggarwal : Got it, got it, sir. Thanks for that. And the second question is on credit -deposit ratio. Over last one year, we have seen a 700 basis point odd increase in credit -deposit ratio. While you are guiding for a higher than the system growth, how do you watch o ut for this number? What is a comfortable range that you will want to operate at?

Asheesh Pandey : See, it was around March , 74 levels which is around 85 -86 levels now. So, it is almost 10 to 11 basis point , percentage basis it has increased. So, I think this is a good comfortable range. We will not go much beyond that. And that is why we said we wanted to build efficiency. We have tried and I think we are successful in that.

And then going forward, our aim is to build the deposit, first is the internal from the CASA and retail and secondly from the bulk. But at the same time to contain cost as we have done this time,



 18 basis point we could reduce this time and to improve the NIM. So, this is the three triangle I think which we are working upon that.

Nitin Aggarwal : Sure, sir. Got it. Thank you so much, sir.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. And now hand the conference back to management for closing comments. Over to you, sir.

Asheesh Pandey : So, I think first of all I am grateful and thankful to all the analyst, all the people in the analyst call and your queries. Actually, your queries gives us some color, to improve upon. You may not say directly, but then asking on that and that is where we write it down and we work upon that. And I always in any of the last I think six years, I always ask the analyst to give us their feedback so that where we have to improve where we can.

So, I think if we see the credit growth in the Q4 also, we were at around 7%. So, if we take annualized it is very huge. And even now when we have said that we have underwritten INR60,000 crores to INR70,000 crores and we are down -selling it. So, we are comfortable , so the credit growth we are not bothered anyway.

The deposit, yes, we are bothered only on the retail and CASA because we do not want to go down from here. We want to sustain the CASA growth whatsoever we have achieved. 2% is not an easy thing for within nine months to one year. And the retail term depos it as I had given the average figures also. So INR41,000 crores average we have increased from March 31st to June 30th.

I think these are the positive sign. And certainly, going forward as I said to one of the analyst that the triangle is that we want to improve NIM, the second is we want to reduce cost of our funds, and the third is that whatsoever deposit is required or t he resources is required, it continues to fuel the credit growth, but certainly while maintaining CD ratio in the acceptable range and LCR in the acceptable or comfortable range, that is 121, it is quite good, and NSFR.

I think these points which I am saying is again yielding to the five pillars on which I started:

Efficiency, Robustness, Quality and Sustainable Growth, Profitability, and Customer Centricity and ease of doing business for staff equally given weightage by the board of the bank and all WTDs is sitting in front of you and the entire senior management sitting in front of you.

With these words, we are thankful to you for having not only trust but belief in Union Bank that what we say we come out with that and we want to strengthen, make the bank more robust so that if any hiccups comes because of any external shocks, we are in t he position to sail through very nicely and very quietly. With this, thanks to all of you for joining this investor call and any query you are please feel free to mail us and whatsoever we have told to give you the figures, we will be giving you after this meeting. Thank you so much.

Moderator: Thank you members of the management team. On behalf of Union Bank of India, that concludes this conference. Thank you for joining us and you may now disconnect your lines.